Tata Consultancy Services Ltd. (TCS)

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Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540
Dear Sirs,
Sub: Transcript of the earnings conference call for the quarter ended June 30 , 2022
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30 , 2022 conducted after the meeting of Board of Direc tors held on July 8 , 2022, for your information and records.
The above information is also available on the website of the Company: www.tcs.com
Thanking you,
Yours faithfully,
For Tata Consultancy Services Limited
Pradeep Manohar Gaitonde
Company Secretary
Encl: As above

Tata Consultancy Services Limited
Q1 FY 2023 Earnings Conference Call.
July 08 , 2022, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kedar Shirali, Global Head, Investor Relations at TCS. Thank you, and over to you, sir.
Kedar Shirali: Thank you, Steven. Good evening and welcome, e veryone. Thank you for joining us today to discuss TCS' financial results for the f irst quarter of fiscal year 202 3 that ended June 30, 2022. This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website.
Our leadership team is present on this call to discuss our results ; we have with us today, Mr. Rajesh Gopinathan -- Chief Executive Officer and Managing Director; Mr. N G Subramaniam -- Chief Operating Officer and Executive Director; Mr. Samir Seksaria -- Chief Financial Officer .
Unfortunately, Mr. Milind Lakkad – our Chief HR Officer could not join us to day due to a bereavement in his family.
Our management team will give a brief overview of the company's performance , followed by a Q&A session. As you are aware, we do not provide specific revenue or earnings guidance. And anything said on this call which reflects our outlook for the future . or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly fact sheet avai lable on our website and mailed out to those who have subscribed to our mailing list .
With that, I'd like to turn the call over to Rajesh.
Rajesh Gopinathan: Thank you , Kedar, and good morning , good afternoon and good evening to all of you. We are s tarting out in FY 23 on a strong note , growing 16.2% in rupee terms, 15.5% in constant currency terms and 10.2% in dollar terms.

We announced our salary increases with effect from April 1st. Reflecting that and other

employe e costs we incurred in Q1, our operating margin for the quarter was at 23.1% , a contraction of 1.9% sequentially and 2.4% year-on-year. Net margin was at 18%.
I will now invite Samir and NGS to go over different aspects of our performance during the quarter. I'll step in again later to provide some more color on the demand trends that we're seeing . Over to you, Samir.
Samir Seksaria: Thank you, Rajesh . Let me fi rst walk you through the headline number . In the first quarter of FY 23 our revenue grew 15.5% YoY on a constant currency basis. Reported revenue in INR was `527.58 billion , a year-on-year growth of 16.2% . In dollar terms, revenue was $6.78 billion , a year-on-year growth of 10.2% .
Let me now go over the financials. As Rajesh mentioned, we announced salary increases of 5% to 8% and much higher for top performers with effect from April 1 . This had a 1.5% impact on operating margins. Continued supply side challenges entailed additional expenses, such as backfilling expenses and higher subcontractor usage. This and normalizing travel expenses negated various operational efficiencies, resulting in an operating margin of 23.1% , a sequential contraction of 1.9% .
Net income margin was at 18%. Our effective tax rate for the quarter was

25.5% and
our accounts receivable was at 63 day sales outstanding in dollar terms , down one day compared to Q4. Ne t cash from operations was ■108.1 billion, which is a cash conversion of 114% . Free cash flows were ■100.68 billion . Invested funds as on 30th June stood at ■527.6 billion , and the board has recommended an interim dividend of ■8 per share.
Since M ilind is not here today, I will take you t hrough the HR numbers now. On the people front, our workforce strength crossed the 600,000 mark this quarter, ending this quarter with 606,331 employees. We continue to hire talent from across the world , with a net addition of 14,136 . It is a very diverse workforce with 153 nationalities represented and with the wom en making up 35.5% of the base.
We remain committed to investing in organic talent development towards building the next generation G&T workforce . In Q1, TCSers clocked 12 million learning hours, resulting in the acquisition of 1.7 million competencies. LTM attrition in IT services w as at 19.7% , and we think it will rise further in Q2, after which it should start tapering.
Now over to you , NGS, for some color on our segments and products and platforms.
N G Subramaniam: Thank you, Samir. Let me walk you through our segmental performance details for the quarter . All the growth numbers are on year-on-year constant currency basis.

All our verticals showed good growth in Q1. Growth was led by Retail and CPG which grew 25.1% after a similar strong growth last quarter, Communications and Media grew 19.6% , while the Manufacturing as well as Technology & Services verticals both grew 16.4% . BFSI , our largest vertical , grew 13.9% while Life Sciences and healthcare grew by 11.9% .
By geography , growth was led by North America which grew 19.1%. UK grew 12.6% , while continental Europe grew 12.1%. In emerging markets , India grew by 20.8% , Asia Pacific grew 6.2% , Latin America by 21.6% and Middle East and Africa grew by 3.2% .
Our portfolio of products and platforms continue to do well .
ignio™, our cognitive automation software suite signed up 28 new customers and five clients went live during the quarter. In addition , 15 existing clients acquired new licenses of the suite during the quarter .
TCS filed three patents around ignio during the quarter and was granted one . The market demand for ign io trained professional continue to grow . The number of ignio trained professionals stand at 14,134 while number of ign io-certified professional s is 4,294 to-date.
A global luxury hotel brand has deployed ignio AIOps to manage digital assets, including hotel content and promotional offers published globally for thousand s of its properties across many brands. The solution detects anomalies in the properties across all brands, eliminates noise and averts outages in reservation and offers , thereby enhancing customer experience and averting loss of business.
TCS BaNCS™ , our flagship product suite in the financial services domain had three new wins and four go lives during the quarter.
I'm very pleased to share that in the recently published I BS Intelligence Sales League Table 2022 , TCS was ranked number one in investment and fund management and in fraud management ; and number two worl dwide in the areas of ins urtech, Islamic banking, wholesale banking, treasury and capital markets .
Our Banking Service Bureau in Israel, which powers the country's f irst digital only bank

has won a second client .
One of UK's leading insurance organization s has expanded its partnership with TCS Diligent a to launch innovative new products to deliver improved customer experience and drive competitive differentiation using the TCS Insurance Platform, powered by TCS BaNCS™ .

Our Qua rtz Blockchain platform had two go lives in Q1.
The Quartz Smart Solution for Bond Issuance is now live at one of the leading central securities depositories in India. It facilitates rea l-time exchange of information among multiple stakeholders, like issuers, trustees, credit rating agencies, depositories and stock exchanges on a private permissioned blockchain platform . The solution helps eliminate potential double counting of underlying assets and ensures greater transparency and governance in the bond issuance lifecycle .
In Life Sciences , our award -winning advanced drug development suite had one new win, our first client for this suite in Japan. Our HOBS™ suite of solutions for communication service provider ha d one new win and fo ur go lives in Q1.
We also launched a new release of HOBS™ Business Assurance , which enables clients to deploy faster and more easily integrate with real -time data sources, visualize revenue leakages and take corrective actions in near real -time.
TCS TwinX™ , our AI -based digital twin solution had one win during this quarter and one client went live .
TCS Optumera™ , our AI -powe red retail merchandising suite had one significant win and three go lives.
TCS iON continues to expand its presence in the vocational education domain , entering into partnerships with three academic institutions – CRISP , Apollo Medskills and MIT World Peace for learning programs .
TCS National Qualifier Test , which is gaining traction as the preferred entry level hiring platform for corporate India has made significant progress over the last one year with over 900 corporate partners at the end of Q1.
Let me no w cover our client metrics.
Movement of clients up the revenue ban ds is a clear demonstration of our customer - centric strat egy at work. By providing a great experience and building transformational solutions that deliver high impact outcomes , we gain goodwill and trust which translates into a steady broadening and deepening of our relationships with our clients.
In Q1, we ha d robust client ad ditions in every revenue bucket compared to the year ago period. We added nine more clients in the $100 million + band, bringing the total to 59. We added 19 more clients in the $50 million + band bringing the total to 124. We added 31 more clients to the $20 million + band , bringing the total to 272. We added 41

more clients in the $10 million + band bringing the total to 446. We added 64 more clients in the $5 million + band, bringin g the total to 650. We added 78 more clients in the $1 million + band , bringing the total to 1 ,196.
Over to you, Rajesh , to give your insights on demand drivers during the quarter.
Rajesh Gopinathan: Thank you , NGS. All the demand drivers we have been speaking about for the last two years continue to be very much in play. In Q1, we saw plenty of deals in each of these categories , be it cloud adoption, operating model transformation, vendor consolidations, or G&T engagements.
Cloud adoption continues to be a powerful growth driver. We have plenty of deals this quarter once again and more in the pipeline . Our strong partnerships with the hyper scalers, deep expertise on their platform s, and our industry -specific solutions and domain knowledge have helped us gain share in this space.
As you might have seen already, we w on four Global Partner of the Year Awards and two Regional Partner Awards from Microsoft this quarter. Prior to that, we w on two Partner of the Year Award s from Google Cloud. The full list is published in our earnings press release available on our website.
Let me now spend a little bit of time on the operations transformation opportunit

y , which
is a big contributor to our revenue growth , order book and pipeline . We see three

distinct trends here.
• There are more and more clients looking to leverage next -generation technologies to create leaner, agile, resilient and efficient operation with an intent to plow back the savings into the business transformation initiatives. We have been big beneficiaries of this trend.
A game changer has been TCS Cognix™ , our AI -driven human machine collaboration suite, which we launched in 2020. It features a large number of pre-built configurable and reusable digital solutions, covering a wide range of industries and business function. Today, the suite consists of 530 value builders, covering an ext ensive set of business and technology use cases . Over 267 customers have leveraged Cognix™ across business and operations to drive business outcomes. In Q1, we had six new wins featuring Cognix™ .
• The second trend is the growing incidence of multi services integrated deals. By bringing multiple elements of the operation stack, such as business processes, applications, databases, operating systems and underlying infrastructure , all within the scope of a single service provider , clients are not

only able to dr ive greater accountability, but also take up transformation programs that are more holistic in nature. This trend plays to our strengths in terms of our structure, as well as our ability to bring together different capabilities from across TCS to create a seamless service delivery team. We have six new multi service integrated deals in Q1 versus two to three deals per quarter in FY '22.
• An adjunct to these two trends is that clients are looking to reduce complexity by bringing down the number of service providers they work with to a few select partners who possess the right innovation capabilities and can scale . We won several large deals in Q1 which were vendor consolidation exercises .
Let me switch gears and talk about the airline indus try which is no stranger to consolidation. There is an industry level transformation taking place there , design ed to make airlines much more competitive and customer -centric, and TCS is playing a big role in helping industry players transform.
The airline industry is heavily dependent on ticketing platforms whose legacy proprietary models restrict airlines ' ability to offer new products and services in a direct -to-consumer or B2C model. This is preventing them from establishing competitive differentiation and is resulting in an opportunity loss.
To address this problem, the International Air Transportation Association or IATA, has come up with a new open standard called New Distr ibution Capabilities , or NDC, which airlines can use to dynamically create personalized offers for customers. This enables a customer -specific bundling of preferences, such as number of check-in bags, seat choices , in-flight amenities, refreshmen ts, or even in -flight shopping, price d uniquely for sale through their own channels or through third -party aggregators and travel agents. T CS is currently engaged with three airlines in implementing N DC, and in discussion with a couple more.
For a lead ing UK -based carrier, which is an early adopter of this initiative , TCS did the end-to-end business process redesign and solution development for N DC adoption. Since deployment , the airlines N DC channel daily bookings have grown 500%, contributing to more than 20% of the overall indirect bookings and helping the airline become a digital retailer and personalize the customers experience and drive new revenues.
Moving on to the next theme of how TCS is helping clients adopt innovative technology -enabled business models that drive new revenue streams , let me share two examples :

• TCS has partnered with a senior care of a leading US -based provider of long-term care insurance in launching a new line of business and assisted living marketplace. The platform will allow seekers of long -term care to find the closest assisted living care provider s and also offer subscription -based consultation.
Using design thinking approach , TCS help ed define the product roadmap and carved a playbook for product positioning and targeting customer base in

competitive market. The new marketplace will be formally launched this month and is targeting million customers over the next three years. In addition to driving new subscription -based revenues, the platform will allow the parent company to embed its insurance product in every transaction in the marketplace.

• Similarly, a large Fortune 500 electric gas utility has launched a new business model to generate a new revenue stream based on home energy services , that is providing warranty repair, refurbishment and replacement services of home appliances, such as air conditioners, washing machines and refrigerators. It partnered with TCS to build the platform nee ded to enable the service delivery that is central to this new business.

We built a new cloud -based field service automation solution based on a third - party platform to provide advanced capabilities in intelligent scheduling, dispatching and mobile workfor ce management to transform field operations. The new solution has helped significantly improve the predictability of services, enhancing customer experience. It is also highly scalable . The u tility now plans to expand to more states in the next six months , and achieve half a billion dollars in revenue over the next 24-months.

In earlier c alls, I have given many examples of enterprises partnering with us to achieve their sustainability goals. There are a couple of stories where sustainability is directly linked to revenue growth.

• TCS is the strategic partner for a global alliance , that is focused on decarbonizing the food value chain by helping to transform farming practices globally, promote regenerative farming and generate reliable farm carbon credits and certified climate smart crops .

We have helped them conceptualize the business model and bu ild the enabling digital platform for farmer enablement and adoption. It provides a simple and quick way to onboard farmers and other stakeholders , validate carbon smart

practices through analytics , enables a carbon credit declaration by farmers and provid es personalized recommendations of the practices. The platform drives revenue for the alliance through carbon credit trading, improves farmer incomes and reduces scope pre-emissions and helps the private sector decarbonize.

• Similarly , in Massachusetts, we partnered with a leading utility to build a platform that would help them roll out the Solar Massachusetts Renewable Target or SMART incentive system to accelerate solar power adoption in the state. Consumers who install solar panels and storage on the property and to the utilities grid, qualify to receive a monthly incentive payment directly from the state government.

The TCS -built solution includes onboarding of new generators, a customer application that helps keep track of the units generated , a pricing engine and a billing system. Using this, the utility was able to achieve regulatory targets on renewable capacity onbo arding on the grid. It was able to enroll more than 10,000 residential customers in the last 12 months and is now expanding the program to other states.

M&A remains the preferred growth strategy for many enterprises and over the last few years, we hav

e built up a significant business catering to our clients need to integrate new entities that they have acquired or diverse businesses that are no longer strateg ic. This quarter to o, we have few wins in that space.

• A global leader in health, nutrition and biosciences is building its nutrition portfolio through acquisitions. In 2020, after executing its largest and most complex acquisition in two decades, it engage d TCS to help integrate the new entity.

Our team helped envision changes to the enterprise model to allow for a seamless integration. The first phase of integration was completed in Q1 and helped bring onboard the new entity , provide common ways of working and deliver synergies.

We commonly think of G &T as front-end customer -facing work. But we have plenty of examples of operations transformation that reimagine processes at the backend using digital technologies like AI, resulting in much faste r turnaround times, much higher throughput, and therefore, more revenue.

Let me give you a couple of examples of these:

• For a leading global HR services firm, TCS partner ed to transform their core recruitment process leveraging next -generation technologies . Their existing process es entailed recruiters spending 60% to 70% of their effort on profile sourcing and screening, of which 50% was devoted to candidate outreach. Over half the outreach efforts was wasted due to lack of response or declines. TCS redesigned the end -to-end recruitment process, taking a Machine First™ approach. We built bots to automate the background check initiations across clients and deployed a third -party AI -powered candidate outreach platform to significantly bring down recruiter effort and completely streamline the candidate screening process.
This resulted in a 300% increase in number of shortlist candidates, a 15-20% reduction in turnaround time, and most importantly, a 42% increase in hiring throughput, which is directly linked to revenue growth for the company.
• Similarly, a large US insurer has engaged TCS to transform its personal lines of business. The vision is to simplify business processes, modernize the technology stack, enable faster launch of new products and product enhancements for greater competitiveness, enhance d customer experience and profitable growth.
TCS helped reimagine and implement significant improvements in pricing, risk assessment, acquisition and servicing of customers using a third-party platform. On completion , the new solution wil l enable ensure issuance of a new policy in eight minutes versus the current 24 -hours. It will significantly improve the quality , granularity and timeliness of data and analytics to support better targeting and personalization. The solutions or features ar e expected to help improve business agility, enhance customer experience and drive growth.
Coming to the Q1 order book , as you know , we had an all -time high order book TCV last quarter. On the back of that , we again had a strong set of d eal wins in Q1 amounting to a TC V of $8.2 billion. The d eal mix is very heterogeneous, with the largest two d eals being just over $400 million in size.
By vertical , BFSI had a TC V of $2.6 billion, while retail order book stoo d at $1.2 billion. The TC V of deals signed in North America stood at $4.5 billion.
Looking at the strong order book and our pipeline, this is good visibility for the next few months. We have not seen any budget cut s or deferment s so far. In conversations with clients , we see continuing investments in technology. Some clients, particularly in Europe have expressed concerns about the macroeconomic fallout of the ongoing

conflict there. But the predominant sense is that technology spending will be resilient. That said , given the macro level uncertainties, we remain very watchful.
With that, we'll open the line for questions . Over to you , Kedar .
Moderator: We will now begin the question -and-answer session. The first question is from the line of Ankur Rudra from JP Morgan . Please go ahead.
Ankur Rudra : A few questions fr om me today. First, Rajesh, could you maybe elaborate on the tone of conversations you had with clients on perhaps new growth and transformation contracts . How has that evolved this quarter? And in addition to that, how do you think the pipeline formation has been? And finally, how should we interpret the fact that deal signing to the growth on a year -over-year basis seems to be sort of flatten ing out and the boo k-to-bill ratio seem to be lower than the last couple of years?
Rajesh Gopinathan: Hi Ankur. As you can imagine, we have been staying very close to our customers given the overall news flow that we see all around us. We have been at all levels personally reaching out , meeting with as many customers as we can. The general sense that we're getting is that at the operating level, the demand continues to be very strong and unabated. There is high visibility of project funding ; there is appetite for continuing investments and in fact , for acceleration. So, the demand environment on an immediate basis continues to be very strong.
Some conversations at senior executive level s – CEO, C OO, level , etc., are more about what they see overall about the whole macro environment that you spoke about . But that elevat ed conversation does not seem to be reflecting in the actual budgets and the

spen d. We have not seen any project cancellations, pull backs, nothing of that sort.
And this is across both trans format ion projects as well as on the optimization projects.
Overall, we are, as you can imagine, staying very vigilant, maximizing contact with customers and taking it on a case -to-case basis, and reacting to what we have on hand and maintaining that stance.

Ankur Rudra: Second part, Rajesh, should investors read anything into the fact that the book -to-bill ratios have dropped a bit this year versus the last years at this time?

Rajesh Gopinathan: TCV is a forward -looking numbe r. It is what it is. I gave you the commentary on what we're seeing on the field . The actual closures, that number is there. When we look at our pipeline and overall trend , I don't think there's anything that is alarming for us. A 1.2 times book -to-bill is still quite strong. So, nothing more than that from our perspective , but we're also being very vigilant.

Ankur Rudra: Of course, nobody knows the future , but I know you've always said it like you see i t, if we do hit the R word recession, what are the key points you would look for and how do you feel about TCS position in the market now versus the previous down cycles over the last two decades ?

Rajesh Gopinathan: Ankur, w e have been continuously investing in improving our strength on both sides of the market opportunity . That is what we call th e twin -engine strategy of cost and optimization , and growth and transformation.
The transformation part of the agenda is e qually applicable on either side of that economic scenario. So , from a positioning perspective, we are quite happy with where we are both in terms of capabilities as well as our positioning in the market and our client engagement. That's an area that we have been continuously investing in.
From an operating perspective, we have built up the capacity, we are well positioned to be able to move rapidly in either direction , if things change in any way. So, I'm quite confident that our a gility is going to be ab

le to be our biggest strength , and also our reputation and our client relationships will come through significantly if there is some uncertainty or any volatility.

Ankur Rudra: Last question on margins if I can. Were there more headw inds in 1Q than previously thought , Samir, a nd do you think the range of outcomes now for the year looks maybe softer than what you thought a quarter ago?

Rajesh Gopinathan: Could you repeat that , Ankur ? You're saying as far as margin goes …

Ankur Rudra: As far as margin goes , do you think you saw more headwinds in June quarter versus what you thought in the beginning of the quarter in terms of the percentage and how do you think about the rest of the year now ?

Rajesh Gopinathan: Nothing different from what we saw in the beginning of the quarter . There are two things that are playing out there. One is the wage increase , which is a fairly well understood one. The other is the continuing demand environment and the attrition environment that is leading to the increased operating costs on the employee side. The attrition is not totally unanticipated , but it is continuing and we think that probably it will take another few more months before it will start to come down. So, till then the margin pressures will continue but we hope to sequentially improve from where we are , given that we have taken a hit on that completely.

Moderator: The next question is from the line of Sand ip Agarwal from Edelweiss . Please go ahead.

Sandip Agarwal : Rajesh, I have only one question that, when you're talking to the senior executives in your client side, do you see that there is increased recognition in last few quarters that technology is much more core to their business for their growth and profitability than it being something which could be contracted or expanded based o n the overall environment or based on the company's performance? The thing I'm trying to understand here is i f you see some of the US retailers , they have sounded caution in terms of revenue growth and PAT growth. B ut at the same time, I think that they have to spend in technology to be relevant in the omnichannel mode. And also secondly, I think, outsourcing is always the most efficient or cost-efficient way of managing things in tough times. So, what is your s ense on that , is it really like two dec ades back or one decade back when you could contract or expand based on your profit and loss account or it is more core to business and to achieve the top line number you need to spend , so, it is not at all discretionary in nature, what is your sense when you speak to your

top clients?
Rajesh Gopinathan: Sandip, industry -after-industry, the primacy of the technology spend continues to increase and that's reflected in our conversations with clients at senior levels also. So, there is much greater understandi ng, much greater appreciation of what the ir technology agenda is . More importantly, even the most senior person is fully clued in on what the technology strategy or the technology -enable d strategy for the company is respectively . So, that awareness and that centrality of that strategy to their overall plans is very high.
Having said that, definitely , if there is a n economy wide slowdown, it is likely to have some ripple effect across all lines of sp end, but resilie ncy of technology in the overall mix is unlikely to get diluted from where it has been in the last two years.
Sandip Agarwal: On this subcon expense , we are still seeing a significant jump on a quarter -on-quarter basis and what I understand is that it may be partl y due to attrition numbers going up. So, is it purely because of attrition going up or it is also related to some restrictions, which were there st ill in travel side and not been able to spend reso

urces on time or what it is or it is sudden demand, sudden startup project, what is causing that continuous shift in subcon?
Rajesh Gopinathan: Sandip, it's a combination of all of it . Definitely, attrition has a role and supply constraints in some of the local markets have a role . Also the fact that it is a variable cost and therefore it has strategic value to us in an uncertain environment. So, all aspects of it play out. We are keeping a close watch on it and we will be reacting to it depending on how the demand /supply situati on plays out.

Moderator: The next question is from the line of Kumar Rakesh from BNP Paribas . Please go ahead.
Kumar Rakesh : My first question was again on the margin side. So, on the subcon side, hypotheti cally speaking, suppose we enter into a weak demand scenario, and that is one of the levers which we potentially have to improve our cost structure. In such a scenario, how much of this subcon benefit we can potentially drive? What I'm trying to understand is how much of our cost impact is coming fro m subcon currently given the supply constraint which we are facing ?
Samir Seksaria: So, our subcontractor expenses currently are at 9.7% of our revenues, and have moved up from about 7% levels to where we are currently . And as Rajesh pointed out, we have proactively and strategically invested in creating a bench. Our current priorities are to stay focused on capturing the demand. And we have known how to balance on the subcontractor side. And as the need arises, we'll be able to realign it or balance it.
Kumar Rakesh: So, what I understand is that we can stabilize it at 7% if the need arises , right?
Samir Seksaria: Yes.
Kumar Rakesh: My second question was around the fresher hiring target we had set about 40,000 . How we are progressing on that and has that changed that target?
Rajesh Gopinathan: No, we are on track for that and we're progressing well on it . This quarter reflecting what we already had in the system , we've been a bit lighter on the one which typically has been our long term trend , Q1 is a lighter quarter for trainee absorption whereas Q2 and Q3 are the primary quarters. Last year, we had gone very aggressive and hired through the year to build up more than 100,0 00 trainee bench . This year is more than normal. We're progressing well on that 40,000 mark.
Moderator: The next question is from the l ine of G aurav Rateria from Morgan Stanley . Please go ahead.
Gaurav Rateria : So, first question is with respect to the UK market . If you look at the Y oY growth, it has been actually slowing down and it's a clear divergence compared to the North America market, which is continuing to remain very, very strong. So, what's really going on there , are the trends or the discussions actually fructifying in the form of a little bit of a slowdown in the velo city of the d eal closures, or the ramp ups, any trend that you can highlight will be helpful.
N G Subramaniam : NGS here. Both in the UK and North American market , we don't see any anomalies or abnormalities in terms of customer behavior or the deal closu re trends. All of this

remains normal and in line with typically what we experience. Specifically in the UK, there have been some concerns about the increased cost of living that people experience, etc. , But then, it's all in the macro level discussions th at we have. But overall, as Rajesh pointed out , customers across our verticals, Manufacturing or Retail or Financial services, have not expressed anything, which is something that that will cause a concern for us at this moment.

Gaurav Rateria: Second question is on the margin. So, gett

ing back to 25% looks like an immediate priority , but should one thing that from a full year perspective, the margins could remain a tad lower than 25 % as it will take some bit of progression to come to 25% over the coming quarters ?

Samir Seksaria: That has always been the case . Our Q 1 margins are subdued when we g ave out the full cycle of increment. And we do look forward to clawing it back during the period. And our target would be to reach and cross 25% as far as possible.

Gaurav Rateria: Lastly , any change in your expectations with respect to price improvements that you were expecting , realization improvement that you were expecting as part of your client conversations a couple of months back that you had highlighted ?

Rajesh Gopinathan: No, it continues to be positive . Rather than large scale contract level changes , we're seeing more pointed ones on existing contracts and the newer contracts getting some uplift. So, we're seeing smaller increases in existing ones and newer contracts coming in at better terms . Also with existing renewal s, certain terms like COLA are much better being able to push through . But the aggregate impact of it is still not positive. So , our overall realization numbers reflect the excess capacity that we have , and are still negative on a sequential basis.

Moderator: The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon : Rajesh, are there any soft spot s that you see in any vertical you're seeing in the pipeline shift towa rds more efficiency or programs?

Rajesh Gopinathan: No, Ravi, we're not seeing much from a vertical perspective. It seems to be fairly balanced across. Nothing at this stage that you can call out at a vertical level.

Ravi Menon: We had heard your comments in the press conference, you were talking about how the US will likely be the main driver of growth during the near term. But I thought in Europe, our market share is still fairly small. So, we should have a lot of these gen -two outsourcing contracts come out. So, shouldn't that also be a driver at least medium term once uncertainty settles a bit?

Rajesh Gopinathan: The context of the comment is more in terms of what we're hearing from customers. You're right that traditionally, w hen Europe has done badly, we've still done much better, reflecting that lower market share and our continuous consolidation in that market.

What I was mentioning was that when we look at the kind of commentary that we're hearing from customers, in US, th e expectation is that they don't know if there is going to be a recession , when is it going to be, and even if it comes it will be a shallow one . Whereas the expectation in Europe is that it is more of a question of time, and it might be much deeper than what the US customers feel.

So, that difference in perception is what we were commenting about , that US is the one where the confidence levels are high, and the demand environment i s likely to stay very robust. How it plays out for us, that will depend on how well we are able to capitalize on both sides of that equation.

Ravi Menon: One follow up, I think we've talked about the bench quite a bit. We've seen strong hiring well ahead o f revenue growth for quite some time now. But we've also seen sub contracting keep going up. While you've been building up capacity and bench, so why is this not really showing up in lower subcontracting, when should we start seeing revenue growth and headcount growth start converging?

Rajesh Gopinathan: See, subcontractors are also based on supply disruptions at a local market level. So, that definitely has a role to play. As travel opens up , as more normal talent movement opens up, our opportunity to optimize that will also improve. The aggregate bench

versus the one will also play up depending on what our long term view or medium term view on demand is. So, there are both drivers at play. On e is immediate capture of demand and the other is the supply disruption in local markets.

Ravi Menon: When you said that you should see this normalize, should this also be linked to attrition, when we see attrition start coming off, should we think about y ou know, the utilization moving up?

Rajesh Gopinathan: You're saying that as attrition comes down, will utilization move up? Yes, that's a reasonable assumption. That's our typical operating model also. When in a high

demand scenario, we first address dema nd and attrition is also linked into that. So, we'll see.
Moderator: The next question is from the line of Sand eep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Most of the questions have been answered. Just on Europe, you have discussed abo ut UK. Can you also discuss about continental Europe because in the last four to five quarters, the growth in continental Europe on a sequential basis is a bit lower and softish versus company average. So, one can believe with the macro concerns or th is is more specific to TCS as a whole?
Rajesh Gopinathan: That we'll have to look across, but we are not seeing any significant change to the demand environment in Europe across the board. 12% is still a decent growth number. As I said, the commentary that we're hearing from clients is a bit more mixed in Europe compared to North America, but at an immediate demand basis, we're not seeing anything that is significant.
Sandeep Shah: And just a second question that with increasing macro concerns , some of your global peers are saying clients have also s tarted discussion on outsourcing led de als, which you also highlighted , Rajesh, in your comments w here the multi -tower outsourcing deals are increasing in first quarter versus the last four quarters. So, is it fair to say that outsourcing led deals can increase and large caps including you could be a fair beneficiary of this going forward?
Rajesh Gopinathan: Our twin engine strategy is essentially predicated on that we have relevance in both scenarios, both consolidation scenario as well as growth scenario. So, we do believe that our continuous investment in a broad -based set of services and holistic structure positions us very well to be a single source strategic provider to the client, who can actually use that opportunity to drive the transformation and set themselves up for the growth phase also. And that value is what is driving some of those deals t hat we have described in this quarter.
Sandeep Shah: Last year because of a ttrition and supply side issue, our margin pull off from the first quarter seasonal decline was lower in the second to fourth quarter . One can s ay we are largely behind and from 2Q to 4Q of FY' 23 our normal seasonality may start where margin pull off on the upward side could be higher versus what we have seen in FY '22.
Samir Seksaria: Yes, that is reasonable to expect. We should see an upward trajec tory, that's our target . Last year, we saw the full impact of supply side playing out and that's what played out on the margins as well.
Moderator: The next question is from the line of Debashis h Mazumdar from B&K Securities . Please go ahead.
D Mazumdar : Just one small question . I need to understand as far as the margin trajectory is concerned, in a normal year, we see the entry margins are lower and exit margins are normally higher, which was not the case last year ; last year, we started with 25.5 %, we

ended with 25 %. So, this year, we are starting with 23.1 %. So, how confident we are that this 23.1 % trajectory when you move out from hereon and it is kind o f bottomed - out?
Samir Seksaria: I just responded the same thing to the previous question as well. O ur target is we expect that it would be on an increasing trajectory. And that has been the usual trend except for last year . Our t arget is that it should improve and we should get closer to what we exited in Q4.
D Mazumdar: If we see the competition statem ents around attrition, the quarterly annualized attrition for other competition has started coming down from Q4 onwards , whereas for us the commentary that is st abling currently . So, just wanted to get some sense and from the salary hikes it seems to be the salary hikes are almost similar to the s alary hike that we have given last year , whereas some of our competitions were extremely aggressive in giving salary hikes . So, just wanted to get some sense that in terms of controlling attrition … I'm not asking about the overall number , because it is much lower than peers, but in terms of trajectory of controlling attrition, like we ar e a little behind the curve as compared to others.
Rajesh Gopinathan: Our employee rewards program is much more holistic than per iod-to-period one . I believe that our employee retention numbers also reflect this holistic employee

engagement and total rewards program. So, we are quite confident about where we are.
You will recall that even at the height of the pandemic, we were the ones who first said that we will not be laying off anybody . We honored all offers, we were the first to announce the salary hikes in October of 2020. So , our program is not entirely based on what the short -term impacts are and we're quite confident and comfortable with what we're executing. We believe that these numbers will reflect that. So , as I said, our expectation is that attrition will start tapering off in the next few months being three months, four months, whatever is the time .
Moderator: The next question is from the line of Dipesh Mehta from Emkay Global . Please go ahead.
Dipesh Mehta : A couple of questions. Starting with regional market, if I look at our regional market performance remain muted for some time and even though BFSI also remains softer , so if you can provide some sense about how we should look at regional market ?
Second que stion is about the fresher hiring . We are indicating about 40,000 for FY 23 . But considering that we plan one year advance, how many offers are we plan ning for

FY 24? And last question is about deal pipeline . Any softness or any uptick we're seeing in deal pipeline build up, if you can comment on that ?
N G Subramaniam: Regional markets , by definition , is volatile . We group some of our emerging businesses and emerging market businesses into that bucket. But overall, if you look at it, how the Asia Pacific market or functions of the Middle East , Africa market functions , these markets do not provide big opportunities for an ann uity-based revenue, there are typically project -based revenues. So, there is always a volatility that is there. The second question was with respect to the fresher hiring of 40,000 . As Rajesh mentioned, we are –
Dipesh Mehta : No, question was for ' 24.
N G Subram aniam: I think, on average, we always started with 40,000 given our size and shape of our business. But then you really look at the last year as well when we said the 40 ,000, b ut then when we w ent on to hire up to 1 00,000 , our hiring engine was able to do that. So, we have that ability and a gility to hire talent and fortunately, we are able to attract the right talent given our brand , given the opportunities that we offer to our employees.
Dipesh Mehta : Last question was about deal pipeline

built up . Any changes we are seeing there?
N G Subramaniam: We are not seeing any major deviation or abnormalities in that . With a book -to-bill ratio of 1.2, it is looking good and the combination of the pipeline that we are pursuing today across the markets is quite similar to what we have experienced now in the previous years and the type of opportunities are also in line with the demand that we see for the type of technologies and a good combination of both c ost optimization as well as growth and transformation . It also has several large , medium as well as smaller deals . Good broad -based pipeline that we have , and we are happy with what we have been able to put in the pipeline and then pursuing those opportunities.
Dipesh Mehta : Last question is about onsite salary. Can you quantify what kind of hike we give for onsite employees this quarter?
N G Subramaniam: Average is between 4% and 5% for the onsite salary hikes we have given. But give allowance to the fact that for top performers, the potential earnout has been higher based on their performance.
Moderator: The next question is from the line of M anik Taneja from JM Financial. Please go ahead.
Manik Taneja : I had a couple of questions. Number one is that you mentioned that some of your senior client ex ecutive conversatio ns are suggesting some concerns on the macro economic

environment. Is that also translating in terms of any potential impact on pricing discussions?
Rajesh Gopinathan: As I said earlier, the discussions on macro are not getting reflected in any of the actu al project contract or deal pipeline currently. And I just gave you that color in terms of the nature of the compe tition and how that is different market -to-market. We are not seeing any reflection of that at the actual operating and deal levels .
Manik Taneja: I wanted to understand if you would be looking to revisit the onboarding timelines for the 40,000 -odd freshers offers that we made for FY '23 if the situation deteriorates.
Rajesh Gopinathan: We do not do that . We honor all offers that we make. We do not defer joining or do any

form of such management. That's not part of our philosophy. Any offer that we make , we honor it based on whatever i s the timeline committed on it.

Moderator: The next question is from the line of Ap urva Prasad from HDFC Securities . Please go ahead.

Apurva Prasad : Rajesh, just a couple of quick ones. Most of the others have been covered. So, first one is on pricing . Are you seeing any incremental challenges in getting price increase even though that being selective say versus the previous quarter? And the second question is on Retail and CPG. Are there some early signs of some softness there, and I'm referencing to the book -to-bill has been significantly higher than the past three years , this looks excellent down a lot more.

Rajesh Gopinathan: No, on pricing, actually, the conversations are picking up momentum rather than losing momentum. So, absolutely no reflectio n there .

On retail, those TC V numbers are normal nature of TC V rather than anything else. W e are seeing very strong transformation agendas across many retailers, especially grocery and essential retailers, where significant transformation programs are getting executed and we see continuing demand. So, overall the pipeline is quite strong and the demand environment also in retail is very strong.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for the closing comments.

Rajesh Gopinathan: Thank you. It has been a good start to t he year with 15.5% growth in constant currency , and with all our industry verticals showing good growth . Our order book and pipeline is also very strong, giving us good vis

ibility for the next few months. Our margin dipped this quarter due to salary increase and supply side related costs . But we stay confident in our ability to bring it back to a preferred range over time.

On the people front , we continue to hire across all our markets and added over 14,000 employees on a net basis in Q1. Our attrition continues to be elevated at 19.7% in IT services on an LTM basis. This will probably peak next quarter and w ill start tapering out.

With that we wrap up our call. Thank you all for joining us on this call today. Enjoy the rest of your evening or day and stay safe.

Moderator: Thank you members of the management . On behalf of TCS that concludes this conference. Thank you all for joining us and you may now disconnect your lines .

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2022

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TCS/SE/ 135/2022 -23

Octo ber 14, 202 2

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, Bandra Kurla P. J. Towers,
Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended September 30, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference c all for the quarter ended September 30, 2022 conducted after the meeting of Board of Directors held on October 10, 2022, for your information and records.

The above information is also available on the website of the Company: www.tcs.com

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Pradeep Manohar Gaitonde
Company Secretary

Encl: As above

Tata Consultancy Services Limited
Q2 FY23 Earnings Conference Call.
October 10, 2022 , 19:00 hrs IST (09:30 hrs ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Kedar Shirali – Global Head, Investor Relations at TCS. Thank you, and over to you, sir.
Kedar Shirali: Thank you, operator. Good evening and welcome, everyone. Thank you for joining us today to discuss TCS' financial results for the second quarter of fiscal year 2023 that ended September 30, 2022. This c all is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The Financial Statements, Quarterly Fact Sheet and Press Releases are also available on our website.
Our lead ership team is present on this call to discuss our results; we have with us today, Mr. Rajesh Gopinathan -- Chief Executive Officer and Managing Director; Mr. N G

Subramaniam -- Chief Operating Officer; Mr. Samir Seksaria -- Chief Financial Officer; and Mr . Milind Lakkad, Chief HR Officer.
Our management team will give a brief overview of the company's performance , followed by a Q&A Session. As you are aware, we do not provide specific revenue or earnings guidance. And anything said on this call, which ref lects our outlook for the future or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly fact sheet available on ou r website and e -mailed out to those who have subscribed to our mailing lists.
With that, I would like to turn the call over to Rajesh.
Rajesh Gopinathan: Thank you, Kedar. Good morning, good afternoon and good evening to all of you. We are very pleased with our performance in Q2. Our revenue grew 18% in rupee terms and 15.4% in constant currency terms and 8.6% in dollar terms, reflecting the continued strength of demand for our services.

Our operating margin for the quarter was 24%, an expansion of 0.9% sequentially and a contraction of 1.6% on a year -on-year basis. Our net profit crossed the `10,000 crore mark this quarter and our net margin was at 18.9% .
I will now invite Samir, Milind and NGS to go over different aspects of our performance during the quarter. I will step in again later to provide some more color on the demand trends we are seeing. Over to you, Samir.
Samir Seksaria: Thank you, Rajesh. Let me first walk youthrough the head line numbers. In the second quarter of FY 23, our revenues grew 15.4% YoY on a constant currency basis. Reported revenue in INR was `553.09 billion, a year-on-year growth of 18%.
In USD terms, the sharp fall of all currencies in our basket versus the dollar in Q2, resulted in a deflated reported revenue of $6.88 billion, a YoY growth of 8.6% . While the rupee depreciated by 3.4% against the dollar sequentially, it appreciated 4.4% against GBP and 3% against euro, eroding the benefit at the operating margin level.
This currency benefit along with a flatter workforce pyramid and improved productivity of fresh hires help ed mitigate the impact of normalizing travel and facility expenses and continued headwind from backfilling and retention expenses.
Overall, our operating margin expanded by 0.9% sequentially and was at 24%. Looking ahead, we believe the supply side issues ha ve peaked and should start easing in the second half of the year.
Net margins were at 18.9% . Effective tax rate for the quarter was 25.7% . Our accounts receivable was at 62 days ' sales outstanding in dollar term, down 1 day compared to Q1.
Net cash from o perations was at `106.75 billion which is 102.3% of net income. Free cash flow was `100.62 billion.
Invested funds as on 30th September stood at `592.9 billion.
The Board has recommended an interim dividend of `8 per share.
Over to you, Milind.
Milind Lakkad: Thank you, Samir. On the people front, our investment s in capacity building and organic talent development allow ed us to achieve our strong business growth with relatively modest net headcount addition.

In Q2, we added 9,840 employees on a net basis, bringing our workforce strength to 616,171 as on September 30th. It continues to be a very diverse workforce with 157 nationalities represented and with women making 35.7% of its base.
On the learning front, TCS clocked 11.7 million learning hours in Q2, resulting in the acquisition of 1.5 million competencies.
Our FY 23 fresher onboarding is proceeding as per plan. In keeping with our culture of being committed to our employees, we have honored all offers we had made and have onboarded 35,000 freshers in H1 and with 20,000 brought onboard in Q2 alone.
The TCS employer brand continues to shine strongly helping us attract the best talent across the world. We launched the TCS National Qualifier Test for FY 24 on August 15 th and received an overwhelming response with half a million registrants, an all -time high.
Industry -wide churn continue to be high in Q2. Our LTM attrition in IT services inched up further to 21.5% . That said, the technology job market which had overheated in the last few quarters has begun to cool off, and compensation expectations of new hires are also

becoming more realistic. With supply catching up across the industry, the pressure to poach experienced talent is easing. So, we should start seeing the churn settle in the coming months. Based on the monthly trends, we believe our quarterly annualized attrition figure has peaked in Q2 and should start moderating in the second half.
Lastly, we continue to be benchmarked with the best employers globally for our workplace practices, and policies. In Q2, we won more than 50 awards globally a

cross
various aspec ts of HR value chain, including our work towards gender equity.
Over to you, NGS for some color on our segments and products and platforms.
N G Subramaniam: Thank you, Milind. Let me walk you through our segments and performance details for the quarter. All growth numbers are on year -on-year basis and constant currency terms.
All our industry verticals grew strongly in Q2. Growth was led by Retail and CPG which grew 22.9% after a similar strong double digit growth last quarter. Growth is being driven by ongoing spending by retailers towards making their supply chains more agile and resilient , and improving the shopping experience for their customers. We've also seen an uptick in the travel, trans portation and hospitality sector, driven by increased investment in resilient operations.
Communications and Media grew 18.7% driven by investments around 5G and delivering personalized offerings to consumers.

Technology and Services vertical grew 15.9% while Manufacturing as well as Life Sciences and Healthcare both grew 14.5% .
BFSI, our largest vertical grew 13.1% , powered by strong spending on cloud, data analytics and customer experience.
Let me now walk you through the growth figures by geography .
Among major markets, North America led with 17.6% growth, UK grew 14.8% while Continental Europe grew 14.1%.
In emerging markets, India grew 16.7% , Middle East & Africa grew 8.2% and Asia Pacific grew 7%.
It is b efitting that Latin America led with 19% growth in Q2. During the quarter, we celebrated the completion of 20 years of TCS ’ presence in the region. In these two decades, our business across the region has grown significantly , catering to the local market, as well as serving as a near shore center for North American clients.
Moving on to our Products and Platforms , they did really well in Q2.
Ignio™, our cognitive automation software suite signed up four new customers and three clients went live during the quarter. TCS filed two patents around ignio during the quarter and was granted one. The market demand for ignio -trained professionals continue to grow. The number of ignio trained professionals now stands at 16,398 . The number of ignio certified profession als is at 6,984 to-date.
A large American technology company specializing in consumer electronics, software, online services, and mobile phone manufacturing extended ignio AI Ops’ event management capabilities to their supply chain. This eliminated duplicat e alerts and process ed genuine alerts, giving SMEs more time to focus on real issues, thereby reducing overall resolution time. The tool has handled over 25,000 alerts since implementation. 33% of these were suppressed and 66% were triaged to operations as legitimate alerts .
TCS BaNCS ™, our flagship product suite in the financial services domain had four new wins during the quarter. One of the world's largest investment management companies based in the US, offering a broad selection of investment advice, retirement services and insights to individual investors, institutions and financial professionals, has selected TCS BaNCS Wealth Management for their retail business.

One of the UK ’s leading insurance organizations went live with the TCS Insurance platform, migrating 2.3 million policies onto TCS BaNCS this quarter . This is the largest ever policy migration in the UK life and pensions industry , and a major milestone in the customer ’s simplification journey towards eliminating aging legacy systems.
Our Quartz ™ blockchain platform had two new wins and one go live in Q2. Quartz has been selected by a large electricity provider in North America to e

stablish a private
permission blockchain to track and manage energy consumption and renewable energy certificates allocation among multipl e smaller entities. The initial pilot will demonstrate the ability of blockchain to bring different entities together on a shared ledger and track the actual energy consumption vis -à-vis the contract ed quantity, automate the issuance of renewable energy ce rtificates using smart contract s and enable real -time tracking of the certificates issued.
In life sciences, our award winning Advanced Drug Development suite had one new win. We onboarded a top five pharma major on our Supply Management Platform , part of the CCT suite , to deliver real -time insights into patient medication adherence.
TCS TwinX ™, our AI -based digital twin solution , continue to gain ground in various industr ies, helping clients carry out complex what -if analysis and take informed business decisions. In Q2, we had two wins and three go lives for the TwinX platform.
TCS Optumera ™, our AI -powered retail merchandising suite went live with two of our clients.
TCS iON ™ had eight wins in this quarter and is seeing increasing demand and familiarity among educators for the ability to author question papers and auto or manually mark responses. In Q2, we served 150 assessment customers and administered 300 exams to around 6.6 million candidates.
Over 1,170 corporates now leverage the TCS National Qualifier Test as their entry level recruitment platform and over 3,150 candidates have gotten placed till date.
TCS' MasterCraft had 23 new wins this quarter, including 10 new clients and 13 renewals.
In terms of client metrics, these metrics are an important validation of our customer - centric business model. The customary practice has been to report these figures based on US dollar translated revenues.

With s harp currency volatility of the kind we saw in Q2, the print numbers of clients in non-US dollar markets may get underreported due to currency deflation. Despite that headwind, we have good additions in every revenue bucket in Q2 compared to the year ago.
We added five more clients in the $1 00 million plus band, bringing the total to 59. We added 10 more clients in the $50 million band, bringing the total to 124. We added 36 more clients in the $20 million plus band, bringing the total to 283. We added 38 more clients in the $10 million plus band, bringing the total to 455. 41 more clients were added in the $5 million band, bringing the total to 650 and 72 more clients in the $1 million plus band, bringing the total to 1,210.
Overall, it has been a very satisfying quarter from an operations pe rspective.
Let me now request Rajesh to speak on the demand drivers during the quarter.
Rajesh Gopinathan: Thank you, NGS. Before I get into the demand drivers, let me spend a minute talking about the demand environment and mood among clients.
Despite gro wing news flow around a possible economic slowdown across the world and client concerns over how that might affect their businesses , we haven't seen any change in their spending on us so far. As you could see from the growth figures, demand for our service s continues to be strong in Q2 across all verticals and all markets even in Continental Europe and UK, where the pessimism levels are at the highest.
Project ramp -ups proceeded as scheduled, and we're not seeing any delays or cancellations. Deal closures a lso remain ed strong in Q2.
That is not to say that the deteriorating macro had no impact at all. Clients have become more cautious when committing to longer -term investments. Some of the larger transformation programs are seeing prioritiz ation of projects that offer quicker wins versus those with longer term paybacks. Many of our clients are also working on plans fo

r various economic scenarios for next year. We have also seen some sporadic instances of delayed decision -making on new deals. Those apart, cli ents have been telling us that even if their business outlook changes over the next few months for the worst, technology will be one of the last areas to be impacted.
The big driver of demand in this quarter was the continued investment by our clients on cloud transformation. The scale , breadth and depth of our cloud expertise, deep domain knowledge, strong partnership credentials with the hyperscal ers and our portfolio of

intellectual property on the cloud, make us one of the largest beneficiaries of this opportunity.
We are now seeing client focus shift to execution of the transformation agenda s announced earlier, and this plays to our strengths. We have seen instances where clients are unable to leverage the flex capacity of the cloud until they shift a larger portion of the workload and they are seeking our help in accelerating that move.
Further, many organizations which rushed to move their workloads to the cloud without sufficient planning and controls in place, are now discovering that they are not o nly losing out on the economic benefits of the hyperscal er clouds , but are actually incurring higher costs than they did with their own data centers.
Such clients are very open to our proactive proposals with our FinOps advisory offerings to help optimize their spends on the cloud, and our cloud orchestration services powered by TCS Cloud Exponen ce™, our multi -tenant cloud delivery platform to help them seamlessly and optimally manage m ultiple environments spanning public, private and hybrid clouds.
We won several cloud transformation deals in Q2 . For example, we were selected by a leading American biopharmaceutical company as a transformation partner to modernize their technology estate . We will build for them a next -gen operating model leveraging cloud, agile, DevSecOps, and cloud -native technologies that will help them enhance enterprise resilience, accelerate the pace of innovation and improve the customer experience.
In addition to t he migration of workloads to the cloud, several clients engaged us in Q2 to architect advanced analytics, leveraging cloud native capabilities to help them launch new products, understand the customers better, and deliver a richer customer experience.
For example, for a large UK bank, we propose d a transformation solution entailing the design of an enterprise data fabric architecture that enables advanced analytics at scale, leveraging our deep contextual knowledge, portfolio of tools and accelerators and hyperscal er cloud expertise. This will help the bank drive more personalized products and services, understanding the customers financial needs at various life stages and deepening relationships with customers thereby propelling growth for the bank.
Simila rly, a leading American hotel and motel operator, engaged us to develop an advanced cloud analytics solution to help transform customer and agent experience by consolidat ing and harmoniz ing data from across their enterprise.

The economic uncertainty is als o resulting in greater interest from clients in our Machine First™ approach to transform their IT and business operating models.
You might recall from my earlier commentary on this topic, that this approach basically entails embedding AI and machine learn ing deep within an enterprise to create leaner, more agile and resilient operations, which can flex up or down depending on the business environment , and whose efficiency gains can fund some of their front office transformation initiatives.
We had several s

uch wins this quarter of which I will mention only two.
We were engaged by Xerox for their enterprise -wide business transformation journey to enhance their competitiveness and power their growth. TCS ' Cognitive Business Operations , and Xer ox' Center s of Excellence embarked on multiple transformation initiatives across the various business functions, including finance and accounting.
The digital transformation program powered by TCS Cognix has automated the processing, improving speed, accur acy and throughput. Its AI -powered dashboards and various analytical models equip the finance function with intelligent and real -time insights for decision -making. This has resulted in a positive impact on the cash flow, and significantly improve d operatio nal efficiency.
A European industrial tools manufacturer chose us to transform their service desk operations. We will leverage cognitive technologies and implement a leading employee experience platform for auto -healing of user issues and improve user expe rience.
Coming to the third driver of demand, it is what we broadly classify as growth and transformation. What stands out in these engagements is the value of our deep contextual knowledge of our clients ' business and technology landscapes and our highly collaborative inside -out approach to transformation. This results in impactful transformation solutions that don't face traditional organizational resistance to change and get us much appreciation from the management team s.
Let me illustrate this with three examples:

We have been working closely for over a decade with a leading bank in North America that services the startup and innovation industry. Our deep contextual knowledge of the business gained over these years has ma de TCS a trusted advisor to their growth journey towards becoming a large financial institution.

To support the business expansion and to effectively prepare them for a transition from a category -IV to a category -II bank, which was as required by regulato rs given their significantly fast growth, TCS help ed them conduct a detail risk and regulatory assessment and prepare a roadmap to meet the regulatory requirements related to liquidity, market and credit risk. This entail ed reimagination of the overall bus iness framework for the treasury and capital markets swap dealer business for the bank.

TCS led the discussions with the bank to define the target state business architecture, solution architecture and implementation roadmap. We brought in actionable poin ts of view, best practices recommendation, and presented a tactical as well as a strategic approach to the solution implementation.

As a business outcome, the real -time liquidity monitoring and management is expected to reduce the nostro buffer for the ba nk by more than 40% and ensure compliance to enhance d regulatory requirements. The target reference architecture is expected to bring down the time -to-market by 10% to 15%.

Similarly, we're working with a large pharma and medtech compan y to reimagine disco very and development of therapies by blending science, data science, and emerging technologies . We have developed an advanced AI and model -based adaptive risk monitoring solution with a predictive engine to predict risk mitigation insights for clinical ris k management. The solution was co -created with the client and is now part of the TCS ADD platform.

We are also a strategic partner supporting the digital surgical platform for the ir medtech segment. The platform is in an early stage of evolution and has fo undational capabilities of edge connectivity, analytics and AI suite with an objective to provide capabilities to launch specific use cases for connected digital surgeries.

A third instance is where TCS led the transformation of the space ,

range and displa y
capabilities for Marks & Spencer , enabling it to improve customer choice while optimizing the range of products based on local consumer demand. This is achieved through automated data -driven range decisions , and by producing over 12,000 live store -specif ic planograms.

By enhancing the accuracy of floor plans and equipment into the planogram fixtures, our solution ensure d that the optimized display plan could be faithfully implemented in the store s. This transformation helped M&S meet local demand, improve availability , reduce waste and improve profitability and align future business goals and the food retail strategies.

Our deep domain knowledge is placing us at the heart of industry -level transformation s across multiple industry verticals. One such industry that is going through a tremendous amount of technology -led transformation i s the utility sector, at an industry level , as well as at the level of individual enterprises. Almost every quarter , I've shared examples of transformation work we're doi ng in this sector .

In Q2 last year, I'd spoken about five -minute settlement solution that we built for the Australian Energy Market Operator , that is helping spur innovation in that market and lower costs for consumers. This time I want to highlight a tran sformation in the UK gas market.

The UK energy regulator introduced a program for faster and more reliable supplier switching option for energy consumers with a new centralized switching service, to facilitate competition and deliver better outcome for co nsumers.

TCS worked with Xoserve, the central data service provider for the UK gas market to design and deliver a complex solution that transforms core business processes like switching and contract creation, settlement, device update and maintenance, mete r reading, billing, delivery and others, leveraging a leading hyperscal er ERP solution.

TCS’ deep domain expertise and technology expertise were critical in delivering the solution capable of processing 150,000 switches in under 30 minutes. The solution allowed the transition and migration of 24 million UK gas meter s’ data to enable CSS

switching activity. The solution went live in Q2. With the new solution , the 14 -days that it took to switch a supplier has now been reduced to just one day.
Similarly, last quarter I'd spoken about a Fortune 500 electric and gas utility that partnered with us to launch a new business model to generate new revenue streams based on home energy services. Let me share one more example along similar lines.
Engie France, the leading utility retailer is transforming its business model by expanding from a commodity -based business of gas and electricity to a new service -oriented model of smart home solutions, offering to drive energy efficiency for consumers and ensuring sustainability.
TCS partnered with Engie right from the conceptualization, design and proofs of concept. Leveraging our deep domain knowledge and expertise in core ERP, we developed a solution for subscription in CRM with incentive and promotion management , and integrated billing for service and energy -commodity charges in a consolidated invoice.

This offering has been launched in the market and has received a very positive response, improving customer satisfaction and growing market share for En gie.
I'd mentioned in earlier call s that many of our G&T engagement s are business model innovations. Let me share three such examples of business transformation solutions that went live in Q2.
An American multinational conglomerate engaged us to build a comprehensive asset performance management solution that th

e y will market to their industrial and warehouse customers.
The cloud -based IoT platform we built for them in gests real-time data from various assets and enables new value -added services a round improved asset visibility, monitoring capabilities, and predictive insights, leading to improved asset performance, optimize d operation s, increase d plant availability and higher throughput for their end -customers, and new revenue streams for our client.
Ingram Micro, one of the largest technology distributors in the US, engaged us as a partner to power the ir pivot into e -commerce and achieve their mi ssion to transform from a traditional distributor to a platform company that does distribution.
We built them a new digital experience ecosystem platform connecting their customers, vendors and associates . It reimagines the customer journey, making it fri ctionless and highly personalized, with conversational experiences, and an AI -powered recommendation engine that enables intelligent bundled offers.
Similarly, Tapestry Inc. – a leading New York -based house of iconic accessories and lifestyle brands, consi sting of Coach, Kate Spade, & Stuart Weitzman – partnered with TCS to drive their omnichannel modernization, implementing order management for its brands to help increase net incremental growth and improve customer satisfaction. This partnership created a flawless omnichannel order fulfillment and improved customer journey experience.
So, overall, these examples give you a flavor for the kind of services and the kind of opportunities that we're able to address across our customer and market landscape.
Comin g to our order book, we again had a strong set of deal wins in Q2, amounting to a TCV of $8.1 billion. By vertical, BFSI had a TCV of $2.3 billion, while retail order book stood at $1.6 billion. The TCV of deal s signed in North America stood at $4.3 billio n. Interestingly, while the pessimism around the macro is possibly highest in UK and Europe, our order book there is stronger in Q2 than in Q1 .

While the strength of our order book as well as the pipeline for Q3 is somewhat comforting , given the volatility , we remain very vigilant and are staying very close to our clients.
With that, we can open the line for questions.
Moderator: We will now begin with the question -and-answer session. First question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: My first question was specifically around European geography and UK. In this quarter on a CC YoY basis also, we saw a pretty robust growth of 14% to 15%, which is a higher growth compared to how we reported last quarter. One of our larger peers who recently reported also saw pretty strong growth in Europe and talked about double -digit growth in their November quarter as well. Given the fear around macro economy being pretty

severe in that geography, what is driving this much s tronger growth in Europe despite those fears ? Is there some structural growth drivers which we are now seeing in the European geography or the impact could potentially come with a lag ?

Rajesh Gopinathan: Rakesh, we have always maintained, and it has been b orne out through the pandemic , that t echnology is at the core of solutions both on the growth side as well as on the consolidation and optimization side. So, technologies remains very core to business agendas for our clients across the full spectrum, acros s all markets. And we are benefiting from participating in that cycle.

It’s very difficult for us to zoom out and comment on the macro situation . We can only tell you what is going on with the specific clients that we have. We are in no better position than you ... you are, in fact , in a much better position than us to be able to take a call on the macr

o . This is what we see and we are running with it.

In individual customer conversations, opportunities exist, but caution also exists. I called that out las t time also that in executive conversations, people are talking about caution. We need to remain vigilant to see whether that will translate into the budgeting and planning cycle for next year , and what that impl ies for overall demand . We'll have to play it by the ear as it comes.

Kumar Rakesh: My second question was around heading into December quarter, which is usually seasonally weak , are we getting any sense how the seasonality this time around ? Could there be higher than usual season ality or could it be the usual seasonality ? In interacting with clients , how are they looking at their next year budget ? Any sense on that could be very helpful .

Rajesh Gopinathan: Leaving aside the fact that Europe is in a fairly volatile situation, and t his winter is going to be critical in Europe, our conversations with clients indicate regular seasonality . We have had extensive client interactions – we hosted our North American clients at our annual TCS Summit , and also had a series of client events across Europe. So, overall, I don't think there is any change to the seasonality patterns that we are picking up. However, this does not address the possibility of some severe shifts in Europe during the winter.

Kumar Rakesh: And client interaction s on next year's budget planning?

Rajesh Gopinathan: Too early to take a call . We don't know . I mean, we get to hear of it only in the second or third month of the year, as it starts actually translating into projects . At this stage, we don't have visibility. As I said in the last call also, there is a cautionary stance that customers are talking about. They're talking about scenario planning. And the scenarios are more weigh ted on the downside than on the upside.

Moderator: The next question is from the line of Sandip Agarwal from Edelweiss. Please go ahead.

Sandip Agarwal: Although, you know it is very hard to comment on how things will pan out, but, Rajesh, is there any kind of caution which you're seeing in your discussions wi th the client, particularly from the US geography, because individuals in UK and Europe, traditionally we have seen the economic pressure generally result s into some help for outsourcing because it is more cost effective in the past, but that correlation d oesn't show up immediately in the US. So, what are you seeing, is there any kind of caution which clients are highlighting on the fears of recession or you're seeing any action into the direction when they are ordering ? Ha ve you seen any kinds of delays or anything which makes us more vigilant?

Rajesh Gopinathan: In US we've not picked up any threats in terms of caution, I mean extra caution than what is normally expected. So, US is not showing anything particularly concerning. People are overall continuing to invest and normal seasonality should apply. Otherwise, we are seeing a fairly strong environment in US.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Rajesh, last time in this 1Q c onference call, you said that the trend of multi -tower outsourcing deals or multi -service transformational deals are going up, and you started signing more number of such deals. Is that trend continuing in this quarter as well? And also, with macro being c oncerning, do you witness this trend being higher in Europe as a geography , versus that of US?

Rajesh Gopinathan: I'm sorry, I don't specifically remember exactly what I had said, but let me abstract and answer this. Operating model transformation as a demand driver has very strong trend and we are seeing multiple opportunities across all markets on operating model transformation.

Operating model transformation is being characterized by a few very distinct points . One is the shift to what we call a vertical operating model, or a product -centric operating model, where tech and ops is being aligned very closely to business units and to business outcomes.

The other big one is, of course, the adoption of agile and le an into everything in operations, even more importantly, significant leverage of our Cognix platform, which is powered by MFDM ™. The embedding of automation at a granular level across enterprise 's operation suite, both on the tech side as well as on the op erations side, is also core to the operating model transformation that we see.

So, this kind of enterprise -wide operating model transformations continue to be a big driver of demand . The couple of examples that I had shared, Xerox and one of the others are examples of that. And that demand trend I think is quite strong and will continue to remain strong into the foreseeable future.

Sandeep Shah: Is it fair to say in terms of what you said in an earlier question, in the second half seasonality could be norm al especially in the US, but there could be some issues in the Europe and there could be significant shifts if the macro issues goes more concerning versus what you anticipate now?

Rajesh Gopinathan: It's a prudent assumption. But from our side, we will re main focused on the opportunity on the ground, and we will deal with it one opportunity at a time. But at an overall level, it would be prudent to assume so.

Sandeep Shah: And a last question to CFO as well. In this quarter, is there 100% variable pay bein g paid or there is some adjustment looking at the macro issues and could be an impending showdown, especially in the Europe?

Milind Lakkad: We are going to pay 100% of variable pay for 70% of our employees . The remaining 30% will get paid based on the bus iness rate performance.

Sandeep Shah: This is for 2Q or this is for the rest of the FY'23?

Milind Lakkad: No, no, this is for Q2.

Moderator: The next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Wanted to check about the strong additions in the 1 million and 5 million. I know we did make organizational change, but I guess it's too soon to see the impact of that. So, should we think of this as change in your go -to-market and trying to close a lot more of the smaller de als and is there more demand for digital transformation from the smaller firms because there might be laggards in this transformation?

Rajesh Gopinathan: No, Ravi, this is just a bit of the impact of the currency volatility that you are seeing. Our client metric in non -US markets, APAC, LATAM, parts of Europe, etc., are more weighed towards smaller sized customers. And when we report those revenues in US dollar terms, they are getting significantly impacted by the strength of the US currency vis -à-vis the local currencies in these markets.

So, although our business response is not going down , in the translation of revenues into US dollar terms , it is showing up that way . At the bottom of the pyramid, the impact is a lot more, because the non -US market is more concentrated at the bottom of the pyramid. So, it's a bit of a mathematics.

We're also internally debating what is the best way to communicate this metric. But we also don't want to react immediate ly to this extreme cross currency volatility that we saw in Q2 . But we'll put our heads together as to how to communicate this better in t he future if required.

Ravi Menon: And how should we think about the lateral hiring, being a little lower than the revenue growth, is just a reflection of expectation that the worst of the supply side challenges are behind us, and we can now improve utiliz ation or should we think of this as linked to slightly softer demand visibility, or maybe a combination of both?

Rajesh Gopinathan: Ravi, your question was about the headcount growth, right?

Ravi Menon: Yes, that's a little lower than the revenue growth, I mean, we have seen that –

Rajesh Gopinathan: Ravi, we have been significantly investing into headcount addition through last year . As you know, our headcount growth was close to 20% against revenue growth of about 15%, and that we have built up a fair amount of headroom. So, you should expect that we will be using that lever a bit more as we go into this year, and try to balance our ov erall headcount to our overall revenue from a longer -term perspective. So, it's in line with our plan, and into that environment, we've significantly invested, and we are now reaping the benefits of that investment, as many of those early hires become prod uctive into th is cycle.

Moderator: Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Two questions. Firstly, is it fair to assume that the book -to-bill in Europe would have improved on a quarter -on-quart er basis, basis the commentary that you made and how the pipeline replenishment has happened in Europe after the deal wins concluded?
Rajesh Gopinathan: We typically desist from giving you incremental metrics, because that sets a precedent. But when you ta ke Europe and UK together, yes, the book -to-bill has improved. But the actual growth of the pipeline is more than the growth of our qualified pipeline. So, you are seeing some amount of elongation of the deal pipeline between total pipeline and the qualifi ed pipeline. Now, these numbers are volatile because it can change depending on how the environment changes, but that's where we are.
Gaurav Rateria: Secondly, in last quarter, you talked about revenue productivity getting impacted as you created capacity. So, has that got sort of sorted out and you saw some improvement in revenue productivity, which also had margins and should this be seen as one of the levers for second half in terms of margin performance on revenue productivity side?
Rajesh Gopinathan: The way to think about is it is not in terms of a short -term margin lever, but as a strategic call we have taken to significantly expand our employee onboarding, especially on the entry -level employees. We had hired close to 120,000 freshers last year and invested into that pool given the longer -term visibility that we have on demand. We will tweak our employee model on an ongoing basis looking at the demand. So, that is a reasonable expectation, but our overall hiring model is predicated on much longer cyc les rather than on short term, quarter -on-quarter adjustments.
Moderator: The next question is from the line of Manik Taneja from JM Financial. Please go ahead.
Manik Taneja: Just wanted to pick your brains about the aspect that historically what we've see n is that we've improved our margins through periods of slow growth. Do you envisage something similar playing out going forward as well? And if you could also help us with the margin levers that you think will play out in the near -term given the fact that you've suggested that pricing increases is not universal and is still happening only in certain parts of the book.
Rajesh Gopinathan: If we have strong visibility of low revenue growth, and we become much more careful and optimize it, but I think at this stage, I don't think we are at that point for us to be able to make a comment on that. So, margin optimization comes in more when there is good visibil

ity on stable demand environments, and we use those periods to clean up on the margin side. Right now, wh ether we are at an inflection point or not, we'll know only in a

few quarters ’ time. Otherwise, we'll continue to stay in the growth and investment mode. But short -term margin levers, I will hand it to Samir to talk about.
Samir Seksaria: In the short -term between the quarters, we would expect to focus on our operating metrics. Utilization will continue to provide opportunity for optimization. Realization has improved this quarter and we’ll expect to leverage further on that. We will also enhance our rigor on execution. And as the headwinds start trending down, we should expect that to also support margins.
Moderator: The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Rajesh, while H1 bookings has held u p above the 7 billion to 9 billion midpoint, how should we be thinking bookings trajectory for H2, more around the replenishment of the funnel of the qualified deal pipeline, any progression around that?
Rajesh Gopinathan: Apurva, difficult to say. We are running at 1.2 times book -to-bill which is a fairly healthy rate to run at. And we can take a bit of volatility on that on a quarter -on-quarter basis. So, to take a near -term call on what will happen next quarter or the quarter after that, difficult for us to do. And more importantly, it does not have a significant impact on our business model , neither in our planning cycles or in our execution cycle. So, our focus, of course, will be to maximize and capture as much as we can. But it's not r eally a big factor that changes any of our planning scenarios.
Apurva Prasad: Just to follow up on that, Rajesh, so this 1.2 book -to-bill from a medium -term perspective, is that the number to build?
Rajesh Gopinathan: Apurva, I don't want to get drawn out on that.

Apurva Prasad: On the supply side, Rajesh, any comments on the learning hours which had a decline YoY for Q2? And if you could also help us with the hyperscal er certification numbers, the number that was 71,000 last quarter?
Rajesh Gopinathan: Learning hours to some extent is impacted by the volume of freshers coming in. As you know, we had a very large volume of freshers coming in over the last couple of quarters which has moderated over the last two quarters. So, that will have a f low through impact on the learning hours. As we went in through the reorganization, that also had some impact. But at an aggregate level, our focus on reskilling and training and investing into people continues at scale and there is absolutely no change in it.
Apurva Prasad: And hyperscal er certification number?

Rajesh Gopinathan: I don't know whether we give that out. It is available in whatever forum it is given, and you'll find it there.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.
Bharat Sheth: Rajesh, can you give a little bit more color on products and platforms, which I understand is contributing around mid -teen kind of total revenue and since we are moving towards more on migrating to SaaS business, is the revenue recognition a bit slow and when do we expect that to catch up , and what could be the margin lever in this business?
N G Subramaniam: Overall, the products and platforms business is quite stable. The number of opportunities that come our way across verticals and across the solutions that we have is looking good. The business model has certainly transformed itself into a pure play SaaS -based operating environment . Without any exceptions, every opportunity that we

bid for, is for
a SaaS -based offering. So, if you really look at it, we have also transitioned , I should say beautifully , from a license -based, on-prem, AMC kind of a model to a p ay-per-use SaaS model in the last two years.
All our products and platforms are now available on a cloud platform. It's either installed in our own cloud environment, or with some of the platforms , we've also chosen to operate in a hyperscal er cloud. In e ither of these cases, the key thing is that the SaaS model is prevailing .
The way that we monitor it now is with the ARR or the annual recurring revenue that is contracted . That is the metric we are monitoring and with which we are measuring our own performance , as opposed to the earlier way of what is the license fee, what is the AMC, what is the services element to it and so on and so on. So, it is maturing.
And our products and platforms business itself has matured with the whole environment of on boarding the clients on a single instance SaaS . Some of the things that we are seeing developed is the data privacy element , the data localization element. For example, in Europe, the data residency increasingly is becoming a necessity to be located in Eur ope. These are the things that are getting sharpened as I speak. But overall, it's a good growing business and the ARR metric is going to become increasingly relevant. At some stage, we hope we'll be able to start report ing separately on ARR basis as we ma ture our model.
Bharat Sheth: And what are the margin levers you have in this business?

N G Subramaniam: Margin s essentially depend on the business volume of transactions that they are going to put in. It varies. Efficiency is going to come from the fact t hat we're not going to be doing too much customization. People are going to be using the products and platforms more as a COTS model. So, you don't have to maintain too many customer -specific customizations at any point in time. That is going to be run efficiently.
Secondly, our own support model is going to be heavily optimized, and it's going to be a lot more standardized.
Thirdly, the product release cycles are going to be a lot more standard, and we will be able to define it rather than defined by customers at every instance. The se are the things that I see at an operating level.
And as we add more optionality to the offerin gs, in the sense that, look, I can give you the standard platform, but there are certain additional services that I can bring in, for example, client reporting . Either customer can take data and then do it themselves , or for example, as a value added servi ce we can provide client reporting separately . Or a certain amount of analytics they can do themselves or they can come and leverage our

value -added services for that . So, it ’s a standard service, value added service, efficiencies that come through a stand ard way of product management, product releases and upgrades, all this will contribute to the margins.
Moderator: The next question is from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: Just on the subcon side and on the global hiring side, subcon cost has been going up, of course, for the supply side factors. But given the expectation of a relatively better supply environment in the global market, is that going to change the subcon cost as well as direct hiring outside India?
Samir Seksaria : I'll answer first on the subcontractor cost. So, as you would have seen, subcontractor cost has started trending downwards. Most of the subcontractor cost increase was on account of two factors. With borders opening up and visa availability in most countries improving , we would expect subcontractor costs to start trending down. Also, as the headwinds from attrition eases, we wou

ld expect the use of subcontractors also to trend downwards.
Rahul Jain: Will we be incrementally using it as a metric given the macro remains uncertain?
Moderator: Mr. Jain, please use the handset mode the audio is not coming clear from your line.

Rahul J ain: So, is it safe to assume that subcon cost may not go down substantially in near future even if supply side eases out, because it may be a good margin lever to have in case the macro weaken s? This could be a good alternative to manage the demand and supply situation better, or it should ease out irrespective of it?
Samir Seksaria : We will try to balance it and it would be a dynamic thing. If demand continues to be strong, we would try to capture the demand first, rather than optimizing the subcontractor cost. That's the lever which we know how to use and will optimize as and when need arises.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Rajesh Gopinathan: Thank you, operator. We had a very good second quarter growing 18% in INR terms and 15.4% in constant currency. Our growth was strong across all our industry verticals and all our markets.
Importantly, w e had a good order book once again. While clients continue to worry about the uncertain economic environment and are planning for different scenarios, we are not seeing any material change in client spending behavior.
There are some sporadic instances of delayed decision making. But those happen at normal times to o, so it's hard to pin this down specifically to the economic environment.
Our operating margin expanded sequentially to 24% and our net margin expanded to 18.9% . On the people front, the capacity we built up over the last few quarters and our investment in organic talent development is helping us meet this demand.
Our attrition inched up to 21.5% in IT services on LTM basis. However, we believe the situation is eas ing, and that our quarterly annu alized attrition has peaked this quarter, and will start tapering off going forward.
With that, we wrap up our call. Thank you all for joining us on this call today. Enjoy the rest of your evening or day and stay safe.
Moderator: Thank you members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2023

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TCS/SE/ 202/2022 -23

January 11, 202 3

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, Bandra Kurla P. J. Towers,
Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended December 31 , 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference ca ll for the quarter ended December 31, 2022 conducted after the meeting of Board of Directors held on January 09 , 2023, for your information and records.

The above information is also available on the website of the Company: www.tcs.com .

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Pradeep Manohar Gaitonde
Company Secretary

Encl: As above

Tata Consultancy Services Limited
Q3 FY23 Earnings Conference Call.
January 9 , 2023, 19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode . Should you need assistance during the conference call, please signal an operator by pressing ‘*’ and then ‘0’ on your touchtone phone. After today’s presentation, there will be an opportunity to ask questions. To ask a question, you may press ‘*’ then ‘1’ on your telephone keypad. To withdraw your question, please press ‘*’ then ‘2’. Please note that this conf erence is being recorded.
I now hand the conference over to Mr. Kedar Shirali – Global Head, Investor Relations at TCS. Thank you and over to you, sir.
Kedar Shirali: Thank you, operator . Good evening and welcome everyone. Thank you for joining us today to discuss TCS ’ Financial Results for the Third Quarter of Fiscal Year 202 3 that ended December 31 , 202 2. This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this qu arter.
The Financial Statements , Quarterly Fact Sheet and Press Release are also available on our website.

Our leadership team is present on this call to discuss our results. We have with us today, Mr. Rajesh Gopinathan -- Chief Executive Officer and Managing Director; Mr. N G Subramaniam -- Chief Operating Officer & Executive Director ; Mr. Samir Seksaria -- Chief Financial Officer ; Mr. Milind Lakkad -- Chief H R Officer.
The m anagement team will give a brief overview of the company's performance followed by Q&A .
As you're aware, we don't provide specific revenue or earnings guidance. And anything said on this call which reflects our outlook on the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the

second slide of the quarterly fact sheet available on our website and which has been e -mailed out to those who have subscribed to our mailing list.
With that, I would like to turn the call over to Raje sh.
Rajesh Gopinathan: Thank you, Kedar . Good morning , good afternoon and good evening to all of you. We had very good growth for a seasonally weak

quarter. Our US dollar revenue crossed the 7 billion mark in Q3 and revenues grew 19.1% in rupee terms , 13.5% in constant currency terms, and 8.4% in dollar terms.
Our operating margin for the quarter was 24.5% , an expansion of 0.5% sequentially. Our net margin came in at 18.6% .
I'm very happy to share that the board has announced a dividend of `75 per share, including a special dividend of `67 per share . Including the interim dividends paid out in the first half of the year , this translates into a shareholder payout of `33,297 crore for year -till-date.
I will now invite Samir , Milind and NGS to go over different aspects of our performance during the quarter. I'll step in again later to provide some more color on the demand trends that we're seeing . Over to you, Samir.
Samir Seksaria: Thank you Rajesh . Let me first walk you through the headline numbers .
In the third quarter of FY '23 our revenues grew 13.5% year-on-year on a constant currency basis. Reported revenue in INR was `582.29 billion , an year-on-year growth of 19.1% . In dollar terms, our revenue was $7.075 billion , an year -on-year growth of 8.4% .
Moving to the operating margin, we had 70 basis points benefit from the currency movement. Operational rigor including utilization , reduced use of subcontractors , resulted i n a net benefit of 0.3% or 30 basis points , offset by 50 basis points headwind from higher third-party expenses and increasing cost of return to normalcy. Overall, our operating margin expanded 50 basis points sequentially to 24.5% .
Net income margin was 18.6% impacted by foreign exchange fluctuations.
The effective tax rate for the quarter was 25.7%. Our accounts receivable was at 66 days ' sales outstanding or DSO in dollar terms , up fo ur days sequentially.

Net cash from operations was `111.54 billion , which is a cash conversion of 102.8%. Free cash flows were at `102.15 billion . Invested funds at the end of December stood at `669.24 billion .
Lastly, as Rajesh mentioned, the board has announced an interim dividend of `75 per share, which includes a special dividend of `67 per share. Total shareholder payout , year till date, amount s to 110% of free cash flow .
Over to you, Milind.
Milind Lakkad: Thank you , Samir . You might recall that our approach to overcoming the supply side challenges faced by the industry was to bring in fresh talent at scale, and then train them on new technologies.
In the prior six quarters , we onboarded 135,000 fresh engineers. In Q3 alone, we brought on about another 7 ,000 fresh engineers amounting to a total of 42,000 freshers year-to-date. These are unprecedented numbers .
Our biggest strength has been nearly 1 25,000 TCS at middle and senior leve ls, who have been with the company for over 10 years on average. They have been central to our ability to culturally and operationally integrate all the fresh

talent we brought onboard and ensuring that the project outcomes and customer experiences continue to be the best -in-class.
Last year, our net hiring was significantly ahead of our revenue growth. Our focus this year has been on utilizing all that excess c apacity and making our newest employees productive. Between that and elevated attrition, we had a net reduction of headcount and our workforce strength as of December 31st stood at 613,974 . We continue to have a very diverse workforce with 153 nationalities represented and with women making up 35 .7% of the base.
On the learning front, TCS ers clocked 11.4 million learning hours in Q3, resulting in an acquisition of 1.3 million competencies. LTM attrition in IT services was at 21.3% , slightly down quarter -on-quarter but still very elevated as it reflects the high levels of churn in the prior quarters. Our quarterly annualized attrit

ion on the other hand fell by nearly 6% i n Q3, and we expect it to steadily trend down over the coming quarters.
Over to you NGS for some color on segments and product trends .

N G Subramaniam: Thank you , Milind . Let me walk you through our segment al performance details for the quarter . All growth numbers are on a year -on-year constant currency basis . Growth was led by Retail and CPG which gr ew 18.7%, led by strong demand in the Travel and Hospitality segment while retail ers had production freezes during the holiday season.
Life Sciences and Healthcare grew 14.4% . Technology and Services gr ew 13.6% . Communications and Media grew by 13.5% . Manufacturing grew by 12.5% while BFS, our largest vertical grew by 11.1% .
Let me now walk you through the growth figures by geography . Among major markets, North America as well as UK grew 15.4% , while Continental Europe grew by 9.7%.
Moving on to emerging markets , Latin America grew by 14.6% , India by 9.1% , Asia Pacific by 9.5% , and Middle East and Africa by 8.6%.
Moving on, our industry -leading portfolio of products and platforms continue to perform well.
ignio™ , our cognitive automation software suite signed up 10 new customers and 7 clients went liv e during the quarter. The business health monitoring solution for ignio is gaining traction with customers and went live in over 2 ,000 stores for a major American auto retailer in Q3.
Enterprises are increasing their investment in AI ops, and automation technologies to improve employee productivity and resilience . ignio is uniquely positioned to ride on this particular opportunity with an end -to-end platform that offers self -healing and machine learning ability across the customer lifecycle to help them in their journey of being an autonomous enterprise .
TCS BaNCS™, our flagship product suite for the financial services domain ha d six new wins and seven go lives during the quarter. We continue to gain share in the market infrastructure institution segment with a new win in Q3.
The subsidiary of a leading European CFD selected TCS BaNCS market infrastructure, implementing a unique system offering s ettlement and correspondent banking services to their customers.

One of the largest asset managers in the USA with over US$ 7 trillion in global assets , migrat ed its personnel advisory services and digital advice offerings to the cloud -based TCS BaNCS to its management platform, enhancing their advisor experiences , improving accuracy and low latency responses for performance configuration analytics for millions of customer portfolio of record numbers.
Our Quartz blockchain platform ha ve two new wins and one go live in Q3. A Swiss multinational pharma major has increased the ir adoption of Q uartz further, building on the successful initial pilots we executed using blockchain, smart contracts and digital payments. Qua rtz smart solution for contract performance monitoring and Quartz Gateway are going to be used to eliminate inefficiency in cross -functional manual processes entailing procurement,

finance and treasury.
In Life Sciences , TCS ADD™, our Advanced Drug Development platform, enabled by artificial intelligence was implemented for two leading pharma companies for automation of adverse events intake and processing. With this , TCS ADD has successfully completed automated processing of half a million adverse event cases . Our offerings in this platform address patient centricity, smart clinical analytics, interoperability, and AI -enabled automation, th at ar e emerging trends i n the life sciences industry .
TCS Optumera™, our artificial intelligence power ed retail mercha

ndising suite
went live for four clients . TCS Omni Store™, our AI -powered universal commerce suite had two go lives.
TCS HOBS™, our suite of products for communication services has one new win and four go lives in Q3.
TCS iON had seven wins in the quarter ending December. During this period , we serve d over 35 assessment customers and administer ed exams for 8.8 million candidates . We reached a new industry partnership milestone in Q3, engaging with 1 ,580 corporates that leverage the TCS National Qualifier Test as their entry level recruitment platform . Over 3,700 candidates have gotten placed t ill-date.
Lastly, MasterCraft™ and Jile™ had won 10 new clients in Q3 and 21 renewals .

Let me now go over o ur client metrics. These metrics are an important validation of our customer -centric business model.
In Q3, we added one more client year -on-year in the $100 million plus band, bringing the total to 59 ; 12 more clients in the $50 million plus ban d, bringing the total to 130 ; 35 more clients in the $20 million plus ban d, bringing the total to 290 ; 30 more clients in the $10 million plus ban d bringing the total to 456 ; 39 more clients in the $5 million plus band , bringing the total to 658 and 42 more clients in the $1 million plus ban d bringing the total to 1,217.
Let me now request Rajesh to speak on the demand drivers.
Rajesh Gopinathan: Thank you , NGS . As mentioned by NGS, the seasonality led to some moderation in growth in verticals like BFSI , Retail and Technology and Services and across all our key markets. While the seasonal aspect should reverse in the next quarter , the macroeconomic uncertainties are likely to result in a more balanced year in 2023 after two years of strong growth.
For now we see a client caution translating into greater focus on cost optimization. We're seeing an increase in the number of large operating model transformation engagement . In the first three quarters of FY '23, we won 20 such deals versus 16 in the prior year same period. Our innovative approach to redesigning the operations and embedding AI and intelligent automation into individual processes using TCS Cogn ix™ has been delivering superior outcomes for our clients and differentiated positioning for TCS.
We are also seeing an uptick in vendor consolidation. Our scale , full services capability and track record of delivering outsized savings through operating model transformation is helping us win such deals . We have won quite a few such deals across BFSI healthcare, manufacturing and telecom and we see many more in the pipeline.
Here is a good illustration : The BT Group, UK's leading provider of fixed and mobile telecommunication, announced a new partnership with TCS for its digital unit to boost its modernization plans . TCS will manage and ramp down over 70% of digital legacy technology estate, and boost capacity to accelerate the build of its new strategic technology architecture, supporting the group's growth.

Coming to cloud transformation , it continues to be a strong area of growth. As I had mentioned in the last quarter, clients are much more focused on execution of the ir cloud journeys and the increase d intensity is translating into an expanded opportunity for us. O ur strategic industry -speci fic solution fabrics built on market leading hyper scalar platforms accelerate enterprise digital transformation and drive exponential business value through industry innovation.

We won several new cloud transformation deals in Q3. Here are a f ew examples.

We were selected by Boston Scientific Corporation, a global medical devices company as a strategic partner for their purp

ose -led, enterprise -wide multi -
cloud acceleration program. TCS ' decade -long transformative partnership w ill help deliver cloud -native resilient and futuristic operations that will f uel Boston Scientific 's global business growth and its mission of transforming lives through innovative medical solutions.

TCS expanded its partnership with the UK headquartered inte rnational savings and investment firm to help them transform into a cloud -only organization by 2025 , through a series of technology and business transformation initiatives. Leveraging its deep contextual knowledge of the client's IT and business landscape , TCS will help modernize and transform the ir app lication estate using cloud -native architecture, and seamlessly migrate them to a public cloud using TCS Cloud Counsel and TCS Migration Factory . This will also simplify the legacy infrastructure estate and facilitate their exit from on -premise data centers.

We have been engaged by the largest online travel company to build a unified , modernized enterprise data platform, which entails creating a data lake abstracting data from trans itional systems and other data sources and building intelligent self -learning engines leveraging AI /ML model s and rendering seamless experience s to customers and associates. The marketing meta - analytics we deploy will enable greater personalization and tailored recommendations on their portal.

Moving on to growth and transformation, we usually talk about G&T engagements focused on the front end, helping clients launch innovative new

products and services or new technology -enable d business models or channel improvements and personalization that enhance customer experience.

I'll come to those in a bit , but befo re that, I also wanted to share some examples of how technology -led innovation at the back -end can also result in revenue growth and improved customer satisfaction . Predictive analytics, machine learning and AI are fueling such innovation.

Let me illustrate with three examples. Post Nord , a European communications and logistics solution provider has partnered with TCS to achieve their `Win in Parcels ' key strategic priority and to be the market leader. Their key objective is to transport more parcels per truck in each trip made between the terminals and their regional hubs.

TCS developed a touchless AI -based solution using machine vision and import antly , existing security CCTV cameras , to accurately measure the truck fill rate in real-time. It leverage s a TCS proprietary algorithm to optimize the line haul planning and truck departures. This has helped improve the revenue yield per truck, reducing the number of trips and associated costs, and even the carbon footprint .

TCS partner ed a US headquartered multinational biopharmaceutical company in co-creating and implementing an industry -first AI -based solution to transform the handling of patient complaints about drug -device combination products, such as pre -filled injections and auto injectors.

The solution triages complaints and automatically separates out product - related complaints from drug -related adverse events, resulting in faster processing of complaints, timely feedback to patients and to internal design and production teams for remediation. This has helped improve product quality, enhance patient experience and contribute d to improve d sales of such combination products.

Toyota Material Handling in North America engage d TCS to transform its field service teams ' ability to diagnose and repair. TC S' solution enables guided troubleshooting , self-service and cognitive search of technical product support content using AI /ML and NLP , which helps reduce downtime associated with unplanned maintenance by 10 % to 15%. Th e transfor

mation has improved first
time right fix, reduce d dealer overhead s and resulted in service stickiness,

leading to increased service p art sales for dealers and to Toyota Material Handling .

M&A continues to be a recurring theme in our customers T &T agenda. They have been entrusting us with these integration or divestiture mandates on account of our contextual knowledge of the business and IT landscapes , our highly collaborative inside -out approach to transformation , and proprietary accelerators such as TC S Crysta llus™, a set of pre -configured industry and business solutions available on leading enterprise application platforms . Here are three examples :

Philips Domestic Appliances , a carve -out from Royal Philips and a global leader in kitchen coffee, garment care and home care appliances, engage d TCS as a sole -source d primary partner to support PDS ' transition to an independent entity, and its business transformation to become a digital -first and consumer -centric organization.

TCS established a digital core for the new business, design ed lean business processes and successfully rolled out the pilot in seven countries. We are now working towards a big bang go-live for the rest of the world. This is expected to be the foundation for a 10x growth in sales from expansion into new markets and channels , with 20 million highly engaged customers.

Similarly, we are helping a leading North American bank with the seamless merger of a US bank. TCS' deep con textual knowledge and platform expertise was critical for success in this large and complex M&A program, involving online banking channels, treasury and payment services, auto and equipment financing, among others.

TCS did an end -to-end mapping of the products and processes of the acquired bank and carried out a parity uplift to ensure consistent experience for incoming acquired bank customers. At th e back end, we integrated new lending and leasing products into the acquire r bank's portfolio and migrated the acquired bank 's products, customers and users to the acquirer 's platforms.

With the successful integration, the acquirer bank expanded into a large compl ementary contiguous market in the US, doubling its branch footprint and onboarded over 1.5 million new customers and inherited a strong commercial business with a high-quality loan portfolio.

Finally , in Q3, we were chosen by Eur opean life and material sciences company to lead the global integration of one of the largest acquisitions. TCS is responsible for end -to-end integration of warehouses and factories. It will set up a transformation management office to enable faster realiz ation of synergies, and serve as the foundation for future M&A.

Let me now provide a few examples of TCS partnering with clients to use digital technologies to help launch innovative new products or services that drive new revenue streams.

A leading US -headquartered media and technology multinational partnered with TCS for building a single digital ecosystem platform, spanning home entertainment and mobility. As the sole strategic partner, TCS was responsible for the full lifecycle of the new technology platform for this new line.

TCS designed and implemented the solution through an API grid for the entire ecosystem leveraging AI /ML for agile operations, proactive care, proactive service management, and preventive fault management. The new business model helped deliver truly personalized and unique customer experiences to end-customers . It recently crossed 5 million customer connection and witness ed high NPS score and customer satisfaction ratings.

TCS helped a leading US mo

ney transfer s ervice provider transform its
technology estate into modern cloud -powered platform, enabling it to launch new products faster, expand into new markets and strengthen its customer relationships.

Leveraging the new integrated next -generation multi -currenc y digital wallet

and digital banking platform , our clients ha ve forayed into digital banking in Europe, offering customers access to a variety of differentiated multicurrency payment services in a single app. The new platform has also helped the client successfully integrate with cross -industry ecosystem partners to o ffer millions of customers greater ease , reliability and access to money movement, and payment service capabilities. Overall , the trans format ion has resulted in increased customer loyalty, reduce d customer journey barriers and created new revenue streams.
Similarly, in Q 3, an APAC -based automotive electronics manufacturer chose TCS as their co-innovation partner in developing a next-gen instrument panel

cluster. TCS services will span product development, HMI or Human Machine Interface , functional safety, c yber security and other cockpit related products .
In prior calls, I have given examples of how TCS is participating in large industry transformation initiatives. In the Utilities sector, we have had several examples of TCS helping utilities or power producers navigate energy transition. Our domain expertise and track record in executing successful transformation s is firmly establishing us as the preferred G&T partner in the sector . Here ’s one more example of the same .
Western Power , a leading Australian power generator and distributor , selected TCS for our credentials in this space to design , deliver and support a distribution system operator platform solution. Our solution enables the client to orchestrate Distributed Energy Resources or DERs, such as rooftop solar batteries and large appliances across homes and businesses into a virtu al power plant, aggregating the excess electricity generated by their assets and then dispatching it into what will become new energy markets and services. TCS’ solution also addresses critical issues like low voltage network visibility and optimization.
With over 650 participating customer energy assets till date, the platform has demonstrated the safety and reliability of aggregated DERs and help ed the client model the complexity of bi -direct ional energy flows. This will open doors for Western Power to participate in the futuristic energy market and build new revenue streams while safely operating within the technical limits of the distribution grid.
Likewise, we're participating in the longer -term transformation trends in the transportation sector . Last year , I had spoken about the work we're doing for Transport of London to transform the administration of taxis and private hire vehicles in London to prepare it for an electric and autonomous future. In Q3, we won a deal that will transform the railway s sector in the UK .
TCS was chosen by the Rail Delivery Group , UK's leading rail industry membership body for the creation of a rail data marketplace. TCS will leverage data syndication , monetization and marketplace features of its DeXAM platform and a leading hyper scalar cloud to combine fragmented sources of rail data into one digital service.

This will optimize the sharing of data and real -time information to passengers and operational bodies, improving transparency and enable a UK-wide railway innovation ecosystem.
Let me now come to the Q3 order book.
Our deal closures in Q3 amounted to a TC V of $7.8 billion . By vertical , BFSI had

a TC V of $2.5 billion while retail order book stood at $1.2 billion . The TCV of deal signed in North America stood at $4.2 billion.
With that , we will open the line for questions.
Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. The first question comes from the line of Kumar Rakesh from BNP Paribas . Please go ahead.
Kumar Rakesh: My first question was to better understand the headcount moderation during the quarter. During the press conference , Rajesh, you talked about the focus on headcount efficiency to continue in the fourth quarter as well . Assuming the

headcount stay s teady in 4Q, you will be exiting the year with a headcount growth of about 4% YoY. My question was, is that an indication of growth visibility that you have today and hence the rationalization or you are confident of driving similar or higher productivity gains, and hence revenue growth could be significantly higher than that ?

Rajesh Gopinathan: I think the best way to think about it is that on a year -on-year basis, our net headcount is higher . So, we have significantly invested in building up capacity from 2021 , tried as much as possible to bypass the industry's hire -from-each - other attrition cycle, and focus on hiring at entry level, and invested in training and cross training our resources. That investment has hit our productive capacity and stood us in good stead . The incremental hiring for this year should be seen in context of what we've done in the last year also. Overall, we are very comfortable with where we are with our net headcount . We hired significantly ahead of revenue growth in '21 and balanced it with a more prudent hiring in calendar '22.

Going forward, we should be back to a more normal kind of hiring trend. While specific numbers will keep evolving, we should expect hiring in the range of 125,000 to 150,000 for the year, offset by more normaliz ed attrition levels closer to our long -term averages, which will give us sufficient capacity to take

care of growth . And then we can keep bringing in shorter term hiring to take care of demand as it unfolds. So , that would be the best way to think about and model it.

Kumar Rakesh: My second question was on the deal side. So, you talked about that cost optimization deals have already started picking up meaningfully. In the past, during recessions, we have noticed that first , there's a sharp cut to IT budget, before cost optimi zation deals starts picking up. I understand that visibility on client budgets is still a couple of months away. But do you think this time the transition from discretionary IT spending to cost optimization deals could be far smoother than what we have seen in earlier recession period ?

Rajesh Gopinathan: It's also a factor of how it is playing out in different markets. So, as I said, if we take a market like UK, that is well and truly into much more strategic long term, cost-based restructuring kind of d eals. We're seeing multiple s uch ones play out and we're participating very strongly in that .

Markets like US, we need to wait and wa tch how that will play in the next couple of quarters , but we are fairly constructive . Our conversations with customers are much more balanced one s where they are equally positive, as well as cautious and we should see a mix of both cost and trans format ion deals.

In Europe, decision making is slow. So, it's very difficult to call it one way or the other. So, this is not some major single event that has happened globally. All three ma rkets are moving t o three different beats and each of them is indexed to their own specific outlooks.

Moderator: Our next question is from the line of Vibhor Singhal from N uvama E quities. Please go ahead.

Vibhor Singhal : Rajesh, I just wan

ted to basically pick your brain on the performance of the retail segment in this quarter. This s egment has outperformed the company average growth rate and also d oing really very well. G lobally, we are hearing about a lot of these re tail chains, calling out weakness, especially in Europe in parts as well. So , any color on that would be helpful as to what drove this strong performance in this quarter , do you expect this to sustain in the coming quarters also? And also, is there some color to it in terms of let's say, US retail maybe doing slightly better than Europe retail, as you just called out that in Europe, the decision making is slow on an overall basis ?

Rajesh Gopinathan: First of all, the numbers that we show in Retail is a combination of Retail, CPG, Travel and Hospitality . So, that's the industry group that we report on. Within that, if you look at it, travel and hospitality is enjoying a very strong rebound after a couple of very, very challenging years. And we are one of the largest, if not the largest , service provider in that industry a nd we were significantly impacted i n the last couple of years and also we are now participating and also winning quite reasonably.

CPG sector going through multiple forms of transformation, mostly led in various forms o f direct -to-customer channel strategy transformation , and significant investments going into that . Also, analytics, sustainability , direct -to-customer, each of these themes are continuing to find a lot of traction and continued investment , and we are participating in all three quite well.

Retail itself is more regional, and different markets have different focus. Plus, within retail, grocery as a segment continues to do well. More discretionary retail is , as I said , market specific .

Going to the last part of your question , US retail sales adjusted for inflation itself, have still come in stronger than last year and last year was a very strong year. So, overall, from a volume perspective, retail in the US has done well. However, profitability has been challenged, both by customers walking down the product line in terms of preferring a slightly cheaper product s on a relative basis , as well as the fact that cost structures have been up. We need to wait and see how this will be translate d. But some of those costs are transient, some of them will require more structural cost transformation deals.

So, it's a fairly complex set of drivers in there. It goes back to what we always said, we stay close to the customer , and we play each customer and each scenario on a one -on-one basis.

Overall, we believe that the industry continues to be very attractive. And we have the full suite of capabilities to be participating across this broad spectrum, and to make sure that we stay relevant to customers on a very individualized basis.

Vibhor Singhal : Since you touched upon the travel and hospitality segment, as you mentioned that we bo re the brunt of it while COVID struck and the segment was down and now we're seeing a strong rebound in this segment. I think globally also we are seeing very strong bookings in Greece and Spain and baggage can also come

up. So , do you expect this momentum t o maybe continue in the travel segment in the coming quarters as well? Of course, this is assuming no more waves and no more lock downs and everything. But do you think you expect this momentum to continue in this segment in the next couple of quarters given that these clients would now probably start spending more on t o it?

Rajesh Gopinathan: I think so. The c aveat , of course , is that there is no major even t that happen s. But if things contin

ue as they are , we expect that the sector will continue to do well. One , there is the demand side . In fact, the sector is supply constrained. As more capacity comes on board, they should continue to do very we ll. More importantly, while they did a great job dealing with the pandemic, many structural changes that need to be done have been identified , and those are longer term programs that will need to be put in place.

So, we expect a lot more of preparatory investments amongst the more forward -looking customers, and very high profitability during the course of this year will give them that war chest they requir e to make the investment for increasing the resilience of their network and resilience of their operation in any future potential scenarios .

Moderator: Our next question is from t he line of S udheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.

Sudheer Guntupalli : Rajesh, it has been almost 10 to 13 months since the inflation , macro, and geopolitical concerns surfaced, and some of the upstream segments of the tech ecosystem, like internet or software started flagging off on demand concerns. But so far if we look at your reported revenue growth, some of the forward -looking metrics or even your commentary, the situation for us seem to be reasonably strong, fairly resilient. If we take cues from the lag times between impact on upstream and downstream tech players historically, if something could have gone wrong massively , it should have gone wrong by now. What do you think is happening differently now . Is it the case that IT services business has become less correlated with macro in the cycle, or you think time lag for the impact will be little longer this time around?

Rajesh Gopinathan: I think as I've always said, the best way to think about IT is to think of it as an industrial perennial . The tech needs of an enterprise will evolve over a cycle , but it is not totally discretionary. So, that's one aspect of it.

The second aspect of it i s that compared to let's say even five years ago, the technology landscape has stabilized significantly . There was a lot more heterogeneity in the landscape, and a lot more competing solutions in the landscape earlier. And now there is a fair amount of con vergence on the main platforms, and the main basic architectural elements. So, in the wider technology products marketplace, that shakeout will be visible, which is normal at this stage of a technology adoption cycle.
But the focus in terms of actual enterprise investments to execute on those transformation s is continu ing.So, lesser number of platforms, greater focus on larger programs, much calmer technology environment – all this is typical at this stage of technology adoption cycle. So , probably that also kind of reflects in the difference between the product space and the services space. But beyond that, I don't think we have any greater visibility.
Sudheer Guntupalli: My second question . There is the broad agreement by now is that growth for the industry in FY '24 will revert to pre -COVID levels impacted by ma cro issues and the unwind of COVID pull forward impact, etc. , Keeping aside the negativity around the near term, how do you think of the medium term growth prospects for TCS … not asking for a hard guidance , but do you continue to believe that once this nea r term noise around macro , etc., is in the base and behind us , growth rates can again accelerate back to double digits, which has been our medium term aspiration?
Rajesh Gopinathan: We believe so. Our stance is quite positive , and as I said, if you take market -by-market , in the US, we definitely think that's the scenario. In UK, we are participating very well . The market itself is challenged . In Euro pe, once the geop

olitical situation calms down , we believe that we have the full suite of capabilities to be able to participate . When decision -making restarts , we should be participating well.
So, overall, we are quite confident about having the full suite of services to be able to be relevant to customers acros s a wide spectrum of actual scenarios , and therefore we are quite confident about the medium to long term outlook .
Moderator: Our next question is from the line of Pankaj Kapoor from CLS A. Please go ahead.
Pankaj Kapoor : I have two questions. First, Rajesh, you mentioned that the re is a higher share of cost take out deals which are now coming in the pipeline. So , just wanted to

understand , if such deals are also moving faster in terms of decision -making ? And any color if you can g ive on the competitiv e intensity for such deals , I mean, is it normal or are you seeing such deals getting more competitively bid now by other vendors ?
Rajesh Gopinathan: Speed is varying by market s. I would say that in the UK , decision making is quite fast, customers are very clear , and there is a lot of action happening there. The US is normal . It continues to be doing well , but that does not account for the short -term aspect of that market. Everybo dy is a bit cautious for the time being, but we don't think that will last into next year . In three months' time , we should be ab le to know better. In Europe, decision making has significantly slowed down. So, that's the full spectrum there.
In terms of competitive intensity, many of the deal structures are quite complex. That narrows down the field to a more limited set of competitors. Within that, obviously, people are aggressive and everybody is hungry. But at least the competition set is a much narrower set than just a few years ago, when deals were smaller, and there was a lot more focus on immediacy of response and the supply side was challenge d.
Pankaj Kapoor: My second question is on the special dividend . With this, you would have almost paid out the entire amount that we paid last year, which included a buyback. So , does this mean there is a rethink in terms of the mode of capital return in favor of dividend versus buyback?
Rajesh Gopinathan: No, rather than look ing at it in absolute terms , on INR terms, we are growing

at 15% -plus kind of basis. So, if you consider that growth, we are still benchmark ed to 80% to 1 00% of net profit or free cash flow kind of a trajectory , not much of difference to that.

Pankaj Kapoor: So, buyback remains something which our board can consider whenever the window opens up ?

Rajesh Gopinathan: As you know, the current regulations require a 12 -month gap between the two buyback announcements. Buyback will be considered when it becomes possible from the regulato ry pers pective. Right now, we are in a period where we couldn't anyway consider a buyback.

Moderator: Our next question is from the line of Sandeep Shah from Equirus Securities . Please go ahead.

Sandeep Shah: Rajesh, one broader question . At an industry level where are we in terms of the cloud transformational journey or adoption by the enterprise client? And do you believe the pace of the adoption can change starting from C Y'23 onwards irrespective of the macro issues?

Rajesh Gopinathan: Cloud adoption journey is , I would say , a third of the way in . Different customers have different challenges there. Some of them who have gone very rapidly to the cloud, mostly lift and shift , are realizing that unless it is architected right, cloud cost s are actually quite difficult to manage and it's a fairly large bill that can come if yo

u do not architect and if you do not actively manage the cloud environment. So , some of the transformation activities and projects that we're doing is to actually help them execute that transformation agenda so that their application stack is architected in a manner in which it can fully leverage the variability that the cloud model offers. Unless you're able to actually switch off and release the resource, you will not participate in the variability. And to be able to do that you need to be able to architect your application properly so that resource dependency can be switched off on a variab alized manner depending on what your requirements are. So, that's one kind of work that is going on.

The other kind of work that's going on is actually the migration itself of complex workloads that require a lot more of heavy lifting. That is the other kind of an area that there's a lot of work going on. Neither of them is easy to execute. So, you should not expect much acceleration. The next couple of years are going to be about execution, rigor , operational capabilities . But it will be a steady move, neither is it likely to accelerate significantly , neither is it likely to decelerate or fall off. The movement is committed , the direction is very clear , the investments are in place and the deals are in place . Now, the execution and the operations ha ve to happen . That's likely going to be the story for the next year or two.

Sandeep Shah: Just a question in terms of C Y'23 IT budgets . Do you believe the spend of the IT budgets could be conservative in the first half of the calendar year versus the second half or you expect the spen d to be remain normal like any other year, though the budgets may be slightly lower versus the earlier last two years because of the macro slowdown ?

Rajesh Gopinathan: Again, going by market -by-market , in the UK, unlikely that it is any different than last year, because there is no incremental shift in the overall environment

in UK . In the US , we'll have to wait and see how the next couple of months plays out. We are positive or rather we are hopeful , but we'll have to actually wait for actual confirmation to come. We think the immediate caution that is there , probably will dissipate a few mo nths into the year . In Europe , we will have to wait for some major event to happen for it to change. Europe will be incrementally cautionary this year compared to last year.

Sandeep Shah: Just a last bookkeeping question. I think this third-party pass -through cost increase this time does not relate to the domestic revenue , if I'm not wrong, it relates to the international revenue and will it be a growth headwind in the fourth quarter if it doesn't repeat?

Samir Seksaria : So, third-party costs actually you could link it to the domestic revenue . There

has been a sequential increase , and typically Q3 has some bit of it coming in .
On a year -on-year basis, we don't see that big jump.
Moderator: Next question is from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon : So, Regional Markets and Others segment had an acceleration year-on-year growth versus the last quarter despite muted growth in India. Should we think that this comes from improved traction in the insurance BPaaS area? I think NGS mentioned six new go li ves in the quarter for BaNCS . Any la rge deals here that you'd like to call out or maybe you also share some comments on the deal pipeline in this segment?
N G Subramaniam : I'm sorry, I didn't hear you properly . Could you repeat the question ?
Ravi Menon : NGS, you talked about the six new go lives this quarter for BaNCS . Just wondering if there are any la rge deals in the BPaaS segment in in surance , and how the pipeline is shaping up there?
N G Subramaniam:

One of the areas where we are seeing opportunities and significant pipeline is the various digital core, whether it is banking or capital markets or insurance , all of them are looking at putting together a new digital core. And it's going through a lull period in the last about two years or so . But now, people are thinking about a new core banking system, or a new security s ettlement system, which are really architected for the future, which are cloud -native , which are inherently micro services or inherently comes with that capability of marketplace with significant amount of APIs and micro services that will enable them to integrate into the ecosystem.

So, as you may see, during this quarter, we announced a large deal w in with the Chinatrust Banking Corporation , which is really the future core in terms of architecture, in a fashion that is cloud -native , and it is truly providing open banking APIs and so on so on.
Such opportunities are opening up . At this moment we're working on three or four such opportunities where some of the large banks are looking at modernizing their core in favor of something which is completely open banking, open APIs . So are some of the market infrastructure institutions trying to create open payment system, and some of them typically say that whatever you guys have implemented in India, can you offer this whole instant digital payment infrastructure in our geography ? So, these are the opportunities that are coming out of it , and there are a decent number of opportunities in the pipeline that we see in banking as well as capital markets.
Ravi Menon : SG&A, t ravel costs have increased sharply . How close to normal , Samir do you think we are in business travel ? I think we are still about 30 bps below what we used to clock pre -COVID. So, shoul d we think of travel as a continued headwind or you think we'll stabilize at this level?
Samir Seksaria: Yes, as normalcy continues to get through, we would expect travel costs to continue to increase. If you look at it more on the direct revenue side or the direct cost side, a lot of it is coming in . On SG&A, as things open up more on sales -related costs, as well as team building exercises and team meetings happening , that cost is increasing. We’re seeing it going back to what it was pre-pandemic.
Moderator: Our next question is from the line of Abhishek Kumar from JM Financial . Please go ahead.
Abhishek Kumar : I have a question on budget s. Rajesh, you mentioned in the US there is a wait and watch mode and therefore budget could take some time. Is there any possibility because of that there was probably a little bit of budget flush in 4Q which could have supported the growth ?
Rajesh Gopinathan: Sorry, budget flush due to what?
Abhishek Kumar: See, there's po ssibly an indecision or wait and watch mode for C Y'23 budget. So, to exhaust CY'22 budgets, any possibility that there is a budget flush to exhaust the previous year's budget?

Rajesh Gopinathan: No, I don't think so . CY'23 will be slightly delayed in a cou ple of months … but again, it's entirely in the realm of speculation. So, we'll have to just wait and

see how it plays out in the next few months.
Abhishek Kumar: Another related question to this is given this little bit of indecision in US, do you think the cost takeout projects in US probably would be low compared to other geographies , at the same time spending on discretionary would be cautious and that would probably keep the budgets little low ?
Rajesh Gopinathan: Yes, fair assumption . Even if you look at our US TC V, that is do wn both sequentially and on a y

ear -on-year basis. So, TCV still reflects that decision - making lag in this quarter .
Moderator: Our next question is from the line of G aurav Rateria from Morgan Stanley . Please go ahead.
Gaurav Rateria : So, firstly, Rajesh, is it fair to believe that the ACV growth could be lower than TCV growth as mix of the deals are changing , and should that be even considered as a lead indicator for g rowth going forward or you think the de al win trajectory could actually shift upwards over the coming quarters?
Rajesh Gopinathan: Gaurav, I don't have a direct answer to that , but there is not much of change in terms of the mix of deal structures between large or small or long dated or small dated . So, nothing that we can call out over the last two, three quarters that we can say that we're seeing . There is an elongation in decision making, which we had spoken about last quarter also and which has also played out this quarter . So, that the pipeline growth and the qualified pipeline growth is ahead of the actual TC V growth that we're seeing …in fact, we have seen a sequential decline in TC V while our qualified pipeline still continues to grow in absol ute terms. So, beyond that, the specific mix of deals is not materially chang ing.
Gaurav Rateria: Secondly, on the margins , as headwinds on attrition subside, would our immediate priority be to take margins back to our aspirational band of 26%, 28% o r would we prefer to prioritize some investments , keeping margin stable after recovering it to 25%?
Samir Seksaria : Gaurav , our margin s or our industry -leading margins are on the back of the investments which we make, and most of our investments, whether it is in terms of talent , in terms of research and innovation, or branding, all are

factored i n into the P &L. Our aspirations for the margins are taking into account all these investments
Moderator: Our next question is from the line of Ashwin Mehta from Ambit Capital . Please go ahead.
Ashwin Mehta : Rajesh, we've seen pretty strong growth in regional market and others over the last two quarters ; it's of the order of almost 6% sequentially. So, what is the nature of demand here and how sustainable is this going forward?
Rajesh Gopinathan: The r eason of calling the segment out is because it's volatile a nd difficult to predict. So, its sustainability is difficult to answer . From a nature perspective it's come both from the market side – India has done very well , in fact, AP AC ex-Australia also have done well. So , markets have done well, as also the product side of the business that N GS spoke about on the FS and platform side also has done well. So, it's come from both sides, markets as well as from the product s side.
Ashwin Mehta: Second question was you mentioned in the press conference as well that manufacturing has been more resilient compared to your expectations . So, any trends that we can take from manufacturing given the fact that if we look at client financials , manufacturing growth over the next two years is expected to be actually better than what it was before?
Rajesh Gopinathan: I didn't know that , but that correlates to what we are also seeing . But I'm still wary, because of all the global supply chain disruption and energy price disruption . Industries like process manufacturing are much more globally integrated , and not as isolated as , let's say , Retail. So, we are still cautious . Our operating approach is always the same ; stay close to the customer , deal with the customer on an individual opportunity -to-opportunity basis and we will continue to participate on that basis. But on a zoomed -out way, talking to customers , it is an industry that 's not completely out of the woods.
Moderator: Our next question is from the line of R

ahul Jain from Dol at Capital. Please go
ahead.
Rahul Jain : Basically, my question is related to TCV signing which is $7.8 billion is slightly lower by our recent average wi n. Despite the fact that we have been favorable situation on the vendor consolidation exercise . What explains this mismatch ?

Is it because such deals are to do more for the same or it reflect weak demand in Europe as articulated earlier ?
Rajesh Gopinathan: I think it 's a c ombination of everything ; delayed decision making , but TCV will not be as linear as revenue, which is why we have given a band of 7 billion to 9 billion where we think the TCV will remain during the course of this year and it has stayed well within that band throughout for the last three quarters.
Rahul Jain: Just a clarification on this retail deal that we announced separately. Is it also reflecting the entire retail , CPG or i t is only retail -specific?
Rajesh Gopinathan: This includes CPG and TTH.
Moderator: Ladies and gentlemen, that was the last question. I now hand the floor back to the management for closing comments. Over to you, sir.
Rajesh Gopinathan: Thank you , operator . We are pleased with our performance in a seasonally weak December quarter , growing at 19.1% in INR terms and 13.5% in constant currency .
Our order book was good , but softer than in the prior quarters, reflecting the cautious stance that many of our clients have taken . Our operating margin expanded sequentially to 24.5% and our net margin was at 18.6%.
On the people front , LTM attrition in IT services fell slightly to 21.3% and should continue to taper down in the quarters ahead. With that, we wrap up our call.
Thank you all for joining us on this call today.
And I must say that you're a very mature and knowledgeable group for having resisted asking about the impact of Chat GPT on our industry . Enjoy the rest of your evening or day and stay safe.
Moderator: Thank you members of the management . On behalf of TCS, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Apr 2023

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Tel. 91 22 6778 9595 Fax 91 22 6778 9660 e -mail corporate.office@tcs.com website www.tcs.com
Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021.
Corporate identification No. (CIN): L22210MH1995PLC084781

TCS/SE/13/202 3-24

April 13, 202 3

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, Bandra Kurla P. J. Towers,
Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 202 3

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 202 3 conducted after the meeting of Boar d of Directors held on April 12, 2023, for your information and records.

The above information is also available on the website of the Company: www.tcs.com .

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Pradeep Manohar Gaitonde
Company Secretary

Encl: As above

Tata Consultancy Services Limited
Q4 & F Y23 Earnings Conference Call
April 12, 2023, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. After today's presentation, there will be an opportunity to ask questions. To ask a question, you may press '*' then '1' on your telephone keypad. To withdraw your question, please press '*' then '2'. Please note that this conferen ce is being recorded.
I now hand the conference over to Mr. Kedar Shirali – Global Head, Investor Relations at TCS. Thank you and over to you, sir.
Kedar Shirali: Thank you, operator. Good evening, and welcome, everyone. Thank you for joining us today to d iscuss TCS' financial results for the fourth quarter and full year FY 2023 that ended March 31, 2023. This call is being webcast through our website, and an archive including the transcript will be available on the site for the duration of this quarter. Th e financial statements, quarterly fact sheet and press releases are also available on our website.
Our leadership team is present on this call to discuss our results. We have with us today, Mr. Rajesh Gopinathan -- Chief Executive Officer and Managing

Director , Mr. K. Krithivasan -- CEO Designate and President , Mr. N G Subramaniam -- Chief Operating Officer and Executive Director , Mr. Samir Seksaria -- Chief Financial Officer and Mr. Milind Lakkad -- Chief HR Officer.
Kedar Shirali: They will give a brief overview of the company's performance followed by a Q&A session. As you're aware, we don't provide specific revenue or earnings guidance. And anything said on this call which reflects our outlook for the future , or which could be constru ed as a forward -looking statement , must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly fact sheet available on our website and e -mailed out to those who have subscribed to our mailing list.
With that, I would like to turn the call over to Rajesh.

Rajesh Gopinathan: Thank you, Kedar. Good morning, good afternoon and good evening to all of y

ou. In FY 2023, our full year revenue grew at 17.6% in rupee terms , 13.7% in constant currency terms and 8.6% in dollar terms. Our operating margin for the year came in at 24.1% and net margin was at 18.7% .
As you are aware, four weeks ago, we announced a leadership transition at TCS. I'll be stepping down from my role and s tepping away fro m TCS on September 15 th. The Board identified Krithi , who has led our largest segment, BFSI, over the last many years, as the CEO -Designate. Today, the Board also announced that Krithi will be taking over the role of CEO and MD on June 1st.
We are currently going through a structured transition plan and for the purpose of this call, I will speak about the year gone by, and he will co ver the forward - looking topics.
I'll first invite Sam ir, Milind and NGS to go over the different aspects of our performance during the quarter. Krithi and I will step in later to provide more color on the demand trends we're seeing. Over to you, Samir .
Samir Seksaria: Thank you Rajesh. In the fourth quarter of financial year 2023, our revenue was `59,162 crore , which is a year -on-year growth of 16.9%. In dollar terms, revenue was $7.19 5 billion , a year -on-year growth of 7.4% . In constant currency, our revenue growth in Q4 was 10.7% .
For the full year, our revenue was `225,458 crore , which is a growth of 17.6% over the prior year. In dollar terms, the reported revenue was $27.927 billion , a growth of 8.6% . Constant currency revenue grow th for the full year was 13.7% .
Let me go over our financ ial performance. Our operating margin in Q4 stayed flat sequentially at 24.5% . With supply -side challenges abating, we were able to further bring down our use of sub -contractors in Q4. The benefit of that, other efficiencies and some currency gains was can celed out by higher on -site costs.
Our full year operating margin was at 24.1% , a contraction of 1.2% over the prior year. In terms of headwinds, our annual wage increase set us back by 1.6% . The supply side challenges during the year cost us another 1.4% and travel expenses went up by 0.3% . This was mitigated by 0.5% of realization improvement, 0.5% of benefit from a flatter employee pyramid and 1.1% of currency benefit.

Net income margin in Q4 was 19.3% and for the full year was 18.7% . Our EPS grew 11.2% during the year.
Effective tax rate for the year was 25.7% . It's worth noting that this has risen steadily from about 24% in FY 19 as more of our faciliti es come out of SEZ tax benefit.
Our accounts re ceivable was at 65 DSO in dollar terms, down 1 day sequentially.
Net cash from operations was `118.64 billion , which is 104% of net income.
Free cash flows were at `110.95 billion and invest ed funds at the end of March stood at `498.23 billion .
The Board has reco mmended a final dividend of `24 per share, bringing the total dividend for the year to `115 per share. For the full year, including the buyback tax paid out at the beginning of April, the compa ny's shareholder

payout was `45,602 crore .
Over to you, Milind .
Milind Lakkad: Thank you, Samir.
We are honoring all the job offers and had a net addition of 821 employees in Q4 and 22,600 employees for the full year, resulting in a closing headcount of 614,795 .
These numbers mask the full extent to which we had ramped -up our talent acquisition during the year to c ope up with the unprecedented churn in the first half of the year. We onboarded over 44,000 freshers , and our highest ever number of experienced professionals during the year.
We continue to have a very diverse workforce with 150 nationalities represented and with women making up 35.7% of the base . Our investment in organic talent development continues to deliver exceptional outcomes. In FY 23 TCS ers logg

ed 48.3 million learning hours and acquired around 6 million competencies.
Increased rigor and focus on external certifications resulted in 53,000 TCSes acquiring certifications on hyperscaler cloud skills during the year, bringing the

total number of such certifications to over 110,000 and making TCS one of the top-2 partners of the largest cloud providers.
Our cohort of contextual masters continues to expand and is currently over 62,000 strong. We are investing in grooming them into future transformation leaders by collaborating with Ivy League B -Schools to create tailored leadership development programs for them.
We are also helping our mid -level employees gain market relevant skills , so that they can grow faster in TCS. The curated programs we have designed for them have seen massive participation of over 90% of that cohort , with over 60% receiving certifications.
As more and more employees started returning to work in the course of th e year, we have been ramping -up phygital training to enhance learning outcomes. Over 80,000 employees have benefited from such in -person training in Q4.
Xcelerate, our industry recognized talent transformation platform has seen nearly 400,000 TCSes record their career aspirations, of which 100,000 are progressing towards their aspired role.
Similarly, our award -winning Elevate program, which links learning to career growth, has over 407,000 employees participating in it.
Our LTM attrition in IT services was at 20.1% , down 1.2% sequentially, but still very high because it reflects the unprecedented levels of churn in prior quarters. Our quarterly annualized attrition on the other hand, fell by over 4% sequentially and by close to 10% from the peak level in Q2.
Over to you, NGS, for some color on segments and production platforms. Over to you.
N G Subramaniam: Thank you, Milind.
Let me walk you through our segmental performance details for the quarter. All growth numbers are on year -on-year constant currency basis.
From an industry vertical perspective, growth in FY 23 was led by Retail and CPG (+19.7%) and Communications and Media (+14%). All other verticals grew in a narrow band around the company average. Technology and Services

grew by 13.7% , Life Sciences and Healthcare grew by 13.3% , Manufacturing grew by 13%, and BFSI by 11.8% .
In Q4, customer sentiment across BFSI, Retail and Technology services verticals, particularly in Europe and US, was one of caution. We saw clients deferring newer initiatives which were not critical , and in some cases, completely halt discretionary projects. Anxiety around the stability of the banking sector in March also add ed to the uncertainty. Consequently, growth decelerated across all verticals.
Q4 growth was led by Retail and CPG, which grew by 13%, and Life Sciences

and Healthcare which grew by 12.3% . Other verticals grew in single digits. Technology and Services grew by 9.2% , BFSI by 9.1% , Manufacturing by 9.1% , and Communication & Media by 5.3% .
In terms of geography, full -year growth was led by North Americ a (+15.3%), UK (+15%) and Continental Europe (+11%).
In emerging markets, Latin America grew by 17.3% , India by 14.6% , Middle East and Africa by 7.8% and Asia -Pacific grew by 7.6% .
The increased caution in Q4 resulted in a deceleration in many markets, but not in the United Kingdom. Q4 growth was also led by United Kingdom, where growth accelerated to 17%.
North America grew by 9.6% , while Continental Europe grew by 8.4% . In emerging markets, Latin America grew by 15.1% , India by 13.4% , Middle East , Africa by 11.3% and Asia -Pacific by 7.5% .
Our industry -leading portfolio

of products and platforms had a very good
quarter.
ignio™, our cognitive automation software, signed up 5 new customers and 12 clients went live in Q4.
Economic uncertainty is further driving customers to accelerate efficiency through automation . This is resulting in increased investment in AIOps and AI/ML technologies. ignio continue s to be well -positio ned as an end -to-end platform with point solutions for monitoring, AI /ML analytics, cloud hybrid infrastructure coverage, and so on.

TCS BaNCS ™, our flagship product suite for financial services, had 2 new wins and 6 go lives during the quarter.
For a leading savings and investment company in the UK, we successfully completed the migration of annuity books sold by the customer to a specialist insurer onto TCS BaNCS, and also completed the first phase of migration from a heritage landscape to a public cloud.
Our Quartz blockchain platform has partnered with Bitcoin Suisse to build a next-generation crypto financial technology platform, supporting the latter's journey of becoming the leading global crypto financial services provider.
In Life Sciences , we launched a new solution in TCS A DD™, our Advanced Drug Development platform. TCS A DD Medical Writing is a one-stop AI - assisted solution for fast, intelligent authoring and review of regulatory and scientific documents for drugs and devices.
TCS OmniStore ™, our AI -powered universal commerce suite, had 1 go-live this quarter.
TCS HOBS ™, our suite of products f or communications service providers, had 1 new win and 4 go lives.
TCS TwinX ™, our digital twin solution, had 3 wins and 1 go live.
TCS iON had 23 new wins and 3 renewals in Q4. During this period, it served over 54 assessment customers and administered assessments to 18 million candidates. Over 1,900 corporates leverage the TCS National Qualifier Test now as their entry -level recruitment platform.
Lastly, MasterCraft™ and Jile™ won 26 new clients in Q4.
Let me now go over our client metrics. As you are aware, our customer -centric business model rests on our ability to continually expand and deepen our client relationships. These metrics provide a measure of our progress in the journey and a validation of the str ategy.
In Q4, we added 2 more clients year on year in the $100 million + band, bringing the total to 60; 30 more clients in the $50 million + band, bringing the total to 133; 23 more clients in the $20 million + band, bringing the total to 291; 22 more clients in the $10 million + band, bringing the total to 461; 27 more clients in the

$5 million + band, totaling 665 and 59 more clients in the $1 million + band bringing the total to 1,241 .
Over to Rajesh to speak on demand drive rs during the quarter.
Rajesh Gopinathan : Thank you, NGS.

In his segmental commentary, NGS spoke of the cautious stance that many of our clients have taken, particularly in North America and Europe. This has resulted in a dichotomy . On the one hand, we saw clients hitting the pause button on ongoing discretionary projects and deferring new non -critical projects , affecting our revenue growth in Q4 across most industry verticals in North America and Europe.

At the same time, we saw c lients launch more new initiatives oriented towards cost optimization or strategically important projects , resulting in a very strong deal flow and pipeline replenishment during the quarter .

In terms of demand trends, we saw a spike in operating model tra nsformation deals. In FY 23, we signed 29 large operating model transformation deals, business as well as IT operations, compared to 18 in the prior year. We also continue to see vendor consolidation and multi

-service deals.

TCS Cognix ™, our suite of over 600 pre -built automation components, is gaining traction because it significantly accelerates the operations transformation and helps clients realize their ROI much earlier, all the more relevant in the current environment. In FY23, Cognix helped win over $1.6 billion of TCV.

Let me share two examples of operations transformation executed using Cognix.

A US -based multinational oil field services company engaged TCS to build a future -ready finance organization. We deployed TCS Cognix to leverage intelligent automation and solve the problem of intercompany mismatch of financial entries , arising from disparate and siloed operations across 450 -plus business entities and 80 countries. The program helped substantially bring down instances of unreconciled en tries, improve key metrics stability and speeded up key processes.

Similarly, a UK -based Telco chose TCS as its strategic partner to revamp its IT infrastructure backbone for resilient , always -on communication service. TCS leveraged its deep contextual knowledge, TCS Cognix, and MFDM to deliver the transformation. This resulted in a robust operating model that delivered higher levels of certainty with uninterrupted and enhanced services for its customers. The superior quality of service contributed to industry -leading customer satisfaction, improved NPS and lower churn.

In Q4, we won an all -time high number of large operations transformation deals. Here are a couple of examples.

TCS was selected by IHG Hotels and Resorts, one of the world's leading hotel companies to drive enterprise process automation across several IHG businesses and business verticals, including finance, travel agent commission, revenue compliance and audit, revenue s ervices, sales and HR. The program aims to digitize and automate business processes to drive efficiencies and cost optimization across the enterprise .

Similarly, Delta Airlines has partnered with TCS on solutions around cognitive business operations and cl oud management to better enable enterprise resiliency and reliability.

The other demand driver is cloud transformation, which remains a very strong focus area for our clients and a key growth driver for us. During the year, clients engaged us to take up their more complex, bigger workloads and accelerate the modernization and migration to the cloud. This trend continued in Q4 and we won several new deals around this field. Let me share a few examples of recent cloud transformation engagements.

A leading gl obal software company has partnered with TCS to enable its SaaS business model and GTM strategy. TCS is helping modernize products across four lines of business and make them hyperscaler -ready . Leveraging its thought leadership, contextual knowledge, IPs like TCS Cloud Exponence and TCS Cloud Assurance , and our ecosystem of hyperscaler partners, TCS helped migrate 32 SaaS solutions to the cloud. This migration is helping the clients make their product suite cloud vendor agnostic, and thereby more attractive to their end customers.

A large US commercial p roperty and casualty insurance company selected TCS for its multi -year application modernization and cloud migration journey to gain competitive advantage and business resiliency. TCS successfully

modernized those critical applications and seamlessly migra ted them to the cloud. This has rendered the client's application stack future ready and ready to support new business models for product rollouts. The modernization has also improved business resiliency with 99% improvement in application availability and enhanced security.

Flight Center Travel

Group 's, 30 + travel companies across the world faced varying pace of travel recovery, creating a need for flexibility and ability to scale fast. TCS ' thought leadership and advisory helped Flight Center harness the power of cloud with a unified global approach. Leveraging its contextual knowledge, TCS transformed critical business functions on the new multi -cloud platform and implemented TCS Cloud Exponence to provide orchestration and 24/7 management. Flight Center' s new technology backbone has enhanced its resilience, improved its time to market and gives it the ability to drive business transformation and capitalize on new opportunities.

Moving on to growth and transformation , clients continue to invest in new initiatives designed to support their business growth strategy, either through innovative business models, new services or by targeting new market segments using technology.

A large food retailer in the UK partnered with TCS to i mplement a technology initiative critical to its asset -light growth strategy of expanding through franchise stores. TCS leveraged its domain expertise and contextual knowledge of the client's application and IT landscape to design a new platform that bring s franchise stores on par with owned stores through advanced automated multi -level forecasts and replenishment capabilities to streamline inventory across the ir supply chain. It provides greater visibility of sales and stock movement, agility in introducin g new products and even flexibility to convert owned stores to franchise stores. The new platform enables rapid onboarding of new existing franchise stores and enabling the client to accelerate the expansion of its franchise network and drive growth.

In Q4 , we won a new deal from Bridgestone Americas, the leading US -based tire manufacturer and an existing client. They have engaged us to transform and expand their subscription -based mobility offerings globally. TCS will help define a global template for the subscription business, catering to the different lines of business and enable new business models across different markets, driving the company's global expansion.

I'll now invite Krithi to talk about demand trends in BFSI sector and our order book. Over t o you, Krithi.

K. Krithivasan : Thank you, Rajesh.

The banking and financial services industry is the largest spender on technology and that reflects in its outsized share of revenues within TCS' business mix . While we saw some softness in BFSI in North America due to discretionary spending being put on ho ld, all of the demand trends that Rajesh spoke about are very visible in BFSI as well. Clients continued to push ahead with cloud migration, operations transformation and other strategic G&T initiatives. As the largest provider of IT services in the bankin g and financial services domain, with deep domain expertise across the end-to-end financial services value chain, TCS is deeply entrenched in the sector's G&T initiatives.

Let me begin with a couple of examples of product innovation.

A global information services company partnered with TCS to launch a new commercial fraud solution for banks and other financial services f irms and drive new revenues for the client. TCS leveraged its deep domain knowledge in this area to design a comprehensive commercial fraud solution that blends consumer and business datasets to provide ML-powered predictive insights on the legitimacy of businesses, their ability to repay and the likelihood of credit abuse.

The solution offers a much more comprehensive set of capabilities compared to competing products, resulting in a good offtake of the solution. Within the first few months since its launch, the new solution has been adopted by the top 10 banks in the US , and customers have reported a

62% improvement in fraud
detection.
A US-headquartered global bank partnered with TCS to transform its new card launch process to gain market share and drive growth . Leveraging our expertise in human -centered design thinking, we designed the solution with an interactive UI and automated workflows that make it easier for the bank's credit card business to create and launch new products in the market.
This has enabled the bank to launch new products 70% faster. Moreover, the reima gined product design workbench is resulting in better, more competitive products and has driven a 10% increase in new -to-bank customers.

A large European bank partnered with TCS to transform its enterprise -wide credit risk management. It was using multiple risk models across its different portfolios, resulting in greater complexity, slower decision making and higher compliance risk.
TCS' contextual masters collaborate d with the bank's teams to conceptualize a ne w centralized , cloud -based risk management platform that deploys the most appropriate risk model for each portfolio , and ingest data from across enterprise and determines the credit worthiness of the borrower.
The simplified landscape and centralized risk control framework has enhanced regulatory compliance. Processing time for consumer credit request is down from 10 days to 2, enhancing customer satisfaction and driving growth. Instant provisioning of verified risk parameters is also helping improve certa inty in credit origination surface.
Enhancing customer experience on digital channels continues to be a key trend . Here is one example of that.
TD Bank Group is working with TCS to continue to transform the bank's public -facing digital assets. TCS will leverage its deep contextual knowledge and co -innovation model to assist TD to launch new capabilities designed to help deepen the bank's relationship with its customers, enhance the bank's self -service features and empower its customers and advis ors with easy access to insights and improved tools. This is expected to help TD enhance its agility, deliver richer customer experience and drive greater digital adoption among its customers.
And lastly, an illustration of how large banks are embedding ESG criteria into their businesses.
A Europe -headquartered global bank engaged TCS, its strategic partner , to develop an ESG data distribution platform to support its regulatory reporting on its own sustainable finance framework.
Leveraging our deep domain knowledge in the area of ESG and sustainable finance, the TCS team designed a new cloud -based solution that makes high -quality ESG data available to internal stakeholders, for more accurate in sights on sustainability, sustainability and ESG performance of the ir deals and products. Its sophisticated taxonomy management capability accommodates

the taxonomies of different jurisdictions, simplifying regulatory compliance and reporting.
Moving on to deal wins , we had a strong order book in Q4 with a TCV of $10 billion , a book -to-bill ratio of 1.4. This includes 1 mega deal we signed in February with the Phoenix Group.
Our Q4 order book contains an all -time high number of deals with TCV above $50 mil lion. It is a well distributed set of deals across all the verticals and geographies. The BFSI TCV was at $3.1 billion, while the retail order book was at $1.3 billion . The TCV of deals signed in North America stood at $5 billion .
For the full year, the o rder book was at $34.1 billion . While this is similar to the order book at the end of FY 22, our FY 23 order book is less lumpy and has more deals in the $50 million to $100 million TCV range. In other words,

we ha

ve been able to build up an equally large order book without as many mega deals in the mix. This implies faster revenue conversion compared to last year's order book and gives us better visibility into growth next year. With that, we can open the lines for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Participants who wish to ask a question may press "*" and 1 on their touchtone phone. If you are using a speakerphone, please pick up your handset while asking a question. This is requ ired to ensure optimum audio quality on the call. Should your line have any disturbance, you may be asked to return to the question queue if you do not have a clear connection. Ladies and gentlemen, we will wait for a moment, while the question queue assem bles.

We have our first question from the line of Ankur Rudra from JP Morgan. Please go ahead.

Ankur Rudra: Thank you, Rajesh. Thank you so much for your leadership and insight for over the last 40 plus quarters. We will miss you. Krit hi, congratulations on the innovation and best wishes for the period ahead. In terms of questions, I think the first one is on demand. There appears to be a sharp change in demand commentary. This quarter, besides the print disappointment, could you elaborate how much of the slowdown and change in sentiment came after the event of the last three or four weeks of March versus what was already in motion? And on a related note, you obviously have the highest exposure to the banking industry. You have seen several cycles. Where is the visibility on

demand and revenues now for the first quarter and F Y 24? And if this uncertainty gets prolonged, how do you expect client priorities and behavior to change?

Rajesh Gopinathan : Thanks, Ankur. Let me take the first part and then I'll have Krithi answer both the F Y 24 and the demand forward. If you look at where the impact has come from, I would say that we shared with you in the last quarter's comments, beginning of this year, tha t while there was softness in US in Q3 , that is our Q3, calendar Q4 , we expected that it would significantly pick up in the New Year . And that's just adequate caution on the client's part resulting in softness in Q3.

That expectation has not borne out . It has, in fact, turned incrementally even more negative. That sentiment trigger obviously was to a large extent what happened on the banking side in US , but it has also been across the board. So, if you look at areas like Manufacturing , especially on the process and industrial side, that is reflecting the weakness from a more global perspective. Areas like Retail in the US are reflecting the sentiment of the local market and especially on the expectation from what's going on in the credit terms.

So going back to your question, the change is more in terms of the US market. We expected it to come back strongly in the New Year . That has not happened and that's the scenario that we are in. And the weakness is not just coming out of the BFSI , it is coming across sectors in North America. Krithi , do you want to talk about BFSI and the expectation forward ?

K. Krithivasan : Like Rajesh mentioned, there has been weakness in BFSI because of the market uncertainty in the last quarter. But as we mentioned , the order book has been quite strong , in fact one of the highest order books that we have in the recent past. And like we also commented , the order book is less lengthy and it has more smaller deals or short duration dea ls, which means the revenue conversion could be even higher.

But having said that, like we are not going to give guidance for immediate quarters because uncertainty is still there and clients are still looking at their priorities and things they want to spend. But we are comfortable w

ith the

medium to long -term spen d looking at our order book. So the demand still is strong and order book quality is good. So that gives us the confidence that medium to long term, things will be stronger and better.

Ankur Rudra: One question was, do you think if the uncertainty gets pro longed, plan , priorities and behavior might change?
K. Krithivasan: It's obvious that if the uncertainty continues clients will also continue to weigh their priorit ies.
Ankur Rudra: Okay. As a follow -up on the strategy , TCS changes its guard very rare ly and very smooth ly historically. Could you comment on any change in strategy, both because of the change in guard and the change in demand sentiment at the moment?
K. Krithivasan: Leadership change doesn't mean a strategy change. All of us have been working w ith this organization for so many years and all of us have a good understand ing. Whatever strategy Rajesh put in place was also a collective leadership decision on how we want to go forward. So I don't expect a drastic strateg y change. We'll be tweaking wh at we do based on the market situation. Our strategy is anyway based on client centricity and employee empathy. So those two are the basic pillars , we'll continue to drive home our strategy based on that.
Ankur Rudra: Thank you. Maybe the last question on technology. Just curious to hear your thoughts as a leadership group on how generative AI changes the nature of technology consumption and if it impacts the bargaining power for clients or for TCS over the medium term?
K. Krithivasan: I'll turn this over to our ChatGPT guru , Mr. NGS.
N G Subramaniam: Hi Ankur, NGS here. I think generative AI as a technology is very interesting. We have been working on it for some time and we have done some pilots internally and I think it has the potential to li ve up to the expectation that every area can be technology driven . That is number one.
Number two is that it can further accelerate the adoption of technology, including those which are at the frontier areas of innovation. We are quite excited about it.
Many quarters ago, I think at one of the analyst calls, I mentioned that AI /ML has the potential to fundamentally change the way that we deliver software to our clients. And a significant part of what we are doing today can get automated, can get generated.

Fundamentally , we are a tools driven organization. We had developed MasterCraft™ decades ago, which is a software that generates software. We are quite excited with the opportunity of delivering proven code , either you can call it a low code, no code, zero code, but -- or a generative AI kind of a software, but the result is , a software that generates software. I think we'll build such an expertise around that capability , around the toolset , and stay relevant to our clients' expectations.
Ankur Rudra: NGS , thank you so much for the c olor and Rajesh, best of luck for future endeavors.
Rajesh Gopinathan : Thanks Ankur.
Moderator: Thank you. We have a next question from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.
Sudheer Guntupalli: Yes. Krithi, firstly c ongratulations and all the best in your new inning s. Couple of questions from my side. The p revailing industry perception seems to be that because of macro uncertainty, deal mix is shifting towards cost optimization, which are typically large deals that may take longer time lines for revenue conversion. But your prepared remarks suggest the contrary about the order book that got built during FY 23. So how do we read this contradiction?
K Krithivasan : Sudheer, cost and optimization deals need not be

large . Very often , customers
look at immediate operations because in times of uncertainty , they want to control cost and so something quick. So the deals are cooked in a way that they can also get benefits immediately.
Like we discussed before, our order book is actually v ery less lumpy , with just one mega deal and a number of medium to small -sized deals. So that gives us the confidence that there will be faster revenue conversion . I don't know whether we can say that all cost and optimization deals will be larger. Some of them may be larger, many of them need not be.
Sudheer Guntupalli: Got it. And you made an interesting point in the press meet that many of your

clients, which are the large US banks are benefiting because of recent banking issues and the consequent deposit flight . So if the banking situation doesn't materially escalate from here on and as and when the negative sentiments received, could this be a net positive outcome for TCS over the next 12 to 18 months , given some of the key clients are actually becoming stronger wi th a further possibility of M&A integration related spend ?

K. Krithivasan : That should be a fair assumption , Sudheer . We have a very strong presence in the banking sector and we will continue to work with our clients closely to bring in solutions by which they can leverage the market conditions and leverage extra deposits they get. So I would say that's a fair assumption.

Sudheer Guntupalli: Thank s Krithi . And Rajesh all the best for future endeavors.

Rajesh Gopinathan : Thank you.

Moderator: Thank you. We have our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Thank you for the opportunity. Thank you Rajesh , and all the best for your future endeavors and congratulations, Krithi, for your new role. The first question is just an extension to what Ankur has asked. So looking at your commentary, it seems that there could be a near -term pressure or caution from clients' side in terms of the IT spend. So FY 24 could be slightly different where growth could be back -ended versus front -ended, which is seasonally the trend in most of the normal years ? Or do you believe FY '24 may have a soft growth across all the four q uarters?

K Krithivasan : Sandeep, I don't want to comment on the overall FY 24. As we called out, Q4 has been soft because of the uncertainties. And th ose uncertainties are not fully resolved. At the same time, we are comfortable with the order book we see. And we also commented on the tenure of the order book in terms of the short duration of the project.

So that gives us the confidence that many of these projects will get done in a short period of time and we'll be able to realize the revenue. But we canno t take away the fact that there could be some transformation project or discretionary project that could get cancelled if there is a further deterioration of the sentiment. So , these are all the facts that we are working with. But we'll continue to be clos e to our customers. We don't want to comment on how Q1 or Q2 is going to be or how FY 24 is going to be.

Sandeep Shah: Okay, fair enough. Just a question in terms of margin. Can you explain what was the nature of the on -site cost pressure during 4Q? And also question about FY 24 margin, because FY 23 margin has been impacted by supply -side issue. With supply -side issues abating, whether it is fair to say the margin management could be better in FY '24 versus FY '23, or it is hard to say

because of the glo bal pressure, especially on the inflation side, which can impact the on -site wage hike?

Samir Seksaria : In the current quarter,

we had increases in the onsite manpower cost item .

Some part of it was on account of replacement of higher cost sub-contractors with employee s, and some part o f it due to increased local hiring.

Coming to FY 24, as you rightly called out, we'll have a set of headwinds and we'll have to look at the overall set of levers which can help us address those headwinds. Given the current uncertainty, it's difficult to give a timeline. But yes, the way we are exiting the subcontractor cost side of it should be helpful. And we should be able to further double down on that.

Sandeep Shah: Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Good evening. I just want ed to understand what is driving the growth in the UK market? Rajesh, you had mentioned in the last quarter t hat unlike continental Europe and the US, in UK there is some clarity. They had moved decisively towards the cost takeout project. I'm just trying to tie it up with Krithi's comment that cost takeout projects may not be longer gestation period projects. An d is that something, the clarity in terms of what they need to do reflecting in better growth in UK? And if that is the case, would that be a template that US also can follow once there is some sort of clarity either way, either on the discretionary side o r on the cost takeout side, things could quickly come back and the growth can resume?

Rajesh Gopinathan : Abhishek, UK is exactly what you described and what we said in the past . The market is reconciled to the operating environment and knows that it needs to do something because externally nothing is going to change. And it is not just cost takeout, transformation projects are also ongoing.

Last quarter, we had spoken about a very large telecom deal. That was a combination of cost takeout as well as a massive movement onto the cloud to be able to make their whole enterprise stack agile, so that they can introduce new products faster and respond to market conditions differently.

Similarly, in the utility sector, we have spoken about how the market regulator is moving to introduce greater competition and greater agility there. We worked

with the Rail Delivery Group, which is another regulator on the transportation side, which is al so moving massively to leverage data and introduce greater agility , and use the data to improve overall efficiency of the system and to enable newer entrants to come in and to offer services.

So, it would be wrong to characterize the UK market as a purely cost takeout market. It is a market where the structural cost bas es are being reset, but significantly new competitive forces are also at play as industry structures are being actively worked on. We are participating very strongly across the board. As you know, we are the largest services provider in the UK market by a margin and that is playing to our advantage because our ability to shape the opportunity and to participate in it is very very significant. Interestingly, it is happening not just on t he private side, but on the public sector and the semi - public sector side also, where also our participation is very high. So, UK is a great story about technology being part of the solution for any such scenario.

Now, will that play out in US? That depen ds on the nature of the US always has been at the fore front of leveraging technology. US companies as an overall ecosystem are also much more dynamic, much more decisive in moving and much more risk taking. So, the starting base is very different.

So, does UK provide a playbook ? Not on a like -to-like basis . But conceptually, our entire business model is predicated on the belief that what we are seeing in UK is likely to play out

in market after market, where technology leverage will only keep on increasing rather than decreasing , in any scenario, whether it is a challenges scenario or a growth scenario. What we need to do is to make sure that our service portfolio is fully able to participate on both sides of the spectrum simultaneously .

Abhishek Kumar: That is very insightful . Thank you and all the best.

Moderator: Thank you. We have our next question from the line of Pankaj Kapoor from CLSA. Please go ahead.

Pankaj Kapoor: Thanks for the opportunity. Rajesh, wish you the best and Krit hi, congratu lations. Can you give some color on how the deal velocity panned out within the quarter? Did you see clients delaying decisions on deals that would have otherwise closed by, say, March end in the last, say, 15 -odd days? And if possible, can you quantify th e impact of that?

Rajesh Gopinathan : Actually, deal velocity has not reduced. In fact, if anything, it has accelerated, especially in Europe. We have seen signi ficant acceleration in decision making on deals in Europe. We had called out delays earlier but in Q4, we have seen an acceleration. If you look at deals greater than $50 million, we have closed more deals in this quarter in Europe than what we did in the first three quarters of the year. Is that just a catch -up to thing s that got delayed during the year, we'll have to wait and see.

Coming to the pipeline , there too we had shared with you in the past that in Europe, though the decision making was slow, the pipeline buildup was very steady and very encouraging. So we'll ha ve to wait and see how it translates in the next two quarters. But this quarter, decision making in Europe has increased.

It's very encouraging because initially, we told you about how the sentiment had turned incrementally positive in Europe, both on thei r overall economic side, having dealt with the winter positively, receding fears on an energy crisis and also increasing optimism on the China scenario. So that positive sentiment has resulted now in increasing deal closures. We'll have to wait and see how it turns out in the rest of it.

US also, our TCV has been very strong. And it has been strong through the quarter, even in March. And it is coming across both existing customers as well as new customers. In fact, in this year, our new client TCV in the US has been a record high. So there is nothing that shows that deal flow has actually slowed down. In fact, as I said, one specific market, Europe, it has actually accelerated.

Pankaj Kapoor: So is it fair to assume that events of last few weeks actually had an impact more in terms of client just pausing ongoing project s, which is the reason why we saw the impact o n the reported revenues, but the deal decision making has not been impacted?

Rajesh Gopinathan : Absolutely, Pankaj. Narrowly answering the question, that's exactly right. The revenue impact is due to discretionary projects being deferred, or expected project startups getting delayed. We have not seen large scale project cancellation. We have not seen deal flow slow down. It's a very immediate, short -term kind of impact that we've seen play out over the last couple of months. But it requires cl ose watching to see how it develops through the course of the next quarter.

Pankaj Kapoor: Of course, thank you. Samir, my question was again, on the higher onsite cost. You mentioned subcontractor replacement was the reason, but I'm just wondering, wouldn't that be already baked in when you spoke of the 25% exit margin in the previous call, and the currency tailwind that we saw was not anticipated? So if you can just help understand what wa

s the math there?

Samir Seksaria: On the onsite co sts, it was not just subcontractors but also additional local hiring. On why we ended up here and not at 25%, that is not just because of just the higher onsite costs. It is also due to customer sentiments turning increasingly negative from where we started off at the beginning of the calendar year to what we saw in February and March. When discretionary projects are paused, that has an immediate impact on the revenues while we continue to incur the related costs in the short term. And t hat's why we couldn't exit at where we had targeted.

Pankaj Kapoor: Understood. Thank you and wish you all the best.

Samir Seksaria: Thank you.

Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: Hi, thank you for taking my question s. So, first question, just going back to the conversion of the order book to revenue, just to get it a little better, is it fair to say that last year you ended the order book on TCV bas is, a particular growth, your ACV growth would have been slower than that ? And this year in FY '23, your ACV growth would have been better than the TCV growth, which gives you more confidence on your faster conversion of order book to revenue for next year . Just trying to understand, is that the correct understanding?

Rajesh Gopinathan : Gaurav, we do not comment on ACV . I do not want to get dragged into it. But from the perspective of the composition of the order book this year, it is more weigh ted towards the medium -sized deals than mega deals. So, you know, the $50 - $100 million range has been a larger constituent rather than the $500 million plus book.

Gaurav Rateria: Got it. Secondly, Rajesh, you mentioned that the sentiment in Europe has kin d of improved and that has reflected in better velocity of the deal flows. Is it fair to say that at least for the next two quarters, the growth drivers for overall revenue will be more led by Europe than the US?

Rajesh Gopinathan: That's a stretch . But I don't know, we will have to wait and see how it, Europe is also complex, especially BFSI. Do you want to comment on BFSI?
Milind Lakkad: Gaurav, if you look at Europe, different regions play out differently. In BFSI, we are seeing good traction in Nordics and Benelux. Central Europe is slightly complex and difficult. So, to make a generic statement that Europe would turn out to be more positive will not be appropriate. Each vertical and each region is going to play out differently. Overall , the sentiment is improving. We are not saying that it has become strong overnight that it will drive our growth. It's improving .
Gaurav Rateria: Got, it. Last question . Rajesh mention ed about the kind of reorienting the operating model to adjust in line with the changed macro conditions from a cost structure perspective. So, typically it takes about a quarter or two to kind of adjust that or make that adjustment within the operating mo del. And, is that a fair assessment from a margin perspective in the sense that it takes about a quarter or two to reflect that the cost structure and the better margins from overall company standpoint?
Rajesh Gopinathan: Actually, let me explain what I m eant. I kind of carried over from the discussion in the press conference. As you know, our reliance on contingent labor has significantly increased , mainly because of the various travel restrictions and supply side challenges in the local market.
A combination of high demand and significant dislocation on the supply side had resulted in a significant increas e in our dependence on contingent labor.
We a re structurally and systematically moving to go back to our more preferred operating model, which is about 5% to 8% of

our onsite workforce being contingent labor.
This is also very important for us to ensure quality of delivery and to manage the overall experience at the customer level. So we have been systematically executing that. We are about 25% lower than our peak contingent labor reliance in the North America g eography. We have quite a distance to go to bring it back to our desired operating range , and we will continue to do that , relying on improvement s in the travel and visa availability.
Once we have that, we will again have a greater ability to flex up and down depending on where the demand is. So, that is where I was coming from. This is a multi -quarter journey and it is not purely driven from a cost perspective . It

is as much driven from the need for stability and resilience of our overall operating model.
We are executing on that, which positions us well in the current environment .
If the demand spikes, we anyway have the base load there and we can go back to the more immediate supply sources. And, if it reduces, we will keep on systematically bringing th is down, benefiting margins because it is typically more costly than our long -term employee base.
Gaurav Rateria: Got, it. Thanks for the explanation Rajesh and all the best for your future endeavors and congratulations to Krithi. Thank you.
Rajesh Gopinat han: Thank you.
Moderator: Thank you. We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Thank you. This is similar to what Pankaj asked that the way the deal s have come through, you know, it shows that the demand environment has not really changed, but the quarters of early growth, it has become pretty negative. So, are you seeing this change in pipeline or delays in decision making that this negativity is not just temporary caution? Or should we think about this as something similar to furloughs and we will see this come back in a quarter or two?
Rajesh Gopinathan : Ravi, as of now, no . But we'll have to wait and see if it persists, and how it turn s out. As of now, w e have not seen any significant change in the deal pipeline.
And the actual pipeline replenishment continues to be quite strong. But we'll have to carefully watch how the decision -making plays out in the next quarter or so.
Ravi Menon: And you had talked l ast quarter of a more normalized annual gross hiring of around 125,000 to 150,000 people as attrition normalizes. Is that still the range

you're working with?
Milind Lakkad: See, we don't call out on gross hiring for the year. In general, for the campus hires, I talked about 40,000 campus hires. Number of lateral hires will be dependent on the demand from the business every quarter.
Ravi Menon: Thanks. And one last follow -up, if I may. It looks like you could have taken up the utilization, but you opt to I mean let the natural attrition, you chose to still

replace that. Why would you do that when you don't really have much visibility into the demand?
Milind Lakkad: I think it's a mixture of both. We are doing both. We are actually developing doing a rigorous talent development of our people coming in from the campus. At the same time, we need the people from the market, and that is how it is playing out. We need both.
Rajesh Gopinathan : And Ravi, the BA side of it, which I explained earlier, is also part of that. We're not just replacing that attrition. We are also replacing on the BA side.
Ravi Menon: Thanks everyone, best of luck. And thanks Rajesh it’s been great having you . Krithi welcome a board. I hope, this should be an easier than what Rajesh had. Than k you.
Rajesh Gopinathan : Thank you, Ravi.
Moderator: Thank

you. We have a next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Thanks for taking my question. So, just a couple of questions from my side. Last quarter, we mentioned that the growth in the retail vertical last quarter was primarily driven by the travel vertical. Does that continue to be the case this quarter as well? And how is the core non -travel part of the retail function , say the FMCG and the CPG part of the business faring on an overall company basis . My second question was on the overall scenario at this point of time. I mean I'm sure the TCS management has been through similar kind s of downturn before and come out of that challenge as well. So typically, in these kind of economic slowdown s or downturn s, do clients end up asking for pricing discounts or do competitors resort to some pricing under cuts, which basically force s us also to maybe follow them, which would impact the profitability or the growth or both in this kind of a scenario?
Rajesh Gopinathan : Sorry, I was on mute. On the Retail side, TTH [Travel Transportation and Hospitality] continues to do well. But our performance is not purely driven by that. Especially in t his quarter, most segments have done well. Essential retail has done well. Some part s of discretionary retail and fashion have been challenged. North America retail has been quite weak , whereas North America travel continues to do well.

So overall, most s egments are doing well with Travel and Hospitality outperforming within that , and North America retail underperforming. That's the way to understand this quarter's retail side of it.
On the pricing side, we have had this discussion earlier too . In our industry, unlike a product industry, discounting and price undercutting is not as easy because an incremental deal is one thing. But once you offer a price, it's very visible across your entire customer universe. So the ability to do that in a very systematic manner is quite restricted. So it's a much more disciplined industry in terms of pricing. That is what's playing out. We'll keep watching it . We will stay tactically responsive in the market, and we'll deal with it as it comes.
Vibhor Singhal: Got, it. Thanks for taking my questions. And wish you all the best.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for the closing comments.
Rajesh Gopinathan : Thank you. We are pleased with our FY 23 performance , growing at 17.6% in rupee terms and 13.7% in constant currency terms. The steadily deteriorating macro environment has meant decelerat ing second half. Our Q4 revenue growth was 16.9 in rupee terms and 10.7 in constant cu rrency. However, we have had a very strong order book with an all-time high number of large deals. Our operating margin in Q4 was flat sequentially at 24.5%, and our net margin

was at 19.3%. On the people front, LTM attrition in IT services further fell to
20.1%.
Lastly, I want to thank all of you for all the positive sentiment that you’ve shown .
It's been a n absolute pleasure interacting with all of you and anticipating and
reacting to your questions. So, thank you for that good will and that attention
that you've given us. With that, we wrap up our call. Thank you all for joining
us today and enjoy the rest of your evening, day and stay safe. Thank you.
Moderator: Thank you, members of the management. On behalf of TCS, that concludes
this conference call. Thank you for joining us and you may now disconnect
your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim
record of the proceedings

Call: Jul 2023

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TCS/SE/ 90/2023 -24

July 14, 2023

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, Bandra Kurla P. J. Towers,
Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30 , 202 3

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call f or the quarter ended June 30 , 202 3 conducted after the meeting of Board of Directors held on July 12 , 202 3, for your information and records.

The above information is also available on the website of the Company: www.tcs.com .

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Pradeep Manohar Gaitonde
Company Secretary

Encl: As above

Tata Consultancy Services Limited
Earnings Conference Call
July 12, 2023, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kedar Shirali – Global Head, Investor Relations at TCS. Thank you and over to you, sir .
Kedar Shirali: Thank you, operator. Good evening and welcome everyone. Thank you for joining us today to discuss TCS ’ financial results for the first quarter of fiscal year 2024 that ended June 30th, 2023. This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this quarter. The financial st atements, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us today Mr. K. Krithivasan, Chief Executive Officer and Managing Director.
K Krithivasan: Good eve ning, good morning t o everyone.

Kedar Shirali: Mr. N G Subramaniam, Chief Operating Officer and Executive Director.
N G Subramaniam: Hello, everyone.
Kedar Shirali: Mr. Sam ir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello, everyone.
Kedar Shirali: Mr. Milind Lakk ad, Chief HR Officer.
Milind Lakkad: Hi, everyone.
Kedar Shirali: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance and anything said on this call which reflects our

outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly fact sheet available on our website and emailed out to those who have subscribed to our mailing list. With that, I would like t o turn the call over to Krithi.
K Krithivasan: Thank you, Kedar. Once again, good morning, good afternoon and

good
evening to all of you. I want to start by saying how happy I am to be interacting with all of you in my new role and I hope to meet you all in person sometime in the future.
It is very satisfying to start the new year wit h a string of marquee deals and a good performance, given the current circumstances .
In Q1, our revenue grew 12.6% in rupee terms, 7% in constant currency terms and 6.6% in dollar terms. Our operating margin was at 23.2% and net margin was at 18.6% .
I will now invite Sam ir, Milind and NGS to go over different aspects of our performance du ring the quarter. I will step in later to provide more color on the demand trends we a re seeing.
Over to you, Sam ir.
Samir Seksaria: Thank you, Krithi. In the first quarter of FY 24, our revenue was `59,381 crore , which is a Y -o-Y growth of 12.6% . In dollar terms, revenue was $7.226 billion , a Y-o-Y growth of 6.6% . In constant currency, our revenue grew 7%.
Let me now go over the financial performance. As in prior years, we rolled out a salary increase across the entire workforce with effect from April 1st, resulting in a margin impact of 2 percentage points.
By reducing our use of subcontractors and through other efficiencies, we were able to mitigate some of that impact and report an operating margin of 23.2% , a contraction of 1.3% sequentially, and an expansion of 10 basis points year - on-year. Net income margin in Q1 was 18.6% .
Our EPS grew 16.8% year-on-year. Effective tax rate nudged up slightly to 25.8% . Our accounts receivable was at 65 DSO in dollar terms, flat sequentially.

Net Cashflow from Operations was `113.53 billion , which is 102.5% of Net Income. Free Cash Flow was `109.92 bil lion.
Invested Funds as of June 30th stood at `609.42 billion . The Board has recommended an interim dividend of `9 per share.
Over to you, Milind.
Milind Lakkad: Thank you, Sam ir. Our workforce at the end of the first quarter was 615,318, a net addition of 523. While we are committed to honoring all the job offers we have made, our focus currently is on leveraging the capacity we had built earlier.
Our workforce continues to be very diverse, with 154 nationalities represented and with women making 35.8% of the base. We remain focused on developing, retaining, and rewarding the best talent in the industry and enhancing their effectiveness by bringing them back to office to foster our culture.
Our return to office initiative is picking pace, with 55% of our workforce attending office thrice a week. Towards driving a more performance -focused work culture, we rolled out salary increases of 8%-10% for high performers and 12%-15% for exceptional perform ers following our annual comp ensa tion

review.
Our investments in organic talent development continue to deliver exceptional outcomes. Year -to-date, TCSers logged 12.7 million learning hours and acquir ed 1.3 million competencies , including 180,000 high demand competencies.
LTM attrition in IT services was at 17.8% , down 2.3% sequentially. Based on the current trend, we expect that in the second half of the year, our LTM attrition will be back in our normal longer -term range, which has historically been an industry benchmark for talent retention.
Over to you , NGS, for some colo r on our segments and products.
N G Subramaniam: Thank you, Mil ind. Let me go through some of the segmental performance details of this quarter. Please note that all growth numbers are on a year -on-year, constant currency basis.

Last quarter, we had called out the growing caution among the clients, resulting in deferments and pauses in discretionary projects, particularly in North America and Europe . Th

at has continued in this quarter.
Growth among industry verticals was led by Life Sciences and Healthcare, which grew 10.1% , and Manufacturing which grew by 9.4% .
Other verticals showed some softness, BFS I grew 3%, Retail and CPG grew 5.3% , Tech and Services grew 4.4% , and Communications and Media grew by 50 basis points.
In terms of geographies, we see maximum caution in North America and Continental Europe, which grew 4.6% and 3.4% respectively.
We continue to have good momentum in the United Kingdom, where we grew by 16.1% . Among emerging markets, India grew by 14%, Asia -Pacific grew by 4.7% , Latin America grew by 13.5% and Middle East Africa by 15.2% .
Our industry -leading portfolio of products and platforms had a very strong quarter.
• ignio™ , our cognitive automation software suite, saw 37 new deal wins.
There were 26 go-lives.
We continue to strengthen our cloud offering within the ignio suite by expanding coverage across all three major hyperscalers . We also launched a FinOps module in ignio to help customers analyze and optimize their cloud spend.
Digitate scientists are collaborating with TCS Research and Innovation to leverage large language models to further enhance ignio's predictive automation capabilities.
• TCS BaNCS™ , our flagshi p product suite for the financial services, had 7 new wins and 8 go-lives during the quarter.
The deal wins were well -distributed across developed and emerging markets and in banking, capital markets and insurance. Among the go -lives, a high -profile one was that of our trading platform which went live successfully for trading, planning, an d settlement at the NSE IFSC - SGX Connect , in GIFT City. Through our platform, the Singaporean and Indian

capital markets can work seamlessly on dollar -denominated NIFTY derivative contracts.
• TCS BaNCS Insurance platform also saw excellent traction in Q1, with 3 new wins and 4 go-lives during the quarter. We have already published the details of our deals with NEST, Teachers' Pension Fund, and Standard Life International , so I won’t repeat them here.
However, it is worth highlighting that the Standard Life International deal marks our entry into continental Europe, extending our platform and services footprint to meet the needs of the German and Austrian markets to begin wi th and thereafter to other markets in Europe.
• Our Quartz blockchain platform had 1 go-live this quarter.
• In life sciences, TCS ADD ™, our advanced drug development platform, had 2 go-lives this quarter. TCS ADD Safety went live at a Top10 UK -

based pharmaceutical company to read and process adverse event cases. With this, TCS ADD has successfully automated over 70,000 adverse event cases, including clinical trials as well as post -marketing cases.

• TCS OmniStore , our AI -powered universal commerce suite, had 1 new win and 1 go live during the quarter.

• TCS HOBS , our suite of products for communication service providers, had 1 new win and 1 go-live during the quarter.

• TCS TwinX , our digital twin solution, had 4 wins and 1 go live .

• TCS iON had 25 new wins and 23 go lives. In Q1, our platform administered assessments for 18.2 million candidates, 72% higher year -on-year. Over 2,400 corporates now leverage TCS National Qualifier Test for their entry level recruitment.

• MasterCraft and Jile won 30 new clients in Q1.

Let me now go over client metrics. The steady increase in the number of clients in every revenue bucket is the ultimate validation of a customer -centric strategy. The superior outcomes that we deliver result in a steady stream of repeat business and invit ations from clients to transform newer parts of their business.

This is the secret of the long and enduring customer relationships that we have been able to build.

In Q1, we added 1 more client year -on-year in the $100 million + band, bringing the total to 60; 13 more clients in the $50 million + band, bringing the total to 137; 24 more clients in the $20 million + band, bringing the total to 296; 22 more clients in the $10 million + band, bringing the total to 468; 27 more clients in the $5 million + band, bringing the total to 677 and 72 more clients in the $1 million + plus band, bringing the total to 1,268 .

I will now request Krit hi to speak on the demand -drivers during the quarter.

K Krithivasan: Thank you, NGS. As NGS called out in his commentary, macroeconomic uncertainties have resulted in greater caution among clients. Clients are taking a month -on-month approach, resulting in very limited visibility on their future spending, even within their own organizations.

On the discretionary side, while larger transformation programs like cloud migration are continuing apace, some of the smaller programs or sub - programs are coming under scrutiny.

We continue to see reprioritization of projects in favor of those which are considered business -critical and where ROI realization is likely faster. This is disrupting the normal flow of work which is usually an uninterrupted series of related projects executed one after the other.

Long -running d iscretionary projects, typically CTB in nature, planned and scheduled some quarters ago under different circumstances, are now coming in with reduced scope or reduced pace.

This is what is resulting in some revenue softness across most of our industry verticals, even though our order book has been very strong in the last couple of quarters, and there has been no problem in their conversion to revenue.

At an overall level, given the uncertain macroeconomic outlook, we see strong client interest in cost opti mization, vendor consolidation, and integrated operations.

That said, the flavor of the quarter was Generative AI. In every conversation I have had with the clients over the last three months, this has unfailingly come

up. Gen AI promises to transform most knowledge work by assisting and augmenting people and improving their productivity.

Over the last two quarters, we have engaged multiple customers using our co - innovation framework in exploring use cases for Generative AI across productivity improvement, content creation, and enhancing customer interactions. We are currently working on over 50 proofs of concept and pilots , and have more than 100 opportunities in the pipeline.

Let me give you three examples.

• We are working with a leading European shipping and logistics company

to automate their contract administration using Generative AI, significantly improving productivity and enhancing business outcomes.
• For an energy utility on the West Coast, TCS is engag ed in transforming their service desk operations using Generative AI to enhance self -service, improve the quality of service, and drive customer satisfaction. This is being enabled via conversational service -desk chatbots augmented with Generative AI capa bilities to provide precise, contextual, and personalized responses to user queries and issues based on knowledge articles. Generative AI is also being used to automate the call quality audit function , for assessing and evaluating agent interactions with the customers, and providing recommendations for improvement.
• For a global provider of travel insurance and assistance, TCS is engaged in a pilot project to transform customer service leveraging generative AI. This will enable the customers to get highly contextualized and precise responses to any queries that they may have on travel insurance policies, especially about

the terms and conditions.
The solution would manifest as a self -service multilingual chatbot to which users can po st questions about a travel policy in a natural, conversational style. Unlike traditional chatbots, the Gen AI bot can understand nuances in the question and respond with specificity and personalize to user context. Generative AI will also b e used to respond to queries received over email. This is expected to result in reduced agent handling time, substantial productivity gains, and improved quality and consistency of responses.

The excitement around the new technology apart, our point of view is that the full potential of Generative AI is best realized through a holistic enterprise -wide initiative encompassing business, legal, risk and compliance, research and innovation, rather than through multiple point solutions.
We have launched an advisory offering to help customers in creating a holistic vision, strategy and plan for enterprise -wide adoption of Generative AI. Additionally, we have started talent development at scale across multiple Gen AI solution suites in partnership with the hyperscalers. We plan to create a talent pool of over 100,000 Gen AI trained associates.
This will build on the tremendous depth we possess in predictive AI, machine learning and advanced analytics, which we have been using in the last few years to build transformational solutions that can recognize patterns across large data sets, make recommendations and personalize customer experience.
Today, we have over 50,000 TCSers trained in AI/ML solution -building skills, with over 9,000 with top external certifications. We have market -leading products like ignio, Optumera , ADD, and TwinX, which use AI and ML to transform their respective domains. We have filed over 710 patents for AI inventions in the past five years, and 282 of them have been granted so far .
Two examples of recent engagements will give you a flavor of the business impact that AI -powered solutions can have.
• A Belgium provider of connectivity and digital services leveraged TCS ' consulting and advisory capability to shift from cost-plus pricing to intelligent pricing within its ICT business.
TCS delivered a differentiated approach, integrating data from multiple sources to extract meaningful insights from historical data, and an AI - driven dynamic pricing mechanism on an opportunity by op portunity basis that also incorporated anomaly detection.
The solution has already uncovered significant money left on the table that runs into multi -million dollars, enabling revenue growth and profitability.
• For Cummins Incorporated in North America, TCS successfully delivered a strategic engagement to identify and reduce global warranty non - compliance.

Leveraging contextual knowledge, in -depth understanding of the warranty function, and working closely with the business teams, TCS built a sol ution that uses pattern detection and automation through advanced analytics and AI/ML to shift the detection mechanism early in the process. This initiative will potentially save millions of dollars per year for Cummins.
A well -governed and robust d ata foundation is a prerequisite for enterprise adoption of AI. Consequently, as part of the Horizon 1 cloud transformation, many clients are also modernizing their data estates. We have extensive experience in this area and a strong portfolio of intellect ual property that has helped us gain share in this opportunity.
TCS Datom ™ is an advisory framework to help clients assess their data maturity and define a holistic data analytics and AI strategy aligned to their business goals.
We also have TCS Daezmo ™ that helps c

lients speed up data modernization
initiatives with a host of accelerators and methodologies to improve project outcomes.
And then we have TCS Dexam ™, our data exchange and marketplace solution platform, to help clients democratize, monetize, and commercialize cross - functional enterprise data through private or internal data marketplaces.
Let me share a few examples of recent data modernization engagements.
• A global leader in water, hygiene, energy technologies and services partnered with TCS to modernize and migrate its master data landscape to the cloud. TCS used its domain and technical expertise to deliver a modern SaaS, AI/ML, and cloud native solut ion that enables near real -time integration with its core ERP systems to improve performance, usability, and scalability while reducing cost of ownership and technical debt.
The solution enables seamless integration, interoperability across various busine ss systems, empowering teams to make data -driven decisions, and provide a strong foundation for future AI -based solutions.
• A US -based provider of connected vehicle services chose TCS as its strategic partner to enable its data monetization strategy to driv e growth. TCS leverage d its proprietary Datom framework to build a data platform on

a public cloud which serves as a single source of truth for data on subscribers, vehicles, and other vehicle telematics.
With real -time data ingestion and advanced analytical capabilities, the client now has a centralized repository of a very large dataset that can be monetized through AI/ML.
• A US-based market infrastructure institution engaged TCS to build a centralized data warehouse to house all the data generated by the cybersecurity software and appliances in the ir organization , where it can be effectively monitored, assessed, reported, and acted upon to reduce security threats and vulnerabilities.
The TCS solution stitches together technologies of multiple providers to provide on -demand scalability and traceability t hrough a centralized framework.
This has resulted in a reduction of security vulnerabilities by 5% to 10% and enabled 2x faster onboarding of newer sources. Most importantly, with all the cybersecurity data hosted centrally, it is now possible for the client to use AI/ML to si ft through those vast amounts of data to help analysts prioritize the threats.
Moving on to cybersecurity, as we have pointed out in prior earnings calls, this has been an area of fast growth for us. Let me share a few success stories in this area.
• Bane N OR, a Norwegian state -owned company responsible for owning, maintaining, operating, and developing the nation's railway network, selected TCS to help move to a newer and more advanced identity and access management (IAM) solution. TCS facilitated an organi zation -wide assessment of the IAM estate and leveraged its domain and technology expertise to craft a unique solution that will help Bane NOR secure its complex and critical IAM , and reduce risk.
• A leading supplier of rail -based transportation services eng aged TCS to

improve the security posture and reduce cyber risk. The TCS solution stitched together firewalls, proxy services, endpoint protection, SOC, and vulnerability management to help the client achieve high cybersecurity standards. In addition, TCS i s running the cybersecurity operation for the client in a managed services model.

• A European technology leader in electrification and automation engaged TCS for transforming their privileged access management (PAM) to protect their large server estate across hybrid cloud as part of the stringent SOX compliance mandate.
TCS managed and successfully delive

red the PAM transformation, helping the client clear rigorous SOX audit control checks from third -party auditors with no significant deficiency for the first time in three years. This established a robust foundation of PAM and gave the client sufficient confidenc e to expand it to other critical infrastructures and applications.
Moving on to growth and transformation, we continue to see clients invest in business -critical transformational programs that will drive growth.
• A leading UK -based global leverage company partnered with TCS to accelerate growth with a B2B digital commerce platform. TCS helped design and deploy a bespoke solution that strengthens customer relationships across every touchpoint and provides world -class digital experiences for customer engageme nt.
The new system also improves commercial execution with 360 -degree views of customers and insights on customer behavior, enabling tailored content and communication for targeted customers. Its 24/7 self -service has reduced dependency on the sales rep, increased net sales value, and significantly reduced the cost to sell.
• A US -based industrial equipment rental company engaged TCS as its strategic partner to enable new services and revenues streamed through equipment servitization. TCS leveraged its Bringing Life to Things ™ IoT transformation framework to build a hybrid cloud based IoT platform as the digital spine of the company's remote operations center.
The platform collects field usage data, coordinates maintenance, and tracks availability of the assets that are rented out. This data is used to provide real -time asset p erformance insights that can help end customers avoid work stoppage, reduce maintenance costs, and improve asset utilization. Our client not only gains incremental revenue for these value - added services, but also a competitive edge in the market.
Lastly, we continue to see strong traction in operating model transformation. We have described in prior calls how these transformations entail redesign of

all the processes embedding next -generation technologies like machine vision, AI, and machine learni ng to boost velocity, improve operational resilience, and drive efficiency.
Another aspect of these transformations that business leaders like very much is TCS' integrated operations model , with AI -powered business command center s which provide them wi th end -to-end visibility and holistic control across back -end, middle layer, and front -end operations along with the underlying applications , data estate and IT infrastructure layers.
This enables better alignment with business KPIs, enables faster res olution of issues, and greater resilience in operations.
• Faced with multiple challenges in the ir supply chain and IT landscape, a US-based healthcare distributor engaged TCS as a strategic partner to transform their operating model. Their IT tools, systems, and processes were fragmented, and they had multiple service providers supporting their IT infrastructure and business applicati ons.
This fragmentation resulted in lack of traceability whenever there was any system failure. Any issue potentially meant some trucks somewhere in the supply chain got delayed by four to five hours, impacting the delivery of

drugs . A significant portion of the ticket resolution time was spent in just identifying the stakeholder responsible for the issue.
We integrated their different IT service management tools into one modern platform, consolidated their service desk into one integrated team, supporting all the business applications and the supporting infrastructure, and implemented persona -based solutions for better user experience.
We deployed our Machine First™ delivery model, leveraging multiple AI/ML -based value builders from the TCS Cognix™ Suite

of Solutions to
transform the process. All this has helped reduce supply chain disruption, improved the drug delivery fulfillment, and enhanced their supply chain effectiveness.
• A large US -based information management company partnered with TCS to digitally transform their CFO operation. Here too, we deployed a new operating model that integrated the business processes and IT support operations using TCS Cognix and proce ss mining to redesign the processes.

By integrating the support teams and monitoring performance holistically, spanning business operations, IT applications, and infrastructure support, we have helped the client enhance operational resilience and velocity , helping improve free cash flow and working capital.
Moving on to order book, we had a strong order book in Q1 with a TCV1 of $10.2 billion , a book -to-bill ratio of 1.4. In rapid succession, we won two deals in the UK public sector from Teachers' Pension Fund and NEST and one from Standard Life DAC, reinforcing our leadership in the UK life and pensions market.
While the details of the NEST win are already in the public domain, including in our press release, I thought it is worth sharing an interesting detail mentioned in the standard document available in the public domain. I quote:
“Nest commissioned a broad market assessment from PricewaterhouseCoopers to understand whether there is competition in the market capable of meeting Nest's requirements for technical experience….. PwC's expert conclusion was that, apart from TCS, there was no single supplier or consortium in the market now or the short term (assessed over the next 12 months) who could meet Nest's requirements.”
Coming back to our Q1 order book, BFSI TCV was at $3 billion , while the retail order book was at $1.2 billion . The TCV of deals signed in North America stood at $5.2 billion .
With that, we can open the lines for ques tions.
Moderator: Thank you very much. We have our first question from the line of Sudheer Guntupalli from Kotak Mahindra. Please go ahead.
Sudheer Guntupalli: Hi Krithi . Congrats and all the best once again on your new innings. Just a couple of questions. Last time when we announced our results, the banking crisis in America and Europe was just cooking. Now, is this issue still being referenced to by clients as a concern or is this subject largely behind , based on your client conversations?

1 Total Contract Value

K Krithivasan: We don't hear about this topic much. I would say that it is largely behind us . In fact, the large banks who are our primary customers are net beneficiaries . We don't hear this as a concern anymore, Sudheer.
Sudheer Guntupalli: We understand that predicting macro six, nine months down the line may be tricky at this point, but given that this was a major panic or stress factor in the last quarter, is it fair to assume that September quarter will see a decent growth unlike June, which remained flattish, despite the seasonal strength?
I know you don't give quarterly gui dance, but directionally, is that a fair assumption?

K Krithivasan: You said we don't give quarterly guidance. I don't want to say anything on Q2, Sudheer.
Sudheer Guntupalli: Just one last question. Two consecutive quarters of strong deal booking despi te the weak market, not even including the BSNL deal, and this quarter execution also, largely played out in line with your expectations, and we are seeing market situation improved a bit, especially regarding this one panic factor, and you're saying pipel ine is strong. How do we reconcile it with your tone in general on the demand situation? Is there a bit of conservatism you're baking in your tone

to provide a buffer for any unexpected shock, especially since you have just taken charge?
K Krithivasan: No. We are not being conservative or optimistic here. We are telling what we are seeing in the market . As we explained earlier also in the call itself, while the demand is still good, we are winning new deals, but clients are reviewing the projects underway, and wherever the ROI is not very strong, the next phase of the project is getting paused. So, t hat's the reason we find the revenue s dropping ..
Otherwise, we don't see a problem in the long-term. We don't see any issue with the demand or investment on technology.
Sudheer Guntupalli: Thank you, sir. That's it from my side. All the best.
Moderator: Thank you. We have our next question from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Thanks for taking my question. Krit hi, after two quarters of 10 bill ion plus TCV, I just wanted some more understanding on your media comment earlier , when

you said long -term is good, short -term cannot call. Is that based on more client - specific factors or deals deferred earlier have seen more cancellations in the near ter m? So essentially, what I am asking is, the softness of the project prioritization that you referred to, has that become more broad -based across clients or that has become more concentrated within the pockets?
K Krithivasan: See, except in one or two spec ific cases, I won't say this is concentrated. While the impact could vary from one account to another , the review and reassessment of discretionary project s itself is a broad -based trend. How much a given client pauses project s or delays them versus others might vary, depend ing on the individual situation .
Like I was mentioning in the media interaction, f you look at US banking, large US banks are still doing good. We don't see a major problem there. So, to some extent, it depends on the industry also, Apurva.
Apurva Prasad: Okay. And my other question for Samir, on the operational front, what are some of the near -term levers that you have, especially when operating leverage impact is lower due to softer growth?
Samir Seksaria: Sure. We will continue to use levers like utilization. I have called out that utilization still has scope for further improvement and it continues to have .
Productivity and realization become the other levers. And some of our discretionary spend is now at a critical mass , where we can start looking at optimizing them as well. So, these would be the primary levers.
Apurva Prasad: Thank you.
Moderator: Thank you. We have a next question from the line of Mukul Garg from Motilal Oswal Financial Serv ices. Please go ahead.
Mukul Garg: Thank you. A couple of questions from my side. Krit hi, first on the nature of pauses which you guys have started seeing . What are you hearing from your clients in terms of what are the signs they are looking for which can make them change their view on these pauses or kind of pushouts ? Is this something which people will still have patience for some time before they start pulling back their tech spending or do you think the unce rtainty being where it is, if things don't worsen materially, the demand can come back on a shorter notice?
K Krithivasan: So, Mukul, as you also mentioned, it is a near -term uncertainty which is causing the clients to re-look at the programs and pause them wherever they think the

ROI is not strong or is going to take longer time. And once the uncertainty is lifted, and they have clarity on more long -term outlook in terms of where there will be growth or what the y should be doing , we would see a certain class

of
projects, either cost optimization or transformation projects picking up momentum.
But obviously, we cannot say when the uncertainty will be cleared. So, I would believe that till the uncertainty exists, there would be a cautionary approach towards investments.
Mukul Garg: Sure. Krit hi, one question on the Gen AI. Obviously, you spoke a lot about it, but how should we realistically expect to see the impact of all the work you are doing from a two to three -year window? Is this something which will help you accelerate your revenue growth or should we see this more as a defensive move which will help you defend your revenues because there is a bit of a deflationary nature to the Gen AI deployment? Or is this something which will play out more on the talent side and structurally moderate the pace of people addition?
N G Subramaniam: Mukul, this is NGS here. I think all of the things that you said will play out. You need to be looking at all these dimensions. But I think what is interesting for us is the fact that it can deliver things faster and the whole time -to-market element could be completely redefined. Newer benchmarks could emerge in terms of predictability of the overall software, quality, processes, everything can improve.
Will it mean that we will need less people? It is something that we will have to evaluate. But in all the technology adoptions in the past that we have seen, it has only increased the volume of work and thereby actually we needed more expertise and more hands to do the heavy lifting that people really look for.
So from that perspective, it is a very interesting technology. And a lot of evaluations are going on at the enterprise level. And the other thing is that, look, the whole cost model of it, how much is it going to cost me to embrace Generative AI? How are people going to price it? I t is a very interesting proposition that everybody is looking at.
Currently, every token is getting priced. So how much is it going to cost me to embrace Generative AI in my overarching things that I want to accomplish

across technology and operation is a lso something that will be taken and played out.
So I see a lot of opportunities for us in structuring our own way of delive ry, our own improvement to the value propositions that we can offer embedding Generative AI. But overall, it’s going to be very interesting to see how industries are going to embrace it and given their own experience on cloud and the angst around how the cloud cost itself in terms of consumption cost is emerging.
Mukul Garg : Sure. Thanks a lot for taking the question and best of luck for the remainder of the year.
Moderator: Thank you. We have our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: Hi. Good evening. Thanks for taking my question. Just an extension of the generative AI discussion, we were having just now. So while you definitely talked a lot about the demand opportunity for the customers, I unde rstand, you are also running multiple projects internally as well , to assess AI augmented processes, how they are going to save cost or productivity for you. Can you share some of the details on that? And is that a possibility that, our own productivity be nefits within TCS could start to prove much ahead of the revenue opportunity from generative AI comes through, eventually?
N G Subramaniam : Rakesh, this is NGS again. It’s difficult to call out some of this, but sufficient to say that, we have multiple teams, in almost every vertical that we have , who are working on pilots and internal projects. We are also working on how to craft the methodologies and toolkits to be meaningful to our clients, using this technology. All this is going on.
And as we called out earlier, there are at lea

st about 50 projects that we are
executing. Some are small, some are large. And one of the ni ce things to see is , if a particular organization has an ability to predict one or two parameters,

that can be focused upon using this technology, that will create maximum business impact for them .
I mentioned about, for example, if someone can predict, if the technology can predict let us say, the container price three quarters down the line, then it could be a boon for the shipping industry. So, it is a problem such as that, and how do you improve or increase the yield per acre of agricultural commodities, right?

Some of these things and specifically matching with the climate technologies or climate parameters that one has, which will have their own predicti ve features, will all contribute to inter -disciplinary nature of the solutions that we need to del iver. So, there is a lot of work going on in the industry and within the research and innovation team of TCS. A couple of quarters down the line, maybe we will be able to give you more color .
Kumar Rakesh: Thanks a lot, NGS, for that. Definitely quite exciting use cases there. Samir, during media interaction, you talked about clawing back some of the margin in the coming quarters. So, how do you see the trajectory of the claw -back? Will it be similar to what we saw last year or there are higher tailwinds or headwinds this year as we move in the coming quarters?
Samir Seksaria: So, in a typical year for us, we take the biggest headwind, which is the increm ent up front. We then typically claw back the margins through the rest of the year . With the current macro uncertainties , it would be difficult to estimate how exactly the margin recovery will play out quarter on quarter . But our focus would be to incrementally get closer to our aspirational band , improv ing our margins through each of the quarters and exit at a higher rate at the end of the year.
Kumar Rakesh: Got it. Thank you, Samir.
Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi. Thank you for taking my question. I have a few. Firstly, let us know if the understanding is correct. You entered 1Q with softness owing to events that played out in the month of March, especially in the US on banking side. And then you built momentum through the quarter to deliver what you delivered. Is it fair to say that you are entering the next quarter 2Q with slightly better momentum and better visibility than you did in the last quarter?
K Krithivasan: Gaurav, that is very difficult to say. I do not want to venture into saying something like we have better visibility, better momentum at this time. I would say, it has been very similar to what we saw in March. I wish, I can could say that, we are in a much better place, but I do not want to give that optimism at this time .

Gaurav Rateria: All right. Second question. Around two very strong quarters of TCV, now based on the deal ramp schedule, does this provide you with greater visibility of second half versus first half?
K Krithivasan: No. Our second half would depend on what happens in Q2 and how the momentum further builds over that. So, I do not believe that we are ready to call that second half is going to be better than first half. It is too early at this time.
Gaurav Rateria: All right. Last question. Any particular investments on the consulting side to leverage the demand that you think from generative AI projects? As you talked about that, a lot of organizations want to go to the consulting mode and not look at necessarily on a silo bas is. And also investments

on the delivery side,
which could help you to benefit from this technology? Thank you.
K Krithivasan: Gaurav, as we mentioned, we are approaching it from multiple angles. We are building our in -house capability in Gen AI. We have our R& I team that is working on developing patents and very unique capabilities. We are leveraging our contextual masters , because we want to marry the technology capability with the domain capability delivery services.
We are striking partnerships with all the hyperscalers. Coming to training, we

are committed to train 1 00,000 of our associates to be capable of leveraging this technology. So, all these are investments. In terms of any other investment, we also constantly look for new partnership s and other kind s of investment . As something comes up, we will definitely go forward and make those investments.

But, at this time, our investments are more in terms of ensuring our associates and our contextual masters and domain experts work together, to think of the right use cases and the right solutions for our customers.

Gaurav Rateria: Thank you.

Moderator: Thank you. We have our ne xt question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: My question is about fresher hiring. So was there any fresher hiring this quarter or was the recruitment mostly lateral to backfill that ?

K Krithivasan: No. We continue to hire freshers and we'll hire this quarter as well and that will continue.

Ravi Menon: My next question is on last quarter's increase in onsite costs and whether that was due to new project starts. Have we continued to see new projects start this quarter and that got offset by some pressure on the book of existing business? Or we didn't really see any new project star ts and cater it, that's why we kind of ended flat quarter -on-quarter on CC terms?

Samir Seksaria : We saw new project starts with deal wins continu ing to ramp up. We also had onsite movements happening incrementally in this quarter as well. And the net impact on revenue is due to the uncertainty on the existing projects or customers paus ing their spend .

Ravi Menon: Let me ask one more follow -up from me on this deferral of contracts. Is this due to this whole change in model to Agile versus Waterfall? Is that causing people to be able to take this pause versus earlier you would really have for any deliverable, there would be months probably still to go. So you couldn't really halt everything mid -flight and now it makes it a lot easier to put these pauses?

K Krithivasan: Not necessarily. I don't think I want to attach the reason to an y methodology. It is more related to customers' business outlook , However , in Agile engagements we execute smaller chunks of work at a time so to that extent , you can say that it is easier for customer s to defer the next phase of work . Otherwise , it has little to do with the project delivery methodology.

Ravi Menon: Thanks and best of luck.

Moderator: Thank you. We have our next question from the line of Rahul Jain from Dolat Capital. Please go ahead.

Rahul Jain: Yes. Thanks for the opportunity. Firstly on the regional market side, we have seen that, one-third of the contribution on a TTM basis has come from this segment, where the profitability is lower by 400 bps versus company average. And some of the large deals in India market that we know like BSNL and GM probably may not have higher margin s. So you think this segment growth, faster growth would put further pressure on profitability in the coming period?

N G Subramaniam : It is something that we will have to work on. But, these are fundamentally large programs, large system integration opportunities. And if you really look at the

overall deals that we have signed, one is that the $10.2 billion TCV does not include the BSNL deal, number one. Number two is that the platform deals, it has the potential to improve margins, if we execute it well and we deliver it on time and stick to the model in which, we want to continue to charge the customer on a SaaS basis, the opp ortunity is there to grow well.

And it is also based on certain things like price based on policy or claim that we settled and so on. So it has the potential to create a pricing structure which will increase our margins as opposed to only diluting the margin in some of these cases. But traditionally, if you take large system integration projects where we end up delivering some amount of hardware, yes, there the margin maybe less than the company average margin.

But overall, you have to see the se as large opportunities for long-term value creation with those customers. So it is a combination that we will have to look for. On a net -net basis, our approach is to take some of these projects, execute well and see that it adds to the overall capability creation and value creation, which is consistent with our philosophy.

Samir Seksaria : Just one more thing to add, Rahul. We don't publish regional market profitability separately. If you are looking at segmen tal results, they are based on industry verticals.

Rahul Jain: Right. And M&A, if you look at this one growth strategy that we have not leveraged much historically Do you see now is a good time to use either to build capability, let's say around Gen AI or maybe scale up opportunities from captive transaction as many corporations are looking for resource optimizations?

K Krithivasan : Rahul, our approach does not change . We have always looked at M&A i f we have to augment some capability that we didn't have internally, and if we thought that by a cquiring a company, we'll be able to further expand our services to a larger set of our customers. So we keep looking at it . Whenever we find there's a good opportunity, big or small, we would go for it. But our overall strategy doesn't change, whether it's Gen AI or the whole cloud. Whenever there is an opportunity, we go for it. It has to meet our criteria and threshold.

Rahul Jain: Right. Appreciate the color. Thank you.

Moderator: Thank yo u. We have our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes. Hi. Thanks for taking my question. Krithi, just one question from my side on the two segments that we have seen quite contrasting perf ormance in the past few quarters. So manufacturing has held up quite well for us. And not just for us, for all the companies across the industry. It's been quite stable in terms of growth. Even in this quarter, we almost have double digit growth on a Y -on-Y basis.

So what is keeping this spend up in the manufacturing segment? And are we not facing the kind of delays that we are facing in, let's say, BFSI or other verticals, in the manufacturing segment? And do you think that manufacturing might continue to remain stable in the coming quarters as well?

And a similar kind of opinion about retail. So in retail, we had seen a lot of weakness in the past couple of quarters. And again, not just for us, for the entire industry. Are there any signs of that segment bottoming out? If not today, maybe in a couple of quarters' time? Just a little bit color on these two verticals?

K Krithivasan : I would say manufacturing is doing well because of the low base and the delayed pickup in demand and growth compared to other industries. And as the supply chain situation also eases slowly, customers are able to see the growth . Today

you see the demand is still high for many of the automakers. I think that's probably driving it. And again, I won't be able to say how long this will last because it will eventually be a function of the overall economy.

On Retail, our view is, or what we see, the essential retail is doing well. But if it is luxury or fashion or other specialty retail, we find that there is a softness in demand in such sub-segment s of the industry. So that's a broad color that we can provide you on these two verticals .

Vibhor Singhal: Got it. And on the manufacturing part, just a follow -up. Is it only the auto part of the manufacturing segment appearing stable at this point of time and looking to continue to spend? Or are the other sub -verticals in manufacturing also kind of stable?

K Krithivasan : No, we don't provide that detailed color. I think, excepting one, quite a few of the sub -verticals are doing well. And our outlook may not even apply for the overall industry, as we also have significant market share gain in this segment, which is also driving our growth.

Vibhor Singhal: Got it. Great. Thanks a lot for taking my questions. I wish you all the best.

Moderator: Thank you. We have our next question from the line of Ankur Rudra from JP Morgan. Please go ahead.
Ankur Rudra: Hi. Thank you for taking my questions. Just the first question, a bit on the demand, maybe one more time. Krithi, of course, you've seen over your long time at TCS several demand cycles over the last 30 plus years. Is it possible to compare th e current client behavior to any of the prior periods, such as perhaps post dotcom or GFC or taper tantrum or anything? Or is it completely novel ? That's question number one.
K Krithivasan: I don't know if I can compare with any other cycle in the past. Every cycle has its own nuances. I would say today the way to look at the environment , there is an uncertainty because of which customers are reviewing or assessing the ongoing programs. At the same time, there is so much they realize that they have to do because there is so much of technology debt within each one of those industries.
And unless they carry out those transformative programs , they'll have a competitive disadvantage. So these two things are at play. So that's the reason, we keep saying that while the TCV is high, we do see softness in the short -term revenue.
I don't know whether, we can compare or again, I'm not sure what is the value you get in comparing also, Ankur. Like today, the reality is, long term, this technology spend has to happen. Short term, the customers are navigating the uncertainty there.
Ankur Rudra: Okay. I was just looking for if there is any historical path we can compare with. But fair enough. Thank you for the comment. Maybe moving to the Generative AI side of the discussion. Thank you for all the color today. I'm just curious if you think Gen AI would be a needle mover on revenues either for this year or the next. And if it is showing up in contract discussions at all, maybe as a source of price aggression in cost takeout deals?
N G Subramaniam : I don't know . It is not showing that much as being a differentiated feature in our contract discussions. But, you know, everybody is curious about its value. And if you really look at, the investments that large enterprises are making as they move to a cloud native architecture, there is an intelligence layer in the overall architecture.

Given the power of Generative AI or its potential, there have been efforts from everybody to see whether the architecture that has been put in place is consistent with the capabilities or potential offered by Generative AI, whethe

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such architecture need to be tweaked. So that is the kind of discussion we are having.
There is always a question around, to explain, how much of this Generative AI capability needs to be developed at the enterprise level in -house and keep the knowledge and the learnings in -house and how much of it can go outside for its larger public cost is a debate. And that's consistent with the debate that people used to have earlier in terms of private cloud versus public cloud.
So all these discussions, I think, you know, will happen for the next at least a few quarters. Then there will be, a meaningful conditional, unconditional model that will emerge . That will get embraced by the larger enterprises is what I see , as evolving. It's purely my personal view.
Ankur Rudra: I appreciate that. One last question on contract profitability. How is that progressing? I realize that, gross margins have continued to take a hit, probably due to wage hikes this time. But if you look at the full year in FY'24, I know you expect margins to be clawed back. But do you think there is any chance that margins on a full year basis might actually not expand in FY'24 or might even decline despite the supply easing up?
Samir Seksaria: Ankur, all our efforts collectively will be towards improving margins. But right now, given the current macro, it's difficult to give a color in terms of how it would end up exactly. Rest assured all efforts are going towards improvi ng the margins.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
K Krithivasan: Thank you, operator. We have started the fiscal year with a string of marquee wins, a robust order book, and revenue growth of 12.6% in rupee terms and

7% in constant currency terms.
We see strong interest in Generative AI among clients. While we are helping them explore use cases with proof of concepts and pilot, we also launched an advisory offering to help clients create a holistic vision, strategy, and plan for enterprise -wide adoption of Generative AI.

We are also upskilling our employees at s cale. We plan to create a talent pool of over 100,000 Generative AI trained associates.
Our operating margin in Q1 was at 23.2% following our annual salary increases. Our net margin was at 18.6% .
On the people side, we will be honoring all the job offers we have made but remain focused on utilizing the capacity we have already built up. Our LTM attrition in IT services fell further to 17.8% , and we should be back in our normal industry -leading range in the second half of this year.
With that, we wrap u p our call today. Thank you all for joining us. Enjoy the rest of your evening or day and stay safe.
Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Oct 2023

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TCS/SE/169/2023-24
October 13, 2023 National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G, Bandra Kurla P. J. Towers,
Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540 Dear Sirs,
Sub: Transcript of the earnings conferen ce call for the quarter and six-month period
ended September 30, 2023

Pursuant to Regulation 30 of the SEBI (Listin g Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings confer ence call for the quarter and six-month pe riod ended September 30, 2023, conducted after the meeting of Board of Directors held on October 11, 2023, for your informati on and records.
The above information is also availa ble on the website of the Company: www.tcs.com.

Thanking you, Yours faithfully, For Tata Consultancy Services Limited
Pradeep Manohar Gaitonde Company Secretary
Encl: As above

Tata Consultancy Services Limited
Earnings Conference Call.
October 11, 2023, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on y our touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Kedar Shirali , Global Head of Investor Relations at TCS. Thank you and over to you, sir.
Kedar Shirali: Thank you operator. Good evening and welc ome everyone. Thank you for joining us today to discuss TCS's financial results for the second quarter of fiscal year 2024 that ended September 30th, 2023. This call is being webcast through our website and an archive including the transcript will be avail able on the site for the duration of this quarter. The financial statement, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivas an, Chief Executive Officer and Managing Director.
K Krithivasan: Hi, good day everyone .
Kedar Shirali: Mr. N G Subramaniam , Chief Operating Officer and Executive Director.
N G Subramaniam: Good evening everyone .
Kedar Shirali: Mr. Samir Seksaria , Chief Financial Officer.
Samir Seksaria: Hello, everyone.
Kedar Shirali: And Mr. Milind Lakkad , Chief HR Officer.
Milind Lakkad : Hi, everyone.
Kedar Shirali: Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance, and anything said on this call which

reflects our outlook for the future, or w hich could be construed as a forward - looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the

quarterly fact sheet available on our website and emailed out to those wh o
have subscribed for our, on our mailing list. With that, I would like to turn the
call over to Krit hi.
K Krithivasan: Thank you, Kedar. Good mornin

g, good afternoon, good evening to all of you.
Our Q2 performance shows continued strength and demand for our services,
particularly around cloud and cost optimization, resulting in strong deal wins, a
robust order book, and a g ood pipeline.
This was true in prior quarters as well. In each of the past three quarters, our
order book has exceeded $10 billion TCV compared to the average of $7 to $8
billion range in the 2021 and 2022.
The newly won deals are converting into revenue as expected, but these
revenue inflows are getting neutralized by reduction in the existing revenue
base as the transformation projects get completed , or RTB projects get
optimized , or in some cases , downsized. This has led to muted revenu e
growth.
In Q2, our revenue grew 7.9% in rupee terms, 2.8% in constant currency terms,
and 4.8% in dollar terms. Our operating margin was at 24.3% , and net margin
was at 19%.
I'll now invite Samir, Milind, and NGS to go over different aspects of our
performance during the quarter. I'll step in later to provide more color on the
demand trends we are seeing. Over to you, Samir.
Samir Seksaria: In the second quarter of FY24, our revenue was `59,692 crore , which is a
year-on-year growth of 7.9% . In dollar terms, the revenue was $7.21 billion , a
Y-o-Y growth of 4.8% . In constant currency terms, the revenue growth in Q2
was 2.8%.
Let me now go over financial performance. Our operating margin is at 24.3% ,
which is 110 basis points expansion sequentially. We got 100 basis points
benefit from disciplined execution, which resulted in improved utilization and
productivity and further op timiza tion of subcontractor expenses.

Additionally, we gained 35 basis points from driving efficiencies in discretionary
expenses, which I had referred to last quarter as gaining critical mass. On the
other hand, we continued to invest in infrastructure.
Net income in Q2 was 19%. Our EPS grew 8.7% on a year -on-year ba sis.
Effective tax rate stayed unchanged at 25.8% . And our accounts receivable
was flat sequentially at 65 days ’ sales outstanding in dollar terms.
Net cash from operations was at `118.23 billion , which is 104.2% of net
income. Free cash flow was at `113.57 billion and invested funds as of at the
end of 30th September stood at `596.77 billion .
The board has recommended an interim dividend of `9 per share. Further, the
board has recommended a buyback to the tune of `17,000 crore through the
tender route at `4,150 per share. Over to you, Milind.
Milind Lakkad: Thank you, Samir.
Our workforce at the end of the second quarter was 608,985 strong . Our
strategy of proactively hiring bright freshers and investing in training them with
the right skills is paying off now. With that talent coming on stream and with
reduced attrition , we were able to recalibrate our gross additions, keeping it
below the departures during the quarter, driving up productivity and enhancing
project outcomes.
Our workforce continues to be very diverse with 152 nationalities and with
women making 35% of the base. We continue to invest in organic talent
development.
Year to date, TCS has logged 26.4 million learning hours and acquired 2.6
million competencies, including over 350,000 high demand competencies. We
have over 100,000 Gen AI ready employees today and we are now investing
in deepening their expertise further on this exciting new technology.
LTM attrition in IT services was at 14.9% , down 2.9% sequentially, close to our
historical range of 11% to 14%.
Over to you NGS for some color on our segments and products and platforms.

N G Subramaniam: Thank you, Milind. Before I get into segmental performanc

e, I wanted to
highlight some change s in how we report segmental performance in our fact sheet from this quarter. Historically, we reported revenues from North America, Latin America, UK, Europe, and Australia under the industry verticals, separating out other emerging market revenues, products and platforms and a few other small businesses , or those with a typical revenue profile s, in a separate line called Regional Markets and Others (RMO) .
In Q2, we made three changes :
First, we reclassified revenues from Asia Pacific (excluding Japan), and Middle East and Africa , hitherto part of RMO under their respective industry verticals.
Second, with our Energy , Resources and Utilities vertical gaining critical mass, we have extracted out the first two sub-verticals from RMO , and we'll now start reporting it as a standalone industry vertical.
With these two changes, revenue contribution from RMO is down from over 17% to around 11%. We have provided comparatives for the last four quarters in our fact sheet .
The third change is the renaming of our retail cluster , consisting of Retail, CPG, Travel , Transportation and Hospitality vertical s as the Consumer Business Group or CBG.
Let me walk you through our segmental performance now. As a reminder, all growth numbers are in year -on-year constant currency terms.
Growth was led by the newly carved out Energy Resources and Utilities vertical, which grew 14.8% . Manufacturing grew by 5.8% . And life sciences and healthcare grew by 5%.
Our Consumer Business Group grew by 1%. Banking , Financial Services and Insurance grew by -0.5% , Communications and Media by -1%, and Technology and Services by -2.2% .
By geographic markets, we see maximum caution in North America and Continental Europe, which grew 0.1% and 1.3% respectively. We continue to have good momentum in the United Kingdom, where the market grew by

10.7% . In emerging markets, Middle East and Africa grew 15.9% , Latin America by 13.1% , Asia Pacific by 4.1% , and India by 3.9% .
Let me mov e on to our product s and platforms. Our industry -leading portfolio of products and platforms had a very strong quarter. All of the products and platforms are now offered on a SaaS basis only, and we have a healthy ARR as a product portfolio.
ignio™, our cognitive automation software suite, saw 28 new deal wins and 18 go-lives.
TCS BaNCS , our flagship product for financial services, had 2 new wins and 11 go-lives during the quarter. Among the go -lives this quarter is JP Morgan Security Services, where our real -time, event -driven multi -market platform is helping the bank provide clients with a standardized and streamlined process in each of the 100 markets they operate in, enhancing the customer experience around corporate actions.
TCS BaNCS insurance platform continues to see strong momentum in Q2 with 4 new wins and 2 go-lives during the quarter. For a global financial institution based out of South Africa, TCS has completed a massive migration from a heritage platform to TCS BaNCS for insurance. This is the largest and most complex migration of its kind in the history of the market, entailing 4 million policies. With this migration, the client's entire retail protection business is on TCS BaNCS . Post migration, the policies are now available to both advisors and customers through digital channels.
Quartz blockchain platform had 2 go-lives this quarter.
In life sciences, TCS ADD platform had 2 new wins and 1 go-live this year.
TCS ADD Safety went live at a top 10 UK based pharma with its latest version that uses advanced AI algorithms to process adverse event cases , a first of its kind in industry.
With this, TCS ADD Safety has successfully automated more than 1 million cases, a landmark by any technology company

using AI in pharmacovigilance,
delivering industry -leading efficiency and accuracy metrics.
TCS HOBS, our suite of products for commu nication service providers, had 1 new win and 2 go-lives during the quarter.

TCS iON had 44 new wins. Our platform administered assessments for 16.2 million candidates, 150% higher year -on-year.
MasterCraft and Jile won 34 new clients in Q2.
Our business model is built on continually delivering tangible value to our clients, which results in them rewarding us with repeat business, consuming more of our services and solutions over time.
The deep and enduring client relationships we build give us tremendous contextual knowledge of how their business es runs at a very granular level, the individual processes, and how the underlying systems support them. The various interrelationships among systems and databases and infrastructure there beneath, all these are extremely useful as we build out our Gen AI capabilities and position our Gen AI services for our large clients. This contextual knowledge and o ur track record of consistency and predictability in our deliverables is our competitive edge.
From the outside, the success of our customer centric strategy is best validated through client metrics we report, which show a steady increase in the number of clients in every revenue bucket.
In Q2, we added 2 more clients year -on-year in the $100 million + band bringing the total to 61, 13 more clients in the $50 million + band bringing the total 137, 9 more clients in the $20 million + bringing the total to 292, 28 more clients in the $10 million + band bringing the total to 483, 38 more clients in the $5 million + band bringing the total to 688, and 62 more clients in the $1 million + band bringing the total to 1,272 .
I will now request Krithi to speak on the demand drivers during the quarter.
K Krithivasan: Thank you NGS. Given client caution over the macro overhang, we continue to see a re prioritization of spending from discretionary areas to cost optimization. This is driving a significant deal momentum towards large outsourcing deals, vendor consolidation and operating model transformations.
We had a very strong order book in Q2 with a TCV of $11.2 billion , our second highest TCV ever and a book -to-bill ratio of 1.6. BFSI TCV continued to be very robust at $3 billion as also the consumer business order book at $1.4 billion .
The TCV of deals signed in North America stood at $4.5 billion .

The order book in Q2 had two mega deals BSNL and JLR each roughly $1 billion in TCV versus 1 mega deal in Q1. We had a detailed press note on the JLR deal, so I won't spend time on that. But the BSNL win is very special and showcases our unique capab ilities. So let me give you a high -level overview.
BSNL selected TCS to roll out a modern 4G and 5G mobile communication infrastructure across India covering 100,000 telecom sites. The project involves supply, planning, design, installation and commissi oning and optimization of this mobile network, satisfying a detailed set of requirements conforming to 3GPP standards.
Our solution caters to needs such as trusted source of components and equipment, advanced RF planning, intelligence on the edge to suppor t cognitive network operations, software driven radios and reconfigurations and so on. This is part of the Government of India's efforts to build indigenous telecom technology and local manufacturing of telecom gear. TCS and partners have integrated th e EPC Core, RAN and NMS and have started the rollout of the network which is expected to be completed in stages over the next 18 months.
Moving on to other large deals, o ur deal momentum in

operating model
transformation continues to be very strong. A big differentiator for us is our TCS Cognix ™, which significantly accelerates the operations transformation. It embeds AI, machine learning and increasingly , Gen AI , to enable superior business outcomes with increased velocity, improved user experience,

reduced turnaround time and superior decision -making powered by rich dashboards and predictive analytics. In Q2, we won 6 large operating model transformation deals with TCS Cognix at their core.
The other interesting thing is that we also saw several large deals featuring first-time outsourcers. For instance, we were selected by the British C ouncil, the UK's international organization for educational opportunities and cultural relations, to transform its professional services function that includes finance, procurement, human resources and digital technology.
TCS will leverage its deep domain expertise and proprietary platforms to help develop more innovative and user -friendly services. The partnership will also enable the British Council to focus on improving the quality and efficiency of services, ultimately leading to an enhanced customer experience.

Last quarter, I had highlighted how clients have taken to TCS ’ integrated operations model, wherein we take ownership for the entire slice of operations , from back -end to front -end, along with the underlying application a nd data estate s and the IT infrastructure layer.
We call this integrated offering , Business -as-a-Service. Our AI -powered business command center provides end -to-end visibility and holistic control across that entire stack, resulting in more resilient operations and better alignment with business KPIs. Our proactive leverage of next -gen technologies to redefine processes reduces the need for human intervention, increases process velocity and delivers superior process outcomes.
From a competiti ve standpoint, our holistic approach, deep contextual knowledge, and the unmatched speed to value from TCS Cognix is providing a deep moat that is powering strong deal wins and market share gains.
In Q2, we won a large deal from a leading medi a company that is currently transforming to focus on new lines of business which will drive future growth. They are partnering us to improve customer retention by providing superior experience while reducing engagement costs . In keeping with our business -as a-service value proposition, TCS will take full ownership of the operating stack , with an integrated solution across customer interactions, which includes voice, chat, email, and social, and support for the IT applications and infrastructure. Incidentally, this is also a vendor consolidation across multiple countries and vendors, and multiple business lines , and good illustration of how our IP and innovation differentiates us. Our solution uses TwinX, o ur digital twin solution to model customer engagement and reduce churn ; ignio to make the underlying infrastructure self -healing ; and Gen AI for directing voice to chat, voice to text and for customer sentiment analysis for emotionally responsive chats and emails.
The level of innovation and next -gen capabilities embedded in our solution and the business alignment of our value prop osition were our key differentiators in winning this large deal.
Speaking of Gen AI, it continues to dominate our conversations with IT and business leaders in every market. There is tremendous interest in harnessing its power to drive productivi ty and enhance customer experience. We are co -innovating with clients across multiple industry verticals, executing proofs of

concept and pilots, and helping the

m draw up the Gen AI strategy and roadmaps .
Last quarter , I shared examples of client engagements, exploring the use of Gen AI for contract administration and customer service automation. Many of the projects we executed this quarter are conceptually similar, focused on task automation around knowledge abstraction and content creation.
We are now seeing a progressive increase in the complexity and sophistication of Gen AI use cases, from simple knowledge discovery use cases and chatbots to complex ones, such as augmentation solutions for financial advisors and wealth management strategists, automated underwriting for insurance policies, AI-led molecule discovery, as well as engineering design space explorations

for autom otive and gas turbine.
Slightly more mature clients are taking a broader enterprise -wide approach to Gen AI deployment. For a European airline, TCS is helping re -imagine its core business functions, leveraging Gen AI and analytics to create a future -ready enterprise. The TCS team co -presented with the CTO to the Board and is now engaged in helping draw u p a holistic Gen AI strategy.
A leading US -based specialty retailer is partnering with TCS for multiple Gen AI-led interventions to enrich customers as well as employee interactions, including customer request handling, virtual assistant for shopping, know ledge management , designs for creatives, marketing and sales collaterals, and code enhancements.
Some other organizations are using Generative AI to reimagine an entire activity. A good example is a client in the construction industry for whom we are usin g Gen AI to prepare the preliminary architectural plans for a new building project. The AI generated designs are then validated and detailed out by the human team.
We see similar opportunities in product innovation where Generative AI can visualize multipl e new form factors for a product in the manufacturing industry or perhaps new types of packaging in the CPG industry, significantly increasing and accelerating the design process.
While these are examples of standalone deployment of Generative AI, we are also beginning to bring larger transformational projects that involve multiple

technologies where Generative AI is infused to address specific parts of the value chain.
We believe that as the technology matures, we will see more instances of activity level automation and eventually end to end value chain transformation using Generative AI in combination with other technologies. That is when the mainstream adoption of this technology will really take off and the full potential of this technology will be reali zed. In the meantime, we continue to invest in building capabilities on this exciting new technology.
Last quarter, I had mentioned our plans to train a large number of employees on Generative AI. I am happy to inform you that we now have a 100,000 -stron g Gen AI ready cohort and our focus now is on further deepening their expertise.
Going beyond skilling and certifications, we are launching an AI Playground that will be an alternative work environment where TCSers can safely and securely access various Generative AI platforms and a curated set of startup technologies from our COIN or co -innovation network partners.
This will give them the hands -on experi ence of experimenting with large language models, trying out new ideas and building out solutions to real -life business problems without exposing data in our network. Over time, we plan to hold hackathons in the playground, throwing challenges for TCS ’ best and brightest to solve, using these opportunities to identify the most talented engineers within the organization and nurture their talent.
Our various product and platform teams are working towards leveraging Generative AI to create differen

tiating capa bilities in their respective products.
ignio, our flagship AIOps product, has been at the forefront of leveraging AI to drive autonomous operations.
The latest enhancement to its knowledge accelerator module leverages large language models to extract information from various sources, create a comprehensive enterprise context, and gain a deeper understanding of each organization's unique environment, challenges, and objectives.
This context -aware approach lets ignio optimize automation through situation - and technology -specific actions, delivering tailored and efficient solutions that fuel enterprise agility, resiliency, and innovation. We have also launched AI Assist, an intelligent conversation engine designed to of fer plain language explanation of diagnosis and resolutions, as well as insights for continuous

improvements generated by Ignio. AI Assist uses Gen AI's ability to understand

language, capture context, and learn from feedback. As a result, it presents analytics insights in a simpler and more intuitive way, guiding users through intricate process es, helping them s ift through large volumes of analytics and make data -driven decisions with confidence and ease.
In TCS OmniStore, we are adding Gen AI plugins to augment product discovery, create personalized buying guides for customers, store management operations, auto mation of marketing campaigns and promotions. We are also introducing Generative AI to automate our product helpdesk and support operations.
TCS Optumera, which already uses AI and ML to finesse product pricing, will now see the infusion of Gener ative AI in the pricing process workbench for merchants.
In life sciences, w e see plenty of opportunities for Generative AI infusion in the drug development value chain. The TCS ADD product team is working on Gen AI-enabled solutions for narrative writing, pharmacovigilance, health authority submissions and intelligence search.
Coming back to our demand commentary, w hile cost optimization remains a dominant theme overall , clients continue to invest in projects with a clear ROI and ones that drive business growth. Here are some examples.
A leading UK bank partnered with TCS to help renters living in shared accommodation with an app that helps with bill splitting and in building their credit profile. TCS designed and built the app which scans through monthly payment of customers, pulls rent al records and automatically shares it with credit bureau s which helps in improving renters ' credit profile s. Using open banking capabilities, the app is accessible to anyone with an eligible UK bank account and enables the bank to cross -sell, upsell its products and services to even non -customers.
TCS is now working with the bank to enhance the marketing strategy to increase adoption of the app and drive growth. The product recently won the Best Product Innovation and Jury's Choice Award at t he 2023 Financial Services Forum Award.
A leading Nordic insurer is pursuing a completely new business model with a subsidiary in the mobility space.

The new venture is building a mobility ecosystem that offers a wide range of services like tire replacement and used car servicing using a TCS -built digital platform and mobile app as a direct distribution channel to acquire new customers – that is , car owners – to whom insurance can then be cross sold . The app is expected to drive up new insurance sales and create new upsell opportunities with 10% to 15% increase in customer realization. The app has been very well received and is expected to cross 1 00,000 downloads by December.
In the retail domain, retailers are looking to leverage t echnol

ogy to meet
evolving customer expectations and offer tailored experiences, reach more audiences in the market, and to enable better decision making on merchandise using and analyzing data.
We are helping a global fashion retailer in Europe to reimag ine the visual merchandise planning and commercial rehang process. The collaborative , intelligent , digital solution enables visual merchandisers to plan and optimize store layouts , present ing locally relevant assortment s based on integrated insight s of sales and stock information and performance targets.
The planning solution has enhanced the productivity of visual merchandisers in sample picking process by 50%. The solution enables new capabilities for the stores, in cluding digital interactive maps, article search and details integrated with the stock data in stores and warehouse. Store data is now available on a daily basis compared to the weekly cadence earlier .
Similarly, we are partnering with Kingfisher plc Group in transforming their customer and associate experience across banners in UK and Europe, using TCS OmniStore to realize an AI -powered, unified, and composable commerce platform. The platform's capabili ties around flexible fulfillment, self -checkout, clienteling, and dynamic promotion is helping Kingfisher PLC drive greater associate productivity, increased revenue, faster checkout, and broader sales

opportunities.
Lastly, divestitures and spin -offs presen t enterprises a great opportunity to start with a clean slate and build a new future -ready technology estate from scratch to support a differentiated business position. In Q2, we won a very large divestiture -related transformational engagement, coincidentally in the retail vertical.

We have been engaged by a large UK retailer to help build out a separate IT estate following its divestiture, and digitally transform its business. TCS will build a new greenfield digital core by implementing cloud -based ERP platforms to streamline core business functions, including supply chain warehouse manag ement and e -commerce processes.
We will enhance employee experience with new digital solutions, enabling efficient and resilient business operations powered by our machine -first delivery model. We will also implement a new organization -wide IT operating model that consolidates and simplifies their vendor landscape.
On the front end, TCS will help them grow their e -commerce business, starting with their grocery and apparel sites. We will leverage our experience -first commerce implementation services across functions such as shop, fulfill, and care to drive improvement in customer satisfaction and business growth.
Lastly, cloud migrations continue apace.
We can now open the lines for questions.
Moderator: Thank you very much. We have a first question from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Thank you. Good evening, gentlemen. Just wanted to ask you about the BSNL deal. It seems like the IP that you created is something that lets you compete with the likes of Nokia and Ericsson. Is this understanding correct, or would most of the I P rest with your partners like Tejas?
N G Subramaniam: Hi Ravi, this is NGS here. TCS is a system integrator in this opportunity. For the EPC core software , the IP lies with our partner, C -DOT. The Radio Access Networ k is developed and designed by Tejas Networks, and the IP rests with Tejas Networks. There are a few other things that are required for integrating the software. For all the network optimization, network planning, cognitive network operations, some of tho se are traditionally done by the SI . We have built those platforms. The IP of those components is with TCS.
Ravi Menon: Great. Thank you. We have historically been used to , as investo

rs, perhaps
unfairly comparing your with Accenture's outsourcing, that division is what we thought that TCS most compares to. But now with your focus on growth and transformation, should we think about a larger part of TCS revenues being exposed to a segment clo ser to Accenture's consulting?

N G Subramaniam: No, I don't want to compare it like that. I think we are focused on multiple type s of engagements and cost and optimization, growth and transformation is a broad categorization. I think consulting is typicall y included as a part of every growth and transformation opportunity. There are certain verticals and certain customer segments where we have really built a lot of expertise. In those engagements, I think what you alluded to , may be true.
Ravi Menon: One last follow -up on the BSNL deal. There are news reports quoting this deal at `15,000 crores. So the number that you're putting out, $1 billion seems to be just about half of that. So is this just phase 1 of the progra m?
N G Subramaniam: What we have contracted so far with BSNL is this . But there are things like follow -up activities on some of this, like for example, annual maintenance. It will come as we progress this. Overall deal size is something larger because multiple things are there . But currently what we have contracted is for the supply , installation, commissioning, design and optimization of the network . That is the one that we talked about , a little over $1 billion.
Ravi Menon: Perfect. Thank you .
Moderator: Thank you. We have a next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Good evening and thanks for the opportunity. Just wanted some color on the demand, overall. So if you see the last three quarters, including this one, our book -to-bill has been consistently above 1.4. However the revenue accretion is soft. So just want to hear your thoughts on how one should think about this? The second is you did mention that reprioritization and cutting discretionary has been sort of driving revenue headwinds. Do you get the fe el that this is sort of at its peak and it's -- are you seeing signs of this abating in terms of the overall impact on the existing book of business, right? So those are the two questions.
K Krithivasan : Nitin, last quarter also we exp lained the situation. On the one hand , our customers continue to entrust us the building of new technology capabilities and based on that , we continue to win new deals. But at the same time, given the overall market uncertainty, they are trying to conserve cash and optimize their current spend, particularly on projects that have been running for long.

Also, sometimes such pr ojects end , and we may not have sufficient replacement of those revenue streams. So this is causing the revenue growth to moderate . Like you said the reprioritization is also a factor into that like a large project may get reprioritized into smaller chunks or maybe slowed down. All these factors are a t play, but how long this will last is not a question that we can answer at this time.
Nitin Padmanabhan: Sure, and just one last thing is how do you see furloughs? Are there any conversations on furloughs? Do you think, are you seeing any signs to suggest it's going to be normal, or…
K Krithivasan : Our planning is based on the belief that it will be normal like every other year. We don't see any difference.
Nitin Padmanabhan: Fair enough. Thank you so much and all the very best.
K Krithivasan : Thanks, Nitin.
Moderator: Thank you. We have our next question fr om the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: Hi, good

evening. Thank you for taking my question. Krithi, my question was around the revenue side. If you see over the last three quarters, our revenue in absolute terms have la rgely been steady, while at the same time, our deal win has accelerated, now crossing consistently $10 billion.
So that is fair to expect that the incremental new part of the revenue within that about $7.2 billion of revenue, the new part would be more siz able now. That implies that the underlying impact of the existing project ramp down s or reprioritization which we're talking about sequentially is increasing. Is that inference correct?
K Krithivasan: Mathematically , what you're saying is correct. There is an increasing reprioritization of long running projects.
There are a few places where a large program may have come to an end. For instance , in Germany we're doing a large integration. Once the integration of the two banks came to an end , that was a large revenue stream that stop ped, and not replaced by something else.
So both are possible. There is an increased focus on cost o ptimization, which is causing our revenues not to increase in line with the increase in TC V.

Kumar Rakesh: Got it. My second question was for Samir . So in the second quarter after the wage hike, our margin improvement has been ahead of what historically we have done, at least in the recent past. And you did talk about that these cutting down on the discretionary expenditures now picking up pace and scale. Should we expect that our margi n recovery trajectory should be ahead of what we have seen, say, last year or in the past years?
Samir Seksaria: I think two points. First, we are happy with what we were able to deliver in Q2, a 110 basis point sequential improvement. Given the current ma cro uncertainty impacting top line, it's fairly decent. Our focus will be to use the existing levers , that is, productivity , utilization and further optimizing subcontractor expenses to continue the journey. And if growth returns , it will only help accelerate this

journey.
Kumar Rakesh: Got it, thanks a lot.
Moderator: Thank you. We have a next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli: Yes, good evening. Thanks for the opportunity. NGS, sir, just one clarification on your characterization of the BSNL deal. When you say you're looking to complete the project in 12 months to 18 months, is it the entire $1 billion TCV will be converted into revenue over the next 12 to 18 months? Or is there any sizable part of the $1 billion TCV which is also structured as network maintenance revenue over a longer horizon?
N G Subramaniam: When I said the 12 to 18 months, the rollout of the 4G and 5G network for 100,000 network sites is what we will install, we will commission. And afterwards, you know, we hope to win the maintenance and network operations effort, which will be for optimizing the network and cont inuously modernizing it . In the payment terms with BSNL, there are certain clear milestones . Of the $1 billion that we have put in place, a part of it will definitely mature within these 12 to 18 months. Some part of it will be subject to warranty and acceptance by BSNL and things like that. Overall, it's safe to assume that a good part of this $1 billion is something that we would like to bill and collect from BSNL within 12 to 18 month s' time .
Sudheer Guntupalli: Understood, sir. So any maintenance will be probably a subsequent phases, any maintenance revenue will be subsequently...

N G Subramaniam: Absolutely. It could be subsequently or it could be even concurrent . For example, at the end of the six

months, if we have completed one zone consisting of a few circles, then we might go ahead and cont ract the annual maintenance, et cetera, specifically for that circle.
Sudheer Guntupalli: Understood, sir. Thanks for that . And Krithi, we know it's difficult to second guess the macro and sorry for persisting on this aspect. But given you have seen these clients over, let's say, multiple decades, multiple macro cycle, any specific macro events, outcomes, time lines or variab les these clients are looking forward to now, post which they may sort of bite the bullet and move forward in terms of spending and ramping up the deals?
K Krithivasan: Sudheer, they are probably looking for some very definitive signs of economic recovery . Currently, the CY 23 outlook , and some people are extending it to CY 24 also , is uncertain. Once they have a definitive sign of recovery I think the confidence will come into the market. Until then, this will continue.
Sudheer Guntupalli: Sure sir. And lastly, to Milind, so the headcount reduction we have seen is purely because of the fact that we have not fully replaced the normal attrition during the quarter. Is that a fair assessment, sir ?
Milind Lakkad: Yes, that is a fair assessment .
Sudheer Guntupalli: Thank you, sir. All the best.
Moderator: Thank you. We have a next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah : Yes, thanks. Thanks for the opportunity. So, j ust a question in terms of this commentary about -- there is a conservatism on discretionary spend and the cost takeout deals are increasing, outsourcing deals are increasing, vendor - consolidation deals are increasing. This is almost happening in the sector, including for TCS for last two to three quarters.
So, is it fair to say these deals may start ra mping up in the second half and which will try to actually reduce the impact of the leaking bucket, and there could be some gradual turnaround in the revenue? Is it the right way of looking at it?

K Krithivasan : Sandeep, all the deals are yielding the revenue as per plan. We have not had delays in the revenue conversion on the deals we have signed. So there is no change there. Whether H2 will be stronger than H1, I cannot comment on that .
Sandeep Shah : Okay. Okay. And just another question to CFO, sir. In terms of margins, how to look at second half margin ? Generally, we do well on a Q -on-Q basis across

from Q2 to Q4. But this year, in the second half, we will also have some headwind coming through BSNL deal and what I believe the $1 billion deal will have a thin margin. So directionally, still one you can expect, despite that headwind, whic h would be incremental where margin can still go up on a Q -on-Q?
Samir Seksaria : As you rightly pointed out, usually we have been taking our biggest headwind in the first quarter, and we gradually claw back. In a typical year where it's supported by growth, we get a higher leverage from growth, also helping us on the margin front. In the first two quarters, we have se en the top line being sluggish.
But at least in Q2, we have been able to deliver the 110 basis points. And collectively, we have been focused on specific initiatives, which have helped us deliver this. And as I said in response to the last question, we'll try to use the same levers and c ontinue the journey.
Sandeep Shah : Okay. This would be despite the BSNL headwind, which could be there on margins?
Samir Seksaria : We manage margins at an overall portfolio level , and don't call out deal-specific headwinds .
Sandeep Shah : Okay, okay. Thanks and all the best.
Samir Seksaria : Thank you.
Moderator: Thank you. We have our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal : Y

es, hi. Thanks for taking my question. So sir, a couple of questions from my side. In terms of the vertical performance that we are looking at , Retail continues to be quite weak, I think, for multiple quarters. What is the outlook on that segment? Are we seeing any signs that spending might come back in

a quarter or two? Or what are the client convers ations in the overall retail segment specifically? And then I have a follow -up question.
K Krithivasan : So, on the retail segment, your observation is correct. Like it's been a tough quarter. But see, on a year-on-year basis, retail segment has grown marginally.
But this quarter has been tough because we are seeing that even the essential spending has also come down. Normally -- essential with a strong sector for us. This time even essential has been quite weak.
We need to see like, as I was mentioning before, once the consumer spending picks up, all these things will bottom out and then we'll be able to grow. But as I said, I cannot call it when it will turn, but it's been, as I said, multiple sub -verticals within retail have been weak, like essentials normally will be strong, but this t ime it's been weak, which has resulted in this weakness .
Vibhor Singhal: So no signs of conversations with the clients, which could hint that some -- their expectations as to what are they looking at?
K Krithivasan : As I was mentioning before, they look at one, what is the forecast for the coming quarter if they expect there's a certainty on growth or they look at what is the projection on spending.
Once one of these two comes back, the retail sector will al so start investing. Currently while the spending is still reasonably high , house hold savings in US have come down which is creating some sort of uncertainty. So, but there could be a holiday season optimization also. So we will get to see when some of these macros turn positive, we'll see more of the growth indication coming in.
Vibhor Singha l: Got it, got it sir. Also, just one follow up question in terms of just a bookkeeping question. What did you mention was the reason for the sharp reduction in headcount in this quarter?
Milind Lakkad : We have been investing in fresh tale nt for almost 18 months and that investment is now paying off. And as a result, and also because of lower attrition, we kind of recalibrated our gross hiring and those numbers are less than our attrition. And hence, there's a net reduction.
Vibhor Singhal: Got it, got it. And do we expect this thing to maybe continue? Because I mean, attrition is, I think, easing off further. And so do we believe this headcount reduction will continue for some time? Or do you think it could stabilized in the coming quarters?

Milind Lakkad : We will continue to look at all the other parameters including growth and based on that , make the calls . I expect the numbers to be, may not be this high or maybe similar or may be little more than zero - in that range in the coming quarters.
Vibhor Singhal: Got it sir. Thank you so much for taking my questions and wish you all the best.
Moderator: Thank you. We have our next question from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar: Hi, good afternoon and thanks for taking our question. I have a question on deal wins. I know, you mentioned that the quarterly run rate has gone up from $7 billio n to $10 billion. Just wanted to understand, given that the contribution of the deal now is more cost take out. How should we look at ACV of the deal? Any color Has the ACV also gone up in-line with improvement in TCV or there is any difference in ACV?
K Krithivasan : There is no specific ca

ll -out on that. I think that ACV has remained similar to what it was before. I don't think the deal tenure has significantly increased. It's more or less same as before.
Abhishek Kumar: Okay. My next question is on Gen AI. I was just wondering about the investments that we are doing or many of our peers are doing in Gen AI. There doesn't seem to be any margin headwind. Essentially, it looks like we are reprioritizing our own budgets for investing in Gen AI. Is it som ething that clients are also kind of creating investments in Gen AI in a similar fashion? And therefore, it is at best kind of a net neutral from a demand perspective?
N G Subramaniam: I think it's safe to assume that it is neutral, primarily because I thi nk we are in an investment cycle like our clients . We as a company are also investing a lot in training our employees , in creating learning platforms and you know separate environment, like we talked about the AI Playground, which we launched, in which we are making available all the digital infrastructure tools and technology in which people can train and people can actually develop things, right? And get used to how this par ticular technology works and that can be meaningfully deployed to our clients.
There's a lot of investment happening outside. Our clients also invest in the technology to do small projects, proof -of-concepts, a proof -of-values and then structure typica l use case and so on and so on. We also invested in cataloguing

several use cases by verticals and by technology to see how this particular technology can meaningfully deliver value on a sustainable basis.
So I think in all that, there is demand, but I wouldn't rate it to be very high. But I would say that look, I think all directions indicate that this is something that will mature and the potential for embedding it and embracing it all across our IT services value chain is huge.
Abhis hek Kumar: Great. That was helpful. Thank you and all the best.
Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, thank you for taking my question. So the first question, again, coming to revenue. There are multiple moving parts, which is inflow of new work, project completions and reprioritization of existing book. But if we were to just look at only the inflow of the new order wins, would it be fair to believe that inflow number should be better in the second half compared to first half based on the deals that we have already reported?
K Krithivasan : Yes, the inflow should continue to improve from the new order wins . That’s a fair assessment.
Gaurav Rateria: Secondly are there anything to call out with respect to any unusual project completions, which are scheduled in second half which is keeping your optimism under check ? I understand the le akage part of the business, but just trying to understand any project completions, which also could be one of the reasons for keeping your optimism under check?
K Krithivasan : Gaurav, nothing material that comes to our mind . In fact project completions will take place in the normal course, but nothing very material that comes to mind.
Gaurav Rateria: Got it. Last question on the margin levers front, how much more room we may

have on the utilization and productivity metrics. Those would still continue to be levers in the near term in 3Q, 4Q point of view? Thank you.
Samir Seksaria: Yes, Gaurav. Those will continue to be lever s. We invested significantly when the supply en vironment was challenging . And utilization as well as some flab sitting on the direct cost itself, are levers. So all of it, whi ch you mentioned , that

is, productivity, utilization and in the given environment, the subcontractor costs also , continue to be levers in Q3 and Q4.
Gaurav Rateria: Thank you.
Moderator: Thank you. We have our next question from the line of Moshe Katri from Wedbush Securities. Please go ahead. Mr. Moshe Katri you may please proceed with your question. As there is no response, we'll move to the next question from the line of Rahul Jain from Dolat Capital. Please go ahead.
Rahul Jain: Yes, hi. Thanks for the opportunity. I just wanted to understand little bit on the rationale of reassigning this regional markets and other s segment. What is left out of here because it seems the same vertical, which has been losing some component into this line it em has again gained back in a similar fashion. So which region do we ascribe to and what is left now?
K Krithivasan : Rahul , we want ed to give you all a global color of what is happening in a given industry vertical rather than splitting them into regions. So as much as possible, wherever revenue streams are stable and mature , we put them under the industry vertical. And where there 's still a lot of volatility, we continue to keep in Regional Market s and Others .
With that, we have moved our APAC and EMEA region revenues into the respective industry vertical s. We continue to keep India , Public Services , Japan and Products & P latforms in the Regional Markets and Others line . It's to ensure that we can give you more global color at the industry level .
Rahul Jain: Okay. So what I understood is that India, Japan and product and platform is broadly the component in this at this point?
K Krithivasan : Exactly, in the regional market. Yes.
Rahul Jain: Yes. And just a small extension to that, if we see over a period of time, our contribution from Asia, Middle East, Africa, the market which you called out have come off over last six years, while the contribution in this p eriod has increased for Europe as an end market. So does that also mean that are very large portion of P&P implied -- would it be Japan and Europe?
K Krithivasan : No, I didn't get the last part, Rahul?

Samir Seksaria: No. So Rahul, if you look at it, it's also a matter of growth coming in across various segments. We are not breaking those out into respective segments, but every component has grown. P& P has grown, Japan has grown but not P&P in Japan.
Rahul Jain: Yes, I understand. Probably I'll take it offline. Thank you.
Moderator: Ladies and gentlemen that was the last question for today. I now hand the conference over to the management for the closing comments. Over to you, sir.
K Krithivasan : Thank you, operator.
In Q2 our revenue grew 7.9% in Rupee terms and 2.8% in constant currency terms. Our growth was affected by the holding back of discretionary spends by clients.
Improved utilization, productivity and other efficiencies helped expand our operating margin by 110 basis points sequentially to 24.3% . Our net margin is at 19%.
Generative AI continues to d rive client conversations. We have hundreds of opportunities in the pipeline and embedding Generative AI solutions is helping us win large deals. We continue to invest in building our capabilities. We now have over 100,000 Generative AI -ready employees and are investing in building differentiated capabilities within Generative AI in our portfolio of award - winning products and platforms.
Deal momentum continued to be very strong in Q2, with our order book at

$11.2 billion , the second highest TCV ever.
On the people front, we continue to have the right talent, but have recalibrated our grass hiring to ensure better utilization of our existing capacity. Our LTM attrition in IT services fell further to 14.9% .
Lastly, our Board has

recommended a second interim dividend of `9 per share and also a share buyback to a tune of `17,000 crore at `4,150 per share.
With that, we wrap up our call today. Thank you all for joining us. Enjoy the rest of your evening and -- or day and stay safe. Thank you.

Moderator: Thank you, members of management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings

Call: Jan 2024

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TCS/SE/281/2023-24 January 16, 2024 National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G, Bandra Kurla P. J. Towers,
Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540 Dear Sirs,
Sub: Transcript of the earnings conferen ce call for the quarter and nine-month period ended December 31, 2023

Pursuant to Regulation 30 of the SEBI (Listin g Obligations and Disclosure Requirements) Regulations, 2015, please find enclos ed the transcript of the ear nings conference call for the quarter and nine-month period ended Decembe r 31, 2023, conducted after the meeting of Board of Directors held on January 11 , 2024, for your inform ation and records.
The above information is also availa ble on the website of the Company: www.tcs.com .

Thanking you, Yours faithfully, For Tata Consultancy Services Limited
Pradeep Manohar Gaitonde Company Secretary

Encl: As above

Tata Consultancy Services Limited
Q3 and Nine -month Ended 31st December 2023 Earnings Conference Call
January 11, 2024, 19:30 hrs IST (09:00 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an opera tor by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.
Nehal Shah: Thank you, Operator. Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS' financial results for the third quarter of fiscal year 2024 that ended December 31, 2023. This call is being webcast through our website and an archive , including the transcript, will be available on the site for the duration of this quarter. The financial statement, quarterly fact sheet and press releases are also available on our website.
Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan, Chief Executive Officer and Managing Director.
K Krithivasan : Hi, everyone.
Nehal Shah: Mr. N G Subramaniam, Chief Operating Officer and Executive Director.
N G Subramaniam : Good evening, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello, everyone.
Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.
Milind Lakkad: Hi, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance. And anything said on this call reflects our outlook for the future or which co uld be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company

faces. We have outlined these risks in the second slide of the quarterly fact sheet available on our website and e mailed out to those who have subscribed on our mailing list. With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal. Good day, everyone, and wishing you al

l a very happy new
year. Our Q3 performance shows a remarkable resilience against the backdrop of macro uncertainty. The demand for our company's services remains robust, resulting in strong deal wins and order book.

Our deal pipeline remains solid and deal conversions have been timely. New deal ramp -ups are also going ahead as planned. Speaking about the headline numbers for the quarter : In Q3, our revenues grew 4.0% in rupee terms, 1.7% in constant currency terms and 2.9% in dollar terms.

Our operating margin was at 25%, and net margin was at 19.4%. Our ability to maximize market opportunities is evident in our strong TCV of $8.1 billion and a book -to-bill ratio of 1.1.

We are seeing solid deal momentum across markets, resulting in strong double -digit growth in our last 12 months TCV, which is a reflection of our deepen ing partnership with clients .

During the quarter, we started to deliver BSNL 4G /5G network -related equipment and services, a project of national importance. We are executing this project as a system integrator partnering with other OEMs. The transformational nature of this project and the solutions delivered are enhancing TCS reputation of being a critical partner to BSNL and the Atmanirbhar vision of the Government of India. I'll now invite Samir, Milind and N GS to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day and wishing all of you a great start to the new year. In the third quarter of FY '24, our revenues were ■60,583 crores , which is a Year-on-Year (Y-o-Y) growth of 4 .0%. In dollar terms, the revenue was $7.28 billion, a Y-o-Y growth of 2.9% and in CC terms, the Y -o-Y growth was 1.7%.

Let me now go over our financial performance. Our operating margin is at 25%, a sequential expansion of 75 basis points , comprising 80 basis points headwind on account of seasonal furloughs and higher third -party expenses offset by 60 basis points improvement on account of efficiency improvements through productivity and realization and a further 70 basis points

improvement from reduction in subcontractor expenses. Currency gains accounted for the remaining 25 bps.

Net income margin in Q3 was 19.4%. Our EPS grew 8.4% on a Y-o-Y basis. Effective tax rate stayed unchanged at 25.8%. Our accounts receivable increased by 2 days sequentially at 67 days sales outstanding in dollar terms. Net cash from operations was ■112.76 billion, which is a cash conversion of 102%. Free cash flows were ■103.52 billion and invested funds at the end of the period stood at ■457.31 billion. The Board has recommended an interim dividend of ■27 per share, including a special dividend of ■18 per share.

The company successfully completed its 5th buyback during the quarter. Shareholder payouts year till date were at ■46,223 crores between the buybacks, dividends and taxes, including the recommended dividend for the quarter.

Please note that in Q3, we recorded $125 million towards settlement of legal claim , as an extraordinary item for the t hree months and 9 months end ing December 31, 2023. All the above comparisons and commentary in this management call will exclude this extraordinary adjustment.

Over to you, Milind.

Milind Lakkad: Thank you, Samir. Let me start by wishing all of you a very happy new year. Our workforce at the end of the third quarter was 603,305. LTM attrition in IT services was 13.3%, down 1.6% sequentially, in our comfort range of 11% to 14%.

TCS has always been firm in its commitment to the holistic growth and development of its employees and invest in organic talent development to build newer capabilities. We have commenced fresher hiring from campuses

and continue to recalibrate our lateral hiring, focusing more on utilizing the capacity that we've already built in the prior years.

Our business imperative remains nurturing and developing human capital and enhanced focus on reskilling and upskilling our employees . We have accelerated the rate of learning in the organization as we gear up to fulfil the opportunity on the horizon.

YTD, TCSers have logged 39.7 million learning hours and acquired 3.7 million competencies, including over 515,000 high demand competencies. Our workforce continues to be very diverse with 153 nationalities, with women making up 35.7% of the base . Over to you NGS for some color on segments and products.

N G Subramaniam : Thank you, Milind. Happy New Year and Sankranti wishes to all of you. Let me walk you through our segmental performance. As a reminder, all growth numbers are in Y-o-Y constant currency terms.

Growth was led by the Energy, Resources and Utilities vertical which grew +11.8%, Manufacturing which grew +7.0% and Life Sciences and Healthcare which grew +3.1%.

Our Consumer Business Group grew by -0.3%. Banking, Financial Services and Insurance grew by -3.0%, Communications and Media by -4.9%, and Technology and Services by -5.0%.

Among major markets, the United Kingdom led with +8.1% growth, Continental Europe grew +0.5% and North America grew -3.0%. In emerging markets, India led with +23.4% growth, Middle East & Africa grew +16.0%, Latin America grew +13.2%, and Asia Pacific grew 3.9%.

Let me move on to our products and platforms. Our industry -leading portfolio of products and platforms saw good traction during the quarter .

- ignio™, our cognitive automation software suite, saw 27 new deal wins and 6 go -lives.
- TCS BaNCS ™, our flagship product for financial services, had 6 new wins and 3 go -lives during the quarter.
  - ASX, Australia’s primary securities exchange selected TCS to provide a next generation clearing and settlement platform to service the Australian market. TCS’s flagship product TCS BaNCS for Market Infrastructure will enable the transformation, replacing A SX’s existing platform for cash equities clearing and settlement .
  - A top Japanese Bank, providing custody and fund accounting services to some of the largest investment managers, insurance companies, and pension funds, has awarded a contract to TCS for its BaNCS solution to offer best -in-class asset servicing solution on the cloud.
- TCS BaNCS insurance platform continues to see strong growth in Q3 with 4 go -lives during the quarter.
- Quartz blockchain platform had 1 win and 1 go -live this quarter.
- In life sciences, the TCS ADD™ platform had 1 new win and 2 go -lives this quarter.
  - A US based global pharma company has chosen TCS ADD ™ regulatory platform for transforming health authority submissions and responses using historic data. The solution will help in planning at a milestone - task-component level, and will also include features such as automated alerts and notifications, a rich and easy -to-use reporting dashboard and visualization.

- TCS HOBS , our suite of products for communication service providers, had 1 new win and 2 go -lives during the quarter.
- TCS iON, our platform for digital assessment, exam administration, and

learning, had 32 new wins.
o Our platform administered assessments for 14.5 million candidates, 160% higher year -on-year, led by growing adoption of regional languages in the exams.
o Skilling and job creation is high on the agenda of India's state and central governments, driving growth in our assessment business.
• TCS TwinX , our digital twin solution, had 4 wins and 3 go -lives.

o We were engaged by a major North American package delivery company to construct their delivery network twin to analyze parcel delivery operations for their North American customers. As part of this engagement, TCS TwinX is enabling a "Twin of Twins" to map their existing parcel volumes and flows across their existing network of hubs, run experiments on change in parcel volumes across these routes and drive optimization of current systems and processes for efficient future planning.
• MasterCraft and Jile won 35 new clients in Q3.
We continue to systematically invest in research, innovation and intellectual property, and ideating on new emerging technology trends to address our clients' evolving needs. Following a similar approach, we have worked extensively on building our capabili ties in Gen AI, and we are confident of helping our clients to take advantage of the benefits of Gen AI. Krithi will talk more about this in his commentary.
As a proof point of the success of our ongoing investments over the years, we have been able to consistently increase the number of key clients and migrate them into higher revenue bands.
In Q3, we added 2 more clients Y-o-Y in the $100 million band, bringing the total to 61. Seven more clients in the $50 million band bringing the total to 137. Nine more clients in the $20 million band, bringing the total to 299. 24 more clients in the $10 million band, bringing the total to 480, 35 more clients in the $5 million band, bringing the total to 693 and 71 more clients in the $1 million -plus band bringing the total to 1,288 .
I'll now request Krithi to speak on the demand drivers during the quarter.
K Krithivasan : Thank you, NGS. As we reflect on the last quarter, enterprise adaptability and resilience continued to be high priority in the light of macro uncertainties and geopolitical volatilit ies. This is driving our clients to prioritize business -critical projects, where return on investment realization is immediate. We are closely partnering with our clients and leveraging our contextual knowledge to

proactively identify solutions to business problems in these challenging times. This is, in turn, driving good deal momentum for us.
Most enterprises at the time of the pandemic invested in digital capabilities to address changing customer behaviours . In the face of macroeconomic uncertainties around fear of recession, and continued high inflation, many businesses have been cautious about further investments, creating a pent -up demand. This pent -up demand is important for long -term strategic growth for our customers, and we are optimistic that our customers will scale up these initiatives once they gain the comfort that the macro risks are receding. It's not about simply recovering previous volumes, but building strategic capabilities in a changing market landscape.
We have several strategic things across industries where we know customers will scale their investments. For instance, in the consumer business, some risk transformation areas include : Point of Sale, Channels, Future Stores, Insights & Recommendations driven by AI, Supply Chain, Loyalty, Sustainability, Forecasting, Hyper -personalization, Health & Wellness, One -Order/Travel Retailing, Intelligent Operations and Transport Control Towers.
Our order book in Q3 continued to be resilient with a TCV of $8.1 billion and a book -to-bill ratio of 1.1 x. Our Trailing 12 -month order book grew by a healthy 11.3% Y-o-Y. The TCV for our BFSI business was $2.6 billion. The order book for our consumer business group was at $1.5 billion. The TCV of deals signed in North America stood at $4.2 billion.
Moving to our demand commentary, Operating Model Transformation s

focused on improving efficiencies, digitalization, customer and employee

experience transformation, sustainability, cloud, cyber resilience and AI /Gen AI continue to be key themes, driving demand for our services.
We signed several large deals in the quarter led by vendor consolidation and operating model transformation.
On vendor consolidation : Virgin Media and O2, the UK's largest mobile network selected TCS for integrating the 2 merged entities and deliver unified employee experience across five towers.
Services from 10 different partner landscapes were consolidated into one strategic partner in TCS. VMO2 trusted and selected TCS to deliver their objective of futuristic digital workplace services to delight their end users. TCS will leverage its contextual knowledge, machine -first delivery model and future -ready talent pool to help VMO2 to enhance its regional capacity while delivering a globally best -in-class experience for their users.

Moving on to Operating Model Transformation : Our contextual knowledge has been instrumental in reimagining the client operation s and the AI -powered TCS Cognix ™ has been delivering superior business outcomes for our clients. Our integrated offering is receiving good traction from clients as it takes ownership for the entire stack of client operations, along with the underlying application, data estate s and the IT infrastructure layer. It allows enterprises to become more agile, lower their operational costs and achieve business efficiency across multiple business units.
• We were selected by a leading American aerospace manufacturer to enhance and standardize their tool chain , with the objective of increasing efficiency and speed, simplifying operations, reducing costs and advancing digital transformation. The client is partnering with TCS to not only achieve system stability, but also lay the framework for the future of IT, wh ich is key to ensuring success in its business operations.
Moving on to Growth and Transformation : Our customers are seizing the opportunities for business growth and transformation as they present themselves. Digitalization initiatives are continuing apace as our customers double down on their focus on strengthening the D igital Core.
• TCS collaborated with a global fashion retailer to build a real -time data -driven sales visualizer. TCS leveraged AI and cutting -edge technologies to build a robust observability framework solution that processes data from multiple IT systems to generate in sights and identify potential problem areas. 100% transparency on sales forecast and real -time omnichannel sales performance enabled through our solution is helping the client with prevention and faster resolution of issues , agility in fine -tuning our strategies for promotions in underperforming segments – regions /markets /products.
Customer and Employee Experience is another area of focus with changing consumer behavio ur and expectations. Customer Experience continues to remain a key priority for clients, and we have multiple deals and productive pursuits across industries. Another trend that we are seeing is CHROs doubling down on Employee Experience to improve employee engagement and productivity to create a future -ready workforce.
• We helped a leading North American retail company bring to life their innovative concept of presenting exclusive offers to their customers. The concept was designed to attract customers looking for promotional deals, high -profile and limited -edition exclusive offers and to smoothen the discovery experience during shopping. TCS leveraged its contextual knowledge to develop this product feature that presents an engaging and

exciting interface for customers and build s an exclusi

ve appeal . The
initiative has helped attract new customers, increase d the mobile app downloads, frequency of interactions and improved customer engagement.

• We won a first -of-its-kind deal with a tech company to sustainably enhance the employability of employees and contractors. The solution leverages our deep domain expertise and proprietary platform iON ™. Our integrated offering – "Learning in a box " is a cloud -based learning platform that includes best -in-class subscription -based learning content coupled with 100 -plus curated practices. The platform , which can be accessed anytime, anyplace and on any device, enables engagement, motivation, impact -oriented learning.

• We were selected by a leading American aerospace manufacturer to transform their end -to-end talent acquisition process. TCS will leverage its AI -led Machine -First™ operating model, process transformation framework, our domain expertise and agile methodology to enhance talent quality, optimize time to hire and improve overall onboarding experience.

Moving on to Supply Chain Transformations : The global supply chain is rapidly evolving, trying to keep up with the dynamically changing environment and evolving technological advancements, businesses are investing in modernizing their processes, platforms, warehouses, etc . to drive better efficiency, improve agility in adapting to market shifts and improve their bottom line.

• We partnered with a Swiss multinational food and drink processing company to digitally transform its supply chain. TCS implemented an innovative operational planning platform that maximizes automation, optimizes and standardizes process es, and increases visibility. This will improve our clients' ability to sense and react to the ir ever -changing environment and On Time and In Full (OTIF) deliveries – key to customer satisfaction.

• A leading UK supermarket chain also partnered with TCS to enhance its supply chain efficiency, improve logistics forecast accuracy and availability, improve collaboration with suppliers and transparency , while reducing operating costs. The solution resulted in significant reduction of waste and markdown, improvement in lead time , and increased stock record accuracy , and annualized reduction of stock through automated order ing.

I will be now moving on to Sustainability : We are seeing that Sustainability is a core priority for organizations aiming to secure a resilient and responsible future and enhanced brand reputation. I'll now share a few examples of how

we have played a pivotal role in assisting our clients in their sustainability journey. Clients are engaging us to develop innovative technology -led solutions with IoT, AI and advanced analytics , to reduce energy and resource consumption to measure and track green -house gas emission s across their end-to-end supply chain, reduce their carbon footprint, reduce waste, promote recycling, and report on their Sustainability initiatives.

• Based on our deep contextual knowledge, the TCS team proactively proposed a solution to reduce wastage in inventory of high -cost drugs for a leading Canadian food and pharmacy retailer. The automated inventory management has been a big contributor to our client sustainability efforts in reducing the environmental impact of medical waste, improve operational efficiency and reduced over 90% of the financial loss on account of wasted invento ry.

• We have also partnered with Metcash, one of Australia's largest wholesale distribution and marketing company to support their sustainability reporting. By leveraging a global team of experts specialized in sustainability, sustainability tools and GR I standards, TCS provided a deep understanding of materiality assessment, disclosures and index benchmarking across industry

peers.

• A leading U K retailer, also partnered with us as a strategic partner in their Digital Product Passport (DPP) initiative. TCS will leverage its deep fashion domain expertise with investments in Sustainability research, contextual knowledge and advisory capabilities to design and implement unique identifiers linked to products. This will help the retailer maintain its lead in sustainable fashion, adhere to emerging country -specific legislation across the EU and enable sustainable choices.

Now moving on to Generative AI , which is a disruptive technology that has potential to enhance efficiency and drive significant value , is generating tremendous interest among our clients. We are taking an early lead in Gen AI capabilities. We are focused on strengthening our expertise and evolving our capabilities further. Let me give you a few examples of what we are doing.

• We have launched Gen AI offering s around industry value chain s, SDLC reimagination, responsible AI framework s and invested in several centers of excellence, innovation labs to develop, accelerated frameworks and assets.

• We launched a new Cyber Insights Platform , which focuses on AI - powered threat detection. It is enhanced with machine learning models to help continuously monitor anomalies, predict potential issues well in advance and help clients to be proactive in addressing increasing threats.

• Our Products and Platform s are also being enhanced with differentiating capabilities leveraging Gen AI.

o We have built a co -pilot for TCS Optumera ™, our AI -powered retail strategic intelligence platform , for dynamic competitive pricing, new product trends, design and testing, visual merchandising, visual merchandising recommendation s, and product attribute enrichment.

o In Life Sciences, the TCS Advanced Drug Discovery is being enhanced with literature insights, patient insights, safety case processing and medical writing.

o TCS TwinX ’s digital twin powered experimentation and zero -touch marketing operations for CMO ’s.

• We continue to further deepen our expertise in Gen AI. This quarter, we launched a platform for skilled practitioners amongst TCS employees for exploration and experimentation on various Gen AI platforms.

We are seeing strong interest levels and engagement from customers on Gen AI. Currently we are working with several clients on improving customer contact centres (e.g., assistance with intent analysis and recommendations), and employee assistants (e.g., crew support, sales support, factory operations, HR policies support & operatio nal manuals). Generating insights from legal contracts / construction design etc., product / marketing content generation are other key areas being explored. Further, exploration in the form of POCs is underway in several areas across the value chain. And product marketing, content generation are other key areas being explored. Further exploration in the form of POC's is underway in several areas across the value chain.

o A leading European bank is employing Gen AI to bolster e Communication surveillance and compliance regulatory framework. The solution will enable real -time risk and anomaly detection and evaluate patterns and emotional tone of internal communication for potential issues.

o A leading U S airline has partnered with us in expanding their loyalty program by reaching out to passionate marathoner s, a niche breed of endurance and features known to travel frequently and across the globe. The innovative concept leverage s Gen AI to enable meaningful engagement with loyalty members for the event , and offers them dynamically curated deals for future events .

o A global insurance company has selected TCS to develop a Gen AI application to assist analysts in the front office for its glo

bal wealth and asset management division. The solution leverages a suite of LLMs to provide comprehensive and easy to understand information from unstructured data sources related to world events, company updates, and portfolio composition. Services include summarizing earnings reports, earnings report review, industry a nd market trends, ratings, commentary, etc.

We have engaged with clients for setting up Gen AI Centers of Excellence or AI offices and providing advisory services to scale proven use cases in a controlled fashion.

Coming to Cloud technologies : The investment that companies have made or are making in transitioning to cloud have become more meaningful with time. The increasing demand for smart interconnected devices, real -time insights and innovation will continue to drive the demand for scalable computing resources, making cloud transformation a strategic imperative. The focus now is also on fine -tuning strategies and optimizing consumption.

Here are a few examples of how TCS continues to partner with clients in the ir cloud transformation journey s.

o Halfords, a U K based retailer was looking for ways to simplify the customer journey while making its products and services affordable. Taking a ‘mobile - first, cloud -first’ approach, the retailer collaborated with us to consolidate and migrate its critical applications to public cloud. Our client is all set for growth with this cloud transformation to deliver a ‘customer -first experience ’ that promises significant cost savings among other benefits.

o We implemented the core operation s system covering Crew Management and Operations Control for Virgin Atlantic, a leading British Airline. The program involved implementation of A IMS aero product and integration of several mission -critical systems. Being the nerve center of airline operations, the implementation had to be 100% accurate to avoid any delay or cancellation of flights. The program will ensure better crew and on -time performance of Virgin Atlantic flights.

We are continuing to see significant demand in areas like cloud migration and transformation, apart from the exuberance around Gen AI, all of which represent areas of great opportunity for the long term.

We can now open the lines for questions.

Moderator: We have a first question from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management. Please go ahead.

Sudheer Guntupalli: Yes. Thanks for the opportunity and congratulations on good execution. First question is to Samir, in general, companies start cost actions with a bit of lag from the point of demand deterioration, and there will be a further lag for those actions to trans late into margin expansion.

Also, attrition and supply tightness in the market cooled off significantly from where it was 12 to 15 months ago. So, if we see these two facts in conjunction, Samir, is it fair to say that the margin improvement cycle has just started and

it has more legs to go, despite headwinds from some of the large deal ramp ups?

Samir Seksaria: We had clarified last quarter, and earlier, that we’ll look at margins on a portfolio basis , and large deal ramp -ups should not be viewed in isolation. And the margins we have delivered this quarter, is something which we are very happy about. We delivered a 70 basis points improvement on a back of 110 basis points improvement that we had in the previous quarter.

Sudheer Guntupalli: And my second question is to Krithi, on the recovery leg. Historically, the sector had not seen more than 3 to 4 consecutive bad quarters as long as the tightening of client spend was led by just weak macro and the underlying technology

cycle remaining sup portive, maybe because of the base effect or quasi cyclical nature of the industry.

So, going by this heuristic, Krithi, do you think it's fair to expect a good recovery going ahead, even as second guessing some of these variables like interest rates, etc ., is difficult? Or is there a reason for you to believe that the current spending tightness might also be a function of excess investments in technology that happened during COVID and hence, the tightness may continue for some more time, something like wha t we had seen in the aftermath of the dot -com period.

K Krithivasan : Sudheer, we have not observ ed that particular heuristic maybe it's something that makes us also feel optimistic. But the way we look at it, while there was a lot of investment that happened during the pandemic, at the time of peak uncertainty, our customers are now re-evaluating the investments they have made.

And wherever it's required, clients are pa using those investments, where they think it's yielding RoI, they're continuing with it. Having said that, we also believe that even though they might have made a lot of investment, there are many organizations still are laden with lot of technology debt. And once there is a certainty, clients will start spending to reduce this technology debt.

So, we are hoping that once that certainty comes in, spending will also return. But I won't be able to predict based on past trends that it's never been more than 3 or 4 consecutive bad quarters. That would be not the heuristic that we have observed or something that we want to go by.

Sudheer Guntupalli: Okay. Thank you so much.

Moderator: We have our next question from the line of Vibhor Singhal from Nuvama Equities.

Vibhor Singhal: Hi, thanks for taking my question and congrats on a great margin performance. I've got two questions. The first question for Samir. I think we got a very solid margin performance in this quarter. And as you rightly said after another solid performance that was in the last quarter. Is it safe to say that our aspirational band of 26% to 28% margin that we've long talked about is maybe no longer aspirational and there are ways that in near to medium term future, there are possibilities that we can probably work towards that. Is there a possibility that we are looking -- I mean, are the levers that you see that are still underutilized that can help us reach that band, and I'll ask my second question later.

Samir Seksaria: Sure, Vibhor. We remain committed to our guiding beacon, which is the 26% to 28%. And in doing so, we are focused on a disciplined execution and look forward to driv ing operational excellence and the levers which we have been banking upon so far, whether it's in terms of productivity, utilization, realization, etc . or given the demand environment which we have seen , banking on the subcontractor cost optimization – are also available .

So, we have been able to leverage them, and they provide further opportunities for optimization. And in the long term, pricing also remains a lever, which we can further optimize . All of it in an environment where growth is sustained, will only help accelerate our momentum.

Vibhor Singhal: Got it. Thanks a lot for answering that. My next question is to Krithi. I think the deal flow in this quarter was a bit on the softer side. We, of course, know this is a seasonally soft quarter. But on a Y -on-Y basis also, I think the growth in the deal fl ow was a bit modest. So, any specific thing to call out? Or was it just that it was a soft quarter with higher furloughs, and the overall demand environment in your opinion or the client interest, have we seen a change in that in the last three months ?

K Krithivasan : We don't consider the TCV as soft, it's in line . The

TCV in the prior quarter, had two mega deals and so it had the lumpiness. So, we will not be able to measure TCV , the same way we measure revenue.

So, there will be some ups and downs. But overall, we look at the pipeline and we look at the deals that we close and geographical spread and the size of the deals and the type of deals, and we are quite comfortable with the deals that we are getting in . We aren't seeing a softness on that front at all.

Vibhor Singhal: Got it. And no change in the overall demand environment that we are seeing, right? And in terms of either for the positive or for the negative side, it's pretty much the same as we have been seeing.

K Krithivasan : Yes. That's the way I would also read it Vibhor.

Moderator: Thank you. We have a next question from the line of Sandeep Shah from
Equirus Securities. Please go ahead.
Sandeep Shah: Krithi, I think you might have answered the question indirectly, but any of
your discussions with any of your clients in any of the verticals or markets,
give you any indication of any emerging green shoots in terms of the demand
because of the Fed meeting where consensus now believes that the U.S.
economy could have a soft landing as a base scenario versus a recessionary
outlook, which people were predicting earlier.
K Krithivasan : Sandeep, you know that already some of our verticals are doing quite well.
For instance, manufacturing, we've been reporting growth. Energy , resources
and utilities have been reporting good growth. And even Life sciences and
healthcare , despite last quarter being weak, has again returned to growth.
And we've also been seeing our consumer business group (CBG) has been
quite promising, and we started seeing some green shoots in consumer
business, but we'll be able to say for sure next quarter, but it looks quite
promising.
Sandeep Shah: That is helpful. And any initial color in terms of CY '24 budgets?
K Krithivasan : There are two things, Sandeep. One is we have not heard any specific color.
And two, given the overall uncertainty, we find our clients are also very agile,
even though they may have some thought in terms of what they want to
spend, but we find that they also keep reacting to the market sentiment. So,
there's a whole budget - on which projects started , or which ones got paused,
it will be a very dynamic decision . So, we don't want to read too much into
that aspect .
Sandeep Shah: And any update in terms of how the BSNL deals ramp -up continue to remain
over four to six quarters?
N G Subramaniam : We have started to deliver the equipment s and services for BSNL. And as I
explained in the previous quarters, we are approaching it from zones and
circles in which we have to roll it out. We have taken up the North zone as the
first milest one, and we have started to deliver equipment and services by
rolling out the new radios that are stated to be delivered to BSNL in a few
circles.
The data center in which the whole evolved packet core needs to be installed
and operationalized that's also been progressing well. So overall, I would say
that this is the first quarter where we have delivered close to about, I would
say, 2,000 sites worth of equipment, and they are in the different stages of
installation and commissioning. At the same time, the data centers

installations are all progressing as per plan. And it will get done over the next,
let's say, four to six quarters as we envisage.
Sandeep Shah: Okay. Thanks. And last question, I just wanted to understand on margin
levers. I think CFO has called out various margin levers but is it fair to assume
in each of these levers, there would be further headro

om to improve further
because subcontracting cost is even lower than where we actually were
during the pre -COVID times.
Samir Seksaria: True, Sandeep. As I said, depending on how the demand environment
continues, optimization of subcontracting cost could be one of the levers , in
addition to the other levers which we called out. Overall, as we have said, our
long -term cost structures are aligned for us to reach our aspirational band of
26% to 28%.
Moderator: Thank you. We have a next question from the line of Kumar Rakesh from BNP
Paribas. Please go ahead.
Kumar Rakesh: My First question was for Krithi . In your prepared remarks, you talked about
the pent -up demand. So where are you seeing the signs of that? And what do
you think would be the trigger for that to materialize?
K Krithivasan : No, like I did also give out certain examples . For instance, if you just take the
consumer business is a channel modernization or store modernization. So, we
talked about a few areas where we find that investment has not kept up pace

with the requirement, business demand. So that's what is giving us that
confidence, Kumar.
Kumar Rakesh: And what would be the catalyst for that to materialize when clients eventually somewhat start to s pend on the pent up demand again ?
K Krithivasan : Catalyst would be, I would say that when they have a confidence about the stability of the overall macros, Kumar. Once they are confident that the environment is good, the investments will come in.
Kumar Rakesh: Got it. My second question was you have talked about market share gain and benefiting from vendor consolidation. So apart from your scale advantage, what is helping you to be the beneficiary of these trends?
K Krithivasan : Scale advantage is only one thing, Kumar. The most important advantage is the domain capability , contextual knowledge we bring in into each of these soluti ons. For a vendor consolidation to be successful, you should bring in the value for the customer , in terms of the contextual knowledge, the industry knowledge in terms of delivery certainty. So, all these things matter. And the process that you want to deploy.

So, what is your ability to bring in automation , your transformational capability, etc. So, you should be able to do everything. Just because we have a scale advantage , we don't win. We win because we have all the other advantages in giving a long -term sustained value for our customers.
Moderator: Thank you. We have a next question from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Congratulations once again for the strong performance on margins. Just wanted to prod you further with regards to the subcontracting expenses, which are now below pre -COVID levels. Is there something structural that we are doing to our delivery organization because of which these expenses have now reduced to a much lower level. Would appreciate some commentary on that front?
Samir Seksaria: Manik, one is for subcontractors, we have been using them to meet the short -term demand -supply mismatch. And it peaked because one there were border restrictions. And second, there were these entire challenges, etc . which were happening in a higher demand environment. And we have explained that in terms of why those scenarios arose.
Now as the supply side challenges of attrition cooled off, and we had inves ted into capacity. That is how we can manage the demand . And when we don't require those intermediate ones is when we are optimizing our use of subcontractors, and yes, the cost is below the pandemic levels as well. And that has been thought through strategically, and you could see that it is reducing sequentially quarter -over -quarter for past few quarters.
Moderator: We have our next question f

rom the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, Thanks for taking my question. So, first question is with respect to, is there any difference in the TCV growth trends versus ACV growth trends because of the deal tenures changing compared to what you saw last year? Or it's largely been similar to no material change there?
K Krithivasan : We don't see any trend, that kind of change . The TCV trend in terms of tenure continues to be consistent with what we saw before as well.
Gaurav Rateria: Got it. The second question is on the levers for margins that helped during the quarter, you did talk about realization and productivity. So, the general perception is that in a tough environment, it's very difficult to use a lever of realization, but you have been able to do that. Is there anything going on with respect to client negotiations that has been helping you to benefit on

margins? And is there a -- like this is over or this is going to continue in coming quarters as well?
Samir Seksaria: Gaurav, I will distinguish realization from pricing. Pricing environment is

stable. Realization is an outcome. You can measure it as revenue per FTE and
you will notice that it has been improving and it's a combination of factors,
utilization versus productivity, use of tool sets, etc ., helping in.
And we have been banking on these levers for a few quarters. Structurally, on
a longer -term basis, the cost structures would be based on these levers and
pyramid, etc . and we'll continue to drive efficiency across these metrics.
Gaurav Rateria: Got it. And last question, like I know that we should look at the TCV numbers
more on a 12 -month basis rather than on one quarter basis because of the
variations that can happen. But if you look at trailing 12 -month growth,
whatever that number is, should that be a fair reflection of growth going
forward in terms of revenue or there can be more nuances that you have to
keep in mind? Thank you.
K Krithivasan : Gaurav, by and large, the TCV, is a lead indicator of more medium to long -
term growth performance and it gives you the confidence directionally on
whether what the market is thinking, how our growth would be, so from that
perspective, the last three quarters, it's been very strong at $10 billion almost
every quarter.
And even this quarter, we had $8 billion . Note that there have been some
lumpiness in the prior quarters because of inclusion of mega deals . We don't
see current quarter ’s TCV as a great big variation from what we had in the
previous quarter. And as we said before, the TCV metric gives us confidence
on the medium to long -term growth potential.
Moderator: We have our next question from the line of Apurva Prasad from HDFC
Securities. Please go ahead.
Apurva Prasad: Thanks for taking my question. My first question is on the BFSI vertical. Would
it be fair to say that BFSI grew on a sequential basis if I adjust for the large
program completion in North America, which you had referred to earlier and
the furlough impact in specific Europe BFSI account?
N G Subramaniam : I would agree with your view, adjusting to the large BFSI program that we
completed in North America and furlough impact we had across markets ; I
think BFSI actually did well. The deal closures in BFSI vertical are also quite
broad -based across markets. I would agree that BFSI is actually a positive
thing from my perspective, and it will only further improve from here.

Apurva Prasad: Got it. And Samir, my question to you is on margins. What further headwinds
do you see as BSNL ramps up next quarter or any other headwinds that you
may want to call out

for next quarter?
Samir Seksaria: See, overall, we are focused on managing our margins at a portfolio level, and
that's what we called out. There were a lot of apprehensions last quarter as
well in terms of how large deal wins will impact margins. We look forward
towards managing it at an overall portfolio basis.
And you know the normal headwinds which we have in a year. Q1 would have
expected increments related increases, etc. The business certainty of growth
also a margin lever.
Moderator: Thank you. We have our next question from the line of Ravi Menon from
Macquarie. Please go ahead.
Ravi Menon: Hi, thank you and congratulations on your margin performance. Samir, one
popular belief is that large deals come with an increase in unbilled revenue.
Can you talk us through why unbilled revenue is down Q -on-Q despite the
BSNL deal ramping up this quarter?
Samir Seksaria: No, it's not always that large deals come with unbilled revenue. Yes, some of
them would have it. But in this quarter, unbilled revenue is down because we
had a focused effort concentrating on that metric. And I think overall, the
business has delivered qui te well on ensuring unbilled revenues go down. And
we see a slight impact of that in terms of the DSOs going up by two days
because the unbilled revenues got converted into invoicing and that's a good
thing to have because it leads to better visibility on collections.
Ravi Menon: Thank you. And if I heard NGS correctly at the press conference, you said BFSI
will return to growth next quarter. Is this due to a change in how discretionary
spending decisions are being made or due to any specific deal ramp -ups?
N G Subramaniam : I think, as I said, overall, BFSI, if I look at all our clients in BFSI, many of them

actually grew or stayed flat. There has been a marginal growth in each one of them. And the actual de -growth eventually happened because of two large programs that we com pleted and the furloughs.

Adjusted for that, we believe that it will be a positive momentum for us in BFSI vertical in the next quarter. Coupled with some of the deals that we have won, I think that should also ramp up in the coming quarter in the Q4 and Q1. And all that is what makes us feel that BFSI will actually return to g rowth, at least in our portfolio of clients that we have.

Ravi Menon: Thank you. And one last follow -up, if I may. You talked about your specific advantages on context ual knowledge and how the overall value that you

provide to the customer and the solution. Could you tell us how many solution architects, overall software architects you have within your employee base, maybe a rough proportion.

K Krithivasan : We don't give that kind of break down, Ravi.

Ravi Menon: Thank you. Best of luck.

Moderator: Thank you. We have our next question from the line of Moshe Katri from Wedbush Securities. Please go ahead.

Moshe Katri: Thank you and congrats on very strong execution in a pretty tough environment. I have two questions from my side. First, we continue to see a disparity in performance in Europe versus North America. Can you provide some color on that? And do you think that disparity kind of will maybe disappear down the road given your pipeline?

K Krithivasan : If you look at our pipeline, Europe has also been good. It's improved this quarter. And we have seen our TCV in Europe also has improved . In fact, our Europe geography did better this quarter compared to North America , on a sequential basis . So, it's reasonable to expect that Europe will also return to growth in the medium to long term.

We mentioned before that we are hoping growth retu rns in North America as well. I don't know whether there will be parity, but there'll always be some differences, but we hope in the medium to long term, both

the markets will return to growth.

Moshe Katri: Understood. And then the follow -up, I just want to clarify given some of your commentary and looking at your pipeline, are we seeing more optimism for discretionary spending during the next few quarters, more on the digital side? And obviously what we've s een on the TCV side, the main drivers were more on the cost takeout kind of area. But any color on the discretionary side outlook for the next few quarters? Thanks a lot.

K Krithivasan : Whatever the proportion between discretionary, non -discretionary existed in last quarter or last couple of quarters, we see that has not filtered or changed significantly. It's continuing to be the same .

Moderator: Thank you. We'll take our last question from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta : Two questions. First, on BFSI. If I look last 3 years, BFSI deal intake remained around $10.5 billion on last 12 months basis. So more or less flattish, if I look, let's say, 3 -year basis, in a way it gets reflected in revenue growth

performance also in BFSI. Can you help us understand from a medium - to long -term perspective how one should look at BFSI growth trajectory?

Second question is about non -CIO spending exposure. If you can help us understand how we are placed to participate in non -CIO spending , CMO, CGO-related spending? Thank you.

N G Subramaniam : In BF SI, we mana ge a large portfolio across banking, capital markets and insurance and products and platforms. Because of the varied nature of this vertical , let's say, if banking does well, sometimes capital markets remains weak. Insurance has been doing well for us in the last few quarters. The products and platforms also ha d a significantly good run for us.

I believe that in banking, capital markets, insurance and the platforms if all of them fire, then you will see a very distinctively huge growth. But the nature of the industry is such that, if one or the other declines, we end up seeing a flat to negative growth. And we are managing it as a portfolio and we are happy that there is always a cost and optimization focus in BFSI .
While they continue to explore new technologies, and then in terms of the number of hours of technology services that we provide to banking financial services , we track it to the extent that look we are gaining market share in BFSI, while overall revenue and the portfolio may see some moderate growth. That's the way I'll put it.
Dipesh Mehta : Yes. Can you answer the second one on non -CIO share of spend ?
N G Subramaniam : Non -CIO revenue across the verticals, I think you see some growth. And separately, if you look at the revenue on the CMO side or COO side, they are improving. And as enterprises adopt cloud and Generative AI technologies, what is really kicking off is the digital marketing right now. And we are seeing good growth and opportunities coming for the whole TCS interactive portfolio .
We stay focused on cost optimization and vendor consolidation on one side and the growth and transformation projects on the other side. The majority of the growth and transformation projects that we have won with in our G&T portfolio are really led by business.
Dipesh: Is it possible to quantify some numbers here? What would be the share of revenue?
N G Subramaniam : We have not started to give that out, and let's hope that this year, augurs well for us to give you more color on all of this.
Dipesh: Thanks.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir

.
K Krithivasan : Thank you, Operator.
• In Q3, our revenue grew 4.0% in rupee terms and 1.7% in constant currency terms.
• Improved productivity and other operational efficiencies, along with further optimization of subcontractor expenses, helped expand our operating margin, offsetting margin headwinds from furloughs and higher third -party expenses.
• We were able to improve operating margin s to 25.0%. Our net margin is at 19.4%.
• Deal momentum continued to be very strong in Q3 with our order book at $8.1 billion.
• Our LTM attrition in IT services fell further to 13.3%.
• Our Board has recommended a dividend of ■27 per share, including special dividend of ■18 per share.
• We continue to invest in building our Gen AI offerings, deepening our employees' skills on Gen AI and are building differentiated capabilities, integrating Gen AI in our portfolio of products and platforms. We continue to deliver strong and resilient growth, winning market share with industry - leading margins.
• Our resilience is a result of our ongoing investment and exceptional leadership team under extremely talented and dedicated workforce. I want to thank each of them for what has truly been an outstanding performance in a challenging environment that we shou ld all be proud of.
With that, we wrap up our call for today. Thank you all for joining us. Enjoy the rest of your day and stay safe. Thank you.
Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings .

Call: Apr 2024

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BS
E Limited
P. J. Towers,
Dalal Street,
Mumbai - 400001
Scrip Code No. 532540 TCS/SE/19/2024-25
April 17, 2024
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G, Bandra Kurla
Complex, Bandra (East)
Mumbai - 400051
Symbol - TCS
Dear S irs,

Sub: Transcript of the earnings conference call for the quarter and year ended
March 31, 2024
P
ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the earnings conference call for the
quarter and year ended March 31, 2024, conducted after the meeting of
Board of Directors held on April 12, 2024, for your information and records.
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he above information is also available on the website of the Company: www.tcs.com .
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Company Secretary
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Tata Consultancy Services Limited
Q4 FY24 Earnings Conference Call
April 12, 2024, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings conference call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on you r touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you and over to you.
Nehal Shah: Thank you, operator . Good evening and welcome everyone. Thank you for joining us today to discuss TCS's financial results for the fourth quarter and full year financial year 2024 that ended March 31st, 2024.
This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results.
We have with us today Mr. K Krithivasan, Chief Executive Officer and

Managing Director.
K Krithivasan: Hello everyone.
Nehal Shah: Mr. N G Subramaniam, Chief Operating Officer and Executive Director.
N G Subramaniam: Good evening to you.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria : Hello.
Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.
 Milind Lakkad: Hi everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance, and anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.
We have outlined these risks in the second slide of the quarterly fact sheet available on our website and emailed out to those who have subscribed on our mailing list.
With that, I would like to turn the call over to Krithi.
K Krithivasan: Thank you, Nehal. Good day everyone.
I am pleased to share that we are wrapping up the last quarter of financial year 2024 with the strongest sequential revenue growth in many quarters , an all-time high TCV and an operating margin of 26% for the quarter, highest in the

last 12 quarters.
Our FY 2024 revenue grew at 6.8% in rupee terms, 3.4% in constant currency terms and 4.1% in dollar terms. Our operating margin for the year came in at 24.6% and net margin was at 19.3% . Our ability to maximize market opportunities is evident in our record Q4 TCV of $13.2 billion .
We are seeing solid deal momentum across markets resulting in strong double -digit growth in our last 12 months TCV, which is a reflection of our deepening partnership with our clients.
This is going to be NGS last quarter with all of us. I want to thank NGS with whom I have worked closely for more than three decades. I witnessed first -hand the tremendous impact it has made on TCS over a 42-year long career, working side -by-side with him and our entire leadership team on every aspect of our strategy and operations.
NGS played a key role in developing and executing our growth strategy, especially our products and platform business, positioning us very well for continued market leadership. He has played a strategic role in several landmark projects that TCS undertook across geographies,

most recently BSNL being one. We will miss him in his executive capacity very much.
I now invite Samir, Milind and NGS to go over different aspects of our performance during the quarter. I will step in later to provide more color on the demand trends we are seeing. Over to you, Samir.
Samir Seksaria: Thank you, Krithi. Good day, everyone. In the fourth quarter of FY24, our revenue grew 2.2% year -on-year in constant currency terms at ■61,237 crores . This translates to a growth of 3.5% in rupee terms. In dollar terms, the revenue was $7.36 million, a YoY growth of 2.3%.
For the full year, our revenue grew 3.4% YoY in constant currency at ■240,893 crores and that translates to a growth of 6.8% in rupee terms. And in dollar terms, our revenue was at $29.1 billion , a YoY growth of 4.1% .
Our Q4 operating margin stood at 26%, a sequential expansion of 100 basis points. This was in spite of 90 basis points due to higher third - party costs and travel expenses, offset by 190 basis points improvement from reduced subcontractor costs, improved productivity and better utilization.

Our FY24 operating margin was at 24.6%, an expansion of 50 basis points over the prior year. During the year, we had 250 basis points headwind on account of annual wage increases and other interventions and a further 90 basis points from higher third -party expenses and discretionary expenses. We were able to successfully mitigate those by optimizing subcontractor expenses, improving productivity, realization and support from currency.
Net margins in Q4 was 20.3% and for the full year was 19.3%. Our annual EPS grew 10.9% during the year.
Our effective tax rate for the year was 25.8%.
Please note that all the full year FY24 numbers are adjusted for the settlement of legal claim which was accounted for in Q3.
Our accounts receivable was at 67 days DSO in dollar terms, flat sequentially.

Our cash conversion continues to be strong and over 100% of our net profits.
Invested funds at the end of March stood at ■46,963 crores .
The board has recommended a final dividend of ■28 per share. The shareholders payout year till date were ■46,223 crores including the buyback and dividends.
Over to you, Milind.
Milind Lakkad: Thank you, Samir. Our workforce at the end of the fourth quarter was 601,546 . Our LTM attrition in IT services kept trending down throughout the year and was at 12.5% at the end of Q4, down 80 bps sequentially and in our comfort range of 11% to 13%.
TCS has been recognized as a “Global Top Employer” by the Top Employers Inst

itute for the ninth consecutive year. The global certification follows a series of localized certifications with TCS being named the top employer in 32 countries and regions.
The company remains the preferred employer and one of the largest job creators in IT services in several major markets for both, freshers and lateral hires. We have commenced fresher hiring from campuses and continue to recalibrate our lateral hiring focus ing more on utilizing the capacity that we have built over the prior years.
TCS organic talent development initiatives continue to deliver industry - leading outcomes. Employees logged 51 million learning hours during the year and acquired 5 million competencies . In FY24, several key initiatives were launched to inculcate a strong engineering culture among the company associates, build deeper skills in market -relevant technologies and create an AI -ready workforce.
As we have done consistently every year, we have announced a salary increment for all of our employees with effects on April 1st, similar in quantum to prior years, with top performers receiving double digit hikes.
Over to you NGS for some color on our segments and products and platforms.

N G Subramaniam: Thank you, Milind. Good evening to all of you. As Krithi mentioned, I'll be superannuating from TCS in a few weeks. I thoroughly enjoyed and it's been an absolute honour interacting with all of you over this forum. And I always have looked forward to your reports and all our interactions and the reports have only made me wiser . Thank you so much.
Let me walk you through our segmental performance now. As a reminder, all growth numbers are in year -on-year constant currency terms.

In Q4, growth was led by Regional markets, which grew 26% .
Manufacturing vertical grew by 9.7%. Energy, resources and utilities grew by 7.3%. Life sciences and healthcare grew by 1.7%.
Our consumer business declined by 0.3% . However, it returned to positive sequential growth in Q4. Banking, Financial Services and Insurance declined by 3.2%, but saw a return of growth in the insurance business across all markets during the quarter. CMI declined by 5.5% and Technology & Services declined by 5.6%.
Among major markets, the United Kingdom led with 6.2% growth. Continental Europe declined by 2 .0%. North America declined 2.3%. In emerging markets, India led with +37.9% growth, Middle East & Africa grew +10.7%, Latin America grew +9.8%, and Asia Pacific grew 5.2%.
Let me move on to our products and platforms . Our industry -leading portfolio of products and platforms saw good traction during the quarter.

• ignio ™, our cognitive automation software suite, saw 32 new deal wins and 6 go -lives.
• TCS BaNCS ™, our flagship product for financial services, had 8 new wins and 7 go -lives during the quarter.
o Central Bank, a leading Midwest regional Bank in North America selected TCS BaNCS for its core banking and payments modernization. The solution will come pre -integrated with TCS BaNCS for Payments, an ISO 20022 -ready solution, enabling the Bank to offer Fe dNow® services and RTP[1]® by The Clearing House.

1 Real time payment

• TCS BaNCS insurance platform continues to see strong growth in Q4 with 2 wins and 2 go -lives during the quarter.
o Aviva, UK's leading insurance, wealth and retirement provider, expanded on the existing relationship with TCS, for a 15 -year deal to transform its life business and enhance customer experience leveraging the TCS BaNCS based platform. As part of this, the e nd-to-end policy administration and servicing will expand to cover over 5.5 million policies, to be managed by Diligent

a, TCS' FCA regulated
subsidiary in the UK.
• Quartz blockchain platform had 3 wins this quarter.
• In life sciences, the TCS ADD ™ platform had 1 new win and 2 go -lives this quarter.
o Gen AI is a potential game changer in identifying probable drug candidates, optimizing trials, harnessing vast pools of dissimilar clinical data, capturing and processing efficacy, and safety data. There are many such Gen AI use cases where Pharma companie s are investing. TCS ADD ™ is actively working on PoCs on Gen AI across multiple innovative use cases, including literature insights, patient insights, safety case processing, and medical writing.
• TCS Optumera ™, our AI -powered merchandise optimization suite had 1 new win in Q4.
o A Dutch retail client has transformed its pricing strategies in their 800 Netherlands stores for the last 7 years with TCS Optumera ™, fulfilling their promise of 'providing high quality at low price'. Our product will now drive their pricing initiatives in Belgium that will help them improve usability, provide flexibility in pricing, and help maintain consistent pricing position.
• TCS iON, our platform for digital assessment, exam administration, and learning, had 22 new wins and 80+ go lives.
o Our assessment platform administered exams for 13.9 million candidates. Our platform now offers Gen AI -powered content creation and text translation in Indian regional languages, improved security in question paper creation with restrictions in editing,

overwriting media/images, and creating duplicate subject codes and names, audio -based marking; with noise suppression and dual recording capabilities.
• TCS TwinX , our digital twin solution, had 2 wins and 2 go -lives.
• MasterCraft and Jile won 29 new clients in Q4.

Client Metrics
Let me now go over our client metrics. As you are aware, our customer -centric business strategy enhances our ability to continually expand and deepen our client relationships. These metrics provide a measure of our progress in the journey and a validation of the strategy.
• In Q4, we added 2 more clients year -on-year in the $100 million+ band bringing the total to 62.
• 6 more clients in the $50 million+ band bringing the total to 139.
• 10 more clients in the $20 million+ band bringing the total to 301.
• 26 more clients in the $10 million+ band bringing the total to 487.
• 28 more clients in the $5 million+ band bringing the total to 693.
• And 53 more clients in the $1 million+ band bringing the total to 1,294.
I will now request Krithi to speak on the demand drivers during the call.
K. Krithivasan: Thank you, NGS. As we review the last year's performance, TCS has once again proved its adaptability and relevance to customers. By working closely with them and utilizing our contextual knowledge, we proactively identified solutions to their industry -spec ific challenges, leading to significant deal wins and market share gains for us. Our growth remained resilient amidst macro uncertainties and geopolitical volatilities.
During Q4, customers continued to reprioritize spend in projects, where return on investment was high and immediate. Several key engagement themes, which are priorities for enterprises, include operating model transformation, vendor consolidation, cloud transformation, AI enablement, i.e. Cloud and Data foundation for AI , customer and employee experience enhancement, business process optimization, sustainability, and early -stage AI -infused transformational engagements.
We continue to see pressure on customers' discretionary spend. At the same time, transformation also remains a key ask, and customers are expecting the same to be funded through savings from operations.
For the BFS I vertical, 2023 was a year of resilience, balancing the challeng

es due to inflation and complex geopolitics against the initial benefits from rising interest rates. In 2024, while evolving regulation, transformati ve technologies like Gen AI, cybersecurity, embedded

finance, and green transition have become the constant driving change, businesses are going to be focused on innovation driving their plans and building new business models for the future that will unravel tremendous growth potential. We continue to see pent -up demand in BFS, which will be a growth driver in the medium to long term, but in the near term, clients continue to conserve cash and focu s on business - critical projects with immediate RoI.
Challenges such as economic slowdown, soft recession, high interest rates, geopolitical tensions continue to put pressure on the consumer business group vertical throughout FY 2024. However, we saw some green shoots and moderate growth during the quarter, which

represented the highest sequential growth in the last four quarters. We expect accelerated spend in the medium term in areas such as improving customer experience, loyalty and reach, hyper - personalization, scaling Retail Media Network revenues, secu rity services, cloud transformation, cloud ERP modernization, leveraging AI / Gen AI to enhance business value.

I am now going to talk in detail about some of the major themes driving demand for our services.

We are witnessing a growing trend in deals enhancing Customer and Employee Experience for enterprises and are actively pursuing such deals and taking proactive measures across industries.

■ An American retailer of office supplies partnered with TCS to reimagine and digitally transform their loyalty program. The omni -channel platform is enabling the launch of new features like real -time reward point redemption, special savings events and customized offers and is key to improve customer retention a nd satisfaction. TCS leverage d its contextual knowledge to shape the cloud -based solution and deliver a highly scalable, flexible, reliable and secure solution.

■ TCS entered into a strategic partnership with a multinational energy management company to bring g rid flexibility management and energy transition for global utilities and their end customer base. TCS will integrate Cloud Energy ™ into customers' energy management platform and together go to market for commercial, industrial and residential end customers of global utility companies. The joint partnership will target a potential saving of around $1 billion in energy bills for over 10 target utilities and the ir end industrial and

commercial customers. It will generate a business value of $40 - $60 million for the customer over the next 10 years.

The global supply chain is rapidly evolving and striving to stay abreast of the ever -changing environment and advancing technological innovations. Below are a few examples of how TCS is helping businesses in modernizing processes and platforms to enhance efficiency, adaptability to market shifts and boost their bottom line.

■ An Norwegian postal service provider partnered with TCS to modernize its critical logistics management platform that was constraining its growth ambitions. TCS leverages deep contextual knowledge to implement a new digital core, a command center, improved workforce, real-time data visibility and predictive analytics and insights. This has helped the client reduce operating costs by 40%, enable timely interventions, improved user experience and reliability during peak periods. With an empowered workforce and faster time to market, the platform has fortified the company's position in the market.

■ A distributor and retailer of beaut

y products was facing several challenges across the supply chain and specifically significant inefficiencies in purchase order management. TCS' assessment found that over 50% of POs contained errors, and investigation was cumbersome. A control tower with automated exception handling and shipment notifications and streamlined vendor approvals, was implemented. This reduced manual intervention in PO processing by up to ~90%, significantly mitigating the risk of human error, improving operations and vendor relations. .

ESG has gained traction amongst organizations and is becoming a crucial investment. The need for emissions reporting and regulatory compliance towards net zero commitment is driving new business of data collection and deriving insights. Sustainable financ ing has emerged as a top priority and is driving the transition towards a carbon neutral economy.

Our clients actively seek our expertise to develop innovative technology -driven solutions that leverage IoT, AI and advanced analytics, aiming to reduce energy and resource consumption, monitor and measure greenhouse gas emissions throughout the supply ch ain, minimizing carbon footprint, reducing waste, promoting recycling and reporting their sustainability initiatives.

■ A Nordics major partnered with TCS to enable ESG credit risk assessment with varied degree of automation and complexity aligned to the sustainable financing approach for corporate customers. With an efficient and harmonized approach, this program improved ECB regulatory compliance covering fou r out of the six regulatory requirements. Our solution has flexibility to accommodate future regulatory requirements and supervisory expectations and enables a risk-based approach to ESG assessment and monitoring.

AI is beginning to permeate our lives incrementally through everything from the tech powering of our smartphones to autonomous driving features on cars, to the cool applications retailers use to surprise and delight consumers. As a result, its progress has b een almost imperceptible.

Moving on to Generative AI , excitement over this technology is substantial. Gen AI is steadfastly at the forefront of the technology trend s and customers are on the lookout for POCs on the efficiencies that can be enabled by Gen AI in application development, application maintenance and deployment automation.

A full realization of Gen AI's benefits will take time and enterprises and society still have considerable challenges to address. These include managing the risks inherent in Gen AI, reskilling and upskilling the workforce and reimagining core business pr ocesses. Customers are looking at scaling out POCs and pilots by implementing necessary guardrails. TCS has been making all the relevant investments required to participate in this opportunity.

■ Last year in August, we launched our AI.Cloud business unit, bringing together the power of cloud data and AI - including Gen AI, into a dedicated group that builds on our strategic hyperscaler partnerships and deep relationships with other major AI players.

■ We launched AI.Cloud Academy, which provides our associates with a powerful platform to train, get certified, share knowledge, accelerate deployment and play in our unique AI experience zone. We have one of the largest pools of employees trained on AI and Gen AI competencies.

The type and size of opportunities are evolving, with a noticeable shift towards larger, more strategic projects that encompass cloud and AI technologies. As Assist use cases become Augment, it will drive

underlying initiatives on Cloud and Data. We are gradually seeing a few Gen AI use cases moving to production.

Gen AI's ability to create new data and content is driving innovation across sectors. We expect wider adoption in financial year 2025, with focus on seamless integration with current workflows with a “human - in-the-loop” approach .

■ TCS has partnered with a large turbine manufacturer to identify duplicate parts in the system, which are resulting in suppliers being charged different prices for the same item, causing losses to the manufacturer. TCS has leveraged AI to extract defined attributes from the information stored in PDFs to create a data model to identify the duplicates that resulted in $15 million annual ized saving s for the manufacturer.

■ TCS is helping an enterprise in the material handling business to help service engineers with specific insights for equipment. The Machine

Learning -based solution, complemented with Gen AI, is directed to understand both structured and unstructured data ar ound equipment manuals and enterprise data and generate targeted instructions for service personnel to improve productivity and reduce the equipment service insights.

In the past, cost and optimization benefits led to cloud adoption. Today, cloud is not merely a technology to adopt, but a strategy for business transformation and growth itself. Cloud technologies enable us to overcome existing limitations of scale and b ring partners, data supply chains and customers together and connected.

TCS has been working closely with clients and fine -tuning their cloud strategies. The following examples demonstrate this partnership.

■ Openreach, UK's largest digital network provider and a part of the BT group, wanted to implement a cloud -native microservices architecture. On a mission to roll out fiber connectivity across the country, Openreach realized an overall enterprise rehaul was urgently required. TCS designed a modular and scalable orchestration engine on cloud which streamlines the entire fulfilment journey from order to billing. It provides real -time business insights while optimizing cost and reducing the total time to market for the customer.

■ United Airlines engaged TCS to revolutionize pilot pay with the intention of providing real -time gross pay information with improved

pay accuracy and transparency to its 15,000 pilots. TCS was at the forefront of this collaborative approach, leading the transformation across design, architecture and solution development. By embracing a data -driven approach with insights from United, we have truly built a future -ready cloud -based scalable solution that seamlessly evolves alongside United's vision.

■ Legal and General Retirement Institutional (LGRI) , a leading provider in the UK's Pension Risk Transfer (PRT) market, partnered with TCS to modernize its customer administration platform with the power of cloud. Leveraging the contextual knowledge of the client's application landscape, its cloud expertise and partnership is a major hyperscaler. TCS helped the clie nt build a highly available and resilient platform. The migration to public cloud has helped the client to enhance the capacity to on board large PRT schemes quickly and meet the demands of the growing PRT market. The new architecture has also ensured increased availability of its customer administration platform with the ability to recover applications within 1.5 hours. With the new platform, TCS h as laid the foundation for LGR I's future growth, continued success and scale.

Fuelled by cloud -native capabilities and data -intensive technologies like AI / Gen AI and IoT, enterprises can harness insights and apply skills and knowledge to spur innovation to the benefit of all, whether it's solving complex societal and climate challenges or creating new markets and revenue streams. We are very optimistic abou t the longer -term opportunities from this trend.

Moving on to our deal wins, TCV in Q4 was at a record high, at $13.2 billion . This includes one mega deal we announced during the quarter. The BFSI TCV was $4.1 billion , while the TCV for our Consumer business group was at $1.6 billion . The TCV of deals signed in North America stood at $5.7 billion .

Our FY24 TCV was $42.7 billion , a record growth of 25.2% YoY .

We can now open the lines for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Yogesh Aggarwal from HSBC. Please go ahead.

Yogesh Aggarwal: Hi, good evening. Just a couple of questions. On the TV, you guys mentioned that there is only one large mega -deal in the entire quarterly TCV, which is very strong. But still, the near -term growth outlook is not very clear. So, I was just a bit confused. If a large part of the deals are smaller in TCV, shouldn't the near -term outlook improve quite a bit?
That is one. And secondly, just on the India business, Krithi, in the past, companies have regretted growing India business after a while, due to issues with margins, cash flows, etc. So, do you think the market has matured now and it's not a risk going forward?
K Krithivasan: Thanks Yogesh. First on the large deal, we said there is one mega -deal in the deal pipeline. Others are all deals of normal size we have every quarter , which are large deal s, but not all are mega -deal s. So from an overall deal -term perspective, there is no change otherwise.
And since you mentioned the TV interview, we said that the number of deals that we have been winning in the last few quarters , gives us confidence that after a period , the growth would return . So, I don't see there is a reason for confusion or conflict there.
Coming to India, we do believe that we have to participate in the India growth story. And many of the large Indian enterprises, both in the public sector and private sector, are embarking on new programs to leverage the technology that's available today. So, we are selective, and we want to ensure that we enter the right deals, but we believe there are enough right deals in the market today.
Yogesh Aggarwal: Thank you so much.
Moderator: Thank you. We have our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli : Yes. Hi, team. Congratulations on a good set of numbers. Krithi, you reported solid deal wins, and you are indicating that the demand visibility has improved over the previous three months, I think on the press meet. On the contrary, one of our consulting heavy peers has indicated that demand situation further deteriorated over the previous three m onths.

So, is it fair to assume that the problem of incremental deterioration over the last three months is more pertinent to the discretionary strategy consulting kind of engagements, and the rest of the portfolio remains largely resilient?
K Krithivasan: So, definitely, in a way, if you look at what we have been saying, discretionary programs with not so exciting ROI are under pressure. So, if the ROI is not immediate or ROI is not meeting the threshold the customers have set for themselves, they tend to pa use those programs or delay those programs.
So, to that extent, there could be a lack of visibility in the near term. But, as I said, since the TCV has been quite high, on the medium to long term, we are more optimistic.
Sudheer Guntupalli : Sure, Sir. Second question to Samir. If we adjust for BSNL deal ramp -up led margin dilution over the previous two quarters, your EBIT margins woul

d have already been somewhere midway of your aspirational band of 26% to 28%. So, my question is, have we peaked out in terms of margins or you see further scope for a margin upside?
Samir Seksaria: Sure, Sudheer. So, first, we'll look at our margins on a portfolio basis and we'll not split or exclude a single customer or geography out of it.
Coming to your question on whether the margins have peaked out, as you know, first quarter we will take the impact of increments. So, we would have a headwind coming up.
But, I think, overall, during the year, we have, despite strong headwinds coming through, and in a challenging macro, we have been able to deliver consistent good margin improvement in the last three quarters, almost 100 basis points in each of the quarters.

We believe some of the levers, like the subcontractor cost which was one of the levers which helped significantly in FY'24, might have bottomed out. But with our focus on disciplined execution, we believe levers like pyramid , pricing and utilization can still help us. And if the macro risk recedes and growth reverts back higher to its normal trajectory, then that can only help us accelerate this journey.

Sudheer Guntupalli : Got it. And lastly, congratulations to NGS on a glorious career. It's a privilege to listen to you, and all the best for your future endeavours .

N G Subramaniam: Thank you.

Moderator: Thank you. The next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Hi, thank you. Just the first question is on the strong signing momentum you mentioned. How are you thinking about the conversion of this into revenues over the next year or so? And how does it set you up for FY'25, given perhaps easier comparable this time (FY24 growt h not being very high). Does it help you significantly?

K Krithivasan: Yes, we are quite comfortable on the revenue conversion of the deal that we signed in the last three, four quarters. And the conversion rate has been at a similar rate that we used to convert in the past as well. We've been saying in the last few quarters, the headwind has always been in those projects that we signed quite some time ago which are discretionary in nature or where the clients can slow it down or pause for some time. Those are the ones providing the headwind.

Ankur Rudra: Will FY'25 pan out better given how FY'24 was?

K Krithivasan : Ankur, last quarter also we mentioned this. Seeing the TCV of whatever we signed this quarter, we believe FY'25 should be better than FY'24.

Ankur Rudra: Understood. Maybe if you can comment a bit more in terms of how do you think or where do you think clients are and where do you think the environment is in terms of spending cycle? It's been almost, I think, two years now. It's not slightly longer till we' ve seen, you know, revenue sort of decline, decline, decline, perhaps bottom out and begin to recover.

How do you feel about the spend cycle right now, especially the mix of discretionary and non -discretionary? And also, if you can touch upon financial services and CMT verticals.

K Krithivasan: See, look at it this way, Ankur. Clients want to do transformative work , and they want to embrace new technology. We talked about cloud adoption , enterprise cloud modernization and also a bout Gen AI . Clients want to do all of them , and clients also want to conserve costs. These two are the drivers that make them choose the appropriate projects.

Wherever they're trying to do cost and optimization, you would see programs around vendor consolidation, operating model transformation, or sometimes application rationalization. Those kinds of engageme

nts are started. And the saving s generated are used to fund the programs that I talked about.

So, I don't think that if you look at purely the TCV and look at the kind of projects, you cannot say there's only one kind of project. You would see a fair mix. I would say maybe 55 to 60 % in terms of cost and optimization and the remaining in terms of transformative engagement.

N G Subramaniam: If I can add, Ankur, to what Krithi has said, every organization wants to become an AI organization. There is a huge amount of upskilling and transition that internally they are going through to train their own people on the impact that AI can have in terms of every one of their

internal processes and their planning process, and what are the parameters that ar e important for their growth, all of it.
So, they are going through their AI transition themselves. And in addition to that, given the number of new technologies that are coming in this space, the possibilities are opening up. As I alluded to in the press conference, the first phase of defining t he architecture in which they would like to develop these programs, which LLMs will be relevant for them, which one they want to keep in-house, which one they want to keep in the public domain, what data that they have internally, what data they need to get it externally .
A lot of these strategic decisions are also at play. So, I think as far as the cost and optimization, efficiency, using AI for internal purposes, they're all -- there's no de arth of opportunities, they're all happening. But on the strategic transformation programs, the kind of work that they want to do, they are calibrating it, they want to solve all this internal issues, strategic issues first, assess the regulatory impacts befo re they want to progress further.
Ankur Rudra: Thank you for the color, NGS, and thank you so much for your guidance over the years. That was my last question. Thank you.
Moderator: Thank you. The next question is from the line of Kawaljeet Saluja from Kotak. Please go ahead.

Kawaljeet Saluja: Hi. Thanks a lot. I have a couple of questions. First is on TCV and the relative lack of, what I would say, excitement about the near -term growth acceleration. Is there anything in the composition of TCV which is leading to this relative lack of enthusiasm , anything which you can throw some color on the renewal component or the ACV, anything that can help us understand the dynamics of growth and our TCV a little bit better?
K Krithivasan: Thanks, Kawaljeet. I won't call it a lack of excitement. We are quite happy with the TCV we signed. Our caution comes from the headwinds that we face. The short -term demand remains very unclear or volatile. So that's a cautionary stand. Like, once we go through the quarter, probably we'll get a better understanding of the overall net demand. So, we are quite happy with the TCV , and its conversion into revenue as well.
But what we have not been able to predict is the headwinds that come out because customers want to conserve cash and then stop some of those ongoing large programs. So that's the reason you see the amount of caution in terms of predicting the revenue.
Kawaljeet Saluja: And Krithi, anything in terms of renewals versus new TCV? Because I saw a stream of announcements, but plenty of them were renewals. So how does that compare with the historical average? And if you can throw any -- if you can add any insights on the ACV nu mber, that would be useful as well.
K Krithivasan: We don't publish ACV number, Kawaljeet, but from a mix pe rspective between renewal to new revenue, there is no change. If at all, I would say that our new revenue has been stronger.
Kawaljeet Saluja: Okay. That's heartening to hear. The second question is for Samir. Samir,

any other lever through which you can juice up the margins? I understand there's some near -term headwind from comp ensati on provision, but just to understand the perspective of profitability and how it can improve, any levers that you can highlight, because at least from the face of it to us, it looks like the engine is running nice and in a very optimized way today?
Samir Seksaria: Yes, Kawaljeet. The ones I called out – pyramid, pricing and utilization -- definitely have further scope. And we also believe that incremental margins will have to be contributed by pricing improvements.

Kawaljeet Saluja: Right. The final question that I have is on the BSNL deal . So there's $1 billion of revenues that come in, say, a period of 12 to 18 months. Are there subsequent work packets that will flow in or does this create, let's say, a revenue vacuum as you move into FY 2026?
N G Subramaniam: Hi, this is NGS here. We are focusing on installing the network across 100,000 towers. We have achieved about 10,000 towers as of date, and there are further opportunities.
For example, beyond rolling out these 100,000 towers , we also have to upgrade a good number of them to 5G. That's another revenue stream that will come. And then subsequently, the maintenance support is for the next foreseeable future. That's another thing that is expected.
In addition, there are also opportunities to increase the number of towers that BSNL will deploy, because clearly they are focused on what they call a s saturation si tes, which essentially means rolling out new towers in rural areas where hitherto even a mobile network doesn't exist. So there are clearly some more opportunities that will come from the BSNL.
But clearly, this is a mission critical project, very complex, highly integrated, and indigenously developed. The opportunities to take it to market with other operators is an opportunity that we are calibrating.
Kawaljeet Saluja: Got it. Fantastic. Thanks a lot.
Moderator: Thank you. We have our next question from the line of Surendra Goyal from Citigroup. Please go ahead.
Surendra Goyal: Good evening, everyone. Krithi, I'm just trying to understand your commentary better. You have sequential growth in Q4. You are saying that visibility has gotten better. Deal TCV trends are good and mostly regular -sized deals. And June and September are seasonally strong as well, based on what we have seen over the years.
So why are you not willing to call out growth in the coming quarters? Is the leakage in the existing big business a concern enough to hold you back despite so many positives? Any clarity would really be helpful.
K Krithivasan: Surendra, two things. One, we have never given guidance. Two, as I told, whatever answer I gave to Kawaljeet, like, there is an amount of

unpredictability in terms of our customers' readiness to cut the discretionary work that they are doing based on the return on investment they're seeing.
And it is also a factor of how they see the economy panning out or what they should be ready for. So, if there is a greater confidence on their overall business growth, you would see them at least embarking upon more discretionary projects or not pa using the projects. It's a question of the overall economic sentiments our customers are in. That's the reason that we are not sounding very optimistic. We have been cautious because of these reasons.
Surendra Goyal: And are there particular verticals where you see the reprioritization happening more commonly compared to the rest of the business?
K Krithivasan: No, it comes from their individual perception. See, there are some programs that have seen a number

of incremental enhancements that are supposed to be done. But when they see the new enhancements not going to yield greater value, they don't do those enhan cements, they stop at wherever, whatever, after the initial set of modernization.
There are programs where clients signed up to initially a very high SLA, but they realized that given the current environment, that kind of SLA is not required. Then you have a lesser number of associates handling the same program with a reduced SLA. There was one instance where the customer sold off a business to somebody else or they got out of that business , and they ran down the people in that program. Some of these decisions happen in a very short notice. This is broadly the spectrum we are seeing.

Surendra Goyal: And just a housekeeping question, are any deals which get cancelled, either because of customers selling off a business or any other reason? What you report, is that a net number or just a gross number? See, if you had signed a deal six months back and then the deal got cancelled, would this quarter be net of that cancellation or the cancellations are not accounted for?
K Krithivasan: TCV is only what we sign new in a given quarter.
Surendra Goyal: Understood. Thanks. NGS, thank you for all your insights over the years and all the best.

N G Subramaniam: Thank you so much.
Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, thanks for taking my question. Just wanted to get little bit better trends on BFSI. You did talk about insurance vertical growing during the quarter across geographies.
If you could lay out in terms of outlook within BFSI of subsectors, what's going to grow and where the visibility is higher, where visibility is still not there, that would be very helpful.
N G Subramaniam: Hi Gaurav, this is NGS here. I think overall our engagement with our customers in the BFSI segment has been terrific and very good partnership that led to about $4.1 billion worth of TCV during the quarter. Insurance is doing well.
Capital markets is doing well , almost every stock market is doing well. So, there are increasing opportunities that are coming. But largely in putting controls, risk, and safety measures as opposed to trading systems or settlement systems because they're all working fine, they're all scaling, and they don't want to touch it, and they've invested a lot in the algo trading .
On the retail banking side, clearly payments and wealth management are two significant areas where we have customers wanting to try out new technologies. And especially portfolio management, portfolio optimization using Gen AI to rebalance , and assist in a way that increas es their own productivity and provide that agility to their end customers is something that we are seeing and identifying arbitrage opportunities on the fly.
These are all cases that people are experimenting , and there are opportunities in payments specifically and wealth management on the retail segment. On the Market infrastructure side, there are a good number of programs in th e pipeline. As you know, we signed up the deal with ASX, Australian Stock Exchange, and we implemented one of the most complex commodity systems for MCX. And we continue to engage with customers like London Clearing House and other firms.

Large market infrastructure programs in payments, payments modernizations, and almost every market , they are considering implementing something like a UPI, faster payments, instant payments. There are lot of discussions that are going on, but these are all long - term projects, so d

eal cycles are expected to be longer. I hope that gives you a perspective.
Gaurav Rateria: Thank you for the very comprehensive answer. Just to follow up on this, where are you seeing the unexpected ramp downs or behaviour of client decision -making within these segments, and any likelihood of that kind of continuing? I mean, are you expecting th is to continue in the current quarter as well?
N G Subramaniam: I think, I can't really, pinpoint something except that, look, if you take our BFSI segment, for example, most of our customers, are all long -

term strategic customers for us. We hav e enjoyed a phenomenal relationship and partnership with all of them. So we sign deals and they commit deals to work with us.
But then at the same time, they come back and then say that, look, yes, I signed this deal, and then I want to defer this for about a quarter. Even though contractually they may not have that option, we remain flexible with them, and then we have to accom modate them in the interest of our long -term relationship, and culturally we are like that. From that perspective, we see some volatility in decisions because, for example, if they face a headwind, come back and then talk to us and then say that, look, can you execute this program in terms of 12 months , 18 months or 24 months? And such things happen, it's an unplanned, distribution of work that we need to manage, and customers love us for that. I think we will continue to operate in that fashion to stay relevant to our customers and help in their times of need , and it is that volatility which we are not able to predict.
And at the same time, today there are so many startups coming in AI. Some of the clients want to invest in those startups rather than building it organically . Clients want to experiment and see whether the concept s what they are coming up with is interesting. Maybe I will invest in them and then accelerate their journey and adopt that technology. These are all the volatility that we see in the marketplace, for which, we will have to be respectful of clients ' thoughts and decisions and accordingly align ourselves to th e changing paradigm .

And that's the volatility which I'm not able to predict, and I'm not able to communicate it. We only echo what we see and what we hear from our customers to all of you.
Gaurav Rateria: Thank you very much. Last question for Samir. On the operating margin comfort band of 26% to 28%, you did talk about pricing to be one of the levers that will be required to sustain the margin in that.
In the current environment, do you expect this to play out in the coming quarters based on the kind of deals that you have signed? Or is it more of a factor that could be, at play only when the discretionary spend were to return back? Thank you.
Samir Seksaria: NoW we believe that increment al margins will have to be contributed by pricing improvements that need not be through an immediate pricing increase, but we will need to work out structurally . Towards that, i t would be a combination of various factors. Overall portfolio - based pricing increas e, renewals getting priced in at a higher price or when the renewals happen, asking for a price increase, or the overall new deals which come in get factored at a higher price. I wouldn't expect it in one quarter, or we go and ask for a price increase to a customer and we would get it immediately .
Gaurav Rateria: Thank you.
Moderator: Thank you. We have our next question from the line of Kumar Rakesh from BNP Paribas . Please go ahead.
Kumar Rakesh : Hi, good evening. Thank you for taking my question. My first question was for Samir. So, we are exiting this year closer to 26% on the margin side. So, through the next year, FY'25 through the quarters, should we expect the qu

arterly movement of margin similar to w hat we saw this year? Or there was some difference in the trajectory which we saw, and we should build accordingly?
Samir Seksaria: I think one thing for sure is like it happens in every year. We would take the impact of increments, the largest headwinds coming in Q1 and then we claw back on the margins as we go through the year. And we would expect a similar trajectory to happen in FY25 .
Kumar Rakesh : Got it. And there has already been a lot of questions around the deal TCV, ACV and the revenue conversion. Additionally, Krithi, you also

spoke about in the last part about the pent -up demand in the retail segment this quarter.
You have spoken about pent -up demand to be there in BFS. How do you see that panning out in the context where you have caution in the near term while you are also talking about there is a pent -up demand? What do you think that would be the catalyst that, you would be looking at where the pent -up demand eventually starts translating into revenue and gives you more better visibility on demand and comfort as well?
K Krithivasan: I think, o nce the customers are comfortable about their demand environment, about their market could be the catalyst. F or instance , see insurance today, they look at their long -term growth , or manufacturing, we find there is a lot of activity. So those sectors we find there is an investment happening . Capital markets has done reasonably well this quarter , spend happening in the regulatory sector, the risk and compliance. So, it depends on the individual customer and wherever they see that there is a greater confidence of their business, you would see the pent -up demand also being satisfied. Again, it is a factor of what is the return on investment that particular investment will give them. So it's more a factor of the individual business and the client's outlook.
Kumar Rakesh : Got it. So, in any of the verticals or pockets have you already started seeing this pent -up demand starting to...
K Krithivasan: I wouldn't call it pent -up demand, but as I spoke in my original commentary, consumer business for now we started seeing green shoots in pockets. Like even this quarter, we found airlines, transportation, doing very well. So you will see pockets in each of these verticals. I won't say any given vertical, you may not have all sub -verticals return to growth. But there will be some sub verticals that would return to growth. But as I said, this quarter, Insurance grew well, Airlines and Transportation grew well. Manufacturing, by and large, most of the segments in manufacturing grew well. So, this is what we are seeing.
Kumar Rakesh : Perfect. That's very helpful. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you, sir.
K Krithivasan: Thank you, operator. We are very pleased with our financial year 2024 performance, growing at 3.4% in constant currency, amidst the macro uncertainty prevailing in the major markets.
• Our Q4 revenue grew 3.5% in Rupee terms and 2.2% in constant currency terms. Deal momentum continued to be very strong in Q4, with our order book at $13.2 billion for the quarter, and $42.7 billion for the full year.
• Our Q4 operating margins improved to 26% , an expansion of 100 bps sequentially. Our net margin in Q4 stood at 20.3%.
• Our LTM attrition in IT services fell further to 12.5%.
• We continue to deliver resilient results, winning market share, and balancing growth with profitability.
• We have an exceptional leadership team and an extremely

dedicated
workforce. It has been every TCSers' hard work during the year which fuelled our collective achievements, and I would like to thank each one of them for their contribution to the company's success. With that, we wrap up our call for today. Thank you all for joining us.
Moderator: Thank you, members of the management. On behalf of TCS that concludes this conference call. Thank you for joining us and you may now disconnect your line.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Aug 2024

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TCS/SE/89/2024-25

July 16, 2024

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2024, conducted after the meeting of Board of Directors held on July 11, 2024, for your information and records.

The above information is also available on the website of the Company: www.tcs.com .

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Pradeep Manohar Gaitonde
Company Secretary

Encl: As above

Tata Consultancy Services Limited
Q1 FY25 Earnings Conference Call
July 11 , 2024, 19:00 hrs IST

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you and over to you, ma'am.
Nehal Shah: Thank operator. Good evening and welcome, everyone. Thank you for joining us today to discuss TCS's financial results for the first quarter of FY 2025 that ended June 30, 2024. This call is being webcast through our website and an archive, including the tr anscript will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are all available on our website.

Our leadership team is present on this call to discuss our results. We have with
us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.
K Krithivasan : Hi, good evening, good morning, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello, everyone.
Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.
Milind Lakkad: Hi, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance
followed by a Q&A session. As you are aware, we don't provide specific
revenue or earnings guidance. And anything said on this call, which reflects

our outlook for the future or which could be construed as a forward -looking
statement must be reviewed in conjunction with the risks that the company
faces. We have outlined these risks in second slide of the quarterly fact sheet
available on our website a nd e-mail out to those who have subscribed on our
mailing list.
With that, I would like to turn the call over to Krithi.
K Krithivasan : Thank you, Nehal. Good day, everyone. I'm very pleased to report a good start
to the new fiscal year. Our Q1 FY '25 revenue grew at 5.4% in rupee terms,
4.4% in constant currency terms and 3.9% in dollar terms. All our markets have
returned to growth on a sequential basis, similarly al

most all our vertical s also
saw positive sequential growth, except for CMI.
Our ability to deliver on large -scale complex engagements, projects of national
import ance and mission critical services for the world's leading companies
have helped us in winning market share. Our operating margin for the quarter
came in at 24.7% and net margin at 19.2%.
I'll now invite Samir and Milind to go over different aspects of our performance
during the quarter. I'll step in later to provide more color on the demand trends
we are seeing in our business. Over to you Samir.
Samir Seksaria: Thank you, Krithi. Good day, everyone. In the first quarter of FY '25, our
revenue was ■62,613 crores which is a year -over-year growth of 5.4%. In
dollar terms, the revenue was $7,505 million and that's a Y -o-Y growth of 3.9%
and in constant currency, our revenues grew 4.4%. Our Q1 operating margin
was at 24.7% in spite of a 170 basis point headwind from annual wage hikes.
In addition, third -party expenses also increased. These were offset by
operating efficiency, including better productivi ty, improved utilization and
reduction in subcontractor expenses.
Net income margin in Q1 was 19.2% and our EPS grew 10% year-over-year.
Our accounts receivable DSO was at 70 days in dollar terms and up 5 days
year-over-year.
Net cash from operations was $1.34 billion , which is 92.8% of net income.
Free cash flows were $1.23 billion and invested funds at the end of the period
stood at $5.59 billion . The Board has recommended an interim dividend of
■10 per share.

I'm now going to talk about our industry leading portfolio, our production
platform which saw good traction during the quarter.
• ignio ™, our cognitive automation software suite, saw 24 new deal wins
and 10 go -lives.
o Our R&I efforts have led in winning 60 patents so far in this
product.
• TCS BaNCS ™, our flagship product for financial services, had 5 wins
and 12 go -lives during the quarter.
o Core change drivers for our product continue to be business agility,
cloud - readiness, enablement of easy integration to ecosystem and
partner solutions, and enhanced client experience.
o Specific to the Securities industry, ‘T+1’ and shortening of settlement

cycles in general is a big growth driver for us. Custodians are also looking to see how to improve accuracy in the capture of corporate announcements and bring overall efficiency in th e value chain.
o Globally, we see increased levels of regulatory compliance requirements, and these are moving more and more real time in nature. This is another driver for the transformation of core technology.
o A leading Japanese bank offering custody and securities lending services through its fully owned subsidiaries in the U.S., U.K. and Luxembourg has selected TCS BaNCS for Custody to integrate its global operations onto a single custody platform and will be implemented in a SaaS model.
• TCS BaNCS insurance platform continues to see strong growth in Q1 with 1 win and 6 go -lives during the quarter.
o A leading Pan -India private insurer, has gone live with over 100 products across 8 business lines, spanning the entire business scope – from underwriting to policy servicing, claims processing and reinsurance. This represents the largest coverage of produ cts and lines of business live on the latest version of TCS BaNCS for a general insurance company in India, positioning us very strongly in the growing market. Additionally, a digital portal for agents and intermediaries has been rolled out to 5,000+ agen ts to expand market reach and scale up business volumes.
o TCS BaNCS for Intelligent Experience, our state -of-the-art framework for enabling next generation Customer experience, went live at a number of customers this quarter, strengthening what we can offe

r leveraging Digital, Data and AI.

• Quartz blockchain platform had 1 win and 1 go -live this quarter.
• In life sciences, the TCS ADD ™ platform had 2 new wins and 4 go -lives this quarter.
• TCS OmniStore ™, our AI -powered universal commerce suite, had 2 go lives during the quarter
o We have launched GenAI based intelligent buying guide enhancements, which is a conversational commerce system that helps agents and customers in better product discovery, personalized recommendations on products, services and offers, and flexibility to tailor the end user experience.
• TCS iON, our platform for digital assessment, exam administration, and learning, had 25 new wins and 70+ platform capabilities went live.
o Our assessment platform administered exams for more than 11.8 million candidates.
• TCS TwinX , our digital twin solution, had 2 wins and 2 go -lives.
• MasterCraft and Jile had 32 deal wins in Q1.

Client Metrics

Let me now go over our client metrics . The steady increase in the number of clients in every revenue bucket is the ultimate validation of our customer -centric strategy.
• In Q1, we added 3 more clients year -on-year in the $100 million+ band, bringing the total to 63.
• 3 more clients in the $50 million+ band, bringing the total to 140.
• 4 more clients in the $20 million+ band, bringing the total to 300.
• 18 more clients in the $10 million+ band, bringing the total to 486.
• 20 more clients in the $5 million+ band, bringing the total to 697.
• And 42 more clients in the $1 million+ band, bringing the total to 1,310.

With that, I'd like to hand it over to Milind.

Milind Lakkad: Thank you, Samir. The workforce at the end of the first quarter was 606,998 . The addition during the quarter was 5,452. We will continue to recalibrate our hiring for the year based on th e demand outlook .

We are focused on re -skilling and organically developing the required competencies amongst our talent base. Employees logged 11 million learning hours during this quarter and acquired 1.2 million competencies. We have one of the most comprehensive talent development programs in the world, helping us stay ahead of the curve and continue to innovate and adapt to keep pace with the evolving business needs.

This program has earned us the respect and admiration of our customers and employees alike. Our workforce continues to be very diverse with 151 national ities and with women making up 35.5% of our base. Towards driving a more performance -focused work culture, we rolled out double -digit wage hikes for high performers and an average 4.5% to 7% wage hike for the rest of the employees, with effect from 1st of April.

All our efforts in rewarding the best talent in the industry are reflected in our retention rates, which are one of the best amongst industry peers. Our LTM retention in IT services was at 12.1% at the end of Q1, down 40 basis points sequentially and in our comfort range of 11% to 13%.

I will now request Krithi to speak on the various demand drivers seen this quarter.

K Krithivasan : Thank you, Milind.

I am pleased to report a strong start to the new fiscal year with all -round growth across industries and markets, led by cost optimization and business transformation. Cost optimization remains the top customer priority, including vendor consolidation and operating model transformation.

Enterprises are increasingly relying on technology to help improve their competitive advantage, transforming the way they operate. Client spending under the business transformation initiatives included supply chain modernization, sustainability, enhanced c ustomer and employee experience, technology modernization, cloud , data and analy

tics and AI /GenAI initiatives.

We are investing in our workforce at scale, deepening our ecosystem partnerships and strengthening our IT teams. TCS, with its full services capability and industry -specific contextual knowledge, has always remained relevant to clients. Our strategy has re sonated with clients continuing to entrust us with large and strategic deals.

TCV in Q1 was at $8.3 billion . The BFSI TCV was at $2.7 billion , while the TCV for our Consumer Business Group was at $1.1 billion . The TCV of deals signed in North America stood at $4.6 billion .

Having said that, during Q1, we continued to see the dichotomy that we have witnessed over the past six quarters.

While larger and strategic transformation programs with enterprise -wide scope or benefits, example, cloud or data foundation, are continuing apace, some of the smaller programs with narrower scope benefits are coming under more stringent scrutiny, tending to get deprioritized. At the same time, we are seeing clients spend on initiatives oriented towards cost optimization, giving them immediate ROI.

Let me now walk you through our segmental performance. As a reminder, all growth numbers are in the year -on-year constant currency terms, unless otherwise mentioned.

• BFSI, our biggest vertical, returned to growth sequentially. On a Y -o-Y basis, it declined 0.9%.

o For the BFSI industry, the wave of the net interest income that was strong in 2023 has been waning down in 2024. Clients are now balancing their transformation priorities to ensure business resilience and innovation to improve cost to income ratio. In the near term, we will see tech spend on enabling new partnership and ecosystem models, stronger security practices to tackle cybercrime, data governance and democratization to address risks and regulatory scrutiny, and fully integrated digital operating model s.

o Longer term, BFSI clients are expected to increase their spending towards developing integrated models using Cloud and AI, mitigating risk of legacy systems and those aimed at boosting customer experience.
o ING Belgium partnered with TCS to modernize its legacy applications for business lending, bonus and warrants management application and branch banking operations. With our contextual knowledge of the bank's IT ecosystem, we collaborated in their simplifica tion journey, providing ING with modernized microservices -based, cloud -hosted applications. The modernization initiative will provide simplified operations, seamless customer experience, optimized and modern front end, simplified technology landscape, hig her productivity, and lower cost of operations for ING. This success story is a good example of the end -to-end large - scale IT modernization work we are doing for our clients.

• Consumer Business Group saw sequential growth for the second quarter, led by demand for cost optimization, improving end -customer experiences and Enterprise Applications Modernizations and Transformations. On a Y -o-Y basis, it declined 0.3%.

o Optimizing IT costs and realizing efficiencies is a big priority for Consumer Businesses. To that end, we see good demand for Operating Model Transformation and Vendor Consolidation as key themes.
o AO World , the UK's most trusted electricals retailer engaged TCS to transform the systems that underpin its Finance and Operations functions to respond to constantly changing business dynamics and customer expectation and maintain the competitive advantage in the industry. TCS led this transformation through the design, solution blueprinting and implementation of the cloud -based platform. Through this initiative, the customer could streamline its business processes, automate numero

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workflows and approval processes, create robust and resilient integrated systems, and bring transparency in financial reconciliation.
o bpost, also known as the Belgian Post Group , a leading European postal services company, partnered with TCS to digitally transform the retail front -office. TCS developed a modern, scalable, and portable POS solution using open -source technologies and cloud -native architecture, reimagining both the customer journey and employee experience, and redefining the front -office environment. The new solution has improved customer and employee experience by reducing wa it-times and enabling many self -service options for customers.

• Manufacturing continued with its positive streak and grew 9.4% , led by broad - based growth in all sub -sectors. Specific areas like Smart Manufacturing, Renewable energy, Battery Energy Storage Systems (BESS), Grid modernization with Digital solutions, supply chain transformation and vendor consolidation are showing a positive trend.

o Jaguar Land Rover (JLR) , UK's largest luxury automotive manufacturer has partnered with TCS to implement SAP Service Parts Management. This streamlined JLR's aftermarket parts supply chain, unifying multiple legacy systems across their two iconic brands into a single system. JLR benefited from optimized inventory worldwide, improved stock turnover, enhanced supply chain visibility, and improved collaboration and communication with suppliers. This also established common processes to support standardized ope rations across both brands —Jaguar and Land Rover.
o This success story showcases how the client embarked on its supply chain transformation wherein their key objective of 'Global Inventory Optimization and Systems Consolidation' was achieved, and how TCS

with its large project expertise and contextual knowledge was able to deliver substantial savings to the client.

• Life Sciences and Healthcare continued to do well and grew 4.0%.
o The pharmaceutical companies continue to invest heavily in R&D, supply chain transformation, smart manufacturing, clinical unified platform, cognitive -based case intake automation, and customer experience transformation for patients, health care personnel, and others as part of business transformation.
o In the healthcare customers, we see vertical integration, significant increase in home care and virtual care, and adoption of value -based care at scale.
o All these initiatives are leading to increased IT services spend for us.

• Energy Resources and Utilities also grew 5.7%.
o ERU companies are investing in transforming business and asset portfolios towards a more sustainable future, including renewables generation capacity, transmission and distribution to bring the energy to where it's needed, energy storage, and new ways of r unning the grid like Distributed Energy Resource Management and Virtual Power Plants.
TCS is engaged in pioneering work in such initiatives for its clients.

• CMI continued to face business challenges and declined 7.4%.
o Given the uncertain macroeconomic outlook, clients are focused on realizing the benefits from the investments in 5G made during the pandemic period before investing in any large -scale programs.
As these challenges abate, we expect spending on tech stack modernization to grow as telcos leverage automation, network intelligence, and virtualization to align with shifting industry trends.
Investments will be oriented towards enhancing business and op erational performance by leveraging real -time intelligence, scalable and modular networks, and partner ecosystems.
Current spend in this sector is led by initiatives in cost optimization, vendor consolidation, and integrated operations.

• Technology and Services returned to sequential growth after 5 quarter

s. On a
Y-o-Y basis, it declined 3.9%. Customers in this vertical remain cautious about new spending until business growth momentum picks up. However, we

are very excited about a marquee deal we secured with a leading tech company, where we will showcase the depth and breadth of all our service offerings.
o We expanded our two - decade long partnership with Xerox to develop a new agile, cloud -first operating model in an end -to-end transformation program designed to fast track the evolution of the company into a simplified, services -led, software -enabled organization. We will consolidate Xerox's technology services to improve business outcomes, migrate complex legacy data centers to a public cloud, deploy a cloud -based Digital ERP platform to transform business processes and incorporate GenAI into operations to help drive sustainable growth. We will be leveraging th e deep capabilities of our service practices such as AI.Cloud, Enterprise Solutions (including CrystallusTM) and Cognitive Business Operations (including CognixTM). We will also build an AI -first enterprise platform for Xerox.

Coming to our Service Practices , AI. Cloud, Cyber -Security and Enterprise Solutions led the growth this quarter. We launched new labs, Centers of Excellence and Delivery Centers focused on AI, IoT (Internet of Things) and Digital Engineering. We have also further expanded our partnershi p and alliances ecosystem by onboarding new partners in the areas of ER&D

(utilities, Process industry and Consumer Products industry segments), Cyber Security (cloud workload and endpoint security, threat intelligence, and cyberattack response services), Gen AI, e -commerce platforms, business consulting for Public Sector and Enterprise Integration Services. We continue to see global recognition across our service offerings.

• AI.Cloud: Organizations are seeing Cloud, Data and GenAI adoption as essential for delivering superior customer experience, remaining cost competitive as well as be able to roll out differentiated products and services rapidly. There is a renewed focus on data strat egy, data governance and use of analytics driven by the desire to leverage AI and GenAI.
Gen AI continues to hold major mindshare, and this is increasing by the day with newer models and techniques coming to the market almost on a daily / weekly basis. Customers are looking at scaling out the POCs and pilots by implementing necessary guardrail s. Mature customers with a solid cloud and data foundation that were able to experiment with multiple GenAI use cases are now looking to reimagine parts of their value chain to make them AI -native. This AI first business strategy is increasingly seen as th e eventual long-term aspirational goal. While the interest is strong, organizations are

taking a calibrated approach to measure the risk potential and organizational impact while chalking out their roadmap for GenAI adoption. TCS has been batting on the front foot with all the required investments made to participate in this space and opportu nity.

In this quarter, over 270 AI/GenAI engagements have been deployed or are in various stages of progress. Engagements that have successfully gone live include those enabling dynamic pricing strategies, improved product quality, transformed customer experience and significant product ivity uplift in business operations, software development & IT Operations. Our AI and Gen AI pipeline has also doubled in the quarter to US$1.5 billio n.

During the quarter, we launched TCS AI WisdomNext■■, a platform that aggregates multiple GenAI services into a single interface and enables organizations to rapidly adopt next -gen technologies at scale, efficie

ntly and
within regulatory frameworks.
The platform offers a comprehensive suite of modular, reusable components and industry -specific, prefabricated solution blueprints that are easy to use and enable faster business value realization. It can evaluate the accuracy of the AI model used and offe rs fine -tuning as a service.

• IoT and DE: We continue to see demand for IoT Platforms and Digital Engineering capabilities across different application areas. Few examples include: (1) Life Science and healthcare customers continue to invest in remote patient monitoring, diagnosis through connected devices leading to more software platform solutions and services. (2) Hi -Tech/ TSS customers are looking at new age skillsets which include chip design and optimization of manufacturing operations through automation (3) In the manufacturing space, key areas are - Factory transformation (smart manufacturing / factory of future), PLM services and smart product engineering. (4) Energy management solutions like TCS Clever EnergyTM are seeing good demand from customers across retail and manufacturing.

• Cyber Security services continued to grow this quarter. The focus areas of our customers have been Network security, Identity and Access Management modernization, Risk & Compliance and Cloud Security.

• Our Interactive services saw good growth this quarter across multiple offerings. The effective integration of technology and creativity is a key theme for all marketers. Our narrative around the need to improve CMO -CIO collaboration is being received well. CMOs understand that it is of paramount importance to connect the dots of complex technology systems, AI and data – and that this connecting of the do ts, along with creativity as the multiplier is key to help brands in their responsible growth journey.

• Our Cognitive Business Operations services also saw good bookings and revenue growth in both IT IS and BPS. As businesses are looking to get a heads -up on the long -term view, investments are made in current operations to make it leaner and more efficient. Our approach led by modern tech -led trans formation & assets such as ignio ™, Cognix ™ & MFDM ™ is gaining good traction.

• Lastly, in the Enterprise Solutions Unit (ESU), clients continue to invest in clean and sustainable digital core by modernizing their ERP. We will continue to invest and strengthen our joint go -to-market approach with our partners.

Moving on to geographies , Emerging markets continued showing superior and diversified growth. India led with +61.8% growth, Middle East & Africa grew +8.5%, Asia Pacific grew 7.6% while Latin America grew +6.3%.

• Among major markets, the United Kingdom led with +6.0% growth. IT services spend continues to be more resilient in the UK, and is expected to remain on the growth path.
• Europe grew 0.9% . IT services spend remained flat. In addition to other growth areas, sustainability initiatives and compliance of regulatory requirements is a key focus area amongst European clients.
• The biggest positive was North America returning to sequential growth after 5 quarters. On a Y -o-Y basis, it declined 1.1%. Overall IT services spending is stable in the geo; however, clients are neither going for large scale capex initiatives nor ramping down with deep spending cuts. There are tailwinds in the form of consumer demand, employment rates and technology innovation and headwinds coming from rising government and consumer debt, inflation and interest rates.
We remain focused on delivering to the best of our capabilities and improve market share across industries, services and geographies.
We can now open the line for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Ankur Rudra from JPMorgan. Please go ahead.
Ankur Rudra: We've seen an element of pickup in overall growth momentum this quarter. However, if I peel out the growth from India, the growth in the international business is about 1.5% both sequentially and year -over-year on constant currency terms. So, in this context and the fact that deal wins are sort of weaker than the last four quarter average, the question is, what gives you the confidence that fiscal '25 will truly be better than fiscal '24?
K Krithivasan : Thanks, Ankur. We have said that FY'25 will be better than FY'24 overall. If you compare current quarter’s performance with Q4 (last quarter) , we see sequential growth . Even leaving India out, almost all our verticals and all our geographies have grown. So, while India growth has been substantial , compared to previous quarter, the other sectors have also really done well. Going by the fact that growth has been broad -based , is what is giving us the confidence that this year will be better than last year. As we explain ed before, on the TCV side, we find it's more a timing issue because the pipeline is quite strong. We are not too worried about the TCV being lower than last quarter.
Ankur Rudra: Okay. Appreciate it. The following question for me would be on Generative AI. You did highlight that your overall AI pipeline has strengthened. But if you just

stay with Generative AI, how's that impacting your business? If you can give us some color in te rms of how it's impacting specific projects and customer perception. A related question is, do you feel that Generative AI in client conversations and client thinking is potentially creating a headwind for spending on IT services?

K Krithivasan : There is always a discussion in almost any new program we do , even if it's an AMS (Application Management Services) program or AD (Application Development) program we do. There is a discussion on can we leverage Generative AI, can we bring in more productivity that discussion always happens.

We also look for opportunities to bring in productivity or other value efficiencies through Generative AI. Clients do want us to look at Generative AI as one of the levers to better deliver in terms of cycle time or in terms of cost or quality. That discussion always happens, but we have not seen Gen AI as a headwind so far.

Ankur Rudra: Any comments on pricing given the nature of the business. Thank you.

Samir Seksaria: Pricing overall has remained stable. While there could be aberrations at an individual customer level or the phase in which deals which we are facing, but at a portfolio level there is nothing material to call out. As you would have seen realizations also have been improving sequenti ally.

Ankur Rudra: Appreciate it. Thank you and best of luck.

Moderator: Thank you. We have our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Hi, Kriti. Congrats on a good set of numbers. In March, you indicated that the demand visibility has certainly improved over December quarter. Now you delivered growth better than expectations. In that backdrop, just trying to get a context of your comments in the press that you don’t want to yet call out the sustainability of current growth number given the volatile environment.

Is it just a philosophical stance you are taking not to indulge in near -term guesswork or quarterly guidance given the uncertainty or is this by any chance led by a relative weakening of demand visibility versus March quarter for whatsoever reasons?

What I am trying to understand is that directionally are we seeing a steady improveme

nt or stability in demand over time or is demand moving more like a sinusoidal curve over quarters?

K Krithivasan : Sudheer when we announced last quarter, I do know that we said that there is an improving demand environment. What we said is we believe we are confident that FY25 will be better than FY24. And that is based on how FY24 panned out and how we started seeing the early quarter of FY2 5.

But it does not mean that the uncertainty has gone away. We still see situations where clients are ramping down programs or re -evaluating programs at very short notice. And that is the reason we believe that it is too early to call a sustained growth momentum or a demand stability.

It depends a lot on the economic outlook of our customers. It is certainly not philosophical, but it is quite practical Sudheer.

Sudheer Guntupalli: And the second question is on your other statement that clients are neither going for large -scale technology initiatives nor going for deep spending cuts.

So if we were to quantify this qualitative statement, is it fair to say that since the deep spend cuts are already in the denominator, incrementally not having them should still be a mathematical tailwind for us in terms of growth?

K Krithivasan : See the way I would characterize this there are long -standing programs. As long as they are delivering incremental value to our customers, they are continuing. And if there is a limited budget available our customers are re - evaluating. Should they be start ing a new program which gives a better ROI? It could be discretionary program or it could also be a cost optimization

program as against the next phase of a long -standing program. So whichever is giving them a better ROI is being adopted and lesser ROI programs are passed. So that is the way I chara cterize it. And it was a situation last quarter also and there has not been a material change in that situation.
Sudheer Guntupalli: Okay, sir. Thank you so much and all the best.
Moderator: Thank you. Next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: Hi, good evening. Thank you for taking my question. My first question is more of a request, Krithi. If you could consider starting to give guidance on a full year basis that would be helpful because I really don’t understand why a large company and successful one like TCS should not have a guidance when almost every other peer of yours have.
And the challenge which at least I face is the operating metrics which you share are not enough to give us a full picture of how the trends are panning out. The deal TCV has a very poor correlation with the revenue trend and the other operating matrices also are relatively lesser than what the peers have been giving.
Now demand appears to have started stabilizing. You have settled in your office for a few quarters now. So now may be a good time to relook at this strategy whether you want to start giving a guidance. I understand TCS has not in the past, but may be a goo d start to give and if you take a feedback and if you still conclude that you should not give a guidance then at least maybe start giving some more operating metrics such as order backlog or ACV numbers , which can help us in modelling and come to a sense that what direction the growth potentially could be?

K Krithivasan : Sure, Kumar. We will definitely consider that. You see, it's been a considered stand for a long time because we believe that there is a certain amount of prudence in not giving guidance because it helps us in driving growth and maximizing growth based on what we see in the market space. But we will consider your request an d we'll have an internal discussion and

come back to you.
Kumar Rakesh: That would be great. Thanks. My second question specifically was on the GenAI side. So, you did talk about $1.5 billion of deal pipeline on AI and GenAI side. Can you give some sense how the booking and revenue conversion could possibly be? You have spoke n about 270 projects you are working on. So, is it fair to expect that about triple digit million dollars of total revenue TCV you may have been working on the GenAI side?
K Krithivasan : At this time, we don't want to give that number, because these projects also tend to be not very large. In the past also, you mentioned many of them tend to be smaller projects, small duration projects. But this quarter, we did win a large project as well , where we are establishing an AI office for one of our customers, which is fairly large.
But otherwise, these projects tend to be small. When we are relooking, maybe we will consider this request as well, when we are ready to provide a number in terms of the revenue or order book in AI, we'll do it.
Kumar Rakesh: Great.
K Krithivasan : Therefore, we have to stabilize and scale in the service, before we are able to give some metrics .
Kumar Rakesh: Sure. Makes sense. Thanks. One question on the BFSI side. So, it was encouraging to see that BFSI has now returned to growth. So, is that a reflection of absence of last two quarters of furlough? Or you are seeing some recovery on the ground in terms of c lient engagement as well?
K Krithivasan : I would say there is some positive movement because as I was telling somebody else, our BFSI North America has done relatively well, which is not really impacted by furlough. So, this is BFSI performance to a great extent is, I would say, North America per formance as well.
Kumar Rakesh: Got it. Thanks a lot.

Moderator: Thank you. We have our next question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.
Abhishek Pathak: Hi. Thank you for the opportunity. My first question was on the communications vertical. Sir, what near -term catalysts do you see in this vertical which could meaningfully alter client behavior and what could bring it back to growth?
We've seen almost five quarters of a decline now. So, when do you expect the historic capex that the operators have done to trickle down to services?
That's one. And secondly, on the FY '24, another strong quarter. So, do you think client behavior here is any different to, let's say, BFSI where cost takeout is the main theme? Do you see more adventurous projects here or is the theme pretty much similar? Thank you.
K Krithivasan : Abhishek, first on CMI, there are a couple of factors playing out here. Many of the telcos invested heavily for 5G rollout and they have not seen the expected return so far. For them to invest more, we believe, they're looking for a lower interest rate environment before they can embark on new transformative programs.
From that perspective, lowering interest rate would be a good trigger for us to see. It is our expectation for us to see project of more investment and hence more IT projects to be kicked off. Life Sciences like you said, has been bucking the trend.
That is also more to do with the non -cyclical nature of the industry. People tend to consume more of those services in good times and bad times. And which also because of that, creates more opportunity for drug discovery, research.
To that extent, it's behaving in a very secular way.
Abhishek Pathak: Got it. Thanks.
Moderator: Thank you. We have our next question from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Hi, thank you. You spoke about how we've finally seen America and North America come back to sequential growth. I don't think even during the financial crisis we've had a situation where we

have five quarters of sequential decline.
So this was an unusual time, but do you think that we finally bottomed out here and should we see sequential growth from here in North America?

K Krithivasan : Ravi, I don't want to say this now because it's the first quarter of broad -based growth we have seen after few quarters. And see while in 2008, what also happened, as soon as the crisis hit, we also got multiple M&A opportunities , so which actually increased our growth because some of the clients started investing towards consolidation of the systems.
Today we don't have that scenario. It is a scenario of more wait and watch, because of which we don't find new investments either towards cost optimization or particularly discretionary spend not happening. So that's the reason we are hesitant to say we h ave bottomed out. We are watching this space and working closely with our customers to maximize the opportunities in front of us.
Ravi Menon: Thank you, Krithi . And if you look at the trailing 12 months book to bill as well, when we started seeing that drop, that's when I think is a very new start. Should we think about that as a lead indicator? And now we've seen that trend up.
Last quarter of course, you had a really extraordinarily good looking quarter.
So, that moved that up as well.
But we are trending above 1.35, 1.37 for three quarters. So should we think about that as a good leading indicator, if not for a quarterly indicator, but at least for the full year?
K Krithivasan : Ravi, I did not get the question fully, but from a book to bill perspective, last quarter was very good. This quarter we had a lower TCV. As we are explaining, our overall pipeline has remained strong, both qualified pipeline and total pipelines remain strong.
The TCV has been lower this quarter it's more o f a timing issue. Some of the large programs that we thought that we would close were pushed back by a few weeks or maybe a month or so. But we're confident those orders will be

booked in Q2.
You can never read too much into a TCV on a single quarter, you have to read it on a longer period of time. And it remains within our stated goal of $7 billion to $9 billion per quarter is the comfort zone we have set for our order booking. We are currently well within that range.
Ravi Menon: Thanks. And one last question if I may you were, I think moving to a pattern of on boarding all the fresh graduates you make offers to in the first half of the

year, right? This year, are you planning to continue that or should we see this more spread out over the quarters?
Milind Lakkad: We have on boarded 11,000 trainees in this quarter and we also have concluded the National Qualifier Test and this will further add to that number. Obviously, some of the freshers ' induction will continue during the quarters. To what volume, that is something which will be recali brated over the next few quarters.
Ravi Menon: Thank you and best of luck.
Moderator: Thank you. We have our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Hi. Good evening. I had three questions. The first one is on the press conference you had mentioned that you look at three indicators broadly when you look to assess the recovery. So I think it was the evaluation of ongoing projects, how much people want to spend on cost optimization and how much people want to invest. Could you please expand on that, at least from a BFSI and retail C PG perspective? So that's the first one on how you're seeing trends across those three buckets.
The second is on margin levers. I think last year, after the first quarter, we saw almost 100 basis points margin expansion each quarter. But since then, I think we have sort of brought down subcontracting fairly well. We have also improved utilization fairly. So just wanted your thoughts on the puts and takes on margins, on how we should think about it on a going -forward basis ? And lastly, ISG basically spoke about some 30% cost savings in ADM and infra due to GenAI . I just wanted to understand your experience on that and how you're seeing that pan out. Thank you.
K Krithivasan : Nitin, while I did talk about re -evaluation of projects and then also focus on cost optimization and discretionary, the point I also keep mentioning is we don't see a material change between the customer sentiment between last quarter and this quarter. They continue to validate projects and cost optimization projects get a priority over new discretionary project if they are not able to see a short -term ROI.
And this will change only when there is a long -term certainty on the economic outlook. Till that happens, the pattern of whatever is happening, whatever happened in the previous quarters will continue. That's the reason also why we

are not calling out that growth is back or this momentum will be sustained, because customers do take decisions at a very short notice.
Regarding your comment on cost saving of 30% on GenAI , this is depending on the type of engagement, type of project. We have done POC 's also, close to more than 100, 150 projects where we have tested this out on terms of software productivity. It varies anywhere between 5 % to 25%. And it also depends on which phase of the project that you are workin g on.
If you are talking only about a testing project, that could probably yield a better productivity gain. We have seen software engineering projects that give productivity anywhere , as I said , between 5 % to 20 %. And it also depends on the type of technology employed. But we do see about 5 % to 20% depending on the type of project is thumb rule that's quite possible.
Samir Seksaria: Regarding the margins, the good thing for us is the biggest headwind which we have in terms of wage inflation is taken upfront. And as you rightly called

out, we typically inch up from that in the following quarters. Last year, our execution rigor ensured a good trajectory sequentially each quarter.
Subcontractor cost was one of the critical levers in that improvisation.
This year, we believe subcontractor cost has bottomed out or will remain stable around this level, need not be an incremental lever. In the short term, pyramid , productivity and utilization still would be the lever and utilization, though we have harped upon it considerably last year, still provide s some opportunity.
Nitin Padmanabhan: Sure. So Krithi, just had a follow -up. So, the revaluation of ongoing projects, I think last quarter was pretty bad (4QFY24) , not only for you, but for everybody.
There was a lot of reprioritization of projects. From a trend perspective, are you seeing that come off or it is still extremely uncertain? Well, it may not have been better this quarter, you see that it is still very uncertain on the reprioritization.
K Krithivasan : This quarter, that is Q1, has been relatively better for us. But we don't know, overall situation remains volatile. So, that is the reason we are continuing to stay cautious on our outlook for the next few quarters.
Nitin Padmanabhan : Sure, that is very helpful. Thank you so much and all the very best.
Moderator: Thank you. We have our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead .

Sandeep Shah : Yes. Thanks for the opportunity. Krithi, just wanted to understand, is it fair to believe that the first quarter perf

ormance has been higher than the management expectation and what has led to this? Is it largely better than expected discretionary spend r evival or better than expected ramp -up in the cost take -out deals?
K Krithivasan : Sandeep, probably we knew the beginning of the quarter, this is where we were heading towards is what I would say. So to that extent, I wouldn't call it better than expected.
Sandeep Shah: And second, in terms of ramp -down pace in the discretionary project, are you witnessing any kind of declining pace in the ramp -down of discretionary project on a Q -on-Q or a Y -o-Y basis? Or do you believe the pace of ramp -down continues to remain at the sa me elevated level and there is no change in the pace?
K Krithivasan : See, as I mentioned before, Q1 was slightly better, but we think it is too early to call that the trend has set in already, like we have to be watchful because the overall sentiment has not changed.
Sandeep Shah: And Krithi, last question in terms of Annuity projects, which are larger projects coming for renewal, what is your experience in terms of clients negotiating for a productivity gain because of GenAI? Is it the earlier response also been true for such kind of an experience on a large renewal where you expect 5% to 20% reduction in those renewals?
K Krithivasan : No. See, Sandeep, just to make it clear, I said the 5% to 20% productivity on certain phases of the programs are possible. I didn't say the entire project end -to-end life cycle, we can get 5% to 20%. It depends on the individual project and also on the technology, architecture, everything they use.
Coming back to renewal , it's a common experience that the customers do experience a productivity improvement but what they also do at that time is usually they add more scope at the time of renewal so that it is to a great extent top line neutral for us and we also bring productivity. So, those discussions continue.
Sometimes we see opportunities for using GenAI and wherever you are able to use GenAI and then offer some productivity, we offer those productivity to customers. But if you ask me that is it widespread, I won't say it's very widespread at this time. Like customers do expect productivity but asking for

extreme or a high level of productivity gain through GenAI is not a very common place.

Like the discussions happen, we do offer to a customer to explore GenAI for software engineering and building productivity, but it is not becoming a huge demand yet.
Sandeep Shah: Okay. Fair enough. Thank you and all the best.
Moderator: Thank you. Next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Yes. Hi. Thanks for taking my question. So, two questions from my side. One, Krithi, just wanted to understand on the retail segment. I mean, this is a quarter in which we kind of believe we've turned the corner.
But for us to be able to report growth on a sustainable basis in this, what exactly are the clients' worries in the sector at this point of time? So, like in BFSI, we know that I think the US macro improves. I think that should lead to some, let's say, in cremental spending or a revival of tech spending that they have put on hold.
Interest rate cuts could be possible, triggers and all. But what is that is keeping these retail clients their spend on hold? And what could possibly change in the coming quarters for us to start reporting growth in this segment on a sustainable basis?
K Krithivasan : Vibhor, like there could be a couple of points. One is the overall consumer confidence. The second is also inflation. Because what we see is a varying trend like even in the last few quarters. We have seen some quarters where the essential segment does wel l, some quarters the essential doesn't do well, spec

iality does well. So it's a fairly complex situation on which segment does well.
But I would say broadly, it should depend on the interest rates and the consumer confidence in the market. We have seen growth in the last two quarters. But we need, as I said if the confidence on consumer confidence or outlook is poor in the coming quart ers it may take a hit again.
Vibhor Singhal: Got it. But then improving macro situation in which maybe inflation is coming down with the CPI data today or let's say there's some possibility of let's say,

interest rate cuts you expect this segment those should act as tailwinds for the sector.
K Krithivasan : Yes, like if overall confidence goes up and the inflation comes under control, we should expect a pickup in the medium term in this segment.
Vibhor Singhal: Got it. That's really helpful. Just my last question on the manufacturing and healthcare verticals. Now, these two verticals have done really well for us especially over the past three quarters. They've been doing well for almost the entire industry with the kind of spends in that. Any possible headwinds that you are seeing in this segment or at least at this point of time the growth momentum should continue?
K Krithivasan : By and large, we are fine. But that could be in terms of like if you take automotive industry with the advent of EVs coming in , the whole industry is getting reshaped. So there would be some changes in the spending priority or investment priority in this industry. So that would be something to watch out for like adoption of EVs and how the OEMs themselves are going towards vertical integration. How much they do that vertical integration, how much they impact the tier 1s. Those are the areas that we have to watch out for.
Vibhor Singhal: Got it. Sure. Thank you so much for taking my questions and I wish you all the best.
Moderator: Thank you. We have our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, thanks for taking my question. The first question is around the nature of deal pipeline. If you could just a little bit elaborate more on what kind of deals you're seeing in the pipeline and has there been any shift in the mix of the deals towards mor e smaller deals that get consumed into revenue faster or it continues to remain the way it was in the last few quarters?
K Krithivasan : Yes. Gaurav, the type of work the deals, are led by cost optimization and discretionary spending. Within that you can have programs like vendor consolidation, operating model transformation, application modernization.
I would say there is not a major shift, okay, but we do hear more about

application modernization compared to the past. And on the discretionary spend side, you also look at a supply chain modernization, customer experience transformation, those kinds of programs we keep seeing.

From the nature of the opportunity, typically the cost optimization programs tend to be more tenured because customers give us a large chunk of their AMS for a longer tenure, but whereas the discretionary programs tend to be more short tenure.

But overall, if you look at that average tenure, I would say tenure is slowly inching less, like instead of a longer program, 3 years or 4 year programs, we tend to see programs of shorter nature at a global level.

Gaurav Rateria: Secondly, on the BFS, you did talk about some better trend in North America this quarter. Is there any reason to believe that the projects that you have embarked upon would not continue in the near term? I'm just trying to understand that from a visibilit y perspective, at least some of these projects should continue if they are longer tenured, right? So, then from a visibility point of view in the BFS vertical, there should be a decent visibility at least for the near term?

K Krithivasan: As we told you before, Gaurav, as we see today, we don't see a bad or an increasing trend of project cancellation. But at the same time, we remain careful that customers do pause these programs at a shorter notice. So, as I see today, it is continuing the same pace as it was before.

Gaurav Rateria: Last question from me. The headcount, we have seen a positive addition after last several quarters. So is this a reflection of that utilization has kind of peaked out or reached an optimal level where we should be? Or is it also a reflection that our order book is to be executed in the coming quarters and hence we will be needing more heads on the roles? Thank you.

Milind Lakkad : I think our hiring, we should not look at it from a quarterly standpoint. We look at it means our training hiring, we look at it from an annual standpoint. And that is the annual thing, core part of our strategy and that is how we hire. And there is no dir ect linkage to the demand because it is also, this will go through a significant amount of talent development and training and eventually they get deployed to the projects.

So yes, some of it can be the factor because we have utilized on the investment s we made last year and the year before that. And some of it is also because of the fact that we want to plan for this year properly .

Gaurav Rateria: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

K Krithivasan : Thank you, operator.

• We are very pleased with our first quarter performance, growing at 4.4% Year -on-Year in Constant Currency , amidst the cautious outlook prevailing in the major markets.
• Deal momentum continued to be very strong in Q1, with our order book at $8.3 billion for the quarter.
• Operating margins were at 24.7%, declining 130 bps sequentially following our annual wage hikes with effect from April 1.
• Our net margin is at 19.2%.
• We will be honouring all the job offers we have made but remain focused on utilizing the capacity we have already built up. Our LTM attrition in IT services fell further to 12.1%.
• We plan to build the largest AI -ready workforce in the world, by organically reskilling our employees.
• We continue to deliver industry leading metrics, winning market share and creating value for all our stakeholders. We have an experienced and stable

leadership team, and an extremely dedicated workforce. It has been the hard work of 600,000+ TCSers which is helping us achieve excellence every day and I would like to thank each one of them for their contribution to our sh ared success.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2024

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TCS/SE/ 163/2024-25
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Bandra Kurla Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540
Dear Sirs,
Sub: Transcript of the earnings conference call for the quarter and six-month period ended September 30, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and six-month period ended September 30, 2024, conducted after the meeting of Board of Directors held on October 10, 2024, for your information and records.
The above information is also available on the website of the Company: www.tcs.com.
Thanking you,
Yours faithfully,
For Tata Consultancy Services Limited
Pradeep Manohar Gaitonde
Company Secretary
Encl: As above

Tata Consultancy Services Limited
Q2 2025 Earnings Conference Call
October 10, 2024, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on yo ur touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.
Nehal Shah: Thank you, operator. Good evening, and welcome to TCS' Earnings Call for Q2 FY '25. This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial state ments, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.
K Krithivasan : Hi. Good day, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello, everyone.
Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.
Milind Lakkad: Hi, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future, or which could be

construed as a forward -looking statement must be reviewed in

conjunction with the risks that the company faces.
We have outlined this risk in the second slide of the quarterly fact sheet available on our website and e -mailed out to those who have subscribed to our mailing list.
With that, I would like to turn the call over to Krithi.
K Krithivasan : Thank you, Nehal .
Good day, everyone. As most of you will know, today is a very sad day for all of us. Thank you to many of you who have sent warm words of condolence. It is a deep sorrow, we moan the passing of Mr. Ratan Tata, an extraordinary individual, whose life and legacy will always be a grading light for Tata Consultancy Services. His wisdom, compassion and commitment to the lives of mi llions made him revered acr

oss the
world.
This morning, the TCS leadership team and our Board of Directors went to pay our tribute to him and offer our condolences to his family. It was touching to see so many people who turned out to pay their respects to him and he also received many messages from our clients, partners and industry lea ders.
Mr. Tata was on e of a kind. His remarkable leadership marked by a unique brand of humility and confidence, gated TCS through transformative global expansions with a deep sense of service to the communities we operate in and the values we cherish.
He had a rare gift for making those around him feel valued and heard giving the admiration and respect of all who had the privilege of knowing him. His approach to leadership with his genuine care for people has left an indelible mark on every one of us. T hank you for keeping him and his family in your thoughts today.
All my colleagues at TCS and I will remain forever inspired by him as we carry forward his vision. On that note, let me offer you some thoughts

related to where our business stands this quarter and what we are looking to do so in the future.
Our performance in this quarter demonstrates the resilience of our diversified portfolio amidst an uncertain geopolitical situation. Our biggest vertical BFSI showed signs of recovery. Growth markets also continued with a strong performance.
Revenue grew 5.5% year -on-year in constant currency. Our operating margin for Q2 was 24.1% and net margin was 18.5%.
I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more colour on the demand trends we are seeing in our business.
Over to you, Samir.
Samir Seksaria: Thank you, Krithi. Let me go over the financial details. In the second quarter of FY '25, our revenue was ■64,259 crores , which is a year -over - year growth of 7.6% . In dollar terms, the revenue translates to US$ 7.67 billion , a Y-o-Y growth of 6.4% . In constant currency terms, our revenue grew 5.5% .
Our Q2 operating margin was 24.1% , a sequential decline of 60 basis points. Our long -term investments to ensure sustainable growth, continuing talent acquisition and development strengthening ecosystem partnerships and alliances, opening new delivery offices, near shore centers .
Net margin in Q2 was 18.5% . Our EPS grew 6.2% year -over -year.
Our accounts receivable was at 72 DSO in dollar terms.
Net cash from operations at $1.4 billion , which is a cash conversion of 100.2%, a percentage of net income. Free cash flows were at $1.3 billion and invested funds at the end of the period stood at $6.4 billion .

The Board has recommended an interim dividend of ■10 per share and our capital allocation policy remains consistent on returning surplus free cash flow back to our shareholders.

Let me walk you through our segmental performance. Please note that all growth numbers are on a year -on-year constant currency terms and unless otherwise mentioned.

• BFSI , Consumer Business Group and Life Sciences Health Care verticals all grew 0.1%.
• Manufacturing grew 5.3% .
• Technology & Services declined 1.9%.
• Communication and Media declined 10.3 %.
• Energy Resources and Utilities grew 7.0% and,
• Regional Markets grew 50.4%.

Moving on to geographies , all growth markets grew above the company average. India led with 95.2% growth , Middle East and Africa grew at 7.9% , Asia Pacific grew 7.5% and Latin America grew 6.8% . Among major markets, United Kingdom gre

w 4.6% and Europe grew 1.8% , North America declined 2.1% .

I'm now going to talk about our industry -leading portfolio of products and platform.

• ignio™, our cognitive automation software suite, saw 34 new deal wins and 4 go -lives.
• GenAI conversations are fuelling an increase in conversation around traditional AI and automation. ignio is steadily creating real-life GenAI use cases and making them an integral part of the platform to help customers realize quantifiable value.
• TCS BaNCS ™, our flagship product for financial services , had 3 wins and 3 go -lives during the quarter.
• The TCS BaNCS Global Banking Platform now caters to the entire spectrum of banking technology, from commercial to urban co - operative, to rural, private and small finance banks in India. With an installed base of close to 200 banking institutions in India, we

continue to help our customers to transform and achieve their goals of digitalization and become active players in the thriving ecosystem of Indian market.

• TCS BaNCS insurance platform continues to grow with 1 win and 3 go-lives during the quarter.
• Quartz blockchain platform had 2 wins this quarter.
• TCS iON, our platform for digital assessment, exam administration, and learning, had 17 new wins and 80+ platform capabilities went live.
• Our assessment platform administered exams for more than 12 million candidates.
• TCS OmniStore ™, our AI -powered universal commerce suite, had 2 go lives during the quarter .
• Clients have continued to prioritize enhancing their omnichannel capabilities and optimizing their checkout processes. The focus is on modernizing to create a seamless experience across online and in-store channels. Many retailers are investing in data insights and AI tools to gain deeper insights into customer behaviour and optimize their personalization and marketing strategies. Investments into cloud -based checkout solutions have surged, signalling a long -term commitment to staying agile and adaptable .
• TCS TwinX , our digital twin solution, had 2 wins and 2 go -lives.
• In life sciences, our TCS ADD™ platform had 4 new wins and 3 go -lives this quarter.

• A US based leading pharma company extended their collaboration with TCS ADD ™ for usage and cloudification of metadata repository platform for automation of bio -statistical submissions to health authority. TCS ADD platform is able to automate more than 90% of submissions.
• TCS HOBS , our suite of products for communication service providers, had 2 new wins and 4 go -lives during the quarter.
• MasterCraft and Jile won 35 new deals in Q2.
Let me now go over our key client metrics .
• We now have more than 1,300 clients in the $1 million+ band.
• In Q2, we added 5 new clients year -on-year in the $100 million+ band, bringing the total to 66.

• We added 6 clients in the $20 million+ band, bringing the total to 298.
• We added 8 clients in the $10 million+ band, bringing the total to 491.

Over to you, Milind.
Milind Lakkad: Thank you, Samir.
Our workforce at the end of second quarter was 612,724 . We added net 5,726 associates this quarter after adding a similar number last quarter also.
We remain on track for fresher on boarding as planned for the year and have also commenced the process for recruiting freshers through the National Qualifier Test for FY '26.
Our workforce continues to be well diverse , with 150 nationalities represented and woman making 35.5% of the base.
We continue our focus on acquiring quality talent. Our

current train ee
hiring is segmented with differential compensation for each segment. This year, we have more than doubled our intake of higher cadre trainees.
Training intensity has increased across the organization . Employees logg ed 26.1 million learning hours year -to-date and acquired 2.6 million competencies. Education and skill development are also part of our core themes under the community initiatives that we work on.
All our efforts are reflected in our retention rates which are one of the best amongst industry peers. Our LTM Attrition in IT services fell further to 12.3% which is in our comfort range of 11% to 13%.
I will now request Krithi to speak on the various demand drivers during the quarter.
K Krithivasan : Thank you, Milind.
I am pleased to see some signs of improvement, most notably in financi al services in North America, in an environment of global

uncertaint ies. Our diversified portfolio and early investments in growth markets are bearing fruit. All the growth markets continue to grow above company average. However, as a general trend in the major market, the demand outlook continues to remain cautious, as seen in the last few quarters.
Key business themes seen across industries were : cost optimization, vendor consolidation, customer experience transformation, supply chain modernization, risk and resiliency. Globally, clients continue to prioritize efficiency through cost transformation programs and demand for discretionary deals with low immediate ROI remained relatively subdued. Some recent trends that we are seeing in our major segments are:

• In BFSI, financial institutions in the US are looking at sustaining the growth momentum with the Fed's first trade cut in four years. Stability in the macro brings initial signs of confidence. With the easing of interest rate environment, consumer confidence and industry confidence will get better. This can potentially lead to improved investment. Customers are focused on operational eff iciency and upgrade for the future with an eye on efficiency and automation. While pipeline continues to remain strong, we are yet to see large transformational deals in the BFSI.
TCS partnered with Tryg in the complex M&A integration journey following the Trygg -Hansa acquisition. TCS combined its M&A capabilities and deep contextual knowledge of Tryg business landscape to ensure a smooth IT integration within the stipulated time frame. The entire IT estate of Trygg -Hansa was demerged and unified with minimum disruption to business. Post this integration, Trygg -Hansa user experience has been elevated, and Tryg has been able to realize significant commercial synergies from the M&A. It has also enabled Tryg to foc us on growth in the Swedish market, while further unlocking operational efficiencies through consolidation and transformation.
• In Consumer Business Group, growth was led by TTH which saw demand for customer engagement and hyper -personalization, business process transformation, SaaS platform implementation and

Gen AI as key focus themes. In the Retail sector, customers are taking a cautious approach due to the macro -economic and geopolitical situation. Consumer spending during the coming holiday season will also play a crucial role in determining budgets toward s transformation initiatives. Retailers are likely to wait and watch for these parameters and factor these into their planning for the next fiscal.
Supp ly chain transformation continues to be a key priority, attracting in

vestments from customers in addition to customer experience and M&A.
As an example, a leading US super centre chain partnered with TCS to modernize and transform their supply chain process. The client faced several challenges with the existing virus management system, including system latency, inefficient product floating, work allocation, scheduling and insufficient decision support.
TCS conducted design thinking shops, and implemented a user -centred modular, fully automated data -driven cloud -based system, integrating approximately 40 diverse applications to cover the end -to-end process. This has improved efficiency by 97%, increased a gility and scalability to handle surges in demand, enable 5x faster deployment at new facilities, increased flexibility to accommodate diverse and evolving business needs, thereby improving sales , time to market and overall customer experience.
• In Manufacturing, we are seeing some pressure in the near term. Labor and supply side constraints are impacting the industry. However, barring these areas of concern, manufacturing continues to see a strong demand environment and deal pipeline.
• Smart manufacturing and software -defined vehicles are the two mega long -term trends.
• TCS showcased its commitment to a sustainable and technologically advanced future for the aerospace industry at Farnborough International Airshow in 2024. Cutting edge solutions designed to solve critical industry challenges were on display, including Generative AI for supply chain and immersive MRO experience and exploration of quantum computing in aviation.

These innovations underlying thesis dedication to pushing technological boundaries and shaping "Future -Ready Skies."

• In Life Sciences and Healthcare, we had client -specific headwinds in the US geography, resulting in significant impact. We expect the headwinds to stabilize in Q3 and return to growth in Q4.

• The tech software and services vertical saw sequential growth for the second consecutive quarter. Cost and efficiency remain the top priority for tech software and services customers, and they continue to be cautious on capex investments and transformation initiatives.

• In CMI, telecom and media firms are keeping a keen continued focus on bottom line impact, doing more with less. ROI expectations continue to remain heightened.

Moving on to service lines , growth this quarter was driven by Cybersecurity, AI.Cloud and TCS Interactive .

With increasing sophistication, ransom ware, phishing and data breach es, the enterprises are required to invest in advanced cybersecurity measures, including threat intelligence, endpoint security and incident response plans. Artificial intelligence is aiding the sophistication of cybercrime making it imperative for financial institutions to stay ahead of the core.

• TCS partnered with one of the largest ground handling companies based in Europe to help them improve their cybersecurity maturity and reduce risk exposure.

TCS enabled comprehensive visibility of the enterprise cyber risk landscape, which enable d the customer to measure the efficacy of their security operations, establish better control and governance on key security programs and track the ir returns on cybersecurity investments.

On Cloud front, we continue to see good growth in legacy modernization, data platform modern ization and technology landscape simplification.

Over the past two years, companies have significantly increased their investments in AI and Generative AI. They are f

ocusing on using th ese technolog ies strategically to drive business value and are becoming more aware of ethical considerations. Talent development and navigating the regulatory landscape are also key areas of focus. While challenges remain , the potential benefits of AI and Generative AI are driving continued adoption and innovation. On AI /Generative AI, companies have moved past the point of experimentation through proof s of concept s and are increasingly viewing AI and Generative AI as strategic assets, integrating them into the entire value chain.

We are now helping our most mature customers set up interdisciplinary AI offices where business and technology come together to rapidly turn ideas to AI POCs and scale them to production in an agile manner. There is also a growing interest in using Generative AI throughout the software development life cycle , including legacy migration and modernization initiatives across all industries.

• TCS was selected by the UK entity of a leading global insurer to transform its IT organization to meet the strategic growth objectives.

As part of the multiyear partnership, TCS will help set up a future -proof operating model built on enterprise -wise distr ibuted Agile. From modernizing the core insurance systems to developing a cloud -native modular platform and embedding Generative AI across the software development life cycle and business value chain, TCS will drive multiple traditional and disruptive initiatives. The program will enable the insurer to enhance productivity and improved customer experience,

while growing its market share in the region.
• Openreach , UK's largest telecom infrastructure company has selected TCS as its strategic partner for the business operations transformation of the national rollout of next -gen fibre network. This managed services deal solidifies our role as a trusted partner in end -to-end network transformation journey, delivering superior services for their flagship broadband business, business customers, while optimizing cost of network build, mini mizing and shortening of production cycles.

TCS will harness its unparalleled contextual expertise and domain knowledge of Generative AI and cloud -led innovations to deliver efficient operation s.
• A leading global FMCG company has engaged TCS to transform their global quality management. With contextual knowledge of the client's quality management, TCS implemented a Generative AI solution that extracts value from millions of consumer feedback in ove r 230 languages for accurate translation and contact preservation, sentiment tagging, root cause identification, feedback classification and prioritization. This has increased operational efficiency by over 50% and is delivering actionable insights, enabling improved product quality management, brand perception and customer engagement.
• A global hospitality company partnered with TCS to improve its contract management processes. TCS utilized Generative AI model trained with diverse regional data to analyse contracts, identify differences in contract terms and streamline data extraction. This will improve audit efficiency and delivers approximately 17,000 person days, saving in manual effort, allowing experts to focus on higher -value activities.
We are seeing the rise of AI in fused s ervice lines rather than stand -alone AI demand. The re -imagination of contact centres with AI, for example, is showing a very strong trend. Similarly, AI re-imagined business process services and AI powered cloud modernization are also seeing strong traction. So, it is safe to say that AI is now an integral part of everything we do and will continue to significantly benefit almost all services in the coming

quarters.
Coming to our long -term growth strategy,
• We are investing significantly to create a large footprint in emerging growth markets . Top bets include India, APAC, Latin America and Middle East and Africa. We believe these markets are likely to turn into a sustainable driver of long -term growth. A scalable presence in these markets is likely to provide the muscle for growth in TCS overall business over the next couple of decades.
• We are establishing robust partnership with our ISV and other ecosystem partners to drive unparalleled efficiency in our operations

across applications, infrastructure, engineering and business operations for our customers.
• Our client relationships are more about building resilience together. As we face unprecedented global challenges, the strategic approach to collaboration will prove crucial for long -term success and improving market share.
• TCV in Q2 was at $8.6 billion . The BFSI TCV was at $2.9 billion , while TCV for our consumer business group was at $1.2 billion . The TCV of deals signed in North America stood at $4.4 billion .
The gradual easing of inflation in the major markets, improving

macroeconomic trends and expectations of a good holiday season spend among consumers give us hope and optimism around the prospect of improved discretionary spend and capital investments by our customers, which should bode well for our business.

Thank you. We can now open the line for questions.

Moderator: Thank you very much. We will now begin the Qu estion & Ans wer session. We'll take our first question from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Thank you very much for taking my question. Just maybe a few questions, maybe starting with demand. It seems like this was a challenging quarter for international business, slightly soft on our headline numbers and also signings. Could you maybe elaborate in terms of the nature of demand environment? Has it begun to perhaps deteriorate overall after a couple of promising quarters? And should one assume that recover y perhaps had pushed out a bit from here?

K Krithivasan : Thanks, Ankur. As we explained, demand continues to be around areas of cost optimization and discretionary spend demand stays where it was and in fact, what we saw is in some of the cases, the deal duration has slightly increased. But otherwise, we don't see a demand drop in a big way . We also mentioned that BFSI North America has done well this quarter. Tech and Services has done well for the second consecutive quarter.

We had challenges in a couple of accounts in Life Sciences and Health Care, more client -specific where we were quite big , and large account in UK as well. So , barring those instances which are more client specific , I would say the environment has been quite similar to the previous quarter.

Ankur Rudra: Okay. Thank you, Krithi . And maybe just on Financial services, if you could dig in a bit deeper and add some more colour in terms of which are the segments of the broader Financial services portfolio where you're seeing strength? And I think you also mentioned Manufacturing a little bit concerned if you can elaborate on that one as well. Thank you.

K Krithivasan : Yes, what is your question, Ankur, on Manufacturing?

Ankur Rudra: I think there was some comment that Manufacturing has begun to see some signs of weakness, I was just curious if you could add to that?

K Krithivasan : Okay. First on BFSI , in North America, we see all around growth . Actu

ally, both North America and Europe, UK, we see good growth in banking. And capital markets have been weak. Insurance has grown and regulations and risk and compliance have also grown in banking. And then Europe, it's more or less very similar trend. UK, again, the capital markets has always been a problem. But also, as I said, the UK is probably more a customer -specific situation than an overall trend. Otherwise the good thing is banking is coming up. Insurance is coming up, which we hope will sustain in the coming quarters.

In manufacturing, what we mentioned is there is an overall supply chain issue, like because of that it's impacting the demand situation. But we believe it will be a short term issue. And once these issues are resolved , we expect our demand to pick up in the coming quarters -- because many of our customers have long order book. And their health is strong, and the order book is strong for our customers.

Ankur Rudra: Thank you so much. Just if I can squeeze in a last question on margins. Clearly, there's been a lot of moving parts this time. Maybe the first part of the question would be, if you could highlight the -- I mean there

appears to be a bit of a margin trade -off here going through at least on
the CMT side, perhaps because of one deal. Are they expected to be
any sort of synergies ? Is the worst of that deal margin impact behind
us? Number one.
Number two, overall, if I look at segmental margins, both on
manufacturing and CMT, both are opposite directions of significantly
out of long -term trends. How long will that last? When will we see this
coming back to long -term trends?
Samir Seksaria: So, let me give you the margin break -up, and that will cover most of
your first part of the question. So, margins at 24.1% are a sequential
decline of 60 basis points. And the headwinds were in form of the
higher third -party expenses on account of a large transformational
project .
And that project is running at its peak. And that impact is about 60 basis
points. We had incremental investments in talent and infrastructure ,
that combined impact was about 70 basis points, and this was offset by
mainly currency and some one-offs not recurring from Q1.
Your second part of the question in terms of segmental margins, the
CMT one, as you called out, the large projects ' trans formational impact
does reflect out here. There's nothing else to call out . The trends on the
overall margin versus on the segmental one except for in the CMT
vertical are on similar si des, one or two segments had a slight positive.
Moderator: We'll take our next question from the line of Apurva Prasad from HDFC
Securities.
Apurva Prasad: Thank you for taking my question. As a first off, deepest condolences
from my side, too. Krithi, just to tie in with your comments of
improvement in discretionary and optimism going forward, how should
we think of growth visibility or acceleration beyond the current
calendar, especially in absence of mega deals. If I look at bookings for
the first half TCV, it's down 20% of course, with no mega deals that is
compared to the comparable period earlier. So, any comments on how
is the pipeline around some of those mega deals and/or the ACV and
duration of what you've been booking?

K Krithivasan : Apurva, on the TCV front, as you would s ee, it's better than Q1 and like
we explained last quarter and the previous quarters also, TCV always
has some lumpiness, like what we expect to close in the last quarter
sometimes gets pushed to the

subsequent quarter and we have always
been maintaining that $7 billion to $9 billion TCV is a comfort range and
particularly in the absence of a mega deal . If you were comparing with
last year Q2, we had mega deals amounting to almost $2 billion.
So, in the absence of those mega deals, I think it's a comfortable
number, and from a pipeline perspective, our pipeline is nearly at an
all-time high and both what we call a qualified pipeline and the overall
pipeline . The pipeline is strong across all geographies and industries.
TCV is within our comfort range, and it has shown sign s of
improvement. And as I said, it may not easily be comparable with last
year because we had 2 mega deals also come in last year.
Apurva Prasad: Secondly, how much of the weakness this quarter relative to the
previous quarter is sort of emblematic of macro versus the temporary
client -specific factors that you mentioned. How long is this expected to
last?
K Krithivasan : The overall trend on the demand environment has remained stable
compared to last quarter. There are 2 to 3 accounts whe re we had
some client -specific situation, but all happening at the same quarter is
probably a little unfortunate for us.
But I think that is a one quarter phenomenon, so we should rebound
from that situation. So that's the way I would put it. I won't be able to
split between how much is the overall environment specific and how

much is client specific. But we are confident that in near term, probably
Q3 is also a seasonally weak quarter, but Q4 onwards, these factors
should ease out.
Apurva Prasad: And just finally, how is the GenAI pipeline converting to bookings and
revenue, especially as one of your competitors is talked of numbers,
which is not too different from our own pipeline. So, if you could
comment on that in terms of how integral it is be coming part of deals?
And just finally, on margins, Samir, how much of the long -term growth

strategy in growth markets, how should we think about margins from
that point of view?
K Krithivasan : See, we have not been disclosing the AI / GenAI TCV, but it has been
improving very well, almost doubling every quarter and the pipeline
also remains very strong. As of this quarter, the engagements in AI /
GenAI, including the POCs, POVs, and production , we are doing more
than 600 engagements, which increased from almost 27 0 last quarter.
It's a very significant increase in the number of engagements.
And we saw engagements that went into production also jump , which
is a sign of maturity. Last quarter, we had 8 engagements that went
into production. And this quarter, we have almost 86 engagements
going into production. So, we are finding all -round improvement and
becoming mainstream.
And also, the quality of engagements, like we have always been talking
about engagements in terms of Assist, Augment, and Transform and
we're seeing more and more engagements in the higher order of
Generative AI, namely Augment and Transform. We unveiled our
WisdomNext ™ platform and that's also getting a lot of traction with the
customers. So, we are quite comfortable and please d.
Samir Seksaria: Apurva, Samir here. From a long -term perspective, we stay committed
to our 26 to 28 % guiding beacon , and that will factor in any big bets,
whether it is growth market s or anything else, which we'll be taking
into account. On an overall portfolio basis, we'd like to deliver the
guiding beacon which we talk about.
Apurva Prasad: Thank you.
Moderator: Thank you. We'll take our next question from the line of Sandeep Shah
from Equirus Securities. Please go ahead.
Sandeep Shah: Yes. Thanks for the opportunity and deepest condolence for TCS and
Tata Group. Krithi, just s

ome bookkeeping questions. I wanted to
understand and reconcile as you are saying, the BFSI has been showing
signs of revival in the US and North America, but this quarter, North
America as a region has not shown a growth, while Europe has shown

a growth. So, can you reconcile, is it fair to say challenges in non -BFSI
segment are bigger in North America?
K Krithivasan : Yes. So, what you said like if I split BFSI across geographies, North
America has done well. And I did mention that there is a softness in the
UK and Europe because of a client situation for us. But the overall BFSI
still continue d to grow.
And the other geography, I did talk about life sciences and health care,
in North America having a softness because of one -off client issues. So
that probably dragged the overall North America revenue growth.
Similarly, like the BFSI growth in Europe has held in while few other
verticals have been soft in Europe, the growth of BFSI has helped
overall Europe growth as well.
Sandeep Shah: Okay. And just on the BSNL deal, one of the comments of CFO has been

it's at a peak rate. So is it fair to assume BSNL deal revenue in the second half would be materially lower versus first half? And this could be a growth headwind in the second half on a consol idated level?
Samir Seksaria: So, Sandeep, it's running at its peak and we would expect maybe a quarter more where it would remain at similar levels. And as you rightly know, the transformational program is going on , then revenue will start tapering down.
Sandeep Shah: Okay. So, this would also be a margin tailwind in the fourth quarter, maybe third quarter could be, again, a difficult quarter in terms of showing up ward trend on the margins?
Samir Seksaria: So, while we don't call out deal specific margins , but as you rightly pointed out, third -party expenses are incrementally going up as part of the deal . So, once it starts tapering , that should reflect on both revenue and margins.
Sandeep Shah: Okay. And the last question with the tax ruling change on the buyback, how are we looking at capital allocation? Are we still looking in terms of incline towards buyback or we are more inclined towards dividend?

Samir Seksaria: So overall, our capital allocation in terms of returning back substantial free cash flows back to our shareholders remains the same. The Board considers in terms of the mechanism of it, whether it should be buyback or special dividend, taking into account preferences of various varied group of stakeholders or shareholders, which we have, and they will take a decision based on that, when it is taken up for consideration.
Sandeep Shah: Okay. Thank you and all the best.
Moderator: Thank you. We'll take our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Good evening. Thanks for taking my question. So, Krithi, just to dwell a bit more on North America. If I look strictly in terms of dollar revenue terms, we fell by almost $60 million in our North America revenue, almost half of it assuming came from the health care segment, which was down almost $28 million. So, which are the other verticals in which we saw some kind of weakness in US specifically? And was that also of a similar nature like health care or client -specific issue which you expect to may be recover in a couple of quarters? Or do you think there is a more structural issue to some of the shortfall in the revenue , maybe like the telecom sector?
K Krithivasan : From a clien

t -specific perspective, we called out it's essentially what we saw in health care. It's a life sciences ’ client -specific issue. We saw growth coming up in BFSI. We had growth come up in Energy , Resources, Utilities also and even Technology and Software Services grew. And in the Consumer Business Group , we had issue s in terms of demand being slightly soft because of the discretionary spend cut. And we also saw in manufacturing some labour and supply side challenges in near term .
Tele com has been a slightly long -term trend. We are hoping that it will recover once the interest rate environment becomes better , there will be motivation to invest on the capex. We are hoping for a good holiday season, having a good holiday season would be good trigger for investment to resume in Consumer industry.

Vibhor Singhal: Got it. So, by that count should -- are we sticking to the commentary that we mentioned last quarter, the retail sector has also possibly bottomed out for us and next quarter onwards, we could see some green shoots in that sector as well?

K Krithivasan : For next year, we are hoping we can …because these macro
uncertainties ease and economic environment improves, we are
hoping things should start improving. At this time, it's only half the year
is over. It will be too early for me to call out if next year is better than
this year, but we are hoping for the situation to improve with all the
macros also improving.
Vibhor Singhal: Got it, Krithi. Thank you so much. Just one last question from my side
on the headcount addition. I think another quarter of strong headcount
addition. So how to read into this going forward? I mean are we looking
at maybe it's not similar, but still a positive headcount addition in the
coming quarters? Is that more related to the kind of growth demand
environment tha t you are seeing? Or is it just a backfill of the negative
number that we had for the past three to four quarters?
Milind Lakkad: I think we will from a trainee addition standpoint, which is our strategic
addition, I think that we'll continue to hire freshers in the coming
quarters, including Q3. Now for other lateral intake from the market
we'll decide based on the market situation.
Vibhor Singhal: Got it. So, on the lateral side, is it like we are focusing on specific
technologies that we are looking to hiring? I know we kind of gave a
number that we've trained so many people on GenAI, is that the area
that you're looking to hire lateral people or is it more a cross the board?
Milind Lakkad: See, we are working on various technologies and various
transformational programs which are across technologies, right, from
SAP S4/HANA to GenAI to very specific skill sets on certain projects. All
of that is something we continue to hire in the quarter.
Vibhor Singhal: Got it. Thank you so much. Thanks for taking my questions and I wish
you all the best.
Milind Lakkad: Thank you.

Moderator: Thank you. We'll take our next question from the line of Kawaljeet
Saluja from Kotak Securities. Please go ahead.
Kawaljeet Saluja: A couple of questions actually from my side. One, Krithi, how's the
furlough situation going to be this year from the initial conversation
with clients? Is it any different than what you have seen in earlier
years?
K Krithivasan : Okay. On furlough, we at this time from whatever we know, it's similar
to last year. We don't expect this to be any different compared to last
year.
Kawaljeet Saluja: Got that. The second question is on the BSNL deal. N

ow there are
various numbers -- I mean, various sizes, which are being discussed. I
think your company announced a $1 billion in terms of deal size.
Whereas when I read your annual report, there was a specific mention
of an additional 20,000 sites, which will be rolled out as part of
deployment.
I'm just trying to understand the overall size of the scope of the deal.
And if it's a $1 billion, then I guess in the last four quarters itself, the
bidding would have reached around $750 million, so with that as a
backdrop, how do you end up with, let's say, flattish deployment or
another quarter of strong robust revenue from BSNL in the
December quarter?
Samir Seksaria: Kawal, overall, 100,000 sites need to be deployed. We are around the
halfway mark on that. And that is the incremental information we can
share on it. There is still scope to go and like we have been sharing in
the past, the entire scope of deal is from manufacturing , installation
and beyond in terms of acceptance. So, there are various milestones
also which are intermediately built into the deal . I will not be able to
comment on how much of it is already recognized , but back
calculations probably can be done. But on client -specific color , we'll
abstain from giving specific reve nue numbers .
Kawaljeet Saluja: Got it. Now Samir on this, specifically, when you look at the revenue

dynamics, right, these large transformation contracts, the revenue profitability dynamics may not be synchronized at least from the

financials, when I look at the CMT vertical, the absolute EBIT has been flat, whereas the revenues have grown, leading to an impression that it's been no margin kind of a business. Does this dynamic change as the transformation program hit specific milestones here?

Samir Seksaria: During the transformation program, we don't expect the dynamics to change considerably.

Kawaljeet Saluja: Fair enough. The last question that I had is for Krithi, again. Krithi, you mentioned client -specific challenge. Actually, can you just elaborate what this client -specific challenge would be? And did it have any margin impact?

K Krithivasan : No. In this particular case, we had a scope reduction. We had a very significant presence, and the client had a more abrupt scope reduction , leading into our revenue decline.

Kawaljeet Saluja: But does that scope change, let's say, as you move early into the next year or is it just...

K Krithivasan : The client decided to reduce the quantum of our transformation work, they were doing. And because of that, the program was stopped. So will they pick up the program again, we will know only once the situation turns positive, Kawal.

Kawaljeet Saluja: Okay. That's clear. Final question, I don't know if it was asked earlier, but I did hear about a specific instance of focus on growth market. All of us know that growth market may not be the most profitable one. So how do you intend to balance the aspirati on of expanding into India or some of the other regions in Asia Pacific and the profitability aspirations you have?

K Krithivasan : Like our experience is that, yes, the profit margin in gr owth markets may not be as high as the major markets. At the same time, we've been able to manage overall at the portfolio level. And also, it's a market where growth will come in and the kind of transformative engagements, we do are very interesting.

And as the volume picks up, Kawal, my guess is we'll be also able to manage the margin. Currently,

the volumes are low , because of which the SG&A expenses in these markets are slightly higher. Our expectation and the way we would operate is that as the volume picks up, we should be able to manage our cost and improve the margins also.

Samir Seksaria: Just to add to it, we could drive growth in one portfolio and drive efficiency in another portfolio. Our intent would be to deliver a combined mix of growth and profitability in the aspirations which we have set.

Kawaljeet Saluja: Thank you so much for your responses, appreciate it.

Moderator: Thank you. We'll take a next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Yes. Thanks for the opportunity. Just a couple of questions. Firstly, if you look at our SG&A expenses as a percentage of revenue, they are pretty much at an all -time low. And in the past four to five quarters, we have seen sequentially even the absolute a mount coming down. Just wanted to understand, is it more a reflection of how things have slowed down in the past four, five quarters and hence, you are trying to rationalize that or more a reflection of how the next three, four quarters might look like and kind of managing investments there?

Samir Seksaria: So, if you look at it from an absolute perspective, SG&A expenses have been in the stable level. If you look at it from a year -on-year perspective, there has been investment in infrastructure as well as travel expenses going up. And I'm assuming you're talking about from an absolute one because as percentage of revenue , due to inc lusion of some of the non -services revenue , will also have an impact. But overall, SG&A is one of the levers in terms of stable management of margins.
Rishi Jhunjhunwala: Okay, sir. And just secondly on deals, right? So last quarter we had indicated that there were delays in deal closures and so possibly that could have been reflected in better wins this quarter. There hasn't been any material uptick, but you mentioned 7 billion to 9 billion is a comfortable range in which you are operating. Just wanted to

understand in order for our growth to accelerate to maybe high single digit or close to double digit over the next 12, 18 months. Do you still need this number to go up substantially or the overall budgets might just reflect that even if it is not getting reflected in the TCV?
K Krithivasan : No, let's say, for the current revenue trajectory we are in about 9 billion, I'm not saying 7 billion will be comfortable consistently. But close to the range, we have to get close to our book -to-bill ratio. If it gets somewhere around 1.1, 1.2 would servi ce the growth that is required. So that's the reason we are coming up with a number of almost $7 to $9 bn. But also, Rishi , idea is that when you say seven to nine, there will be a couple of quarters where you will have a mega deal come in. So, it will also give additional bump to the overall number . For instance, last year, we had TCV of almost more than 40 billion. This year, we had somewhere between close to 16 billion and 17 billion in TCV in H1 , with some large deals coming in and with all the better deal closure, we may be closer to the mark than we were last year or if it is lesser, will not be less by a big number and as I said, 1.1, 1.2 book -to-bill is a decent number for sustaining the growth .
Rishi Jhunjhunwala: But would you have mega deals in the pipeline, which could potentially...
K Krithivasan : There'll always be a few mega deals in the pipeline, Rishi.
Rishi Jhunjhunwala: Okay. All right. Thank you so much.
K Krithivasan : Thank you.
Moderator: Thank you. We'll take our next question from the

line of Ravi Menon
from Macquarie. Please go ahead.
Ravi Menon: Thank you for the opportunity. I wanted to touch upon one of the markets that you're already strong in that is th e Airline Industry. We had heard about how they want to go direct -to-consumer, and I guess, those plans have been put on hold as they struggled on that front. Do you see some of those kinds of investments coming back?

K Krithivasan : Yes, definitely from what we understand, those investments are coming back.
Ravi Menon: And in manufacturing, where you spoke of were you talking about aerospace specifically or any other segments?
K Krithivasan : Definitely, the labor issue is around aerospace. Supply chain issues are in auto as well as aerospace.
Ravi Menon: Thank you so much. And one last question on BSNL deal. I think if I understood correctly, by next year Q1 that's supposed to end? And is there a maintenance phase after that?
K Krithivasan : Yes, there will be a maintenance phase, see currently, the existing deal we are on track to in fact close by Q4, okay? And Q1 there could be

some residual work, and some maintenance work will be there.
Ravi Menon: Thank you so much , best of luck.
Moderator: Thank you. We have a next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Thanks for taking my question. The first question is for Krithi. You did talk about optimism around discretionary spend returning back. So apart from macro data points, what are you seeing either in your portfolio or client conversation or the pipeline that gives you more confidence around return of discretion ary spend over a period of time?
K Krithivasan : See, there are a couple of things. One is there is a lot of optimization work going on. Some of the investments around technology debt have not taken place. For instance, there's a workaround technology modernization, mainframe modernization, that spending, and 1 good thing is with the Generative AI becoming more and more mainstream, Generative AI is also being seen as an important lever thro ugh which modernization could be expe dited and accelerated. So that's one and the second is our client conversations in terms of enhancing customer experience . That's also in some cases that which should have happened last year did not happen. So, the optimism comes from the

backlog of work, which some of our customers have not been able to carry forward because of the current environment they are in .
Gaurav Rateria: Got it. The second question is on margins. I know that you gave us the detail s, and that had a component of capacity building an infrastructure -related investments that had some impact on the margins -- kind of coming back gradually, would you expect margins to return to the range that you talked about in the near term or will it be more like a medium -term phenomenon . Basically, you have levers around India business, sort of tapering down on that contract, which can lead to some margin expansion on top of it some capacity creation has happened. That also kind of can lead to a margin expansion. So, trying to understand 26% is it more of a near -term phenomenon or more like a longer -term margin aspiration that one should think about?
Samir Seksaria: Gaurav, we'd like to get to 26% to 28% or nearer to 26% as soon as possible. Given how the macros are stacked up we can't tell you whether it is in the immediate quarter or two quarters or three quarters or four , but we'd like to get to it. We exited at

26% in Q4 of
last year , I'd be really happy if we can exit this year Q4 also at 2 6%.
Gaurav Rateria: Thank you very much.
Moderator: Thank you. We move on to the next question from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Hi, good evening. You mentioned that the deal tenures have sort of expanded. So, is that in specific cases or is that a very broad -based kind of phenomenon?
Samir Seksaria: Nitin, I think probably what I meant was a deal cycle, like the time to close the deal, we saw an expansion. It's not the tenure of the deal. It's the time to close the deal has expanded between Q1 and Q2 in some other cases.
Nitin Padmanabhan: Got it. And you mentioned that the headwinds that we have seen this quarter in some cases, it could sort of stabilize in the next quarter and then possibly improve I think that was more Life Sciences. But broadly, do you get the sense that in all the areas where you have seen

headwinds in the current quarter that's more or less peaked out and things can incrementally improve for those specific areas?

K Krithivasan : See, we've never given a short -term commentary or near -term commentary, Nitin. But we believe that once the uncertainties are clear and once we enter a more stable situation , we believe the growth should also return. Current, we believe the short -term freeze or cut down in the discretionary spend comes out as a market uncertainty. One that eases the investment should return, but I don't want to say that it will immediately happen in Q3, but we believe in the medium term, it should happen.
Nitin Padmanabhan: Got it. And lastly, you mentioned that 86 sort of projects on GenAI have gone into production compared to 8 in the last quarter, what are the average sizes of these projects? Are they very large or... ?
K Krithivasan : No, at this time, Nitin, many of them tend to be small, but we do also get some large projects. For instance, for 1 of our clients, we establish ed an AI office. It's a program that sets the overall architecture, sets the guardrail and ensures the risk and regulatory framework, legal framework and then looks at all potential POCs and then evaluates the POCs and then create s a backlog and works with each group to deliver . Such projects will be more long tenured and the value could be higher. So, if you are doing 1 single POC or 1 single program, the value may not be very high. But where they are long - standing and long -term projects, the value also could be high.
Nitin Padmanabhan: Got it. Are you seeing any large AI projects where enterprises are sort of looking to build some sort of a broad infrastructure framework where the entire or g could sort of use irrespective of the partners, the broad individual building blocks, which is enterprise -wide?
K Krithivasan : That's what I mentioned . These AI offices, we are trying to create an overall infrastructure. It's more a technical infrastructure as well as the framework and guardrail that's required. When I said AI office, that's what these programs tend to do, Nitin.
Nitin Padmanabhan: In the case where an enterprise seeks to create an AI office broadly, typically, how large will these projects be?

K Krithivasan : See, it can vary, like deal size can vary based on the core size of the organization, tenure of the deal, it could be $10 million to $20 million, $30 million based on the tenure and size of the organization.
Nitin Padmanabhan: That's very helpful, Krithi. Thank you so much and all the ver

y best.
K Krithivasan : Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.

K Krithi vasan : Thank you, operator.
• We are very pleased with our second quarter performance , growing at 5.5% Year -on-Year in Constant Currency, amidst the challenging geopol itical situation.
• Deal momentum continued to be very strong in Q 2, with our order book at $8.6 billion for the quarter .
• Operating margins were at 24.1 %, declining 60 bps sequentially .
• Our LTM attrition in IT services was 12.3 %.
• I would like to thank the 612,000+ TCSers whose valua ble work is helping us achieve excellence every day.

With that, we wrap up our call today. Thank you all for joining us.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2025

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January 13, 2025
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Dear Sirs,
Sub: Transcript of the earnings conference call for the quarter and nine-month period ended December 31, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine-month period ended December 31, 2024, conducted after the meeting of Board of Directors held on January 9, 2025, for your information and records.
The above information is also available on the website of the Company: www.tcs.com.
Thanking you,
Yours faithfully,
For Tata Consultancy Services Limited
Yashaswin Sheth
Company Secretary
Encl: As above

Tata Consultancy Services Limited
Q3 FY '25 Earnings Conference Call
January 09, 202 5, 19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Ms. Nehal Shah from the Investor R elations team at TCS. Thank you and over to you.
Nehal Shah : Thank you, operator. Good evening, and welcome to TCS Earnings Call for Q3 FY'25 . This call is being webcast through our website, and an archive, including the transcript, will be available on the website for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our websi te.
Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.
K Krithivasan : Hi, good evening. Happy New Year to all of you.
Nehal Shah : Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria : Hello, everyone.
Nehal Shah : And Mr. Milind Lakkad, Chief HR Officer.
Milind Lakkad : Hi, everyone. Happy New Year .
Nehal Shah : Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -

looking statement must be reviewed in conjunction with th e risks that the company faces.
We have outlined this risk in the second slide of the quarterly fact sheet available on our website and e -mailed out to those who have subscribed on our mailing list.
With that, I would like to turn the call over to Krit hi.
K Krithivasan : Thank you, N ehal. In Q3, our performance was consistent with the quarterly seasonality . Our revenues grew 4.5% year -on-year (YoY) in constant currency. Operating margin was at 24.5% and net margin was at 19.4%. The highlight of the quarter was our exceptionally strong and broad -based TCV at US$10.2 billion. North America TCV was at US$5.9 billion . BFSI TCV was at US$3.2 billion and consumer business accounted for US$1.3 billion . We a

chieved significant large deal wins across various markets and industries, resulting in a double -digit growth in TCV year -on-year. This performance is particularly noteworthy given the absence of any mega deal wins. Our strong deal pipeline and TCV gives us confidence as we look ahead.
I will now invite Samir and Milind to go over different aspects of our performance during the quarter.
I'll step in later to provide more color on the demand trends we are seeing in our business. Over to you, Samir.
Samir Seksaria : Thank you, Krit hi. Good day, everyone, and wishing all of you a great start to the New Year .
In the third quarter of financial year '25, our revenue was ■63,973 crores , which is a year -over-year growth of 5.6%. In dollar terms, the revenue was $7,539 million and a year -on-year growth of 3.6%. That translates to a constant currency growth of our revenues to 4.5%.
Our Q3 operating margin was 24.5%, a sequential improvement of 40 basis points , despite headwin ds on account of furloughs and Q3 seasonality, which was offset by operating efficiency through improvement in productivity, utilization and pyramid .

Net income margin in Q3 was 19.4%, and our EPS grew 6.4% Y-o-Y.
Our accounts receivable was at 74 days DSO in dollar terms.
Net cash from operations was $1.54 billion , which is 105.3% of net income
Free cash flows were at $1.45 billion and invested funds at the end of the period stood at $7.28 billion .
Consistent with our capital allocation policy of returning substantial free cash flow back to our shareholders, the Board has recommended a dividend of ■76 per share, which includes an interim dividend of ■10 and a special dividend of ■66 per share.
Let me walk you through our segmental performance. Note, all growth numbers are in year -on-year constant currency terms unless otherwise mentioned.
BFSI grew 0.9%. Consumer business group grew 1.1%. Life Sciences Healthcare declined 4.3%. Manufacturing grew 0.4%. Technology & Services declined 0.4%. Communication and Media declined 10.6%. Energy Resources and Utilities grew 3.4% and Regional Markets grew 40.9%.
Moving on to geogra phies : Amongst major markets, U K grew 4.1%, whereas we had a decline in North America of 2.3% and Europe of 1.5%. All the growth markets continued their strong performance. India led with a growth of 70.2%. Middle East grew by 15%, Latin America by 7% and Asia Pacific grew 5.8%.
I am now going to talk about a few of our industry -leading portfolio of products and platforms :
• ignio™, our cognitive automation process suite saw 30 new deals wins and 9 go-lives .
o The ongoing trend in AI and GenAI are significantly driving investments in AI - based systems and intelligent automation. These advancements are propelling ignio's deal wins as an increasing number of customers embark on their journey towards becoming autonomous enterprises.

• TCS BaNCS ™, our flagship product for financial services, continued its leadership with 4 wins and 7 go-lives during the quarter.
o This quarter, we successfully completed Zion s Bancorporation s' multiyear Future Core project with TCS BaNCS . This large -scale core banking modernization positions Zions, a leading financial services company in US at the forefront of the industry. It enables real -time transaction processing and delivers an exceptional customer experience. The project underscores the power of collaboration, positioning Zions as an innovator allowing for quick responses to market demand and customer needs and driving increased revenue.
• TCS BFSI Product s and Platforms saw 3 wins and 2 go -lives during the quarte

r.
o We signed a 15 -year contract with Ireland's Department of Social Pension to implement and support the new Auto Enrolment Retirement Savings Scheme . This initiative will provide a comprehensive digital solution for automatic enrolment of nearly 800,000 workers in Ireland. This is a landmark deal for TCS in the geography and the first BPaaS implementation in Ireland. This further solidifies our leadership position in the UK and Ireland market for Life and Pensions.
o We have migrated 800,000 UK Life and Pension s policies for Scottish Widows over 4 migrations in H2 of 2024. This now completes a highly complex migration of Life and Pensions for Scottish Widows comprising of over 500 products and resulting in 3 million UK L &P customers being serviced on TCS BaNCS.
• Quartz , our innovation -led platform leveraging blockchain and AI, had one win and one go -live this quarter, including a strategic pilot for hybrid market infrastructure in Europe.
• TCS iON , our platform for Digital Assessment and Exam Administration and Learning, had 38 new wins and 150-plus platform capabilities went live.
o Our assessment platform administered in -center exams for over 17 million candidates.

o The growing demand for AI -driven analysis and recommendations on assessed candidates' data is driving the platform's focus.
o The Indian government's focus on industry participation in employability, internships and skilling should drive strong growth on the iON platform.
o Additionally, there is an increasing emphasis on reducing logistics work and shortening the results generation timeline.
• TCS OmniStore ™, our AI -powered Universal Commerce Suite, had one deal win and one go -live this quarter.
• TCS Opt umera™, our AI -powered Retail Merchandising Suite, went live for one client.
• TCS TwinX ™, our digital twin solution, has three wins and one go live .
• And in Life Sciences, TCS ADD ™ platform had three go -lives this quarter.
Client Metrics
Customer centricity is one of the key pillars for our sustainable growth strategy. Our deep, long -term relationship with clients enables us to anticipate their needs and help them pivot effectively.
• As on 31st of December, we have more than 1,300 clients which contribute to $1 million plus annualized revenue.
• In Q3, we added three new client's year-on-year basis in the 100 million -plus band, bringing the total to 64.
With that, let me hand it over to Milind .
Milind Lakkad: Thank you, Samir . Let me start by wishing you all a very Happy New Year. Our workforce at the end of the third quarter was 607,354. Our workforce continues to be very diverse with 152 nationalities represented and with women making 35.3% of the base . Our LTM Attrition in IT services was up

13%. Employees logged over 40 million learning hours year-to-date and acquired 3.8 million compete ncies .

This quarter, we are proud to have recognized the exceptional contributions of our associates by awarding over 25,000 well-deserved promotions across levels, taking the total promotions for the fiscal year to more than 110,000 . These promotions reflect our unwavering commitment to fostering future growth and excellence.

Simultaneously, we continue to strengthen our talent pipeline through strategic investments and skill development.

Our campus hiring program is progressing as planned and we are gearing up to onboard an increased number of campus hires next year. These initiatives ensure that we are well prepared to meet the evolving needs of our clients and drive long -term organizatio nal success.

I will now request Krithi to speak on the various demand levers within

the
quarter.

K Krithivasan : Thank you, Milind .

Starting with the demand levers for Q3, we observed that customer priorities continue to remain centered around cost optimization and business transformation. GenA I, AI and cloud services continue to see significant growth for us this quarter. Clients are investing in agentic AI adoption, building robust data foundation, and taking a value chain -based approach to AI and GenA I transformation.

Agentic AI represents the next step of maturity in the exponentially evolving space of AI. It allows us to orchestrate actual transactions inside business value chains using the rapidly improving planning and reasoning capabilities of large language models . We are now starting to go past the initial wave of chatbots and R AG deployments of GenA I, and more crucially, this will allow TCS to use our deep contextual knowledge of our customers' business to design, train, and deploy agents that solve high -value business problems.

• As an example, a leading American electronics retailer partnered with TCS to enhance customer engagement and drive operational excellence. TCS utilizes contextual knowledge to design and implement a scalable, unified contact center platform that consolidat es chat and IVR systems, enabling seamless workflows across channels. The platform employs advanced natural language understanding and conversational agents for intent identification and handling of open -ended inquiries. A real -time dashboard tracks critic al metrics, including user containment rates, queue transfers, and system utilization, providing actionable insights for continuous optimization. Supporting over 30,000 daily chat conversations and 3x as many invoices, the system has achieved 90% intent identification, 3% user containment improvement rates, and enabled context -aware brand -aligned response, improved self -service, and reduced live agent transfers.

• One of the leading global life sciences majors partnered with TCS for accelerated cancer drug discovery. The challenge was to design small molecules against a novel target protein of interest where no target -specific small -module dataset is available. The only available input was a target protein structure. The novel molecules must satisfy all drug -like properties.

We designed a GenAI -based drug discovery solution for identifying small molecules on a cancer target that takes the structure of the target protein as input and designs target -specific property -optimized small molecules. We generated around 1,300 molecules , optimized for five properties, and further the reduced set had to pass several proprietary filters on the client side and assess synthesizability against the client's in -house compound library. Both these 12 molecules have been shortlisted and are in vit ro assessment.

Technology modernization, SAP S/4HANA transformations, cloud engagements, building data foundations for AI and cybersecurity continue to be priority areas that are seeing strong investments from our clients. We expect client IT budgets to remain similar in CY '25 with a positive bias. We are seeing early signs of revival in discretionary spend in BFSI and Retail. Manufacturing and Life Sciences and Healthcare should also start seeing growth in the medium term as near -term challenges have bottomed out in thi s quarter.

o Let me now give some specific color on our performance during the quarter and outlook for our key verticals in Q3.

• For BFSI, the New Year promises cautious optimism with easing inflation, falling unemployment numbers, and stable government. Head -wins will continue because of unresolved geopolitical issues,

trade wars, and uneven growth forecast. Customers are focused on operational efficiency and modernizing their IT with an eye on future growth.

The BFSI industry is a leading adopter of AI, GenAI and other cutting -edge technologies. We saw a significant increase in successful production deployment of AI, GenAI engagements leading to greater business certainty and confidence for our clients.

o As an example, one of the leading global banks partnered with us to build a first-of-its-kind AI -led real -time fraud detection solution, replacing its existing technology, thereby reducing fraud -related losses and improving the financial well-being of cust omers. Our innovative predictive AI solution performs real - time transaction monitoring, detects customer behavior anomalies, and generates risk scores. This solution delivered an 18% percentage point improvement in fraud detection, reduced false positives by 25%, and improved fraud analysis response times by 50%.

• The Consumer business g roup return ed to growth on a sequential basis, and it was primarily driven by the improvement seen in retail in all major markets. We are helping our customers navigate changing customer expectations, embrace digital transformation, and prioritize technology modernization and sustainable solutions in an uncertain macroeconomic environment. TTH performed well in UK, EMEA, and APAC mark ets. However, it slowed considerably in the US due to market -specific issues and strained profitability of our customers.

o A leading American multinational luxury fashion retailer, looking to expand within the EU, chose TCS as a strategic partner to enable faster market entry. We leveraged our contextual knowledge and deep understanding of the omnichannel ecosystem to adapt it for local languages, currencies, payment preferences, and compliance regulations, ensuring a unified user experience

across all geographies and channels. We implemented a leading order management system and integrated various third -party services, including a warehouse management system and multiple payment gateways. This scalable solution streamlined brand onboarding, reducing cycle time by 30%, and enabled quick access to new markets. The localized experiences helped the brands to connect more effectively with European consumers, driving sales and fostering loyalty.

• Client IT budgets in the Technology, Software, and Services industries continue to remain flat. TCS saw continued growth momentum despite the seasonal weakness in Q3. We are very proud of our differentiated value proposition to leading technology players.

• As an example, a leading global semiconductor major has partnered with TCS to co -create foundational AI technology that includes multi -core server CPU s, GPU s, SoCs, and AI -based systems. We are also helping our clients build LLMs, benchmark their performance, and enhance their efforts in quantization.

• In Life Sciences Health Care, the client -specific challenges called out by us last quarter are largely stabilized. The MedTech industry is undergoing rapid transformation driven by shift to intelligent devices and predictive AI, GenAI in genomics, cell therapy, and personalization. Customers are also investing significantly in scaling their digital manufacturing capabilities and building a resilient supply chain. TCS is well positioned to capitalize the opportunities in this segment with a unique propositio n across the value chain.

• A global medical technology company has partnered with TCS to digitize device history records, transform plant operations using cutting -edge platforms and reimagine customer experience in next -gen e -commerce.

• In Q3, we continue to see softness in manufacturing due to a combination of macro and industry -specific issues in auto

and aerospace. However, we saw a good number of large deal wins during the quarter, and we see a strong pipeline for the future. We conti nue to capture demand on the back of significant investments in the areas of factory of the future, smart manufacturing, software vehicles and AI, GenAI.

• The CMI industry continues to encounter challenges with demand, primarily led by technology -driven cost optimization. However, there are encouraging signs of a rebound in IT spending as telcos advance their efforts to expand into adjacent businesses while enhancing efficiency in their core operations. Customers now have a heightened expectation of our ROI, leading to major transformation initiatives being divided into smaller, manageable compacts.

We continue to see excellent traction in growth markets. Clients in growth markets are focused on digital transformation, including cloud migration, cloud - native applications, application modernization, advanced data analytics, ERP transformation, and inf rastructure consolidation.

TCS has an outstanding track record of executing nation -building and transformative projects across these markets. This, combined with the strategic investments we have made in the talent, global delivery centers , Pace Ports ™, and partnerships, gives us a unique opportunity for long -term sustainable growth.

To conclude, amidst an environment of uncertainty and seasonal softness, we deliver ed flat growth in Q3 with a margin expansion of 40 basis points. With the reduction in the interest rates, easing of inflation, and reduced uncertainty with the new US administration taking over, we expect the discretionary demand to strengthen. Thank you, and we can now open the line for questions. Over to you, Operator .

Moderator: Thank you very much. We will take our first question from the line of Yogesh Agarwal from HSBC Securities & Capital Markets (India) Pvt Ltd. Please go ahead.

Yogesh A ggarwal: Hi. Thank you. First of all, Happy New Year to you all. Two questions. Pretty good to see deal wins improving but I was just curious, even in FY ’24, deal wins were very strong, but FY’25 growth, has not lived up to expectations. So, do you think this time around the color of deal wins are different, and hence the conversion could be a lot more favorable?

K Krithivasan : So, Yogesh, we had strong deal wins in FY’24 also. But what happened during FY’25 was also the deferral of some projects going slow based on the ROI expectation which saw reprioritization. And seeing the revival in discretionary

spend, as I said, when I say revival, early signs of revival, I don't want to say that it's recovered. Seeing the early sign of revival and the strong TCV win gives us more confidence in CY’25 and FY ’26.

Yogesh Agarwal: Okay. Just on a separate kind of related note, Krithi, so the headcount declined again, and you sound positive for this year, and this is despite the BSNL headwinds. So, why is the headcount declining? Do you think the growth is more back -end-loaded , and then during the year you'll be able to hire people?

K Krithivasan : No, as Milind has been calling out, while on a long -term basis, there will be some correlation between the headcount and growth. On a quarter -on-quarter

basis, it will be difficult to have that correlation. Also, if you look at Q1 and Q2, we added significant headcount.
In Q3, we knew even beforehand there will be some seasonality. So, we had to optimize wherever we c ould. So, that's one reason why the headcount went down. But overall, this is not a reflection of the demand environment.
Yogesh Agarwal: Got it. Okay. Thank you so much.
Moderator: Thank

you. We will take our next question from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon : Happy New Year to the management. This the best quarter for deal wins in the third quarter , ever since you started disclosing this number. So, did we benefit a bit from any slippage of the deals, I mean, deals that were waiting to be on that we saw a bunch of them get decided maybe up to November or December?
K Krithivasan : Every quarter, we'll always have, some deal that could have been closed before the end of the quarter, slip in the next quarter. So, there is no specific bunching that happened in the beginning or end of the quarter. I would say this is more organic. There is no timing mismatch . There is no specific deal that should have closed in Q2 that closed in Q3 to give us this bump.
Ravi Menon : And you also said that there were no mega deals in this quarter. How is the mega deal pipeline looking now?

K Krithivasan : There are always a few mega deals we are working on. But we are also happy with the quantum of large deal wins. The number of large deals we have won, also show ed an improvement this quarter.
Ravi Menon : All right. And BFSI in North America, could you talk a bit about how that is Q - o-Q on a constant currency basis?
K Krithivasan : We do not disclose the sequential growth number , but to give you some color, BFSI North America has grown positively. And again, for us, what is equally comforting is the large accounts in BFSI North America, all of them are contributing to growth.
Moderator: We will take our next question from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah : Krithi, just wanted to understand that the 3Q growth when you entered versus final results, was it as per our initial expectation because all the verticals outside emerging markets or growth markets and to some extent, except consumer, all other verticals have declined in a constant currency Q -on-Q?
K Krithivasan : See, when we started the quarter, also, we knew it's going to be a seasonally weak quarter. I would say see always like if I had 1% more growth, we have been happier than this past year. But within this band is what we are expecting when we started the qua rter also.
Sandeep Shah : Okay. And Krit hi, if I look at last 4 quarters growth in international markets, outside India has been really sluggish. With deal wins picking up, do you believe fourth quarter international market may help us to compensate the impact of BSNL gap, which may come in the f ourth quarter?
K Krithivasan : That is our aspiration . We believe as BSNL ramps down, not only international business, but we are also quite bullish on what's happening in the regional markets, plus the growth returning in global market s and furloughs also to some extent, recovering collectively should help us in the growth for Q4 .
Sandeep Shah : Okay. And just coming to margins, just wanted to understand, last time we said we have an aspiration to reach to 26% by Q4. And now furloughs won't be

there, rupee depreciation may help. In that scenario, do you believe this aspiration could be realistic or is it still an aspiration to reach by Q4?
Samir Seksaria : So, Sandeep, margin aspiration remains 26% to 28%. I had not committed that we will reach 26% by Q4, wha t I said is we will be happy if we can exit Q4 at 26%. We have seen a sequential margin improvement in Q3 . Going forward, we will strive to get as close to our guiding band as possible.

But given the seasonality, getting a 40-basis points improvement in Q3 on a flattish growth, was significant . We'll push further to get an improvement over and

above that in Q4 .
Sandeep Shah : Just last follow -up on this. Just wanted to unders tand with the likely decline in BSNL , that could be also a big margin lever for the fourth quarter?
Samir Seksaria : We have been calling out the increase in third -party costs having an impact on margins . On a like -to-like basis, there would be margin tailwind depending on how much is the decline. We have completed 70% of the BSNL contract, which we had committed , so that in itself is a lever. And going into FY '26, our product mix does become a lever.
Moderator: We will take our next question from the line of Ankur Rudra from JPMorgan.
Ankur Rudra : You mentioned there are early signs of revival in some of the verticals you highlighted. Could you maybe elaborate what is the nature of these signs, at least basically the nature of the deals you've signed this quarter or the nature of pipeline, client conversation intent. Just some more color would help.
K Krithivasan : From a vertical perspective, as I said, deal wins have been good in BFSI, CBG. And in fact, in almost all verticals, there is an increase in deal wins compared to previous quarter. From a geography perspective, Europe has one of the best deal wins. So, it has been all-round better deal win from a geography as well as industry perspective.
The type of deals, apart from seeing regular optimization deal s, there is an increased proportion of deals on the a pplication modernization, cloud. And our customers are gearing up to leverage AI, towards that there are more data projects being commission ed.

So, it's a good mix of projects on optimization with the improvement on the discretionary spend, compared to the past. And another interesting data point we observed is, for the first time, there is a good decrease in the deal cycle, by few weeks.
We looked at deals that are more than $20 million and above, there is a deal cycle reduction also, which also shows that the decision -making is also improving largely. That's broadly the color on deal wins, Ankur.
Ankur Rudra : I think last quarter, you had said, Krit hi, that the deal cycles were extending. And in the following 3 months, it is already recovered. Is that how we should take this?
K Krithivasan : Yes. Compared to the previous quarter, there has been an improvement in deal cycle this quarter.
Ankur Rudra : Okay. I appreciate it. I just want to probe a bit more on the AI wor k. You mentioned a lot of Agentic AI work coming your way. What is the impact of this on effort needed for projects of different types? So, for example, does this mean that there will be more work on software engineering, but some volume pressures on legacy modernization and ops?
In addition to that, if you can highlight if there has been any l oss of volume due to Agentic AI or SLM s on any of your large projects or customers?
K Krithivasan : Currently , our customers are leveraging AI to do new projects . I talked about drug discovery. Without AI, they would not have approached this particular project at all. So many of them tend to be new projects that lever age this technology.
And there are also customers who are leveraging this technology towards technology modernization. One of the large modernizations out of mainframe, we are attempting to use Gen AI to ensure that the transfer technology modernization is more fail safe.
So, there are opportunities we find towards software engineering where there's a productivity improvement as well. But net -net, if you look at the overall

demand environment, we think AI demand will be net positive rather than being negative. That is at least what we are seei

ng as of today.
Ankur Rudra : Okay. Appreciate the color. Thank you so much and wish you best of luck.
Moderator: Thank you. We have our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan : Good evening and w ishing you a Happy New Year. Just a couple from my end. So, one is you mentioned that BSNL purchase is complete by 70% . So how should we think about it? Do you think the net reduction in revenue there should happen in the following quarter, or it will happen in the next fiscal year? So that is the first one.
The second one is that considering we had very strong deal wins this quarter and there is no mega deal and decision cycles are also improving, does that mean that the revenue conversion will also be much quicker, considering these are relatively smaller an d more discretionary in nature and that should aid near - term performance ?
And finally, I think you also mentioned that you were looking at projects that could refill the gap from BSNL? Just your thoughts on if there's anything specific out there that sort of fills that in, that will be helpful.
K Krithivasan : Like Samir mentioned , Nitin, for BSNL we have completed 70%, which naturally means slowly it will tap er down . It should start tapering off either in Q4 or Q1, but I would expect some tapering off starting Q4 itself. And I will just answer the other question on BSNL.
So, as it tapers off, we are trying to look at multiple opportunities, both within India. BSNL itself is the new capability we have acquired. We want to see whether using that capability itself new projects could be won globally.
And, of course, the new deal wins that we spoke about, that also will help us in replacing this revenue. So, we are looking at all options. And we are quite confident that we will be able to manage the impact. On the deal wins, yes, there are no mega deals because the deal tenure with what you won could be marginally lower than what it was before.

And there is a confidence that the revenue realization could improve compared to the past. And I would say, realization will improve, more because of the certainty as customers are embarking on more discretionary work. That gives us more confidence on the faster revenue realization than necessarily on the deal tenure itself.
Nitin Padmanabhan: Sure. That's helpful. Just one clarification. I think on the press conference, you made a comment that the BSNL could come off slowly or sharply, I was just wondering what you mean by that?
Samir Seksaria : No, it would start tapering down is what we said. The current contract could taper off across Q4, Q1 and maybe it might exten d to max Q2 .
Nitin Padmanabhan: Got it. Fair enough. Thank you so much and all the very best.
Moderator: Thank you. We have a next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli: Krithi thanks for the opportunity and H appy New Y ear. You seem to be sounding much more confident on the broader demand environment than what we had noticed in the last two quarters. And you are seeing CY'25 should be better than CY'24.
So given that BSNL deal will ramp down over CY'25, which is a big headwind , and despite that, we are expecting a better year in CY'25 o ver CY'24. So, if we reverse engineer the math, are you sort of alluding to a double -digit kind of revenue growth expectation in the core markets in CY'25?
K Krithivasan : No, we are not guiding to a double -digit growth , but we are expecting a stronger growth. And we are also hoping that we'll be able to compensate the BSNL revenue in multiple other ways both internationally as well as domestically. So, we are at this time confident, when I said th at CY’25 will be a better year than CY

'24, it's more broadly on the international business.
Net business we have to see, BSNL revenue replacement could definitely be a headwind, but we know that we'll be able to replace most of it.

Sudheer Guntupalli: Okay. So, what I was trying to understand is I think India business, we had seen close to $1 billion incremental revenue in CY'24 over CY'23 and that should taper off or unwind in CY'25, which means the core market should at least do the heavy lifting of going up to double digit. And that is when you can be better than...
K Krithivasan : Sudheer I don't want to put a double -digit target, but the core m arkets should do heavy lifting a nd even, the regional markets other than BSNL also , they are growing quite nicely. So, it could be that some part of the load could be taken up by the regional markets as well.
Sudheer Guntupalli: Thank you so much sir. All the best.
Moderator: Thank you. We have a next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Thanks for taking my question. So, Krithi, again, just to dwell a bit on the discretionary part, the comment that you mentioned. Now one of the things that has been plaguing us and the industry over the past 2 years was the discretionary part of many of the existing deals have been put on hold f rom the client side.
So, are we basically seeing some recovery in that as well in terms of clients that were looking to put that back on the an vil along with, of course, the normal recovery that you mentioned in your com ment and explanation thereafter?
K Krithivasan : That is what I said. There are some early signs of discretionary spend. S o that is what is giving us that confidence also to say CY'25 could be better than 24.
Vibhor Singhal : Got it. And specifically, in the BFSI segment, if I could just dwell a bit, this is a segment which has historically been one of the biggest adopters of technology . You mentioned that they are also the ones which are also looking at wide -scale GenAI adoption. So , any progress that you believe that we are also making in terms of the legacy code m oderni zation, the opportunity that we showcased in our Analyst Day as well? Any POCs or projects which have gone towards an incremental advance d stage on that front about which we can talk ?

K Krithivasan : See, on the BFSI thing, as I said, GenAI adoption is very strong ., From a n overall technology modernization , code modernization, we are talking to some of our customers on large scale transformation as well. So, we do see a reasonable kind of either advanced discussion s with our customers or early discussion, but technology modernization discussion is very strong.
Vibhor Singhal : Got it. Great. Just one last question on the BSNL part. In some of our earlier remarks, we had mentioned that there might be some extension to the BSNL deal from the magnitude that it is at this point of time. So does the TCV for this quarter include any amount of contribution on account of extension of the project or is this completely non -BSNL TCV?
Samir Seksaria : No. Current TCV does not include any BSNL contribution.
Vibhor Singhal : Are we expecting any extensions, in the next fiscal year or too early to call ? Or is it a chance?
Samir Seksaria : BSNL has floated an RFP for 5G upgrade. We qualify for that, given that we have successfully executed on the 4G opportunity. W e will be participating on the new RFP .
Vibhor Singhal: Got it. Great, sir. Thank you so much for taking my questions and I wish you all the best.
Moderator: Thank you. We have a next question from the line of Rishi Jhunjhunwala from IIFL I

nstitutional Equities. Please go ahead.
Rishi Jhunjhunwala : Yes. Thank you for the opportunity. Just a couple of quick questions. Firstly, on this BSNL thing, right? So , over the course of the entire project, which I guess is going to go on for in total 6 to 8 quarters, -or-so. Just wanted to understand the overall project, what the end profitability would eventually be that you would have envisaged if at all there is, I understand that was strategic in nature and it was giving you an entry into network services management and all that. But just from a project profitability perspective, just wanted to get some color on that.
Samir Seksaria : Rishi, unfortunately, like we have said in the past, we will not be divulging client specific contributions of revenue or profitability.

Rishi Jhunjhunwala : Okay, no problem. The other question is on capital allocation method. So , you have announced a special dividend this quarter. So , given the change in the tax regime on buybacks , is it fair to assume that going forward, dividends would be the more efficient way for you to return capital?
Samir Seksaria : It's a Board decision to announce the special dividend this quarter or decide on the capital allocation policy . Both the alternatives are still available. The point you mentioned is also right , but the Board considers various preferences from various classes of shareholders and arrives at the decision. Regulation changes or tax changes will also be factored in when that decision is taken .
Rishi Jhunjhunwala : So, assuming no regulation or tax change, we will continue to give dividend certainty?
Samir Seksaria : Both the options are still available –in terms of buyback and dividends.
Rishi Jhunjhunwala: Okay. All right. Thank you so much, sir. All the best.
Moderator: We have our next question from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja : Hi. Thank you for the opportunity. My question on BSNL has been answered. I just wanted to understand, in the past, you remarked about an elongation in terms of deal tenures. Are we seeing some normalcy return there? That was the data -keeping question.
And the second question was, we've been hearing from some of the industry folks about GenAI giving the managed services players the option to essentially move to a software pricing model. It would be great to understand your viewpoint on this.
K Krithivasan : I did mention there is a shortening of deal cycle. Deal tenure, I won't say there is a big difference. The deal tenures have more or less remained same. But deal cycles are shortening.
In terms of pricing because of GenAI, while there are discussions that happen on what could be alternate options , there has not been a significant change because of AI, GenAI in our pricing model at this time .

Manik Taneja : But do you envisage such a scenario playing out over the next few years?
K Krithivasan : Too early to call out, Manik. At this time, most of the deals are all in the traditional models only, while people are discussing what options could exist. So, I would say it's a little early to call out on how it will evolve.
Manik Taneja: Sure. Thank you, Krithi . All the best for the future.
Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.
Abhishek Kumar : Hi. Good evening. Thanks for taking my question . Krithi , I just wanted to pick up one remark you made earlier that furloughs could recover to some extent in next quarter. I was just wondering if you believe there could be some spillover of furloughs into Q1 like what we saw last year.
K Krithi

vasan : Yes. Like the reason I said that is I see in some geographies, furloughs do spill over into until first couple of weeks of January, but it's a small proportion of overall furlough. So that's the reason I said some furlough recovery, not complete. There will be some spill over in some geographies.
Abhishek Kumar : Sure. But nothing unusual, a similar trend as what we have seen in previous years.
K Krithivasan : Yes, similar to last year.
Abhishek Kumar : Okay. And second question is, you said client budgets are likely to be flat with some positive bias. At the same time, we are hopeful of discretionary s pending picking up, j ust trying to reconcile the two. Do you think there is still reprioritization of budgets where these dis cretionary spends will be funded by efficiency gains somewhere else or you think budgets could be revised as we go through the year? Thank you.
K Krithivasan : Abhishek, reprioritization will keep happening all the time . But the expectation of ROI or how soon the ROI should be , what is the period by which they must

get the return , that bar could change, because clients are interested in doing more , and also, there is a greater interest and focus on discretionary projects.

All put together, we find that there will be a positive momentum, and there is a positive bias in the overall budget, but reprioritization will not stop completely. That would be an ongoing process to ensure that they get value out of the project they started .

Abhishek Kumar: Sure, thank you and good luck.

Moderator: Thank you. We have our next question from the line of Sumeet Jain from CLSA. Please go ahead.

Sumeet Jain: Happy New Year to entire management . Krithi , I think you mentioned that you are seeing early signs of revival and discretionary spend across various verticals due to political uncertainty being behind in US. But if you look, there is still a lot of uncertainty around potential increase in inflation due to trade tariffs or uncertain government policies or increase in the US interest rates, which we are seeing in the current US bond yields. So how stable is this revival in the discretionary spend you're expecting probably over the next 1 quarter to 2 quarters and the entire CY '25?

K Krithivasan : Sumeet, what we commented on is based on what our discussions with our customers tell us and what we are seeing in terms of the opportunity and the pipeline. Yes, if the macro change s for the negative in a big way, that will impact .

So, I don't think –the discretionary spend will be visibly resistant to macro change. The comment I made is based on what we are seeing today, based on the discussions we are having and the pipeline that we are seeing in front of us.

Sumeet Jain: Got it. That's helpful. And maybe can you also comment around health care, Life Sciences and manufacturing verticals. I was not very clear , are you saying that they have already bottomed out and they will start seeing growth from next quarter onwards or are you still waiting for some clarity there?

K Krithivasan : From a manufacturing perspective, I feel we'll bottom out in Q4, and growth should revive subsequently. In Life Sciences and Healthcare, that’s one industry waiting for more policy clarity in the US . So once clarity emerges, discretionary spend could return there.

Sumeet Jain: Got it. That's very helpful. Thanks for the opportunity again, and all the best.

Moderator: Thank you. We have a next question from the line of Gaurav Rateria from Morgan Stanley.

Gaurav Rateria: Wishing everyone a very Happy New Year . I have 2 questions. First, where are we in our journey of infusing A

I into various statement of work that we do with the clients? I'm sure we run thousands of different projects with the clients, and there will be an initiative to infuse AI. So where are we in that journey? And my second question is that, Krithi , you made a comment that discretionary work comes then automatically, the revenue realization is faster would that also mean better revenue productivity, and could that also be a lever for margins?

K Krithivasan : On infusing AI, it's a continuous process. We are looking to infuse AI in every program, be it AMS program or application development. We are looking to infuse AI; one is from a productivity perspective; two is also the way of bringing technology resilience for our customers and keeping th eir technology infrastructure future ready.

So, it's an ongoing process, almost every large RFP we work with, there is a component of AI infusion and AI gets discussed in almost all of them. In terms of revenue productivity because of discretionary projects , it's a fair assumption to make that discretionary projects should yield a better productivity. But sometimes factors like competition can play out and the overall environment could play out. Generally, better discretionary spend environment should give us a better revenue productivity.

Gaurav Rateria: Thank you very much.
Moderator: Thank you. We have a next question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.
Abhishek Pathak: Krithi , just a question on your point earlier around retail is about seeing some recovery. I just wanted to know the drivers behind that and the outlook for that, let's say, for CY'25? And the other thing, likewise on technology and hi-tech, what's your view on the hi-tech vertical?

Do you think a lot of the capex spend around GenAI and GPUs is all behind then, can we expect the US big tech companies to maybe shift their focus on services spends for the next year?
K Krithivasan : On the retail, definitely we are seeing a better outlook and particularly the growth that we are seeing in the essential, fashion apparel kind of sub - segments, we are seeing some sort of early signs of revival of discretionary spending.
Again, hi-tech, we are positive overall on the industry. We work with semiconductor players. We work with hyperscalers. Most of them are planning to increase the ir spend in the coming year.
And so, our participation with them will also be improving. So, excepting the professional services side of that industry, the overall hi-tech industry, we are quite positive.
Abhishek Pathak: Great, thank you so much, all the best.
Moderator: Thank you. We'll take our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Just to get clarity on BSNL and sorry to harp on the same. The first phase, which largely involved 4G, the belief is the TCV is close to $1 billion. And now you see that tapering exten d till 1Q or 2Q of FY '26. So, is it fair to assume the deal TCV is higher than $1 billion in the First Phase?
Samir Seksaria: We had said that the overall deal TCV was over $1 billion deal. We didn't disclose exactly what the amount was and in line with tradition, we don't disclose client specific deal TCV. G iven so much of overall inquisitiveness around BSNL , we have been shari ng progress in terms of % completion , and that is the basis of what has been in the public domain. But further client specific details, either in terms of TCV, revenue or margins , it is unlikely that we'll be able to provide further color on it.
Sandeep Shah: Okay. Fair enough. And just last thing, Krit hi, is it fair to assume you are expecting recovery in CY'25 in most of the verticals, but auto and aero may lag

of the recovery or how do you like to see, which verticals there would be a lag in terms of recovery in discretionary spend?
K Krithivasan : I won't be able to call back which vertical will lag because, as I said, we don't have full clarity on Life Sciences & Healthcare. Auto and aerospace industry should grow, because of kind of order book they have. See, the challenges they have been having are more transient in terms of labor market or supply chain unrest.
And as they stabilize, I think that demand for the environment should improve in the aerospace industry. And we are seeing some revival slowly happening in North America. And as I said, Life Sciences and Health Care, I would like to wait and watch. And most other industries look positive at this time.
Sandeep Shah: Thanks, and all the best.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments. Over to you.
K Krithivasan : Thank you, operator.
To summarize :
• Revenue grew by 4.5% year -on-year in constant currency with an operating margin of 24.5% and a net margin of 19.4%.

• We are very pleased with the strong TCV of $10.2 billion, with a sharp uptick seen across markets and industries.
• Our campus hiring for the year is going according to plan and preparations are underway to onboard a higher number of campus hires next year.
• I would like to thank all TCS ers' for the ir efforts and unwavering dedication to realizing their own and the company's potential.

We look forward with cautious optimism to the promising opportunities that 2025 will bring for us. With that, we wrap up our call today. Thank you all for joining us.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2025

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Dear Sirs,
Sub: Transcript of the earnings conference call for the quarter and year period ended
March 31, 202 5
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 202 5, conducted after the meeting of Board of Directors held on April 10, 202 5, for your information and records.
The above information is also available on the website of the Company: www.tcs.com .
Thanking you,
Yours faithfully,
For Tata Consultancy Services Limited
Yashaswin Sheth
Company Secretary
Encl: As above

Tata Consultancy Services Limited
Q4 & Year Ended 31st March 2025 Earnings Conference Call
April 10, 2025, 19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to M s. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.
Nehal Shah: Thank you , operator . Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS' financial results for the fourth quarter and full year FY 2025 that ended March 31, 2025. This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website. Our leadership team is present on this call to disc uss our results.
We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.
K Krithivasan : Hi, good evening.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello, everyone.
Nehal Shah: And Mr. Milind Lakkad, Chief HR Officer.
Milind Lakkad: Hi, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance, followed by a Q&A session. As you are aware, we don't provide

specific revenue or earnings guidance. And anything said on this call, which reflects our outlook for the future , or which could be construed as a forward - looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined this risk in the second slide of the quarterly fact sheet available on our website and email out to those who have subscribed to our mailing list.

With that, I would like to turn the call over to Krithi.

K Krithivasan : Thank you, Nehal. Good day, everyone. I'm pleased to announce that we are concluding FY '25 by surpassing the $30 billion revenue milestone. We have achieved this while maintaining industry -leading margins, exceptional return ratios and a strong balance sheet. It is very gratifying t

o see that most of our leadership team has been part of TCS' extraordinary journey, growing 14 times in the last two decades. We extend our heartfelt gratitude to all our current and former employees, partners, customers and other stakeholders who have supported us over the past 57 years .

Our financial year 2025 revenue grew by 4.2% in constant currency. Our operating margin for the year came in at 24.3%. Our net margin was at 19%.

Coming to our more recent performance , our Q4 revenues grew 2.5% on a constant currency basis. All major markets grew sequentially. Our record Q4 TCV of $12.2 billion demonstrates our ability to gain market share. North America TCV reached an all -time high of $6.8 billion . BFSI TCV was $4 billion , and Consumer Business Group contributed $1.7 billion . This impressive performance stands out in the absence of mega deals.

I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing in our business. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day, everyone.

I will start with the full year's numbers and then proceed to the quarterly commentary. For the full year, our revenue was $30.2 billion , a year-on-year

growth of 4.2% in constant currency. The revenue growth is 3.8% in dollar terms and 6% in rupee terms.

Our FY '25 operating margin was at 24.3%, a decline of 30 basis points over the prior year. During the year, we had a 200-basis point headwind resulting from annual wage increases and other tactical interventions for our associates such as promotions. These merit -based interventions were part of our ongoing efforts to invest in our people and ensure their growth and satisfaction within the company. We had a further 130 basis points headwin d from continuing investments in infrastructure and capability building. To mitigate the se headwin ds, we focus ed on improving utilization, productivity and realization. Additionally, we received an 80-basis point support from the currency .

Net margins for FY '2 5 were 19% and our EPS grew 5.1% year-on-year.

Our effective tax rate for the year was 25.3%.

The Board has recommended a final dividend of ■30 per share , bringing our total dividend for the year to ■126 per share .

Coming to Q4, for the quarter ending 31st March '25, our revenue increased by 2.5% year-on-year in constant currency terms, reaching ■64,479, that translates to a growth of 5.3% in rupee terms and our dollar revenues were at 7.47 billion , Y-o-Y growth of 1.4%. Our Q4 operating margin stood at 24.2%, reflecting a sequential decline of 30 basis points .

During the quarter, we incurred 100 basis points headwind due to tactical interventions . Additionally, we incurred a further 60 basis points headwind from strategy marketing and purpose -driven initiatives . We managed to mitigate some of these headwinds by improving our operating leverage and optimizing our revenue mix. Furthermore, currency movements provided 40-basis point support.

Net margins in Q4 were 19%. Our accounts receivable stood at 71 days DSO in dollar terms for Q4 and were down three days sequentially. Our cash conversion this quarter continues to be strong. Net cash from operations was

$1.78 billion , which is 125% of net income. Free cash flows were $1.48 billion , and funds invested at the end of the period stood at $5.53 billion .

Let me walk you through our segmental performance. Note that all growth numbers are on a year -on-year basis in constant currency, unless mentioned. In Q4, BFSI grew 2.5% while the consumer business group declined 0.

2%. Life
Sciences & Healthcare declined 5.6%; Manufacturing declined 2.9%; whereas Technology & Services grew 1.1%; Communication & Media declined 9.8%; ERU, which is Energy Resources & Utilities grew 4.6%; and Regional Markets grew 22.5%.

Moving on to geography . Amongst major markets, Europe grew 1.4%, U.K. grew 1.2%, whereas North America declined 1.9%. All growth markets continued their strong performance this quarter also . Middle East and Africa grew 13.2%, LatAm grew 4.3% and Asia Pacific grew 6.4%, while India had a growth of 33%.

I'm now going to talk about a few of our industry -leading portfolio of production platforms. Our expanding suite is doing well in the marketplace.

• ignioTM, our cognitive automation software suite saw 30 new deal wins and 11 go-lives.

o ignioTM has introduced Code Accelerator and advanced GenAI powered tool designed to automate code generation and transformation, significantly reducing time to value for customers. This feature has already been deployed across more than 80% of our SaaS customers, boosting productivity by 150% . Code Accelerator has played a key role in driving faster product adoption by delivering first -time right use cases. Additionally, ignioTM is leveraging GenAI capabilities to expedite the migration of its on-premises customers to SaaS, by seamlessly transforming their code to be compatible with the latest platform, making them future ready.

• TCS BaNCSTM, our flagship product for financial services, continued its leadership with 4 wins and 4 go-lives during the quarter.

o The primary drivers for core transformation in the banking sector, driving strong demand for our products , include data harmonization, real -time analytics, compliance and monitoring and unified customer experience.

o Banks and credit unions worldwide are increasingly adopting public cloud technologies, which offer cost efficiencies, AI tools, zero trust architecture and robust security. The shift to cloud native technologies and micro services architecture is facilitating easier migration and enhancing legacy systems.

• TCS BFS I production platform saw 3 wins and 3 go-lives during the quarter.

• TCS QuartzTM, our innovation -led platform, leveraging blockchain and AI had 2 wins and 1 go-live this quarter.

• TCS iONTM, our platform for digital assessment, digital marking, exam administration and learning hub, had 35 new wins and took 75-plus platform capabilities live .

o Our assessment platform administered in -center exams for over 21 million candidates and remote assessments for more than 82,000 candidates .

o State governments in India are investing in building digital platforms for skill development to ensure inclusivity of the youth in the last mile and allocating annual budgets for youth skilling linked with employability.

o Moreover, universities in India are looking for end -to-end automation platforms to make their online degree programs, user -friendly and scalable. These key

trends should drive growth for the iON platform .
• TCS OmniStoreTM, our AI -powered Universal commerce suite , had 2 deal wins and 3 go-lives during the quarter.
o A leading American healthcare company selected TCS AI -powered unified commerce platform, OmniStoreTM to modernize customer journeys. TCS has deployed the end -to-end next -gen omnichannel point -of-sale solutions in 25 stores across four states as part of a planned nationwide rollout across more than 9,000 locations . Composable architecture with distributed cloud and edge ensures full resiliency while maintaining centralized control and monitoring. The intuitive user interface leverages Vision AI and interactive display, enabling personalized and gamified checkout experiences an d training fee transactions. The

self -filling solution, which integrates seamlessly with
legacy hardware ensures seamless uninterrupted service, greater agility and speed to market. This will significantly improve operational efficiency and compliance, reduce checkout times by over 20%, revenue in line the colleague and customer engagement and enable innovation at checkout.

• TCS OptumeraTM, our AI -powered retail merchandising suite, had 1 win and went live for 1 client.
• TCS TwinXTM, our digital twin solution had 3 wins and 1 go live . In Life Sciences
• TCS ADDTM platform continues to win an increased focus on leveraging AI in the life sciences industry.
o Pharma companies are especially investing in AI to use cases to improve trial productivity to enhance diagnosis of diseases and informed decision -making, reduced time for research -- and for drug research and development and to design personalized treatments.
o TCS ADDTM is actively working with in GenAI PoC across literature search and insights, patient insights, safety case processing and medical monitoring .
Our offerings continue to enable digital ecosystem for patient -centric clinical trials, leveraging AI for data flow across the clinical value chain.
• TCS HOBSTM are suited for products for communication service providers at 3 wins and 1 go live this quarter.
• MasterCraftTM and JileTM had 27 deal wins in Q4 .
Coming to Client metrics , our transformational work for customers is expanding our share of our wallets and leading to broader and deeper engagements. In FY '25 , we had 64 clients in the 100 million -plus revenue band, an increase of two over the previous year .
With that , I'll hand it over now to Milind.
Milind Lakkad: Thank you, Samir . Good day, everyone. Our workforce at the end of FY '25 was 607,979 . We continue to enjoy pride of place as the employer of choice by prioritizing a culture of professional and personal growth, well -being and purpose -driven engagement. Over LTM attrition was stable at 13.3%.
During the year, we strengthened our current pipeline through strategic investment in scale development. Our campus hiring program is progressing as planned, and we are gearing up to onboard an increased number of campus hires in FY '26.

Our investments in organic talent development are yielding phenomenal learning outcomes. As a leader in both ‘Skilling for AI’ and ‘Skilling with AI, ’ TCS offers a robust ecosystem of learning , including role -specific courses, cloud -based lab environment s, learning zones with hyperscalers and gamified hackathons . We have established a scale training ecosystem, including the AI experience zone , Fresco playgrounds and AI Symposium.
TCS is ranked number 1 in AI and data certifications across three

Hyperscalers and GitHub . The use of TCS' own AI GenAI tool by employees ramping up with GenAI coaches, tutors, simulations, algorithms, etcetera. The associates have locked 56 million learning hours and acquired 5.2 million competencies in FY '25.

We achieved a significant milestone this quarter by adding our first ever enterprise -wide top employer certification from the Top Employer Institute . This milestone builds on TCS' achievement as a global top employer for 2025 , making an unbroken record of receiving this distinction over a decade.

We have recently been ranked by LinkedIn as a Top company to work for in India , assuming this recognition for the fifth year in a row.

I will now request Krithi to speak on the various demand driver during the quarter.

K Krithivasan : Thank you, Milind. I'm pleased with the performance this quarter in a challenging global macroeconomic environment . All major market

s grew
sequentially, and we are proud to successfully deliver a nation -building transformation engagement in our growth market. We also saw a second consecutive quarter of very strong TCV, which consisted of a good mix of large, medium and small deals, which augurs well for future revenue visibility.

We are seeing TCV improvement across markets as clients prioritize initiatives around technology modernization, cost optimization, vendor consolidation, operational model transformation risk and compliance. We have all been witnessing an increased level of uncertainty in the global economic and geopolitical landscape in the last few weeks, making a shift from our commentary in January.

We have seen instances of delays in decision -making and discretionary spending has come under heightened scrutiny and pressure recently. We remain close to our customers to understand how these changes are impacting them directly or indirectly.

To be successful in this environment, businesses must find a way to quickly adapt , anticipate change and transform not only to mitigate potential disruption but possibly even turn it into a strategic advantage. This transformation is not a one-time event. It's an ongoing evolution that drives perpetual adoption across every facet of business from responsive supply chain and rapid product development to future ready workforces. In short, perpetual change must be met with perpetual adaptability. A technology -led approach can turn these transformation goals into achievable realities. We are well positioned with our clients to help them transform their businesses for perpetual adapt ability and to reinvest for future -proofing their business models for the long term.

Let me now give some specific color on our performance during the quarter and outlook for few verticals :

• BFSI clients continue to focus on initiatives led to modernization , cost optimization, vendor consolidation, regulatory spe nd. Banking and financial institutions are proactively addressing tech obsolescence via legacy modernization efforts. Examples being core platform upgrades and payment operations and improved lending experience.
o Data and AI initiatives are seeing significant adoption for driving operational efficiencies and improving customer experience.
o Resilience and availability are being prioritized through cloud adoption and cybersecurity practice.
o In the insurance sector in the US, we saw instances of delayed decision making .

• The Consumer Business Group saw heightened caution and delays in discretionary projects, especially in the US. T his was driven by the significant drop in consumer sentiment in February, which preceded changes in global trade and tariffs creating a domino effect on retail CPG and TTH industries . However, prioritizing cost saving and defensive technology tech reduction and moderate introduction modernization initiatives especially on the interface digital core. There is fair interest in the adoption of next -gen technology such as AI, GenAI and IoT via relatively small projects.

• I'll now share an example of how we help the greenfield transformation to S/4HANA , consolidating multiple ERP systems and harmonizing process across the group . A leading European rail company partnered with TCS to drive enterprise transformation. TCS leverages its deep domain and ERP expertise to simplify harms and integrate over 200 disjointed systems and business processes across five major divisions. TCS implemented a unified and scalable digital foundation in a hybrid architecture, comprising of a greenfield implementation of a leading ERP digital core, a business technology platform and a su

ite of cloud -based SaaS solutions. The transformation
focuse d on improving process consistency, data quality, operational stability, efficiency through automation, decision support and financial reporting. The platform is implemented in four languages, supporting operations across multiple geographies and diverse user growth. This has improved vehicle maintenance quality, enabled cross -division life cycle to enable cross divisional life cycle view of asset and real estate portfolio, delivered cost savings in fleet control room operations, construction projects, real estate management and procurement business driving increased punctuality safety and comfort for customers. This strategic initiative has strengthened the client's digital backbone and laid the foundation for future ready operations.

• In the technology, software and services industry , we saw modest growth through the quarter. Client IT budgets have remained flat, reflecting cautious optimism, amid geopolitical uncertainties and fluctuating in flation. Enterprises are now funding incremental technology upgrades through savings generated from optimization and rationalization efforts. Technology companies are leveraging GenAI to boost efficiency and experience across the value chain and also to optimize the software development life cycle. For a leading services company , TCS has re defined the software development life cycle by embedding GenAI -driven quality engineering across the organization. TCS established a centralized test center of excellence, integrating automation and GenAI across 150 plus critical applications developed with multiple tech stacks, powering o ver 500 release cycles annually. This COE elevated quality engineering from a traditional function to a catalyst for business growth, continuously improving time -to-market product quality and ensuring an exceptional end -customer experience. This transformation also led to a 50% reduction in overall manual effort, the elimination of manual testing expanded test coverage and improved consistency, significantly enhancing overall product quality.

• In Life Sciences & Healthcare , the client -specific challenges called out by us earlier are largely behind us. In Life Sciences, clients are significantly reducing operational costs and creating delivery models that align with our business goals, creating opportun ities for vendor consolidation.

• In Healthcare , spending is seen in initiatives, including tech-led business transformation, cost optimization, strengthening of cybersecurity vendor consolidation and scaling GenAI . However, in healthcare , deals are taking longer to close. Customers are moving cautiously and prioritizing critical business initiatives. Growth programs are being either postponed or timelines are being reassessed.

• In Q4, we continued to see softness in Manufacturing . Auto industry is facing uncertainties due to EV downturn and turbulence in the IC E market with the burgeoning inventories. Auto OEMs are experiencing pressure, and we are seeing weak demand and cuts on discretionary spending. The aerospace industry is seeing a surge in demand for new planes and engines are struggling in the near term due to supply chain disruptions. In North America , momentum is building for cost optimization initiatives as part of renewals , vendor consolidation and automation, including GenAI. Cybersecurity and technical debt reduction initiatives are also gaining focus and momentum. For a leading luxury automobile OEM , TCS helped improve user experience by enhancing the ecosystem and vehicle architecture and making it future proof to cater to changing customer demands. TCS designed a high -performance system with high density, high -speed data communication with efficient power dissipat

ing thermal management.

• The communications media and information vertical continues to encounter industry -specific challenges and discretionary spend continues to remain under pressure. However, we saw growth improve this quarter led by demand from vendor consolidation, technology productivity and improvement s programs . As businesses look to scale and secure the ir digital infrastructure in response to growing customer demand s for individualized content and services. There is a noticeable movement towards cloud services and cybersecurity.

• The Energy Resources and Utilities vertical continues to grow well. We have a strong pipeline of opportunities from both existing and potential clients. Key factors contributing to this strength include investments in advanced technologies such as AI, Gen AI, data analytics, an d energy storage to enhance operational efficiency and reliability. There is a shift towards energy sources that will generate new markets and opportunities for energy companies.

• We continue to see traction in Growth Markets . Currently, we have a very strong deal pipeline, broad -based and robust TCV growth, led by a largely positive macroeconomic outlook, we expect to continue the momentum into the next fiscal. Key themes driving demand is public set in these

markets, on improving citizen experiences and implementing technologies, ensure social responsibility and cyber resilience with an emphasis on hyper personalization and environmental commitments. We are working on nation -building transformation projects in these markets.

Moving on to service practices. In Q4, AI, GenAI, data and cloud IoT , DE and enterprise solutions drove strong client engagements and growth. Our pipeline of AI, GenAI engagement is higher than in the last few quarters, and we saw a significant increase in deal wins across AI for IT and AI for business.

In FY '25, there was a noticeable shift in the cloud market with significant growth in sovereign cloud requirements, AI infrastructure investments and accelerated legacy modernization. These trends are driven by privacy real -time interest inference needs under demand for technological currency. Data modernization has paved the way for more AI and GenAI in business activities. There is an increasing demand for across industry GenAI use cases in the areas of contract s management, sales campaign content creation, customer servicing tech support smart data insight s and talk to data, targeting higher produ ctivity and better experiences.

The propensity to roll out more GenAI use cases to production is increasing, and the organization al barriers witnessed earlier were diminishing . There is evident maturity in the request for GenAI pilots with a sharper focus on business outcomes rather than mere experimentation. The demand for app and data migration -modernization to the cloud is also increasing, driven by the need for simplification and responsiveness to dynamic business demands across various sectors.

We also see an uptake of cloud FinOps and Center of Excellence services to enhance cost efficiency and service maturity. To give an example, TCS has been selected by South African state benefit scheme, Road Accident Fund to drive the cloud migration journey for improved operational resilience and better customer experience, driven by the vision to provide equitable and sustainable compensation sys tem for motor vehicle accident victims. RAF partnered with TCS to realize its cloud -first strategy . As part of the engagement, TCS migrated R AF's core infrastructure, business applications workloads to the public cloud, ensuring increased capacity utilization and effective oversight of business -critical activities. The shift to cloud has not only helped RAF gain competitive advantage but als

o enabled a robust claim process and increased delivery. TCS has also ensured skill transfer to our RA F employees, empowering them to make the maximum user a scalable, automated and seamless cloud environment.

Our strategy on AI and data is focused on three clear levers . Relevan ce, scale and trust. First, we are investing deeply in industry -specific and data solutions because cl ients don't want generic tools. They want outcomes tailored to their business. Second, we are building scale through a strategic partnership and a unified platform approach. And third, we are emphasizing responsible AI and data governance. We are confident of improving our market share f rom being the partner of choice for our customers. Let me share a few examples of recent deal wins in AI and GenAI.

• A large utility company in North America needs to manually inspect vegetation around its infrastructure. The scale is 5,000 plus per circuit , 50,000 circuit miles and more than 1.6 million individual trees . TCS has been chosen to build AI/ML model based on data across LiDAR , satellite imagery, weather pa tterns, vegetation characteristics, wildfire incidents , etcetera. These models aim to improve tree trim inspection , trim prescriptions, budgeting, forecasting and yearly risk prediction example of welfare hazard, helping utilities and communities manage vegetation and reduce hazards .

• The European Energy and Digital Services Company has chosen TCS as a partner to launch the first AI factory for digital acceleration. It aims to build resilience to scalable AI solutions for energy, industrial and digital transition by leveraging TCS' innovation framework base. A few of the AI solutions include

■ AI assistant for faster audits of plant energy consumption data, enabling high -quality decarbonization scenarios.

■ The AI assistant for fire and safety field engineers to access multilingual fire safety protection standards from thousands of documents .

■ AI assistant to review contracts and provide risk -related recommendations

■ Voice Assistant for service risk transformation.

• TCS has designed a unified supply chain insight solution powered by Agentic AI for U.S. biopharma. It enhances the ability of the control tower function within this supply chain with self - service access to holistic insights from multiple sources. These sources span across structured and unstructured datasets and new articles.

• Our success is evident in our strong performance in analyst surveys in FY '25 , securing 43 leadership positions across AI data and cloud , of which 3 were in data, 31 in cloud and 9 were in AI.

To conclude, our expertise in AI and digital innovation, coupled with the unmatched knowledge of customer cont ext and global scale makes us a pillar of support for our customers in this environment of macroeconomic uncertainty. We remain committed to staying close to our customers and helping them achieve their core priorities, with TCS comprehensive portfolio of offerings, best -in-class capabilities, innovation and thought leadership.

Thank you. We can now open the line for questions.

Moderator: We'll take our first question from the line of Yogesh Aggarwal from HSBC Securities. Please go ahead.

Yogesh Aggarwal: Thank you. Hi, everyone. So just a couple of questions. Firstly, Samir at the media conference, you mentioned some tactical investments, which is why the margins were a bit weak this quarter. Can you elaborate a little bit?

Samir Seksaria: I meant tactical interventions , which ha d a sequential margin impact of 100 basis points . And those are primarily promotions, which were effective 1st of January.

Yogesh

Aggarwal: Okay. So just wondering, Samir, what drove it because the quarter growth was still slow, and you guys are not even certain about the wage hikes for next year when will they come into effect. So, what was the trigger behind these promotions which weren't planned earlier?

Samir Seksaria: It is not that promotions were not planned earlier. It is in its normal course. We were probably one of the only companies who gave a full cycle of increment also, starting at the beginning of the year. And these are not something which were unplanned .

Yogesh Aggarwal: Okay. Krithi, it's hard to be optimistic in the current environment. But usually in the past, after every crisis, there has been a tailwind for the IT industry as clients invest in various newer areas. So, in your conversations , once dust settles down on the tariff tantrum s, do you think there are any new areas which could open up for the industry at least for the next one to two years?

K Krithivasan : Medium to long term, Yogesh, I definitely believe there will be in two ways . One is AI/ GenAI is gaining a lot of traction and momentum. And currently, while the

immediate focus in many places has been on how we apply it on AI for IT, AI for Business is picking up a lot of traction. Like people are trying to see what are the use cases in the entire value chain , where they can deploy AI to improve customer experience, speed or whatever.
So I definitely believe that will gain even more traction. The second is, as we've been calling out, many organizations, the technology debt continues to be very high. So, tech transformation in many forms, like moving into cloud, moving out of legacy infrastructure, all of them will also gain steam , once people have more visibility and certainty on the medium to long -term. So, I would call out for these specific areas of growth potential.
Yogesh Aggarwal: Thank you .
Moderator: Thank you. We'll take our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli: Hi, Krithi. Thanks for the opportunity . Just a couple of questions. Firstly, you are still talking about the expectation of FY '26 being better than FY '25. This is despite the 8% decline in the full year bookings and some macro deterioration which we called out over the last four to five weeks. So, what is giving you this confidence? And are you betting on a major improvement in macro side going forward for this equation of FY '2 6 to be better than FY '25?
K Krithivasan : So, Sudheer, we have had two quarters of good TCV . And that's what one most important factor giving us confidence . And two is our belief . We can go wrong or believe that this uncertainty will be short -lived. And some clarity will emerge, and our clients will start investing towards more technology transformation programs or adopting technology. So, this is essentially based on client conversations we are having. And we believe some of the pauses we saw are more temporary.
Sudheer Guntupalli: Fair enough, sir. And the second question is the order booking this quarter has been very strong on a sequential basis. And you're saying there is no mega deal within this. Any color on how the mix between renewals and new deals would have played out vis-à-vis December quarter? I f there are any major shift towards new or towards renewals?

K Krithivasan : No, Sudheer, we've not been giving exact split. But in terms of percentage, there is no major change between renewal and new. And similarly, I can give another data point like between cost optimization programs as well as discretionary programs also, there has not been a major chang

e compared to last quarter.
Sudheer Guntupalli: Fair enough , sir. Thank you so much . All the very best .
Moderator: Thank you. We'll take our next question from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Thank you for the opportunity. You talked about how last quarter, I think that the deal durations are a little lower, and that means that the TCV will convert to revenue faster. So, should we think about the FY '25 deal wins in that context that although it's nearly 8% lower year -on-year because the durations are lower, still the ACV number is higher?
K Krithivasan : Ravi, if I remember right, we talked about the deal cycles being shorter. They're shortening in Q3. We did not say the deal durations are shrinking. And the deal cycles continue to remain where it was at Q3 level. We did not say in Q3, the deal duration has shrunk .
Ravi Menon: Thank you. So, the promotion cycle seems to be something that's unusual and I think that along with the wage hike deferrals seems to be conflicting signals. Could you explain a bit about that thinking? I mean, were these promotions that should have ideally been done last April and didn't happen, so it's almost a delay? How should we think about it?
Milind Lakkad: Yes. So, these promotions were planned and that's why they were carried out. The wage hikes are for FY '26. And that is why, basically, that is the reason why we are basically looking at the way there is uncertain ty in the environment . Once clarity e merges and then we will decide , when do we carry out these wage hikes .

Ravi Menon: Thank you. And one last follow -up from me , if I may. Did you do a lot of higher - and lateral hires this quarter? Would that also be part of the reason why employee costs are up?

Milind Lakkad: Our campus hires are going as per plan. Our lateral hires come in every quarter, depending on the business situation. That is how we have been operating all along.

Ravi Menon: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Hi. Thank you. Just to start with, can you clarify your comment about fiscal '26 better than fiscal '25 ? Is that for the whole business or is that only for the international business?

K Krithivasan : Ankur , it is for the international business . Definitely , we believe , FY'26 will be stronger than FY'25. But there is also an expectation that once the uncertainty settles on, there is an opportunity for us to deliver as a whole business also because we are constantly looking to repla ce the headwind . I think you guys are all worried about how the BSNL revenue is going to be replaced. We are also constantly looking at opportunities to replace this revenue domestically and internationally also.

Ankur Rudra: Okay. Thank you for the clarification. I just wanted to ask a bit about the wage increase. I think you've answered it in multiple ways, but just a clarification. In the last cycle, when were such promotions given? Is it along with the wage hike? Is it somewhere else? Is it sort of -- are you an niversarying such promotions?

Milind Lakkad: See, we have been giving promotions every year as per the cycle every quarter. And that is what we have been following. And we have done two cycles of promotions. And as per the plan, and that has happened this year. So there's -- this is done as per the plan for FY '25. There are absolutely no delays in this .

Ankur Rudra: Okay. Understood. So historically, this may be the same type of taken exist, maybe it's more visible this time versus the other periods?

K Krithivasan : Ankur, promotions depending on the grade happen throughout the ye ar, almost every quarter. In July and January , we give more promotions because at that

time the senior grades are addressed. For junior grades , the promotions happen almost every quarter.

Ankur Rudra: Okay, understood. Thank you. Just a question on the AI side. You mentioned AI for IT and AI for Business. On the AI for IT side, is there any kind of deflation you see in your existing order book if you start to infuse AI proactively in existing projects? That's part one.

And part two on AI for business, is this a net new opportunity in case innovation is really being funded by savings on the legacy side like you were mentioning in your prepared remarks?

K Krithivasan : So, Ankur, on the first one, AI for IT, I won't try to call it deflation . We try to deploy AI in every project we do. And particularly, if there is AI for IT , because of AI if there is a productivity gain, we will try to share those gains with our customers. So, in that sense, that will be what we did with $100 if we are able to do with $95 or $90.

And if I'm going to share a realize a benefit , we will share the same with the customer . And on AI for business, most of it would be net new because these are programs not done before at all.

Ankur Rudra: But I understood from your comment that this was being -- I mean, at a budget level, it has been funded by saving on the legacy side.

Ankur Rudra: I think on the budget side you mentioned that customers are funding AI innovation by saving cost saving initiatives. So, is that what you meant?

K Krithivasan : That also happens . When there is a cost optimization , when customers have to do a new program, not all the funding will come from a new increase in spending . Some funding will come from savings on the existing program, which can come from AI for IT, if it saves something that can go towards funding a new AI for business programs.

So, when I said AI for business is net new, those programs are net new. Some funding can happen from cost s avings that come from AI for IT.

Ankur Rudra: Okay. Understood. Thank you so much and best of luck.

Moderator: Thank you. W e'll take our next question from the line of Apurva Prasad from Franklin Templeton. Please go ahead.

Apurva Prasad: Thanks , Krithi, I'm trying to understand the current uncertainty that you mentioned in the business environment. So, the variability of, let's say, 2 percentage points from the beginning of the quarter expectation to where you finally ended. Is that largely a function of how March played out because the decline in the large program wou ld have been fairly anticipated?

K Krithivasan : A good portion of that came from delays that happened in March. But I think from the middle of February, some sectors like this because this chatter started, particularly as I called out, when consumer confidence fell , it started falling towards the end of February itself.

So, like we said that some sectors, we had some delays and deferrals star ted happening in late February or third week of February, but a significant part of it is in March.

Apurva Prasad: Okay. And you touched upon this earlier, but how do you see the net impact of AI for business versus AI for IT playing out currently in the business and then your reckoning over the next few years because it's very clearly deflationary in the current servi ce portfolio and because there seems to be more cost optimization and budgets are flat. So, the net impact between the two over th e medium term in your reckoning?

K Krithivasan : Apurva , I can answer for this year. See, for instance, in one of our large deals we won , we demonstrated to our customer how AI for IT can save them significant cost . That resulted in the customer actually giving us a much large

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portfolio and result ed in market share gain. For TCS, it proved to be a net incremental in revenue, not deflationary.

So just because AI for IT can bring in productivity doesn't mean it has to be – reducing our overall revenue. It can help us with market share gain. And we do see instances. Currently , even otherwise also, we are not seeing instances

where AI for IT is creating deflationary situation , and after including AI for business, we see net -net positive at this time.

K Krithivasan : But A purva, just keep in mind like all these projects, we are not talking about huge material number at this time on these AI , we are doing a lot of projects , but many of them tend to be medium to small.

Apurva Prasad: Yes, you did indicate the pipeline is higher, but not quantify that, but I'll take that. And this is just finally, for Samir, on margins, if you're indicating that international markets are going to be better, '26 versus '25 and, let's say, lower impact of software license and equipment cost. What are the headwinds that you're seeing for '26 margins?

Samir Seksaria: Right. So I think if the current uncertainty prevails, like in the present circumstances that can lead to lower operating leverage as utilization will be impacted and sudden cont raction in demand delays or deferrals can have an impact on margins , so that is one headwind. Secondly, we might not enjoy the margin benefit coming from currency movement as we have seen in FY '25.

Apurva Prasad: All right. Thank you.

Moderator: Thank you. W e'll take our next question from the line of Vibhor Singhal from

Nuvama Equities. Please go ahead.
Vibhor Singhal: Yes, hi. Thanks for taking my question. K rithi, just a little bit of more color on the overall environment that we are seeing at this point of time. So, at this point of time, is it fair to say that the uncertainty that we are seeing or the delayed decision making that you talked about is actual ly present across the segments or is it more prevalent in, let's say, verticals which are directly impacted by the tariff implementations like manufacturing on retail? Any color on the vertical - wise conversations that would be really helpful?
K Krithivasan : There is some impact across the board, but there are some sectors more impacted than others. For instance, our consumer business, you're seeing more impact like retail, CPG, airlines, travel hospitality, we see more impact. Similarly, there is an impact in the auto sub segment within manufacturing.

But if you take BFSI , by and large the segment is doing okay. There is some softness in insurance. This is a general color I can give you, Vibhor, in terms of the industry level detail.
Vibhor Singhal: And any color on hi -tech also. I mean we have seen a lot of the hyperscalers and companies talking about softness. Anything on that side?
K Krithivasan : Our hi -tech segment per se is not significantly impacted. But we classify professional services under the overall tech services umbrella . Professional services have some softness.
Vibhor Singhal: Got it. Fair enough . That's really helpful. Samir, you've talked about the headwinds and tailwinds that you're looking at for the margins next year. But as Krithi has mentioned that we are looking for the developed markets at least to grow higher than FY '25. If that situation prevails, should we expect margins in FY '26 to be also better than what FY '25 margins were?
Samir Seksaria: Yes. So overall, our aspiration for revenue growth with profitability and operating margins getting closer to 26% still remains. And I think -- so to your direct question, yes, we should be able to improve m

argins. And that -- I mean,
one broad -based revenue growth should bring in efficiencies and better operating leverage. And the levers which we have been banking o n still continue to provide some potential like the ones of pyramid , productivity and realization.
Vibhor Singhal: Got it. That's really helpful. Just one last question, if I may squeeze in. I mean, I know we've talked about our business de -risking our selves from the dependence on H 1B visa and all. But there are any changes to that you see at this point of time that with the strong anti -immigration stand that the government seems to be approaching?
Do we need to make any changes or any kind of different hiring that you envisage over the coming quarters? Or do you think it's going to be business as usual for us on that front?
Milind Lakkad: I think it has been the same, whatever we got the H1B visa s last year, our actual ratios are even better this year. And moreover, basically, our model is

global. We will continue to hire people globally and historically proven that these H1B visa do not affect our business model.
Vibhor Singhal: Got it. Thank you so much for taking my question. I wish you all the best.
Moderator: Thank you. We'll take our next question from the line of Gaurav Rateria from Morgan Stanley . Please go ahead.
Gaurav Rateria: Thanks for taking my question. The first question is with respect to a comment that you made in your press release that over a third of your client engagements use AI, Gen AI for accelerated project outcomes and high quality. Just trying to understand, is it referring to the overall projects that you work with your clients in the entire business, one third of your all projects have some or other element of AI from a software engineering perspective ? Any color on

that will be helpful .
K Krithivasan : See what's happening is , any program that we sign today, there is a request and expectation from the customer that t here would be a leverage of AI. It need not necessarily mean that the wh ole program will be done in AI.
There'll be an expectation that for some aspects of Software Engineering, we'll leverage AI , and through AI, it will be expected to deliver a certain amount of productivity. So, this is a normal course because as more and more ADM projects come up for renewa l? Or even without coming up for renewal, there will be expectations from customers. We will keep them future -ready by infusing AI. We don't see any -- and the productivity benefits if we realize, we pass it on, our share with the customer.
Gaurav Rateria: Got it. My second question is on your strategy for talent for building AI for Business. Have you seen any change in your mix of hiring, either from campus or laterals which kind of changes the quality versus quantity from a futuristic perspective? And would that also mean that there have been some up -front investments in the P&L, which will accrue to you in terms of greater demand in future?
Milind Lakkad: So, I think if you look at our train ee intake , yes, the percentage of hires we have in digital is 40% compared to 17% last year. So that definitely changes

from a standpoint of a mix -- and 50% of our lateral hires are coming in with high-end skills, including AI/GenAI and others as well.
Gaurav Rateria: Okay. And lastly, Krithi, getting into the 1Q, how would you see your visibility for a quarter at least? And how do you compare that to last year when you were getting into 1Q? Is it similar, better, worse? Thank you.
K Krithivasan : I'd say, when we got into Q1 of last year, probably we had more visibility than what we have today. But at the same time, we

are entering the quarter with two good quarters of TCV also. As I said, I believe this current uncertainty will be more short live d and more clarity will emerge.
And once that emerges, we'll be very confident of the quarter. So compared to last Q1, I would say we are -- maybe there is more uncertainty. But at the same time, we are entering with a strong TCV and pipeline for the future .
Gaurav Rateria: Thank you and all the best.
Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: Thank you for taking my question. My first question was around margin s. So you spoke about that there is a 60 basis point impact on marketing exercises. Is that one-time in nature or will that be recurring going forward? And also, the promotion spending, which you said that is the usual part of your planned program. So, if you can give some understanding what it was like last year during this quarter?
Samir Seksaria: Okay. I'll handle the first one in terms of the 60 basis points. So these were mainly marketing interventions, higher travel, some purpose -driven initiatives or CSR expense. Nothing unusual, you'll have pluses and minuses each quarter. So, it's not very significant to call out as an exceptional or a onetime item. I'll let Milind answer on what the number of promotions were last time.
Milind Lakkad: Our promotion cycle in FY '25 was exactly the same as what we had in FY '24. There is no material difference between the two cycles or between the two years.

Kumar Rakesh: Understood , thanks for that . My second question was on the deal TCV, which has picked up over the last two quarters and that would be one of the areas which could be giving y ou confidence going into FY '26? But can you give some color on what has changed between from first half to second half. Maybe some color on if what has been the mix, how the deal s have changed between these

two periods?
K Krithivasan : Yes.To some extent, in 2H, TCV tends to be lumpy. I don't want to read too much into something change, okay? But what happened is we were able to close more deals compared to before .
Similarly, in terms of mix also, I don't see a significant mix change between 1H and 2H, in terms of discretionary versus non -discretionary or renewal vs new. The mix has been, by and large, the same. So there is no major difference. But as I said, there have been more closures in Q3 and Q4, resulting in higher TCV.
Kumar Rakesh: So better execution and possibly better decision -making?
K Krithivasan : I would say, faster and more decision -making, execution continues to be more focus ed from our teams.
Kumar Rakesh: Understood. Going forward, at least in the first quarter, do you have reasonable confidence that this momentum should continue into next year?
K Krithivasan : So, that's what we see like , TCV is very difficult to predict because it changes based on even the customer delays a decision by a week or two, it can cross over a quarter. So, what we can talk about is our pipeline. Our pipeline continues to be strong at a very high level and so it gives us the confiden ce.
As decisions are being made , we will have a strong win rate, and we'll be able to report a good TCV. But it can change . From quarter -to-quarter comparison on TCV, it will be very difficult to make some sense or draw meaningful trends unless the re is a huge difference .
Kumar Rakesh: So, on the pi peline side, quarter -on-quarter it has been steady or positive. That's fair to sa y?

K Krithivasan : It has been steady and slowly increasing.
Kumar Rakesh: Perfect. Thanks a lot.
Moderator: T

hank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.
K Krithivasan : Thank you, moderator.
In FY '25 , our revenue grew by 4.2% year-on-year in constant currency, with an operating margin of 24.3% and a net margin of 19%.
We are pleased with the strong TCV of 12.2 billion in Q4 , with sharp uptick seen across markets and industries.
We are monitoring the global situation very closely. We continue to stay close to our clients and strive to be the partner of relevance at all times . I would like to thank all TCS ers for their effort and unwavering dedication to realizing their own and company's potenti al.
We are looking forward to the promising opportunities that 2025 will bring to us with cautious optimism. With that, we wrap up our call today. Thank you all for joining us.
Moderator: Thank you, members of the management team. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.
Note: This transcript has been edited for rea dability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2025

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Corporate Identity No. (CIN): L22210MH1995PLC084781

TCS/SE/ 71/2025-26

July 14, 2025

National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 202 5

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 202 5, conducted after the meeting of Board of Directors held on July 10, 202 5, for your information and records.

The above information is also available on the website of the Company: www.tcs.com

Thanking you,

Yours faithfully,

For Tata Consultancy Services Limited

Yashaswin Sheth
Company Secretary
ACS 15388

Encl: As above

Tata Consultancy Services Limited
Q1 FY '26 Earnings Conference Call
July 10, 2025, 19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to M s. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.
Nehal Shah: Thank you, operator . Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS' financial results for the first quarter of fiscal year FY 2026 that ended on June 30, 2025. This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter.
The financial statements, quarterly fact sheet and press releases are

also available on our website.
Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.
K Krithivasan : Hello, everyone.
Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President and Chief Operating Officer.
Aarthi Subramanian: Good evening, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello, everyone.

Nehal Shah: And Mr. Milind Lakkad, Chief Human Resources Officer.
Milind Lakkad: Hi, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide specific revenue or earnings guidance, and anything said on this call, which reflects our outlook for the future, or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.
We have outlined these risks in the second slide of the quarterly fact sheet available on our website and email out to those who have subscribed to our mailing list. With that, I would like to turn the call over to Krithi.
K Krithivasan : Thank you, Nehal. Again, good day, everyone. During our April 2025 earnings call, we had called out delays in de

cision -making and projects
start with respect to discretionary investments. This trend has continue d and intensi fied to some extent in this quarter. Global businesses were disrupted due to conflict s, economic uncertainties and supply chain issues. We saw cost pressures in our customers causing previously unseen project pauses , deferrals and decision delays that result ed in less than expected reven ue conversion.
In this backdrop, our quarterly revenue declined by 3.1% year-on-year in constant currency terms.
Our operating margin was 24.5% and the net margin was 20.1%.
Our total value of contracts signed in Q1 FY 26 was $9.4 billion , up 13.2% year-on-year.
These headline numbers must also be read in the context of successful completion of a very large strategic program of national importance last quarter.

Looking ahead, enterprises realize the need to invest in being perpetually adaptive and require a dependable partner that can provide them with not only the right capabilities, but also the scale and maturity to manage a dynamic environment. TCS aims to be that partner that helps our clients withstand short -term disruptions, even while executing their transformation strategy , for long -term value creation. In this context, we are very confident in the robustness of the demand as well as the strength of our business model from a medium to long -term perspective.
I would also like to inform you that this will be Milind's last earnings call. He has had a stellar and distinguished record of service for 38 years in this industry. Joining TCS as a trainee in 1987, he rose to lead the manufacturing business group and subsequently the CHRO. On behalf of TCS, I would like to thank him for all his contributions .
I'll now invite Samir and Milind to go over different aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends we are seeing. Aarthi will further share an update on our services. Over to you, Samir.
Samir Seksaria: Thank you, Krithi. Good day, everyone.

In the first quarter o f FY '26, our revenue was ■63,437 crores , which is a year -on-year growth of 1.3%. In dollar terms, the revenue was $7,421 million , a year -on-year decline of 1.1%. And in constant currency terms, our revenue declined 3.1%, on a Y-o-Y basis.
Our Q1 operating margin stood at 24.5%, reflecting a sequential improvement of 30 basis points. We built up capacity and continued our investments during the quarter with a long -term focus. The demand contraction during the quarter had an impact on our utilization and was offset by lower third -party costs and currency.
Higher other income and lower effective tax rate for the quarter helped boost our net income margin to 20.1%. Our EPS grew 6% Y-o-Y.

Our accounts receivable was at 75 days DSO in dollar terms, up five days Y -o-Y.
Net cash from operations was $1.5 billion , which is a cash conversion of 100.3% of net income. Free cash flow s were at $1.3 billion and invested funds at the end of the period stood at $5.7 billion .
The Board has recommended an interim dividend of ■11 per share.
With that, I'll hand over now to Milind.
Milind Lakkad: Thank you, Samir. Our workforce at the end of the first quarter was 613,069 . Net attrition during the quarter was over 5,000 employees. We have honored all the job offers, and we'll do so for the rest of the year.
Lateral hiring will be recalibrated based on the demand outlook.
We continue to invest significantly in our business to stay relevant to our customers with changing technology needs. In this quarter, our associates invested 15 million hours in building expertise in emerging techno

logies, enabling them to lead the transformation journey for our customers. It is gratifying to note that TCS now has 114,000 people with higher order AI skills.
Our LTM attrition in IT services was at 13.8% at the end of Q1, up 50 bps sequentially.
I will now request Krithi to speak on the various demand drivers during the quarter.
K Krithivasan : Thank you, Milind. During the quarter, enterprises remained focused on cost optimization, vendor consolidation and efficiency -led technology transformation. Discretionary spend continues to remain under heightened scrutiny and pressure. However, enterprises focused on scaling AI adoption across applications, workflows and data performance remain s strong.

Our approach at TCS integrate s expertise in deploying technology blended with contextual knowledge of enterprise, data, business processing , industry strength and change management.
You will see our capabilities in action t hrough real-world examples spanning industries and service areas, which we'll go through with the help of a few customer case studies.
BFSI :
In America , BFSI clients are cautious with tech investments as they assess the current economic uncertainty. Growth is being driven by rapid advancements in GenAI adoption, platform modernization , and automation. Clients are focusing on regulatory readiness, data governance and cost efficiency t hrough technology rationalization.
There is growing demand for integrated digital solutions that enhance customer experience, ensure compliance and enable scalable operations across banking, capital markets into insurance, wealth and payment segments. Banks are actively pursuing legacy and mainframe modernization to streamline operations and improve system resilience.
Discretionary spend is under pressure.
The softness that we had called out earlier in U.S. insurance continued

throughout the quarter. However, we are seeing insurance doing well in Europe. BFS continues to remain cautious in Europe and U.K.
We believe the current caution in BFS is temporary as there's a lot of unmet demand.
CBG :
Moving on to the Consumer business group. This was one of the most affected sectors in this quarter. Widespread industry challenges resulted in funding delays, project postponements and delayed milestone completion. However, we continue to work on transfor mative programs across all industry segments.

• A leading U.S. specialty retailer partnered with TCS to overhaul its product information ecosystem that is critical for driving sales, forecasting , and data -driven merchandisi ng. This is an initiative of strategic importance that had previously faced significant implementation challenges, including fragmented data ownership and complex system landscape. Leveraging big domain and contextual knowledge, TCS designed and implemented an interim solution with a robust SaaS -based product information management platform that's integrated with multiple legacy systems. TCS established scalable data flows , that ensure d end-to-end data quality and governance, enabled advanced analytics, and empower ed vendor -led asset management. The transformation delivered a 3x increase in SKU creation and maintena nce speed, unlocked significant annual savings by eliminating manual attribution and enrichment efforts, improving time -to-market , operational efficiency and enhance d customer management.
Manufacturing :

Although the automotive sector faced significant challenges and reduced spending, the manufacturing vertical as a whole , showed minor growth. Amidst the uncertain environment, clients are aiming to lower their overall technology debt and are investing in initiatives inten

ded to
prepare the ir technology infrastructure for future demands.
• TCS and Jaguar Land Rover have a long -standing strategic partnership , encompassing various aspects of technology, innovation and sustainability. This collaboration is evident in areas like software defined vehicles, customer experience and the Jaguar TCS Racing Formula E team.

At the Formula E World Championship , top performance depends on time-critical data analytics . Whether at the racetrack or at the team base, Jaguar TCS Racing engineers need timely access to this data to make informed decisions about car set -up and race strategy. Undoubtedly, this is where championships are won or lost !

While Formula E races often take place on temporary street circuits and with tight regulations, Jaguar TCS Racing can’t often practice on physical circuits or run in -person tests. Regardless, teams must still find ways to develop top performing cars. We set out to help solve this challenge by enhancing the team’s digital twin technology so that it can run more simulations, generate more data, and validate software code.

TCS’s automotive data science team developed the Virtual Vehicle Validation Model (V3M), which instructs the digital twin of the Jaguar I - TYPE 7 on how to navigate a track based on various inputs. This model runs continuous simulations, saving engineers cr itical time during race preparation and enabling them to make last -minute changes to the vehicle software in pursuit of performance gains. Having confidence that the simulator results are accurate, enables the team to unlock creativity and innovation elsew here.

Life Sciences and Healthcare :

Life Sciences customers are exercising caution. They are focusing on essential business activities with some growth initiatives postponed or their schedules put under review. The pharmaceutical sector is grappling with pricing, supply chain issues and expo rt risk. Companies are prioritizing R&D, profit margin and operational efficiency. Leading firms in the U.S., U.K., Europe and Japan, are consolidating vendors and business services while leveraging AI.
The recent passage of the "Big Beautiful Bill" in the U.S. includes nearly $1 trillion in Medicaid finding reduction over 10 years, rollbacks to Affordable Care Act and $500 billion in Medicare spending reductions amongst most of other changes. These changes are expected to severely impact the earnings of Medicaid focused insurers, hospital operators, diversified Medicare insurers amongst us.
In Healthcare, payers are trying to optimize costs due to rising medical expenses. Preauthorization delays and claim denials are causing

friction with providers. Key priorities are affordability, transparency, simplification, and improved patient experiences. Clients are modernizing core systems, exploring data marketplaces, cyber resilience, and AI in the SDLC, though budget constraints hi nder approvals.

The MedTech industry is witnessing regulatory scrutiny, demand changes, cost pressures, regional consolidation, new business models, and higher customer expectations. This has put pressure on supply chains to cut costs.

Energy, Resources and Utilities :
The ERU vertical faced reduced spending and capital investments due to policy changes and geopolitical tensions. However, we are working on many transformative engagements, like rebalancing of supply chain, grid optimization etc.
• For a Fortune 500 Utility in the US , we are consolidating and transforming their Advanced Metering Infrastructure solution across their operating companies. This major business transformation includes advanced features such as load profiling, forecasting, settl

ement, and
real time energy co nsumption management. The system also helps in proactive outage management and provides capabilities for remote operations. The solution will not only transform the customer experience across multiple states in their service territory but will als o set up a strong foundation for network analytics and renewables integration.
Tech SS :
The Technology & Services industry sustained growth across all markets this quarter. In this quarter, AI has established itself as a fundamental driver of product innovation across all sub -segments under Tech SS. Enterprises continue to defer business transformation initiatives and priorit ize targeted technology transformation s that deliver significant operational efficiencies and cost savings.

CMI:
In the Communications, Media, and Information vertical, enterprises are re-evaluating their priorities with a strong emphasis on AI and automation, diversification, cost optimization and vendor consolidation. With subscriber

growth plateauing and competition intensifying, AI -driven innovation helps CMI companies rethink busine ss models and diversify revenue streams. With AI, the CMI industry is aiming to transform every stage of the workflow, including enabling strategic decision making, content generation, and audience personalization.

• Foxtel Group , Australia's leading streaming subscription television company, partnered with TCS to transform their customer service operations by increasing the consistency and speed of responses to customer queries and addressing the challenge of increasing cost of services. TCS deployed advanced GenAI capabilities powered by a leading AI platform model to drive measurable business impact.

The transformation began with a comprehensive verification of the knowledge base architecture, ensuring information was easily accessible and up to date . Implementing the AI -powered solution was a game - changer, enabling the automation of conversation summaries and enhancing data security measures. This holistic approach ensured that customer interactions were not only efficient but also secure.

TCS played a pivotal role in this transformation, bringing in domain and technical expertise, contextual knowledge and proprietary assets. By integrating advanced AI capability, Foxtel achieved faster response times and higher first -call resolution rates, significantly improving the customer experience. Agent productivity saw a notable increase , and customer engagement improved, while the total cost of ownership for Foxtel came down. During the quarter, TCS and Foxtel Group also won the AI Pacesetter Category at the 2025 ISG Paragon Awards ANZ in recognition of this impact.

Moving on to our portfolio of products and platforms , they continue to help us in developing bespoke solutions for our clients.

• ignioTM, our cognitive automation software suite, saw multiple new deal wins. Evolving technological trends in AI, Agentic AI and GenAI are leading to increased investments in AI -based systems and intelligent automation. These developments are accelerating ignio's prominence as more customers implement autonomous enterprise solution s.

• We continue to build on our leadership position in the UK Life and Pensions market, with key programs going live on our BFSI Platform.

o Now Pensions Limited , one of the major workplace pension providers in the UK, offering Auto Enrolment for its employers and members, went live on TCS BaNCS ™. They are also leveraging our intelligent experience solutions for all digital and mobile. The program consolidates multiple legacy systems on TCS BaNCS, leveraging secure real -time seamless integration w

ith Pension Lab (a leading pension aggregator in the UK market) to drive business growth. We have migrated over 100,000 employers , and more than 3.3 million policies to our platform.

o Lloyd Banking Group has gone live with TCS BaNCS for wealth administration solutions. This is a refreshed offering we have created and is a major milestone for the Transfer Agents industry, with innovation being introduced, where legacy systems are the norm today. With strict UK CASS regulations, the solution has been designed to have high S TP of all banking, reconciliation , and controls, reducing the risk of any breach to the regulator.

The design allows the Operation s staff to handle customer requests with one click, improving satisfaction for both customers and staff. Customers receive one consolidated communication and can make a single payment for multiple deals or funds, streamlining the investment process.

We expect the se go lives to further expand our position in the UK.

• TCS iON , our platform for digital assessment, exam administration and learning, has continued its impressive performance. We have partnered with prestigious institutes of national importance, such as IIT and IIM.

• This quarter, we released the latest version of TCS MasterCraft ™ augmented with GenAI and Agentic AI. This solution automates the process of modernizing legacy applications, thereby significantly reducing the cost and time required for manual conversions. The GenAI and Agentic AI enhancements will allow organizations to mine business logic faster and more accurately. The automation driven by the latest version of TCS MasterCraft can save up to 70% in costs and achieve results up to twice as fast as traditio nal interventions.

All the customer case studies we spoke of illustrate the impactful projects we undertake in collaboration with our clients and technology partners. Our solutions are driven by continuous upskilling of our talent, investment in R&I, contextual knowledge of enterprises and investments in creating products and platforms such as ignio ™, TCS BaNCS ™, TCS ADD ™, and TCS Cognix ™, all supported by strong partnerships within our technology ecosystem.

Let me conclude by saying that we have had robust deal closures this quarter, and our total value of contracts signed in Q1 of FY 26 is $9.4 billion . North America TCV was $4.4 billion . BFSI TCV was $2.5 billion , and Consumer Business Group contributed $1.6 billion .

Our deal pipeline continues to be very healthy and well distributed across verticals and geographies, and that gives us confidence on our customer centric strategy.

With Aarthi now leading all the service lines, we are broadening our leadership in emerging technologies and aim to bring even more seamless integration across our service offerings.

With that, let me hand over to Aarthi, for giving more color on our service offerings.

Aarthi Subramanian : Thank you, Krithi. This is my first quarterly earnings call after I took on the role and it is a pleasure to be here with all of you. I would like to provide some update on our Service Line offerings and the impact they created for our customers during the quarter .
Let me begin with AI and Data :

• We are seeing enterprises move beyond small -scale, use -case centric pilots to disciplined, production -grade rollouts that tie GenAI directly to business outcomes. Customers' spend is clustering around three themes: AI -led business transformation, AI -enable d SDLC/IT -Ops and data-platform modernization that sets the foundation for Agentic AI at scale. Vendor -consolidation plays, and Sovereign AI Cloud deployments are starting to point to a

maturing AI & Data market that
now demands security guardrails and observability by default. TCS is leaning into this inflection with new offerings in Agentic AI, and AI infusion in our services . Our investment in WisdomNext, our leading AI platform, is expanding with the addition of agentic AI capabilities. We continue to scale our workforce on AI and deepen AI & Data partnerships across both Hyperscalers and native AI & Data companies.

I would like to share a couple of examples:
• AmTrust, the New York based multinational property and casualty

insurance company , chose TCS to develop a solution using large language models to extract risk information, generate a quote against the competition and create a personalized summary. This new solution replaced the previous method for doing the same , which had brokers re-keying in a lot of data manually and reduced the time for quote extraction and generation from 30 minutes to 5 minutes for the brokers.

Brokers also benefit from comparison, recommendation and personalized summaries, as it reduces the need for manual analysis and comparison to understand customer quotation. This innovative solution received the Celent Model Insurer 2025 award in the “Customer Experience Transformation” category.

• TCS is collaborating with Owens Corning to co -develop GenAI - powered solutions that enhance knowledge search and enable intelligent automation. These efforts are aimed at empowering employees with faster access to relevant information, streamlining routine tasks, and improving decision -making. B y reducing manual effort and supporting greater efficiency, the partnership is helping build a foundation for more agile, responsive operations, without disrupting existing business processes.

Moving on, I would like to share a couple of highlights of marquee engagements on the leading Hyperscaler Public Cloud platforms:

• TCS helped a leading Electronics Retailer in the US to re-launch the midnight store opening model and successfully completed a gaming product launch within a very short window. TCS leveraged its Peak Season framework to plan, forecast the demand, implement cloud - based real -time monitoring of the traction t raffic, and ensured stability of the Store operations. The TCS solution helped open more than 1000+ stores across the Americas at midnight to drive additional sales of more than 100,000 units within 2 hours, resulting in substantial incremental revenue for the Retailer.

Enterprise Solutions continues to be an area of investment for our customers. Clients are increasingly investing in streamlining their business workflows and modernizing their digital core by adopting AI powered SaaS platforms.

• An American multinational energy conglomerate chose TCS to help embark on a commercial transformation journey to establish new business models. This included modernizing their existing commercial platforms to introduce subscription -based models as well as deliver enhanced customer experience and reduced technical debt.

TCS designed and modernized their current commercial platforms with the implementation of a robust subscription management system, leveraging leading SaaS based CRM and CPQ platforms. Expected business outcomes include a 70% reduction in cycle time in the lead - to-cash cycle, and a 20% increase in customer satisfaction.

• A large European pharmaceutical and agrochemical company partnered with TCS to redesign and harmonize their end -to-end processes and create a resilient backbone productivity , improved leveraging a leading ERP platform as part of a transformation across all of the client’s businesses with

a view to create a “Single Source of Truth” for their downstream analytics in order to achieve increased productivity, improved time-to-market and reduced inventory. This is a multi -country, multi -year program of which the first pilot country went live successfully this quarter.

Cyber Security :
All of us k now organizations are prioritizing cybersecurity to protect sensitive consumer data, ensure trust, and safeguard brand reputation. This quarter the focus of our customers has been on Identity and Access Management, Managed Detection & Response, and Governance, Risk & Compliance Services. We are also see ing increased traction for Enterprise Attack Surface Management, Cloud Security, Data Security and Network Security.
• For a leading Transport organization in Europe , we recommended Information Security and IT Governance practices for AI Assets against various industry standards, including the EU AI Act regulatory

requirement, thereby enabling the customer's organization to establish revised security governance and controls .
• We also provided strategic recommendations for a leading global biopharmaceutical company , aimed at maturing Identity and Access Management (IAM) practices towards industry -leading standards, enhancing the robustness and efficiency of IAM controls .
By adopting AI -powered threat detection, secure transaction frameworks, and robust compliance solutions, businesses are strengthening their defenses against evolving threats while maintaining operational integrity and customer confidence.
The last service line, I would like to talk about is TCS Interactive.
• During Q1, businesses focused on operational excellence and innovation, harnessing data and AI for better performance. TCS Interactive enhanced customer experience and marketing through "Creative Engineering powered by AI."

• In Q1, we successfully executed a precision -marketing campaign for the after -sales division of a global automotive OEM . Leveraging our AI-powered TwinX ™ digital -twin platform , we simulated over 100,000 campaign variants, systematically filtering out low -performing strategies and replacing conventional 'spray -and-pray' emails with data -driven, personalized targeting. To rigorously validate the platform's recommendations, we con ducted a randomized control trial (RCT) , comparing outcomes between TwinX -driven customer groups and traditional approaches. Within just one month, the pilot delivered a statistically verified 5x increase in dealer visits , a 2x increase in parts - and-service revenue , and nearly 40% reduction in weekly P&L volatility . Building upon these robust outcomes, we are now collaborating with the client to embed TwinX into subsequent service campaign cycles, further strengthening customer retention and revenue predictability.

With that, I would like to open the line for questions.

Moderator: Thank you very much. We'll take our first question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli: Hi, team. Thanks for the opportunity. Krithi, just a couple of questions. So apart from the BSNL deal, are there any other client -specific situations you might be going through in any vertical or geography?
K Krithivasan : No, there is no specific client situation now.
Sudheer Guntupalli: Okay, sir. And just some clarification on your comment in the Press Meet , are you still reiterating that FY '26 will be better than FY '25 at the overall company level or more so you're talking about the core markets?
K Krithivasan: Sudheer, at this time we are confident the international market will do

better in FY '26 than FY '25. However,

it is our aspiration to continue to
drive growth in company overall growth itself. But it is like a high bar to
cross but we will work towards that.
Sudheer Guntupalli: Understood, sir. And last question from my end. So, you mentioned that
by July end, probably we'll see some clarity in pent-up demand. From
the time that U.S. started announcing the trade deals with major trading
partners like China, U.K., etcetera. Are you seeing that the peak of the
uncertainty is already behind and there is some amount of improvement
in the client decision making process?
K Krithivasan : We have not started seeing that so far, Sudheer. Because as we know,
like even with China , unless they have framework deal like the actual
deal and tariffs are not being announced. And my guess is that till
almost all the trade deals are announced, there will be this lack of
clarity.
Sudheer Guntupalli: Got it. Thank you so much.
Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh
from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my questions and welcome
Aarthi to the TCS team. My best wishes. My first question was it appears
like decision -making, which you spoke about , deteriorated towards the
end of the quarter. What are the risks to the September quarter?
What I'm trying to understand is all the project delays and the pauses
which happened during the quarter, is it fully reflected in the number
which we have reported or there's more to come into the September
quarter as well?
K Krithivasan : Whatever delays that we had have been to a great extent factored into
our Q1 numbers. Of course, there will be some small residual effect in
Q2 as well. And if there are no further delays, Q2 should be at least
better than Q1, but we need to wait and watch based on what happens
in the market.
Kumar Rakesh: Thanks for that. My second question was on margins. So, before we
entered with the BSNL deal, our margin was trending about 25% -26%
at EBIT level. And understandably after that the margin came down.
And now we have exited from the BSNL deal, but our margin is below
the levels where it was prior to BSNL deal.
Now between this period, you have lowered your SG&A expenses. I
imagine that your employee pyramid also would have improved. You
have spoken about how productivity has improved over the last 1 year
and pricing also seems to be stable. So, what is pulling down your
margin compared to where it was before the BSNL deal?
Samir Seksaria: A good comparison would be the year -on-year margin. And yes, it's 20
basis points down on a year -on-year basis. Through the year, like we
have called out on in our earlier quarterly earnings commentary also,
we have continued to make investments in people . like we had called
out in Q4.
And overall, the investments which are required for long -term growth
continue. I n this quarter as well, we have invested in capacity. We

continued our investments and that is what is reflecting into our
margins . Having said that, if you look at it, the capacity versus the
demand contraction mismatch , leads to us carrying excess capacity or
additional capacity, which should help us in our future demand.
Going forward, we should be able to further tighten our operating
leverage. And Kumar, if you remember last quarter, we said that if
uncertainty continues, we might have impact or lower operating
leverage.
Kumar Rakesh: Thanks , Samir for that. Just one clarification on the international
revenue to be similar to last year, which you have spoken about. Is that

in USD terms you're talking about or constant currency, because on a
full year basis,

we'll have a sizable cross -currency impact?
Samir Seksaria: Constant currency terms. Like -to-like the international revenue to international revenue, constant currency term.
Kumar Rakesh: Got it. Great. Thanks a lot and that's all from my side.
Moderator: Thank you. We'll take our next question from the line of Ankur Rudra from JP. Morgan. Please go ahead.
Ankur Rudra: Hi. Thank you. My first question is in terms of the weakness you've seen across a range of industries, and you did highlight it's a little bit the trade affec ted sectors and geopolitics in general. Could you also mention if there's any kind of -- I wouldn't say pricing pressure, any kind of out -of-turn demand for productivity pass -through that you may be seeing in across industries, perhaps more because of the curr ent demand environment?
K Krithivasan : Ankur, pricing has been reasonably stable at an overall level. But if you ask like is there any demand on productivity, there are instances where large deals are coming up for re -negotiation , there is a demand for productivity, either -- we don't see much coming as a pure discount, but

coming as AI -infused productivity or generic otherwise also a normal productivity.
But it is not industry specific. I would say it's more based on the size of the deal or the tenure of the deal.
Ankur Rudra: Will this impact the revenue conversion from the signings because we've had our book to bill at about 1.3 for a while, but our revenues haven't picked up. I understand some of it is more near term because of the recent trade uncertainties. But do you think AI-infused profit pass -through might impact the revenue conversion we might have in the medium term?
K Krithivasan : Revenue conversion from signing is not impacted because of productivity . Because usually the productivity is given up at the time of signing. So, once we sign, we don't see demands on productivity during the term of the deal, normally, if at all it happens to be very, very rare.
We are giving as I said AI -increased productivity, but it's when we signed the deal itself.
Ankur Rudra: Okay. Thank you for the clarification. Could you talk a bit about how the pipeline replenishment is going on? I understand in the near term, there's been some deferrals and delays, but in terms of overall pipeline formation, how is that progressing?
K Krithivasan : Ankur the overall pipeline has remained quite strong. We measured it in terms of pipeline from multiple industry verticals as well as geographies. On both dimensions, the pipeline has remained strong.
We have been able to replenish all the deal closures that happened in Q1.
Ankur Rudra: Okay. Just the last question on margins. You did highlight that you're investing in talent, which is why margins haven't picked up despite the BSNL ramp down. Now, you have a new BSNL contract that will be ramping up perhaps from the next quarter onwards. Isn't there going to

be a significant headwind on margins? How should the margin trajectory be for the rest of the year? Are there any levers you might pull to hold your margins here?
Samir Seksaria: Ankur, like I said, we invested into capacity, anticipating growth this quarter . While we saw a demand contraction in the later half of the quarter, we continued carrying a larger capacity. In terms of levers, we will focus on improving our operating leverage in Q2.
And the key levers would be on improving our utilization, which took a hit this quarter, improving our productivity and focus on pyramid. These would be the levers. As you rightly called out, from a headwind

perspective as we start delivering the second phase of the BSNL order, the revenue

mix might get slightly impacted. But overall, at a portfolio level, we'll look towards improving margins from here.
Ankur Rudra: And just as a quick follow -up, how much of the utilization improvement is dependent on revenue growth on the international business in the subsequent qu arters?
Samir Seksaria: We would want to drive revenue growth, but we will look at optimization because there is capacity, which is built up into the system. We will not leave demand on the table, but we'll also look towards optimization.
Ankur Rudra: Okay, appreciate it. Thank you and best of luck.
Moderator: Thank you. We'll take our next question from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Thank you for the opportunity. Samir, looks like there has been significant hiring , probably at the mid and senior levels , because I see that despite the BSNL contract pass -through costs going down, direct costs have not gone down as much. Would that inter pretation be right?
Samir Seksaria: So Ravi, so you would see a 70 basis points decline on positive impact because of lower third -party expenses and a similar like -to-like increase

in employee costs. And this includes, as you rightly called out, not just the hiring, we have given additional QVA .
Ravi Menon: Okay. Right , thanks . BFSI has seen a slight decline Q -o-Q. This is I'd say, kind of resets the momentum that we had seen beginning of last year. But BaNCS have actually been reporting good results. Any positive signs that you're seeing from BaNCS customers now? Or this is expected to continue?
K Krithivasan : No. Actually Ravi , positive s ide of it is that BFSI North America and BFSI U K have a marginal growth. The decline came from BFSI Europe, driven by the completion of a large engagement that we had taken. But otherwise, structurally, yes, there is some amount of delay , however North America and U K, particularly in BFSI , are continuing their growth path.
Ravi Menon: One last question. On the high -tech side, that's where we had seen the spending cut start. Now that seems to be trending up. And this is where we've also seen some of your peers have to pass on significant productivity improvements. Looks like you're not s eeing any such demands, right?
K Krithivasan : By and large, we are seeing a growth , with the excepti on of one or two clients , we're seeing strong growth in the high -tech segment.
Ravi Menon: Thanks so much. And best of luck.
Moderator: Thank you. We'll take our next question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.
Abhishek Pathak: Yes. Hi, thanks for the opportunity. The first question was around the new BSNL order we received in May. When do we expect this to ramp up? I mean, is this going to be a one -shot ramp up in 2Q and then ramp down in the next quarter? That's the first question.
And the second question is around margins , again. I understand that you are carrying excess capacity. But considering we have attrition

trending upwards of 13% , why would we carry this capacity? I mean, do we expect a materially better H2 with regards to growth in anticipation of which we are holding this capacity?
Because our cost of revenues, the employee cost at 47.6% is probably at an all -time high. And considering we will have BSNL headwinds coming in 2Q as well as the potential wage hikes, just trying to understand how much of this will be offset by the operati ng leverage that we are expecting? So those were the two questions. Thank you .
Samir Seksaria: Abhishek, first, on the BSNL deal, we just received an advance Purchase Order. So this is not in the TCV yet. We are awaiting circ

le -
wise POs. Once we get it, then the execution starts. Once the circle -
wise POs are available, you can expect execution on a similar trajectory
to the one we delivered on the 100,000 sites.
Coming to margins. Your question was in terms of , is it in anticipation
of our demand. We added people in Q1 in anticipation of what we want
to service in Q1 and what happened through Q1 was a reduction , or
contraction in demand. That's where we carried that excess capacity.
So, we pre -planned it, but Q1 did not align with our initial expectations .
Abhishek Pathak: Understood. So just to sort of follow up. Our employee costs are, as I
mentioned , almost at an all -time high. So, as growth picks up , we expect
that to materially trend downwards towards the 45% range, let's say,
over the next two, three quarters. That's where we should be expecting
those gains to come from.
Samir Seksaria: So, two clarifications , Abhishek. One is , if you're comparing sequentially
Q4 versus Q1, the employee cost as a percentage of revenue might not
be directly comparable , because the revenue mix is different. There was
a significant third -party component sitting in the revenue till last quarter .
Having said that, your question in terms of current revenues or
employee costs at 47%, should we be trying to optimize it? Yes, we'll

look towards optimizing that and bringing that as a percentage of
revenue downwards.
Abhishek Pathak: Understood. Thank you.
Samir Seksaria: Thank you.
Moderator: Thank you. We'll take our next question from the line of Nitin
Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Yes. Hi, good evening. Thank you for the opportunity. You sounded
pretty cautious on BFSI overall in the commentary. But if I look at the
deal wins, on a trailing 12 months, BFSI deal wins seem to be up 12%.
So, if you could just help contextualize, are you s eeing any re -scoping
downwards or any such thing? Or was it just a broader comment?
K Krithivasan : Like every other industry, Nitin, there are some places where there is a
project pause or scope reduction. But otherwise, as we said, we are
continuing to be quite positive in the medium -to-long-term on the BFSI
based on, as you rightly pointed out, the order book closures in the last
year. But there are instances of delays or scope reduction s that have
come up.
Nitin Padmanabhan: Right. Just to understand, on a sequential basis, last quarter versus this
quarter, would you characterize that the demand is actually, at least
from an environment perspective, has got worse or it's the same for
BFSI specifically and across the board as well?
K Krithivasan : If you look at a revenue basis, you can see that the revenue has an
overall drop, but there is a very minor growth in North America and UK
So, it is, to some extent, geography specific . North America and UK
demand in BFSI has remained stable and Europe has seen a
contraction.
But if you take it from a TCV perspective, we don't want to get a quarter -
on-quarter comparison on TCV because it tends to be lumpy, like some
quarters you sign very big deal and some deal closures also happen

towards the end of the quarter. So, we don't want to go by a quarter -on-
quarter TCV comparison.
Nitin Padmanabhan: Got it. But just from a pure -- because there is a dichotomy, our deal
wins over the last three quarters, including this one, ha ve been pretty
decent, actually. On the one hand, the deal wins are decent. You seem
to have a good pipeline.
But on the other hand, we seem to be seeing maybe the re -scoping and
the negative surprises on demand, like we saw this quarter. So, from
that perspective, now what exactly, how would

you sort of explain this?
Because people seem to be signing, but they don' t seem to be executing.
K Krithivasan : What's happening in some of the deals, where the clients decide that they can reprioritize, or de-scope, I was explaining in the earlier question, there was one particular large client, where they decided that maybe the particular work can be done, they can delay the work or extend the period over which the work can be done, and they ramped down the number of people that were engaged.
So, here the deal was neither cancelled nor paused, but the duration of the deal was increased to give them more time to manage their spend.
There are some places where we find the projects are started but started at a slower pace. And there are some places where the projects are paused for a duration.
So, you see a combination of all these things, which together bring this scenario of overall deal signings are okay, pipeline is okay, but the immediate quarter revenue numbers are not in sync with what we should be expecting.
Nitin Padmanabhan: Got it. Just one last clarification from my end. You are currently assuming that international business should be better in the following quarter, and BSNL, it will take time until the POs come through for the actual execution to take place. Are those two fair understanding?

K Krithivasan : Nitin, as you know, we don’t give any specific guidance, but on the international revenue part, we are more optimistic in the coming quarter.
Samir Seksaria: Yes, we are awaiting the BSNL PO.
Nitin Padmanabhan: Got it. Thank you so much and all the very best.
Moderator: Thank you. Next question is from the line of Abhishek Gupta from Axis Asset Management. Please go ahead.
Abhishek Gupta: Hello. Thank you so much, sir, for taking my question. Sir, mostly the question is like on the North America side, if I take the last 12 quarter CQGR , it seems to be kind of flat to slightly negative. So North America being one of the biggest markets, like where are we losing in this market? And why -- is it not growing on an absolute basis for us?
K Krithivasan : Abhishek, I will not characterize it as losing any market share in North America. For starters, we are participating in almost all major engagements. And we are also winning our fair share and that is consistent or improving.
But overall , as we explained, like, wh ile we are winning, there are instances where you have project delays or ramp down, which is causing the growth to be offset. So that is what the end result you see.
So, I do not think that we are actually losing anything in North America , Abhishek.
Abhishek Gupta: Got it. And sir, lastly, from my side, if I look at your client's metrics, there seems to be two clients -- in size have gone down from US$100 million buckets. Is it a concerning point for as an investor or how do you look at the metrics?
K Krithivasan : So, Abhishek, whenever there is a revenue reduction, it's concerning.
So, we are worried. Our client metrics a re based on last 12 months’ revenue in dollar terms .

So, if a particular client is on the borderline or let us say $101 million and because of this overall reduction in revenue, the client moves from 101 to even 99.5, we will no longer count that particular customer as a $100 million client. So, it is a concern.
Is it something that we should worry about? I will not because once the growth returns, these customers will be back onto the 100 million plus range.
And there are some cases, even because of the cross -currency movement also , where customers move back and forth. And if they are in the borderline case, they may move back and forth between 100

million above or below.
Abhishek Gupta: Got it. Thank you so much.
Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, thanks for taking my question. My first question , I am trying to understand the investments that we talked about in creating capacity as well as on building talent pool. Is there some specific hiring going on that is upfronted in the cost?
And that is why the employee cost in absolute terms is up by $150 million , while the number of employees has not increased significantly. Just trying to understand why there is a big jump in employee costs in the last 2 quarters, whereas our international revenues have largely remained flat?
Samir Seksaria: As I clarified, it is not just adding people. We have given a higher Q VA as well this quarter. Last quarter, we had called out about tactical interventions, which were by way of promotions.

Gaurav Rateria: Got it. My second question is on the conversation that we are having at the time of renewals. Have you seen more conversations around infusing Generative AI technology on the renewals?
And where would we be in our journey of taking this technology to our top 100 clients? Let's say, have we already reached out to our top 100 clients and are trying to proactively use this technology and infuse that in all our existing work packages? Just trying to understand where are we in the journey?
K Krithivasan : Gaurav, you are right. Whenever there is a renewal, we go back to our clients with an AI infused solution . But to be honest, we don't wait to infuse AI for the renewal in most of our clients.
Whenever we see an opportunity, where an AI -infused solution can give better productivity and a better outcome for our customers , we proactively do that. And we do it in almost all kinds of projects , whether it's a cost optimization program or it is a transformation program.
Whenever we look for the opportunity, we look for it in every phase of the project and every type of project.
Gaurav Rateria: Got it. Last question, Krithi, on Agentic AI solution. How are the contracts structured with the clients? Is it largely in the form of fixed - price projects or is it also being sold as some license fee? Just trying to understand, how are we trying to monet ize our solutions around Agentic AI? Thank you.
K Krithivasan : Gaurav, this is an evolving space. You will see multiple opportunities. There are some where we do based on the outcome. There are some customers that expect that this is better to do it on T&M. Because as it is evolving, they also want to see how the y are able to benefit from the results. So, they want to do it on T&M. And then after a period of time, move towards the fixed -price model. So, we are seeing both options here.
Gaurav Rateria: Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to the management for closing comments. Over to you.
K Krithivasan : Thank you, operator. In Q1 FY '26, our revenue declined by 3.1% year - on-year in constant currency with an operating margin of 24.5% and a net margin of 20.1%. Our TCV was robust at US$9.44 billion in Q1.
We are closely monitoring development s worldwide and remain committed to maintaining strong client relationships, positioning ourselves as a strategic partner.
I would like to express my gratitude to all TCS ers for their hard work and unwavering dedication in realizing both their own potential and that of the company.

With that, we wrap up our call today. Thank you all for joining us. Thank you.
Moderator: Th

ank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Oct 2025

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October 15, 2025
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400051
Symbol - TCS Scrip Code No. 532540
Dear Sirs,
Sub: Transcript of the earnings conference call for the quarter and six-month period ended September 30, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and six-month period ended September 30, 2025, conducted after the meeting of Board of Directors held on October 9, 2025, for your information and records.
The above information is also available on the website of the Company: www.tcs.com.
Thanking you,
Yours faithfully,
For Tata Consultancy Services Limited
Yashaswin Sheth
Company Secretary
ACS 15388
Encl: As above

Tata Consultancy Services Limited
Earnings Conference Call
October 0 9, 2025,19:00 hrs IST (09:30 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to M s. Nehal Shah from the Investor Relations team at TCS. Thank you, and over to you.
Nehal Shah: Thank you, operator. Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS's Financial Results for the Second Quarter of Fiscal Year FY 2026 that ended on September 30, 2025.
This call is being webcast through our website and an archive, including the transcript, will be available on the site for the duration of this quarter. The financial statements, quarterly fact sheet and press releases are also available on our website.
Our leadership team is present on this call to discuss our results.
We have with us today Mr. K Krithivasan , Chief Executive Officer and Managing Director.
K Krithivasan : Hi everyone.
Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President and Chief Operating Officer.

Aarthi Subramanian : Hi, everyone.

Nehal Shah: Mr. Samir Seksaria , Chief Financial Officer.

Samir Seksaria: Hello, everyone.
Nehal Shah: And Mr. Sudeep Kunnumal , Chief Human Resources Officer.
Sudeep Kunnumal : Hello, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any specific revenue or earnings guidance and anything said on this call, which reflects our outlook for the future or which could be construed as a forward -looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly fact sheet available on our website and e -mail out those who have subscribed to our mailing list.
With that, I would like to turn the call over to Krithi.
K Krithivasan : Firstly, I would like to warmly welcome Sudeep Kunnumal who has taken charge as our CHRO w.e.f. 01st October, 2025. Sudeep brings over three decades of experience, encompassing a wide spectrum of areas within Human Resources, with leadership

roles across
multiple geographies, business groups and HR sub -functions.
Please join me in wishing Sudeep all the very best in his new role.
Sudeep Kunnumal : Thank you.
K Krithivasan : Moving on to Q2 performance, we have delivered a good performance in the backdrop of continued macro challenges.
All verticals (except Consumer Business) and all geographies (except United Kingdom) returned to positive sequential growth this

quarter. India and Emerging markets continued to show strong growth momentum in Q2.
In reported currency, our revenue grew 3.7% sequentially and 2.4% year-on-year. Our quarterly revenue grew 0.8% sequentially in constant currency. International revenue growth was 0.6% quarter -on-quarter in constant currency.
We also delivered s trong operating margins and free cash flow.
We continue to see robust sales momentum this quarter across industries and markets. We are pleased to report a TCV of $10 billion. BFSI TCV was $3.2 billion, and Consumer Business Group contributed $1.8 billion. North America TCV was $4.3 billion.
Our TCV had a sequential increase of 6.5% and a year -on-year growth of 16%. More importantly , this quarter, we announced a significant mega deal win with Tryg Insurance , underscoring our continued success in securing large -scale complex engagements and reinforcing our position as a trusted strategic partner for our clients.
Our deal pipeline continues to show strong momentum with a healthy mix of cost optimization and transformatio n deals as well as services and platform deals across new and existing businesses.
Based on client conversations, Q2 revenue growth and TCV, and a strong demand pipeline, we see FY26 International revenue growth to be better than last fiscal year .
IT services spend is steady with no significant change expected in the near term . Lingering uncertainties in the broader economic

environment continue to remain a key challenge. Companies are keeping tight control over their discretionary budgets.
In response to economic and demand volatility, clients are consolidating vendors to achieve transformation objectives effectively and efficiently. We are finding good success in many such large deals using our differentiated , AI-infused solutions.

The mega deal with Tryg Insurance is a good example of how we scale long standing partnerships with our contextual knowledge, unmatched delivery track record and leadership in AI.
Now I want to move on to another important message .
In the last few quarters , we have undertaken many internal and external transformation initiatives to accelerate the adoption of AI within TCS and our clients. We have been engaging with our clients in understanding the challenges they are facing in scaling AI and collaborating with technology partners and academia to unlock the true potential of this technology. This experience gives us the confidence to say:
TCS will become the world's largest AI -led technology services Company, enabling Business, Government and Society.
This transformation is currently underway.
Early this year, we expanded our leadership team with Aarthi Subramanian joining us as COO and Mangesh Sathe as CSO. We also created the new roles of Chief Digital and Information Officer (Jana) and Head of AI and Service Integration (Amit Kapur).

We are committed to making significant investments towards transforming ourselves to realize our vision. Currently , our investments are focused on these five pillars:
1. tcsAI - Internal transformation to Drive an AI -first Culture

, Build AI
solutions, and Scale AI for connected intelligence
2. Redefining all Services in a Human + AI services model; We have established an AI and Services Transformation unit for this purpose .
3. Building A 'Future ready ' talent model – We are investing in Future ready skills, embracing new ways of working, and recruiting top talent locally in the markets we operate .
4. Making AI real for clients – We are redesigning business value chains for every industry; we are also investing in development of innovative cross industry solutions leveraging AI.
5. AI Ecosystem play – We are deepening our partnerships in the AI ecosystem, stepping up our efforts in M&A, and foray into new business ventures. You would have seen the Press Release earlier for ListEngage and new entity for AI Infrastructure in India.
I'll now invite Samir to share the update on our financial performance .

Samir Seksaria: Thank you, Krithi. Good day everyone.
In the second quarter of FY26, our revenue was ■65,799 crore. In reported currency, our revenue grew 3.7% QoQ and 2.4% YoY.
In constant currency, our revenue grew 0.8% QoQ.

Our Q2 operating margin stood at 25.2% , reflecting a sequential improvement of 70 basis points. This is excluding one -time severance provided this quarter.
We achieved good growth momentum across all verticals this quarter. Our disciplined execution helped us expand our margins while making strategic investments. We have prioritized wage hikes, building future -ready capabilities and establishing new ecosystem partnerships.
Currency helped support margins by 80 basis points . Giving wage hike to our employees was our priority and so we have rolled out increments for 80% of our workforce . This increment combined with additional Quarterly Variable Allowance (QVA) impacted our margins by 70bps , offset by the benefit of 40bps from rebalancing

of pyramid and 20bps from operating efficiency.
We continued to make capex investments in infrastructure. A couple of examples are:

• We inaugurated a innovation centre in Singapore , expanding our AI research and innovation footprint to 13 hubs globally. This helps clients accelerate innovation by providing quicker access to advanced capabilities and TCS' expertise.
• A new AI -driven operations centre in Mexico City
• In Europe , we expanded our software -defined vehicle innovation capabilities with three new hubs.
• Recently, we opened our flagship TCS Interactive Design Studio in New York City, to help clients create iconic products, services, and experiences that are seamless and unified across digital ecosystems.

It is also important to note that we are on a drive to expand our already vast pan -India footprint further in both Tier -1 and Tier -2 cities to the tune of about 50,000 seats in the next 2 to 3 years .
Our net income margin was 19.6%. Our EPS grew 8.4% Y-o-Y.
Our accounts receivable was at 75 days outstanding in dollar terms .
Net cash from operations was $1.5 billion, which is 110.1% of net income. Free cash flows were at $1.4 billion and invested funds at the end of the period stood at $6.3 billion.
Our industry leading margins are a vindication of our belief that we have the strongest ability to absorb market fluctuations and competitive pressures. Secondly growth, when achieved through value creation and innovation, will have a positive impact on margins over time. We continue to work towards getting back to our aspirational band of 26-28% .
Our financial discipline is also evident in our strong balance sheet, robust cash flows, and consistent shareholder payouts. We are committed to maintaining a healthy financia

l position that enables
us to invest in our bold vision and return value to shareholders.
This financial strength positions us well in our journey to become the world's largest AI -led technology services Company , to build AI centric capabilities , invest in talent development and acquisition, strengthen our ecosystem partnerships , while investing in infrastructure like data centres and scaling AI platforms.
Our capital allocation policy remains unchanged. We continue to prioritize the return of substantial free cash flow back to

shareholders. The Board has recommended a second interim dividend of ■11 per share.
I would now like to invite Aarthi .
Aarthi Subramanian : Thank you, Samir . Good evening to all of you.
As called out by our CEO , we want to become the world's largest AI-led technology services company . Towards this goal we have taken a number of steps.
I will share some perspectives on each of them starting with internal AI transformation , that is well underway .
TCS' Internal AI transformation:
We have been focused on our internal transformation journey which is now under the broader umbrella of what we call as tcsAI, . We are pursuing across three tracks:
First one is AI-first Culture: To make everyone in TCS to be AI-first, we have democratized access to AI Learning by enabling various AI tools & environments for our employees to explore , experiment,

learn and embed AI in their work. The benefit of this is visible in our AI-Ready Talent – we now have close to 160 ,000 associates at higher order AI skills. Our leaders are walking the talk - over 10,000 of our Sales and Delivery leaders have gone through an immersive and hands-on AI Dojo program that we have rolled out .
I am also happy to share that in our effort to make everyone an AI practitioner, we just established a global benchmark in our recently concluded Global annual format of tcsAI Hackathon. We saw over 281,000+ TCSers participating in this hackathon submitting over

half a million entries which includes both ideas as well as solution base. As we share this with our customers we are hearing encouraging response in replicating similar culture change within their organization and are keen to work with us to innovate with AI .
The second initiative as part of the internal transformation is 'Building AI first solution '. As part of this we are looking at our internal functions like finance, HR, legal and all other internal functions and our own IT operation including how we support our system as well as build system. One such case in point is HR - we have been reimagining how we look at our employee engagements with an AI first approach and we are also looking at rolling out a learning Co -pilot for every associate .
Scaling AI: Third aspect of our internal transformation is how do we continue to scale these initiatives. We have set up a tcsAI office that addresses the three critical foundations of our initiative (a) Scaled Agentic AI architecture, (b) Responsible AI use and (c) Platform & Partner innovation & IP creation. These foundations are in place and continuously evolving with in the dynamic ecosystem around us.
Now let me talk about how we are scaling AI for our customers.

Making AI Real for our customers:
The journey of making AI real and experiential for our customer cuts across industry value chain , enterprise platforms and solutions. We see this journey starting with Ideating and Innovating leading to Building and Scaling with AI.

• We are taking AI close to customers w

ith AI Innovation Days at customer locations, TCS Paceports and India Delivery Centers
• We are leveraging Rapid Builds as an approach delivering business outcomes with AI in matter of weeks
• We are also helping customers scale AI across their enterprise through AI Labs, AI Office and AI Platforms.

We are also building Agentic AI solutions for business value chains in each industry and enterprise functions across all our industry verticals.
Moving on to the third pillar of our strategy, we are transforming every service line that we operate in and offer to our customers. We are reimagi ning with a 'Human + AI ' collaboration solutions blueprint .
This blueprint uses our 5 scale AI Autonomy model to define the interplay between our employees and AI agent /systems, as we progress towards our North Star ambition for each service line, we are defining the art of service possible for what the future can look for each of this service line
Sudeep and Krithi will cover the remaining 2 pillars of our strategy later in the call.

Now, I would like to provide a brief update on Cyber Security.
As all of us know, global businesses are increasingly experiencing cyber-threats. These threats are getting more and more sophisticated. We are working closely with our customers to safeguard their interests. Recent incidents saw some of TCS's

clients becoming victims to these cyber-attacks resulting in severe disruptions to their businesses.
I would like to clarify that there has been no compromise of TCS systems, nor any impact to other customers in all these incidents . Investigations for these incidents are being managed directly by the customers respectively , and TCS is playing a significant role in supporting the customers in their recovery efforts. These efforts have been positively acknowledged by our customers.
I would now like to invite Sudeep.
Sudeep Kunnumal : Thank you, Aarthi. Good evening, all of you.
In Quarter 2, we announced a wage hike for over 80% of our workforce with effect from September 1st. Our Quarterly Variable Allowance (QVA) was higher than the last quarter, reflecting our commitment to rewarding employees for their contributions. TCS has always been first in announcing wage hikes across cycles.
The IT services industry is rapidly changing with new technologies like GenAI, shifts in operating models, and changing client expectations. This is a great opportunity for TCS to reposition itself and become future -ready. As Krithi outlined, w e have embarked on our journey to become the world's largest AI -led technology services Company . Building a future -ready talent model is a critical and core element of our approach.
Towards this, we are making efforts across four fronts:
• Creating personalized learning pathways using Artificial Intelligence for our employees. We are also working with

academia to introduce skills required for next -generation technologies, and human -AI collaboration.
• Acquiring top talent from industry for cutting edge skills and capabilities.
• Hiring diverse skills locally across geographies. We have perfected this model in Latin America and ha ve large local workforces in all key geographies including the US, UK and Europe, which we will continue to expand.
• We have released 1% of our workforce, mainly mid and senior level with skill and capability mismatch. We are providing the impacted employees with benefits, counselling, and outplacement support for their transition, as well as severance at terms higher than industry standards.
• Additionally, there has been involuntary attrition as part of regular ongoing efforts pertaining to performance and ben

ch
policies. With the new hires, the releases, and attrition (voluntary and involuntary), TCS' global workforce at the close of Q2FY26 st ands at 593,314.
Finally, on H1B, we have significantly localized our workforce in the US. Just about ~ 500 associates have travelled to the US in this financial year on H-1B. We believe our business model will be able to adapt quickly to any changes in immigration policy.
In Q2, we provided ■1,135 crore towards severance. The severance package is much better than industry standards . We have approached th is whole exercise with empathy and care.

We are on a journey to build a stronger future for our associates, clients, and all other stakeholders. We will continue to nurture our

employees and recruit future relevant skills required for our growth across all markets. We will continue to be a net job creator.

Lastly, we continue to be benchmarked with the best employers globally for our workplace practices and policies. In Q2, we won more than 23 awards globally across various aspects of HR value chain, including our work towards gender equity.

I will now like to invite Krithi.

K Krithivasan : Thank you, Sudeep.

Earlier in the call, I had articulated the 5 -pillar strategy to become the world's largest AI -led technology services company. Aarthi spoke about our internal transformation - tcsAI and also how we are reimagining all service lines and making AI real for our customers . Sudeep spoke about the future ready talent model.

Moving on to the fifth pillar of our strategy, we will be significant player in the AI Ecosystem , towards this,

• We have built strong partnerships with deep tech companies, hyperscalers, niche startups, amongst others.
• We are deepening our participation in the AI ecosystem by expanding into adjacencies. We are creating a world class AI Infrastructure for all stakeholders including enterprises, hyperscalers and sovereign requirements.
• Earlier this year we announced the launch of TCS SovereignSecure ™ Cloud. We are seeing very good traction for the same in our client base in India.

• In partnership with IBM and Government of Andhra Pradesh, we are deploying India's largest Quantum computer in the country's first Quantum Valley Tech Park.
• We have formed strong 360 -degree partnerships with all major technology players including all the hyperscalers, GenAI players, cybersecurity product companies, enterprise product companies, and specialist AI -solution providers.
• Today our Board approved creation of a TCS Subsidiary that will focus on building a Sovereign AI datacenter with a capacity of up to 1 Giga Watt.

We have stepped up our efforts in pursuing acquisitions to enhance our capabilities including high end services, intellectual property , and market presence.

We have just announced acquisition of ListEngage , a leader in marketing tech and Salesforce.

Our journey to becoming an AI -led organisation is anchored in bold transformation —from talent and infrastructure to customer value and ecosystem partnerships. With th is objective , TCS is poised not only to lead the AI revolution but to shape a future where technology and human ingenuity together create lasting impact for all. We are confident that staying true to our values will lead us to sustainable long-term growth with superior profitability .

I'll now open the line for questions .

I'll now open the line for questions.

Moderator: Thank you very much. We'll take our first question from the line of Yogesh Aggarwal from HSBC Securities. Ple

ase go ahead.
Yogesh Aggarwal: Hi. Thank you so much. So, Krithi, couple of questions. Firstly, the heightened investments in AI are a very welcome change. My question was, can you provide a little more clarity on the capex required? Because 1 gigawatt seems to be a very, very big investment.
I mean global references are almost $20 billion of investment. So, what is the time period ? what is the kind of capex? And you said it is sovereign. So, what does it mean in terms of clientele? Would you be selling into your traditional clients or mostly in India? So, a little more clarity would be very helpful.

K Krithivasan : Yogesh, from a capex perspective, while we have set a target of 1 gigawatt, we will be doing it in phases. We expect to achieve 1 gigawatt over a period of five to seven years. And our calculation roughly is about every 150 -megawatt will require a capex of about $1 billion. It's not that we are going to put all the money in year one. And we also clarifi ed that this would be a combination of equity and debt, and we'll also bring in finance partners for the equity. So maybe if you require more color, Samir can provide on that.

The reason that we are saying sovereign cloud is it's going to be established in all centers in India. We are expecting all data and compute to be hosted in India and not leave the shores of India. That's the reason we are saying sovereign data center.

Just to provide more information. Our current objective is to provide all passive components. The client whosoever is occupying, they will bring in their compute and storage.

Yogesh Aggarwal: Great. Thank you.

K Krithivasan : And secondly hoping to sell this to the pure -play AI providers , the deep tech companies and the hyperscalers and to a great extent the government needs in India and the Indian enterprises or the expected participants here.

Yogesh Aggarwal: Thank you. Secondly , on the growth, you said the demand environment hasn't changed and the macro uncertainties are the key reason. While the quarter has been a little bit of a beat, the current growth rates have not been impacted by deflation on S DLC by AI, you think that's not a factor. Is it all macro?

K Krithivasan : Yogesh, we had better growth compared to Q1. And as I said, macros have not changed much. But our deep engagements with our clients and the AI solutions, the rapid builds that we take to our clients. All of us give us confidence that we will be able to sustain the growth momentum or improve the growth momentum compared to H1. Otherwise, there's no major change in the demand environment.

Yogesh Aggarwal : Very well, thank you.

Moderator: Thank you. We'll take our next question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli : Hi Krithi. Thanks for the opportunity. And a follow -up to what Yogesh has asked. So, on this AI data center move , currently, do we have any tie ups with any of the, let's say, large consortium players like a Stargate or any of the deep tech players, either for bringing in more equity investments or for being our tenants once this is set up in the steady state? And any broad indications on the revenue per megawatt you're looking at and the EBITDA margins and the IRR 's you are expecting on this data center investment?

Samir Seksaria: Sudheer, in terms of both, one, Krithi talked about finance partners, we are speaking to multiple partners, and we'll finalize in terms of combination, it could be one or more coming in . Also in terms of customers, as we called out, it would be hyperscalers, India enterprises, government, and we look at in term

s of overall partnership.
In terms of metrics, too early to call out, we have just set up the subsidiary. It would be about 18 to 24 months, when the first revenue starts kicking in at the appropriate time, we'll start calling out the metrics as well.

Sudheer Guntupalli : Fair enough, sir. And just to get to understand the operating model right. Did you say that we will provide it on a cloud service provider basis or a co -location basis or just on a managed services basis ?

Samir Seksaria: On a co-location basis.

Sudheer Guntupalli : Okay. It will be on a co -location basis. Okay sir, thank you and all the very best.

Moderator: Thank you. Next question is from the line of Ankur Rudra from JPMorgan. Please go ahead.

Ankur Rudra: Thank you. I just wanted to understand this AI transformation you're doing. What does it entail in terms of existing client engagements? Do you have a sense of potential productivity gains or any kind of change in scope from a deflation or inflation perspective on your existing services as you transform?

K Krithivasan : Ankur, this whole our belief and confidence in becoming the largest AI-led services company is based on the strength of the existing client relationships. And the partnerships that we are building with all the players in this ecosystem. And we expect every project that we do will be AI led.
So, which means that we'll be offering speed , we'll be offering flexibility and there could be productivity gains also in these projects, but we'll also be doing projects that could not have been done without AI in the past.
So, our expectation is overall scope of engagement or size of engagements would definitely increase. But there would be productivity benefits that the clients would get in the individual projects. And we also will get some productivity benefits from doing these projects because we'll be leveraging AI.

Ankur Rudra: I just want to clarify a couple of things. One, was there any headwind on the client this quarter, which had a cybersecurity incident in terms of your revenues and margins? And, the second clarification was if the redundancy charge, we took this time, given 1% was impacted . Should we expect something similar in future quarters also?

K Krithivasan : No. First on the headwind, Ankur, the only headwind was because of the nature of the outages they had, we could not start some of the projects that we were planning to start, that was the headwind. Otherwise, there was no other significant headwind because we are working very closely with the customer in helping them recover the overall operations.
The second question on the charges we had taken as severance . As we explained before, we would be continuing this exercise throughout the year. We are not chasing a particular number here, but we will continue to do this throughout the year.
Whenever we are paying any severance , we'll take that charge appropriately in the next two quarters. I cannot quantify what the number would be at this time.

Ankur Rudra: Appreciate it. Thank you and best of luck.

Moderator: Thank you. Next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you. Congrats on a very broad-based growth. If I look at the data centre investment, again, what really prompted this? Is this very unlike , I'd say, approach so far of being asset light.

K Krithivasan : Yes. Ravi, we've been looking at opportunities to expand our play in the overall AI ecosystem. We've been working with many of

them as
solution providers , solution integrators, or leveraging the cloud.
Now in the past, if you look at, we also wanted to expand the footprint in India, leveraging the participation we have with all these partners.
As you know, some time ago we've also been in private cloud to a limited extent in the past. And then we announced recently the Secure Sovereign Cloud for India requirement. We also announced participation in the Quantum program with the Andhra Pradesh Government.
We looked at this as an important adjacency that we should enter. And with that in mind, and to also strengthen our partnership and relationship with the hyperscalers and the deep tech by doing this. All this put together, we thought, and of course, the most important thing is our calculation of unmet demand; that's going to be in the data center space.
Our calculation shows that we have only 1.2 gigawatt of capacity in the country . And in the next five to six years, the demand can go up by almost 10 times, whereas the committed capacity is only about 5 to 6 gigawatts.
So that is going to leave so much unmet demand. So, with all these things put together, we thought it's a good opportunity for us. And another point is it also guarantees stable annuity revenue as well.

Ravi Menon: Thanks for a detailed explanation. Second question on the productivity improvements that you're seeing in AI. I got it. So, if I understand correctly, the primary benefit of GenAI is the application development from scratch, right? And that's a relatively actually a small part of the overall market that we play in because what we do is primarily IT outsourcing, which is application maintenance and infrastructure maintenance, things like that, right?
So would that be right that those activities we already have Level 1 support more or less automated. So on the existing book of business, how should we think about the impact of AI?

Aarthi Subramanian : Ravi, when you look at the existing book of business, when you look at our application support services or our infra services, they are increasingly becoming AI led. When you look at how we deliver these services, we see significant opportunities to drive productivity benefits and drive the quality of the service delivery with AI.

So that's where the imagination is happening. And the initial productivity savings are starting to be seen, and as we increase the level of autonomy as we understand these technologies better, we should be looking at further productivity benefits.

Then the second portfolio, which is significantly, again, aided by AI, is our software engineering life cycle. Again, starting to see good benefits coming in, but then there is an evolution, right? You start with single digits, 10% to 15% productivity, then there's an evolution

to reach 20% -25%, but that's a journey to achieve a higher level of autonomy, and that's what we are driving.

The third area where we are seeing significant, I would say, opportunity is around AI -powered modernization. As you would appreciate, many of our customers globally have a lot of technology debt that they h ave carried over the years.
GenAI and Agentic AI are powerful tools to really address the tech debt. You can use these AI, GenAI to understand the legacy co de and forward engineer and deliver the new code. So, modernization with AI is a huge opportunity, and we are seeing significant upt ick across customers, but I would say right now significantly in BFSI. And we expect to replicate this across other verticals.

Ravi Menon: And if I recall right, you already announced a North American bank that's doing a complete mainframe organiza

t ion using AI right now?

Aarthi Subramanian : Yes.

Moderator: Thank you. We'll take our next question from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.

Gaurav Rateria: My first question is about the investment in the new subsidiary on data center. Should we look at this investment as a stand alone new business you need for providing co -location services or should we think about having a very thick synergy with your existing portfolio of services using this asset intensive business to build some services on top of it?

Samir Seksaria: The business itself, we'll be keeping it separate. It will have separate management bandwidth. We are i n the process of putting in an entirely separate team outside of TCS for this, but it will have adjacencies with TCS.
It's a natural extension in terms of what partnerships we are looking at creating with hyperscalers, what services we want to provide to our customers, and this nicely fits in as an adjacen cy.

Aarthi Subramanian : And if I may just add to what Samir said, Gaurav, if you look at the entire AI stack, starting from infrastructure as the starting layer, all the way up to the apps and the agentic apps at the most layer, this gives us the coverage across the AI technology stack.

Gaurav Rateria: My second question is the interplay between humans and AI that you talked about. How is it going to change the delivery model and the billing models? Do you think that will incrementally move away from effort -based business models to outcome -based business models? Is that how the business should evolve, and there should be more nonlinearity in the business going forward?

Aarthi Subramanian : I think that is the direction in which the model is going to evolve. These are initial days, but we are starting to make commitments on outcome -based projects with the select customers. And there are learnings, and this is a model that we see increasingly evolving and becoming more mainstream with customers.

Gaurav Rateria: My last question is whether we should evaluate, or should we consider this new adjacency as a completely different business with respect to the return ratio profile given that right now, we are very asset -light business and having a very different return ratio profile. Just trying to understand how we should think from a medium-term perspective of the company?

Samir Seksaria: As we said, this is an investment which will have partners coming in. From a profitability perspective, I don't think at an overall TCS level, it will not be margin dilutive. Return ratios, also given the overall size expected over the years , should not have a significant impact. Our ROEs are currently over 50%. So, we still expect it to be benchmark ed.

Gaurav Rateria: Okay. Thank you so much.

Moderator: Thank you. The next question from the line of Surendra Goyal from Citi. Please go ahead.

Surendra Goyal: In your prepared remarks, you said that FY '26 growth in international business will be better than FY '25. So just wanted to clarify if this is in constant currency terms, USD terms? And could you also tell us what the comparable growth in FY '25 was?
Samir Seksaria: It was about 70 basis points, and it is in constant currency terms.

Surendra Goyal: So constant currency basis, 70 basis points and this year will be better than 70 basis points. Understood. The second question is with the release of 1% of the workforce; the headcount declined by

20,000 people , or 3%. And then what you had announc

ed earlier
was 2%. So, should we expect a similar kind of head count reduction in the next quarter as well?

Sudeep Kunnumal : The 20,000 net head count decline is a factor of voluntary and involuntary attrition. So, you should consider all of that. But as we announced again the 2 percent, we are midway, so we have done approximately 1 percent of it.

And like what Krithi just mentioned, we don't have a target. We are not chasing a target. We'll continue to evaluate everyone after all the investment in learning and development that we've done, where we find certain mid and senior level people are not able to find the right role based on their seniority. Those are the ones that we will release with a lot of care.

Surendra Goyal: So just to clarify, there will be no involuntary attrition beyond the 1% number. Is that understanding, correct?

Sudeep Kunnumal : No, I didn't say that. We estimate it to be approximately 2%. We are currently at 1%, and we will continue to evaluate people whom we can redeploy . The ones we are not able to re-deploy; those are the people that we will release.

Surendra Goyal: One last question, Krithi, Aarthi, I think , in terms of the data center business, I think there are a lot of businesses which are synergistic to AI if we take such a broad view of things. So, is there clarity in terms of that, okay, what other areas could we possibly invest in?

K Krithivasan : We've been evaluating multiple opportunities. As I said, this one looked more attractive to us based on the discussion that we've been having with the potential buyers, the demand commitment we could get , the kind of revenue profile, the committed annuity revenue profile it has and the potential unmet demand we'll have in India, all combined look most attractive for us to start with. But we'll continue to explore if there are other adjacencies that come up, we'll explore.

Surendra Goyal: And Samir, just one clarification on ROE of this new business. What is the expected ROE versus your current ROE of 50% plus, as you highlighted earlier?

Samir Seksaria: The ROE of this new business, as you all rightly identified, that's capital-intensive and will be low. What I'm saying is, overall TCS ROE will remain market benchmark ed.

Surendra Goyal: Understood. Thank you.

Moderator: Thank you. W e'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, thank you for taking my question. My first question was for clarification . So, the statement which you made is that TCS intends to become the world's largest AI -led technology services company. How are you defining that as the largest AI -led technology company, which metrics you are targeting at?

K Krithivasan : Kumar, based on the discussions that we've been having with customers, and Aarthi talked about the internal training we did, Hackathon we did, and the number of participations .

So, we believe that in multiple metrics , in terms of the number of people participating, the number of projects we'll be doing. All combined definitely, we aspire to become the largest.
If you ask me for one single metric today, I don't have it , to be honest. W e will be evolving. How do we measure ourselves on a year-on-year growth and improve on this, so that's the honest answer. But we are confident that we'll be able to have the biggest impact that we'll deliver in the industry because of leveraging AI.

Kumar Rakesh: Got it. Thank you for that. My second question was on margins. So, we have seen sequential improvement now the wa ge hike is behind you, and pyramid rationalization also will start kic

king in and going
by your comment, your second half growth should be better than first half. So, for the rest of the year, is it fair to expect the margin should continue to see an expansion?

Samir Seksaria: Kumar, as you know, in H1, we have improved 100 basis points. We will continue our journey towards our aspirational band of getting closer to 26%. But the puts and takes on it have been in terms of the implications which you called out.
The wage hike was in Q2 for 1 month; it will be for the full quarter next quarter. Also, in terms of the investments which we have called out would have an impact we have been investing, and this would

have increased investment requirements . Irrespective of it, we would want to inch closer to 26%.

Kumar Rakesh: Great. Thanks a lot for that.

Moderator: Thank you. N ext question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanbhan : Good evening. Thank you for the opportunity. J ust a couple of questions. So, one is in the last quarter on the deal, well we have had very good deals on a consistent basis. You had alluded to three points that were not leading to better revenue conversion. One of them being projects starting at a lower pace and the other one being some projects being paused. How is that sort of evolving at the moment?

K Krithivasan : Nitin, at that point like we probably as I was alluding to, I would say, much improved situation. The number of deferrals or projects getting pa used has been reduced compared to last quarter.

Nitin Padmanabhan : Sure. So incrementally, we should see better accretion. At least growth should be in the positive territory here on and you have alluded to that?

K Krithivasan : That is our hope .

Nitin Padmanabhan : Correct. Any incremental update on, let's say, BFSI or consumer business and Europe, I think last quarter you were a little te pid from a commentary on those three . So just wanted to have thoughts there?

K Krithivasan : See, if you look at the growth momentum, all of them have improved . BFSI continues to grow globally, particularly BFSI North America has done well. And similarly, if you look at Europe, it has done well compared to last quarter.
And then even if you take C onsumer Business , the degrowth has been largely arrested. And so overall we expect most of the industry segments to bend the curve subject to seasonality of Q3, but they'll be getting into growth momentum. Of course, the Q3 seasonality would be in play.

Nitin Padmanabhan : On the data center capex, maybe roughly based on what you said, it's maybe around $6.5 billion over a 7 -year period. From a cadence perspective, how should we think about it with the early part of the 7 years versus the later part? So would the capex be partially by partners and partially by us. Just clarification on both?

K Krithivasan : Yes, definitely, it will be partially by partners, partly by us. And at this time we told you it's about 5 to 7 years for the complete build -out of 1 gigawatt. Currently, we expect it will be more uniform, but if there is an increased demand, if we have to accelerate, we will defi nitely calibrate it at that time, b ut current planning is that it will be phased out uniformly over the 6 years.

Nitin Padmanabhan : And just one last one if I may. Any color on the kind of deals in terms of sizing? Are you seeing a return of smaller deals or discretionary,

any improvements there that you have seen during the quarter or directionally?

K Krithivasan : No

significant improvement, but at the same time, when Aarthi spoke, she was mentioning about the number of rapid build projects that we are doing. They are smaller in nature, smaller tenure which we tend to complete them within a quarter.
Such projects are increasing in number and we also find more modernization projects. Some of them tend to be shorter. While a large mainframe modernization will take a long time, some of the other modernizations can also be completed in a short time .
So, such projects are increasing. But overall, if you ask me, is the number of short -term projects increasing compared to larger projects. There is no significant change.

Nitin Padmanabhan : Perfect. Thank you so much, Krithi and all the very best.

K Krithivasan : Thank you.

Moderator: Thank you. N ext question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Hi, good evening. T wo quick questions about the cybersecurity instance, just wanted to check if the issue has now been resolved and the projects you said which couldn't start, have they now started resu ming?

Aarthi Subramanian : Yes, I think the recovery process has been completed. And all the sales and manufacturing systems are all up , and this happened early this week. So, I think we expect the projects to pick -up in the coming weeks.

Abhishek Kumar: Great. That's good to hear. Second, near term especially 3Q, any early indication of how furloughs are looking this year compared to previous years. Generally, we have seen that in a weak demand environment furloughs tend to be longer. Any such signs at this stage?

K Krithivasan : At this time, we are planning based on the inputs we have, it's likely to be similar to last year.

Abhishek Kumar: Okay. Sure. Thank you and all the best.

Moderator: Thank you. N ext question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question. So Krithi, just once again, on the AI data center investment. Given that you mentioned that it's going to be more like a sovereign data center and given the GDPR regulations across the world, is it fair to say that this will have limited synergies with our existing clients and most of the clients that we would be deploying in this data center will be more of India based and that is where we would be looking for any synergies if at all from our current sector?

K Krithivasan : It's a passive data center. The likely users could be the hyperscalers , deep tech who want to do the training , inferencing in India or Indian enterprises , they want to leverage it as a private cloud. We are not expecting our overseas customers to be hosted, specifically in India. It's more like what we are offering for these hyperscalers and India-based businesses or deep tech.

Vibhor Singhal: And you mentioned that we've basically gone ahead with this, as for the demand commitments and the annuity commitments. I would assume we would already have conversations with .

K Krithivasan : I did not say demand commitment. I'm saying that there is a lot of unmet demand in the marke t that led us to g etting into this business.

Vibhor Singhal: So, are there any MoUs that we have signed or any early connections that we have got into potential clients?

K Krithivasan : We are having quite a few conversations with our customers, to explore the demand, and we are quite positive about the prospects.

Vibhor Singhal: One last question from my side. In terms of the revenue this quarter, we saw a sharp jump in the sale of equipment and software licenses revenue. Almost more than ha

lf of the incremental revenue in this quarter came from that . Is it just a quarterly specific thing? Or do you think there could be a trend going forward as well?

Samir Seksaria: The increase of the equipment and software expenses this quarter has been about ■250 crores. BSNL this quarter has remained flat.

Vibhor Singhal: I mean it's expected to remain in the same range as it has been?

Samir Seksaria: We have Q3 seasonality, which you'd typically see. Other than that, we don’t expect to see any material change , unless we get the BSNL PO later.

Vibhor Singhal: Thank you so much for taking my question. I wish you all the best.

Moderator: Thank you. We'll take our next question from the line of Rishi Jhunjhunwala from IIFL. Please go ahead.

Rishi Jhunjhunwala : Yes, thanks for the opportunity. So, just harping a little bit more on that AI investment, a couple of reasons that you provide was that the demand in this space is very high and provides a new stream of annuity revenues. But outside of that, does it put us in any kind of disadvantage versus our peers, if we are not doing this investment or does it put us at an advantage versus other peers on the global revenues that we earn here?
If that is not the case, then I mean if you look at the overall technology spending landscape, then there would be a lot of pockets around software and solutions, where those kinds of investments probably would have been more synergistic to us.

K Krithivasan : Rishi, there are definitely a number of places where we can invest. We took this place because it creates a synergy with our existing

relation with hyperscalers , who also happen to be our large clients as well, large GTM partners as well. And we also have deep relationships with all the AI native companies, who could potentially be using it for their India requirement.
So, we believe that there will be a natural synergy that will be created. As I said, we want to play in this ecosystem strong ly.

K Krithivasan : And, it gives another group synergy as well. If you look at the Tata Group companies are in the power, real estate, project management business .

Aarthi Subramanian : Tata Communication

K Krithivasan : Tata Communication. So there is a different kind of synergy we can build in here. But from a client perspective, we believe the strong collaboration can be derived of this one.

Aarthi Subramanian : And the Tata Group synergy, we see this as a very unique Tata advantage.

Rishi Jhunhunwala : Understood. And the second question is, I think in the opening remarks, you hinted that wh ile we have done this one acquisition, there seems to be some focus around trying do more acquisitions as well. I guess this is something we've done after almost 10 years, so should we assume that our acquisition intensity may also potentially go up in the co ming years? And how does that change our capital payout policy, if at all?

K Krithivasan : Yes. We are very actively looking at more opportunities for acquisitions. And capital payout policy, currently; the stated policy continues to be to return 80% to 100%.

Samir Seksaria: Of substantial free cash flows and that is after all investments.

K Krithivasan : But so, but if we end up making a huge acquisition that impact our ability to do a cash flow, we will be upfront about it.

Rishi Jhunjhunwala : Understood. All right, thank you sir.

Moderator: Ladies and gentlemen, we'll take that as a last question for today. I now hand the conference over to management for cl

osing
comments. Over to you.

K Krithivasan : Thank you, operator.
• In Q2 FY26, our Revenue grew 0.8% sequentially in constant currency, with an operating margin of 25.2% and a net margin of 19.6%. We saw good growth momentum across most verticals, service lines and geographies this quarter.
• International business fuelled growth, along with India and emerging markets performing well .
• Our TCV was robust, at $10 billion in Q2, which grew 16% YoY, including a mega deal win, using AI -enabled differentiated solutions.
• We reiterate our outlook for FY26 International Revenue growth being better than last year.
• TCS will continue to be a key jobs provider in the industry.

• We want to become the the world's largest AI -led technology services Company, enabling Business, Government and Society.
With that, we wrap up our call today. Thank you all for joining us and wish you and your families a very happy festive season ahead. Thank you.
Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbati m record of the proceedings .

Call: Nov 2025

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TCS/SE/137/2025-26
November 4, 2025
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C-1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540
Dear Sirs,
Sub: Transcript of the Investor Call held on October 31, 2025
In furtherance to our letters dated October 27, 2025, October 30, 2025, and November 1, 2025, and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Investor Call held on October 31, 2025 at 04:00 PM (IST), for your information and records.
The above information is also available on the website of the Company: www.tcs.com.
Thanking you,
Yours faithfully,
For Tata Consultancy Services Limited
Yashaswin Sheth
Company Secretary
ACS 15388
Encl: As above

Fireside Chat
TCS' AI Data Center Investment and Opportunity
October 31, 2025, 16:00 Hrs IST

Corporate Participants:
Samir Seksaria , Tata Consultancy Services Ltd - Chief Financial Officer
Mangesh Sathe , Tata Consultancy Services Ltd - Chief Strategy Officer
Deepesh Kiran Nanda , Subject Matter Expert

Moderat or:
Kawaljeet Saluja , Kotak Securities Ltd – Head of Research and Lead Analyst – IT Services

Kawaljeet Saluja: Good afternoon, everyone. I'm Kawaljeet Saluja, Head of Research and Lead IT Analyst at Kotak Institutional Equities. I'll be your host and moderator for this session.
Today, we have with us the Ace team of TCS for a fireside chat on the topic of TCS's AI Data Center Investment and Opportunity. Let me start by introducing the team.
The Gentleman in the center is Samir Seksaria, needs no introduction . He is CFO of TCS . Our next panellist is Mangesh Sathe, who serves as the Chief Strategy Officer at TCS, he also serve s as the head of Global Consulting Practice and oversees the M&A function of the company. More recently , he was the CEO of Tata Strategic Management group at Tata Sons, where he supported group Chairman's office and CEO of Group companies in strategy and transformation initiatives .

Our third panellist for today is Deepesh Kiran Nanda, who brings with him over three decades of leadership across technology, energy, and infrastructure. He has led large scale power and digital initiatives from India through Japan and Australia, including senior roles at Tata Power and GE. Deepesh is widely regarded as a thought leader on

sustainability, clean energy and the intersection of power and digital transformation.
We'll start the fireside chat, post which we will open the floor for audience Q&A. Do note that this call is only to discuss TCS 's Data Center initiatives , so I will request the participants to restrict the questions on those lines.
Okay, let's kick this off. The first question for you, Samir. Why data center? What prompted TCS to get into building co -location data centers, and what are the adjacencies that you have with the core services business?

Samir Seksaria: Absolutely. Great question to start with, Ka wal and, if you recall, during our Q2 earnings call, we announced our aspiration to become the world's largest AI -led technology services company. AI and sovereign data centers are a key component to the overall AI value chain. And it provides TCS a unique opportunity to offer an end -to-end solution in this value chain. So, it's not a standalone decision or an isolated decision, but part of the overall five-pillar strategy which we called out during our earnings call. Now, the key dri

ver to the investment is the demand and supply mismatch, and addressing this demand creates a nice niche and an adjacency for TCS, which we believe will give us long -term, committed annuity revenues.

Now, if you look at it from a synergy perspective, we benefit from both front-end synergies as well as back -end synergies, so that is another driver.
Data Center provides a unique opportunity to TCS to deepen its partnership with the various hyperscalers and AI companies. And while driving this efficiency, we also can leverage the One Tata synergies. So, all in all, if we look at TCS's dominant position in the India IT services market , the strong partnerships with global technology companies which we possess, the access to capabilities, and most importantly capital, and the support from Tata companies , which we can look at towards connectivity, green power, infrastructure development, will be the key differentiators. And, then data center forms the core foundation for our overall aspiration to become the world's largest AI -led services company.

Kawaljeet Saluja : Fantastic. That's a great way to start off.

Mangesh Sathe: Just one point I'll add. See, if you look at globally, data center market itself is also expected to see a lot of capital investments over the next decade. And this, I'm not talking only about India, I'm talking across the world, especially US, Europe, etc. One of the other benefits, will also be that our expertise in working in this sector, we will be able to also then provide services related to this sector in other markets as well, because that's also an important element. So, because a lot of build -out is happening. Which I feel, technology services companies like ours, should participate and accelerate that whole capital investment as well. So that's an added benefit to all the other reasons that, Samir outlined.

Kawaljeet Saluja : So, when you refer to the capabilities that you can take outside India, is it largely the services capability, or would you also be open to asset-heavy business outside India?

Mangesh Sathe: No, I was referring to the services.

Kawaljeet Saluja : Got that and would the investment initially, be largely on co -location side, or are you looking at integration with active infrastructure as well?

Samir Seksaria: Our overall current business plan is to look at only passive data centers. We are not averse to active data centers, but it has capex sensitization, technology refresh considerations. So, any incremental considerations on the active side will be more bespoke commercial arrangements with our anchor customers . So, as it stands, it is more passive.

Kawaljeet Saluja : Mangesh, Samir made an important point that there's a demand - supply mismatch in the Indian markets today. But , when you look at the co-location data center space, the space is heating up with multiple conglomerates announcing a Gigawatt(GW) capacity plans. So how would TCS's approach differentiate itself from the competition, which also seemed to be in a rush to announce the Gigawatt capacity as such?

Mangesh Sathe: I think there are two -three factors here. One , the overall demand itself. So, if you see the current footprint, which is around 1.5 GW, which is installed in the country. What we see from a potential perspective over the next 5 to 7 years, we see this to grow anywhere between 10 to 12 GW, so that's a significant headroom that is kind of available. If I were to add all the plans that have been announced so far, I think there is still a significant headroom available . Given, today the players that are currently in the market, plus, additional players who are planning to come into the market. So, if I add all of that, also still there is a headroom. I don't see any challenge from a demand perspective. The second part would be where

is this
demand going to come from? If you see the Indian market specifically, I think we are going to probably look at hyperscalers driving a large part of the demand, and we see the same globally. I think the percentages in India would be similar to global or slightly higher, but I think hyperscalers would certainly be one key component.
The second interesting segment that has emerged is the AI companies and AI companies, of course, there are a few which everyone is aware of, but then there are also new companies, new model companies, new application companies in AI who are also scaling up and are also thinking of raising a lot of money globally, and they also need to invest into data centers. And then, of course, there is the private sector and the public sector as well,
Now, why can TCS really garner this demand? If you look at across all these four segments, hyperscalers, AI companies, public sector, and private sector, we are working with all four, either on the global side, or on the India market side and today we have a front-row seat visibility on what those requirements are, right .

And as a company, or anyone wanting a data center, they don't really want to just do a very transactional piece where they're just talking to a data center operator, saying, give me a data center, then speak to somebody else for some other services. They would ideally like somebody to come in and provide, as Samir said, the end -to-end capabilities and offer it to them . We see that as a unique proposition that we can provide compared to some of the competitors that exist in the market.

Kawaljeet Saluja : Okay, that's fascinating and clear as well. Moving to Deepesh , what are the specifications of the planned data center that you have in mind? Would this be, let's say, Tier 3 or Tier 4 data centers? What kind of rack density are you looking at? What kind of cooling infrastructure? And who do you think are the competitors in the market today in India, which are operating those Tier 4 data centers?

Deepesh Nanda: Thank you, Kawaljeet. Taking a cue from what Mangesh mentioned earlier, we are focused on the AI side of the data center. So, if I were to look at the market and I broadly split the market into non -AI and AI, our emphasis is largely going to be on the AI side of the data centers. That being said, it comes with a much higher rack density. So, we're looking at anything greater than 50 kilowatt (kW) per rack, all the way up to 180 kW per rack, and on the upper ban d, around 370 kW per rack. We should average out at 240 kW per rack. With this comes the impact on cooling. So , these would be heavily skewed towards more liquid cooling. We are looking at upwards of 70% liquid cooling. And that will then reduce our PoE ’s to anywhere between 1.25 to 1.3, as compared to the current PoE, what you see

in the country, driven by air cooling of 1.45 to as high as 1.6. So, more focused on the AI side, more focused on High rack densities, more focused on more liquid cooling, and hence, our PUEs will be capped between 1.25 and 1.3.

Kawaljeet Saluja : Do you think that you require that kind of high-power density, superheated 240 kW racks? Because for that, essentially, what you would require is Large Language Model training or some use cases around that. Otherwise, those 10 to 12 k W racks can do fine. So, are you basically sensing demand on AI Large Language Model training, for you to support this kind of a capacity build -out?

Deepesh Nanda: That’s a great question, and that's the space that we want to occupy. And to answer your question specifically, that's the kind of demand that we are seeing in the early days of the announcement that we've made. The demand is more on the AI side, and with that comes quantum load, concentrated load, which is in, say, 100 MW multiples. So , the answer to the question is yes, there

is demand, of
that nature from international AI companies. In the Indian market currently, the AI load is in the range of 2 -4%. Globally, it's the range of 10-15%. It's the right opportunity for India to get into that AI load servicing, and that's exactly what we'll be catering to in the first phase of the rollout.

Mangesh Sathe: I think as far as, training versus inferencing, I think each company and depending on how their data center footprint is distributed, they are designing basis their own considerations, and latency, and where their markets, demand pools, etc are. We cannot comment

on whether, if training will be more or inferencing will be more . At the end of the day, whether it is inferencing or training, the GPUs will require a certain amount of infrastructure that will need to be supported . And what we are talking about is, creating an infrastructure which should be ready to support those loads, irrespective whether it's training or inferencing.

Kawaljeet Saluja : I’m curious to know Mangesh, is inferencing workloads better supported by edge data centers, or would your large data centers also be effective for inferencing?

Mangesh Sathe: It depends on the use cases that will be there, also who is putting up that capacit y. If it is a hyperscaler kind of a capacity , they would ideally want to put it up in a larger data center. Of course, if it is a private enterprise , optimizing its own loads in, for their specific footprint, could be a manufacturing footprint or any other footprint, they will probably design it differently. So, each one will have a different view.
From our perspective, I think our capacities, are not really edge data centers. We are creating the core data centers and that's where our focus will be right now.

Kawaljeet Saluja : Do you hit the b all out of the park by straight away starting off with 1 GW, or Samir, will that tone everyone down with a smaller capacity initially?

Samir Seksaria: Building it at 1G W would require a lot of, many things, not just capital, in terms of availability of infrastructure and everything also. Our plan is to phase it out. It would be in the range of 100 to 200 Megawatt (MW), each pod or phase. And it would be across multiple phases. So, it would be over a period of probably 5 to 7 years, when we'll hit peak capacity.

Kawaljeet Saluja : Let's say for the first 18 to 24 months, 100 to 200 MW, right? How much would it cost to build this data center? And how do you fund it?

Samir Sekaria: Practically, as we had said, in our earnings call, this capacity will be approximately a billion dollars, and it won't be completely funded through TCS's cash war chest . It would be a combination of debt and equity. And the equity could be one or more partners, and we are, currently in advance discussion with a few partners, and in advance discussion with multiple bankers on the debt structuring side.

Kawaljeet Saluja : And just to be clear on the earnings call, Samir, what you essentially said is that 1 GW would cost around say 6 to 7 billion dollars, so when you're talking about 100 to 200 megawatts , it would be in proportion, maybe $600 million to a billion dollars.

Samir Seksaria: Right.

Kawaljeet Saluja: What do you think should be the optimal, debt -equity structure in these kinds of businesses ?

Samir Seksaria: We'd not like to call that out, Kawal, but we have a structure in mind. It would be typical of what data centers operate at , but right now, we will be unable to share further details. However, you could assume a similar structure.

Kawaljeet Saluja When you're looking at, equity partnership, would you prefer that now, or would you prefer after maybe 2 -3 years, once the capacity is up and running, and the possibility of better valuation , or are you basically looking for equity sourcing, right up

front?

Samir Seksaria: It would be a combination . The partners could be just the equity partner, or a technology -cum-equity partnership. Options are open , we could have a different combination in each phase as well.

Kawaljeet Saluja : Samir, the question which everyone has, on the top of their mind is that such kind of businesses alter the ROE and ROC E profile of TCS, makes the business capital -intensive, etc. What are your thoughts and how would you respond to other those questions and criticisms as well?

Samir Seksaria: Given the size of the strong balance sheet and the surplus funds which we have , this particular investment per se, is not going to be

a significant drag on the TCS balance sheet. It allows us to smoothly navigate the investments which we would require. Anyways, they are going to be phased out, and not the entire investment which you talked about, you mentioned about $600 million to a billion dollars , is not going to be entirely a cash outflow for TCS. So, given that, I don't see it as a major drag, in any of the return ratios. TCS has maintained industry benchmarks in terms of margins, as well as ROE. Yes, it won't get the same ROEs as you would expect from the TCS business, but we are confident we'll be able to maintain industry -leading return ratios.

Kawaljeet Saluja : A question for Deepesh . Let's say you start off today, by what time would the basic shell be ready? How much time does it take to build a power -optimized design, build those racks, and start getting in the revenue streams? And let's say, how much time would it take to sell that capacity? If you can just give a broad indication of the timelines of both the build part and the sale of that capacity, as in when it's ready.

Deepesh Nanda: Thank you. I'll answer you r second question first , we are not building any speculative capacity, its build on a firm demand . And to answer your first question, from the time we have land available, we are targeting completion of an 18 -month full construction cycle. So, from start date, when we press the button, land being available , the delivery will happen in 18 months.

Kawaljeet Saluja : It's fascinating Deepesh , that you say that you have a firm demand in place, because when you look at hyperscalers, the way they have been working in India is a little bit different from the developed market experience. In developed markets, you end up contracting even before the groundbreaking day, because the clearances are rather easy. Whereas in India hyperscalers want to identify a spot, a location, but only give a firm contract once all the approvals are in place. What you seem to indicate is that you already have that demand in place, and a firm contract in place. Is that correct?

Deepesh Nanda: I'd say that there is an active interest, there is inbound inquiry, but the way the business planning has been designed is that there is no speculative build -out. The build -out is based against firm demand.

Kawaljeet Saluja : So, effectively, the first revenue stream that you would have, this would be more towards end of FY28 -FY29, is that right, Samir?

Samir Seksaria: Technically, you should get that around the FY27-28 mark.

Kawaljeet Saluja : What are your thoughts on the ROE and ROC E profile of this kind of

a business? Does it, let's say, can it generate returns which are
comfortably above the cost of capital?

Samir Seksaria: Definitely, it would be comfortably above the cost of capital. The IRR we expect, on each of the phases at the project level, is in mid to high teens.

Kawaljeet Saluja : That's interesting and, fascinating as well. Deepesh, have you identified the land parcels and the location of the initial capacity? Are you privy to disclose that? And typically, let's say a Data Center would involve a lot of land clearances, land pr

ocurement
clearances, civil infrastructure , cabling, electrical substations, there are so many elements involved. Do you intend to build these capabilities in -house, or leverage partners from outside, or leverage the group capabilities? And if you can just give some broad thoughts on execution of th e same.

Deepesh Nanda: We're looking at land parcels across all the key areas where data center buildouts are happening, which includes Navi Mumbai, it includes Hyderabad, Bangalore, New Delhi, Pune , as an illustrative case. In terms of how we go about construction and the contracting , all the key items will be contracted. It's a level playing field for everyone. We, of course, have in -house strengths, which will be leveraged, but it'll be available for competitive bidding across the board and that's how we plan to go about, making sure that the business gets the best that the business needs, and that'll be the plan to build out these data centers.

Kawaljeet Saluja : Initially, the contracting phase would focus largely on hyperscalers, or will it be a mix of build -out for both hyperscalers and enterprise workloads ?
And you just briefly mentioned about PUE, which I guess you're using air and liquid cooling, which will differ from traditional workloads . In that case, how would the Capex differ from your

traditional data centers, which are normally based on traditional cooling mechanisms?

Deepesh Nanda: To answer your first question, we are looking at large AI load, and that could come from pure play AI players, it could also come from hyperscalers. Not to say that we won't have a play in enterprise and so on, really a combination of offering. In terms of the design of the data center, again, it's built to suit, so if an AI data center has a specific build to suit, there will be a specific corresponding PUE . While the costing will be appropriate to the PUE but so will be the returns equation in terms of the revenue that that type of a data center would attract.

Samir Seksaria: Just to add to it, the capacity would be led by an anchor customer, which could be an AI -led company or a hyperscaler . And, majority of the capacity, if not all, would be led by that, and the incremental capacity which would be available would be available for enterprise or sovereign.

Kawaljeet Saluja : Question for Mangesh , if you look at some of the hyperscalers, they seem to be building out capacities on their own as well. I think AWS does have their capacity of their own. Microsoft has some land parcels. I think somewhere in Pune, I mean, we don't know Google's plan, but Google's also have some similar plans. How do you look at a scenario wherein, let's say these hyperscalers are setting up their own data centers versus working with partners, and how would this dynamic play out in your way?

Mangesh Sathe: Today, if you see other markets also, the same dynamic is already present, where you will have hyperscalers having their own data centers, plus they're working with data center companies, as well. So, I don't think it'll be any different here. From a capacity perspective, I think, especially the larger companies which require multi-megawatt, kind of a footprint , they will always have a scenario where they will have some in -house plus some, contracted data center spaces. And the reasons could be many for doing that kind of a split, so I don't think, that would change here as well.
There are two other factors in India specifically, given, as I told you, the demand outlook that we are seeing, which is, now, where is this demand going to come from? Deepesh and Samir talked about the AI part. Also, if you look at, the total amount of data that gets generated in the country, and amount of that getting processed in the country.
There is a certain ratio that one tracks. So today, India as a country will, be probabl

y somewhere closer to a lower single -digit number, on that. If I take some of my Asian peers, or some of the more leading emerging country players, they will probably be, higher single digits. And then, of course, somebody like U.S, etc, will be in double digits. So, from that perspective , I think data consumption in the country going higher is absolutely a given trend, and I don't think, we need to really validate that.
I think you talked about edge cases, etc. , so the amount of stuff that will now need to be processed and the quality of that process also, like the latency that will be involved, cost, I think we have not

covered that part, but, cost of, I would say, data center per unit, will be absolutely a big factor for anyone to consider, right? For hyperscalers, it's a capital allocation plus capacity allocation. For us, it is going to be a factor of what can we create uniquely in the country. So, I think from both supply and demand, there is sufficient room, for us to add value.

Kawaljeet Saluja : Okay, that's a very, very helpful perspective, Mangesh. Maybe a question for Mangesh and Deepesh, both of you. I know interconnect plays a major role in enhancing the stickiness of a data center and, boosting revenues , right? How does the company plan to address this opportunity, and would that be addressed by TCS, or would it be group companies or, someone else would capture that opportunity as such?

Deepesh Nanda: In terms of the topic of interconnect, yes, ours will be a highly interconnected design, both within our own DC network and also cross DC network.
On how we do it, I've answered this earlier, there's a level playing field, and we'll do all that it takes to be absolutely competitive in the market, such that the benefit is retained in the company, and we win market share.

Kawaljeet Saluja : Just a final question from my side, and after that, we will open this up for participants to ask questions. Samir, you're getting into a capital-intensive phase. There also seems to be a greater appetite,

for large M&A. Would it mean that there'll be any changes to capital allocation policy that you have in place?

Samir Seksaria: As I said earlier, we have a strong balance sheet and substantial surplus funds, which we have been sitting on for quite a period of time, and we get beaten on both sides for spending the money or not spending the money.
But coming to the capital allocation perspective , our capital allocation policy has been to return substantial free cash flows back to our shareholders. And if you look at the last 5 -6 years, we have been typically returning 80 %-100% of our free cash flows. We have, at various points of time, clarified that free cash flows would be after all investments we typically make. Our target will be to maintain the 80 %-100% range.

Kawaljeet Saluja : Okay, that's clear. Now we'll open the floor up for participants to ask questions. The first question, which is there in my chat window, let's go with that.
What's the Capex difference between air versus liquid cooling? I guess that's a question for you, De epesh.

Deepesh Nanda: The capex difference between air and liquid cooling, I'd say it's in the range of a ■35 to 45 crore mark. We are more towards the 45 crore per MW mark. With the AI data center focused, high on liquid cooling, there'll always be a mix of liquid and air. We'll be in that bracket of 70 -30.

And again, the other cost aspect is on Tier 3 versus Tier 4. We'll be in that range of Tier 3 plus, which is the demand that we're seeing currently in the market.

Kawaljeet Saluja : Deepesh, would these 45 crores also include the interest component during the build phase of the data center, or this is excluding interest costs, etc?

Deepesh Nanda: Excluding. This is a capital cost; this is a CapEx investment.

Kawaljeet S

aluja : Capital cost. Okay, got that. The other question is that we are seeing Indian telcos target the data center opportunity. They seem to have partnerships with hyperscalers, domestic enterprise, and AI companies, and willing to spend more CapEx. So why compet e with them?

Mangesh Sathe: I'll go back to the same piece, right? I would have agreed with this if, let's say, the market growth was, I would say in single digits, or probably early double digits. We are talking about multiple factor growth here, right? So, from that perspective, there is a lot of headroom, and given the substantial capital investments that are required in doing this , I don't think this is a market where on e entity can, in a way , dominate the capacity. I feel there is sufficient room for more players t o come in. And then, I think all the elements that we outlined in terms of our right to win, or our ability to win in this, makes us, a more attractive company to participate.

Kawaljeet Saluja : Got that. Now, the next question I have in the chat window is that what kind of challenges or pushbacks did you face from the board and within the top management team when the idea of entering this segment was first explored?

Samir Seksaria: I think, as a team, we evaluated it, put it up to the board. The board was receptive enough. Given, as I said, we have been sitting on surplus free cash flows , we have been considered conservative over a period of time. It's a bet which we are taking, and the board was receptive to the s ame.

Mangesh Sathe: Just to add, I think if you see, it goes in line with what Samir started off saying, which is the whole five -pillar piece for AI, right? So , this is not a standalone investment decision , it was one amongst another proposal that we had taken to the board.
I think it comes as a very core part of our overall aspiration, and I think if we don't invest in this, we'll not be able to meet our aspirations. So , I think this is a very important ingredient.
From that perspective, of course, it also ticks off all the other boxes, it becomes, certainly an attractive proposition.

Kawaljeet Saluja : The next question from the chat window is that, can you elaborate on the tenure of the contracts with the hyperscalers? Is it 9 years plus 6 years of renewal, or is it 6 plus 6 plus 6? Any insight on the tenure of the contract, and if there's any price escalator embedded in these contracts as such?

Samir Seksaria: As we said, we are in the early stages of negotiation, so there is no contracting which has fi rmed or finalized yet, but as our discussion states, these will be long -term contracts. That's where I said we expect long -term committed annuity revenues.

Kawaljeet Saluja : What is your GTM and cross -selling strategy in the business ?

Mangesh Sathe : The go-to market for us, as I had talked about various segments, I think the first two being on the technology partner side, which is the hyperscalers and AI companies, and then there is the enterprise side, which is on the public sector and private sector.
On the hyperscaler and AI companies , these are more core partnership conversations. Where, our focus is to really discuss with each of these companies to see what we can shape together, and how can we support their aspiration in this market, or other parts of the world as well. In terms of enterprise, we anyways are the leading system integration technology services company servicing the India geography.
I think we are already in all those right Boardroom, CEO room, CXO rooms, where these conversations are happening today. So now our ability to shape those will become better, because we'll be able to provide that entire end -to-end piece. So , I think on both those parts, we are well covered.
And as we progress, we'll see what additional capabilities will be needed to support this furthe

r.

Kawaljeet Saluja : And on that part, Mangesh, are the buyers of the decision makers involved in data centers completely different, let's say, from the hyperscalers with whom we have a partnership on the cloud side?

How do you build those cross -connects and synergize so as to derive the maximum value from this venture?
Mangesh Sathe: So, sorry, I didn't follo w.
Kawaljeet Saluja : Let's say on the hyperscaler side, people who take the decision on data center, colo, would be completely different from the relationships that you would have on the partnership, and go to market on the services side. There are two different wor lds, so how do you make the two meet?

Mangesh Sathe: I think all the companies that we are talking to and all the partners we are talking to, I think our partnerships are pretty deep and long - term. So, this element is absolutely being facilitated by the organization right from the leadership level, where the y are facilitating these connects, so it's not just about transactional conversation where I'm going to somebody who I normally deal with for a service or a deal. It's being done in a very strategic way at the leadership level, our leadership, as well as t heir leadership level. We are not seeing any challenges on that aspect as well. In fact, they are very forthcoming on that.

Kawaljeet Saluja : The next question in the chat window is that, are there plans to enter the cloud segment, or convert your co -location capacity into cloud in the future?

Would you assume that cloud -center, will be a more -sticky business versus colo, and will it help, differentiate a business model versus other players that are also simply building co -location capacity? If so, do you have any expertise in the cloud segments and the approach going forward.

Mangesh Sathe: We have already launched our sovereign cloud business for India and a few other parts of the world . The short answer is yes. I think as we scale up our sovereign cloud business, we will be leveraging the infrastructure that we are building, even for that business as well.
And the cloud services that we are offering, both in terms of AI as well as the non-AI part, are things that we will be scaling up to, both public sector as well as private sector. So, yes.

Kawaljeet Saluja : Got that. And the next question is how big, in your view, is the AI training and inferencing data center market in India? And will the services business of yours also get a boost as you provide infra related to the same? That's one of the questions in the chat window. So, the question is that how big is the AI inferencing and training data center market in India? How much would that grow by? And would that provide you with any edge in your AI services business as such?

Mangesh Sathe: If I look at it in two parts , One, if I see, as of today, as well as how do we see it going further. Of course, as of today, the market is small, given the nature of the services that we are talking about. But what

we are talking about are services that we expect to come in the future, basis both the requirements , directly consumed by the enterprises, or, by the AI companies and the hyperscaler companies.
I think we talked about a few percentages earlier, so I think globally, if you see around 10 -15% of the DC capacity overall goes with the AI, and that part is only going to keep increasing, as more GPUs replace CPUs.

In our case, I think we expect a similar number as we go ahead, in terms of how much capacity is from a direct AI load that will get consumed. See, there are two other factors. See, one also is a factor where a lot of GPUs will also be replacing CPUs on a longer -term basis, that's another piece that we might see. That's one part that we need to factor in. And then the third part from a sovereign perspective as well, we will see AI ca

pacities that we will need to deploy to serve the sovereign needs as well. So, I think given all these three, we feel the percentages will go up.

Kawaljeet Saluja : Okay, that's reasonably clear. The next question is, does Tata Communication have any role to play in the interconnect, which you offer in the data center? And do you see them as a part of your GTM, as and when the capacity comes up?

Deepesh Nanda: One of the vendors, in addition to the other vendors that we will, release RFPs to . So, the answer is that, yes, they'll be in the mix of the vendors that will give us networking solutions.

Kawaljeet Saluja : Deepesh and Mangesh, can you just help us, with the unit economics of the data center business? What would a revenue per MW look like, how much EBITDA can be generated per MW, the payback period, etc. And second is that let's say when you think about revenue streams, what are the potential revenue streams that are possible in the initial phase?
I guess there'll be capacity revenue, power revenue, interconnect revenues, but if you can just, provide your perspective on it, along with unit economics, if you are ready for it, I think it's too early, but nonetheless, I think that's the question that has come up in the chat window.

Deepesh Nanda : Okay, too early, but yes, that'll be the model. We're looking at a relatively high EBITDA margin business. And in terms of, what will be the contracting structure, typically there is a rental yield. And then there is margin on the power supply that will be made. Networking is typically pass-through.

Kawaljeet Saluja : Typically, Deepesh, what would be the useful life, in your view, of various assets that go into your data center? So, at one end of the spectrum, you would have a building or a shell which would have a life of 30 -odd years. On the other hand, you'd have, powers and cables which may have a different life. A battery or UPS may have a very short life. So, when I basically look at the useful life of a data center, what is the duration , and various components ' useful life ?

Deepesh Nanda: We can get into design specifics, but I'll give a broad answer that we're looking at a 15 -year point before any major over haul happens. So, it's not that life comes to an end at the 15th year. Because if you look at the power gear, the power gear runs for at least 25 years. These are normally governed by the number of operating hours. So , the year terminology is a bit misleading. It's on the operating hours. The amount of redundancy that's built into these plants also makes sure that equipment 's are run to that ratio of the redundancy, and hence the life in terms of calendar years tends to be much higher than the operating number of hours. So , if you're looking at an answer in terms of years, it's upwards of 15 years.

Kawaljeet Saluja : And Deepesh, if you look at Equinix, let's say their big point of differentiation is the points of interconnect and the software fabric they have, and the mo at they have built around, that aspect as such. So, let's say within TCS, you have mentioned in various ways your differentiation, in multiple questions. If you have to summarize differentiation for TCS overall versus, let's say, some of the global players, like an Equin ix, or maybe a Digital Realty, what would those be?

Deepesh Nanda: I think, we have a right to win in this space. We have the relationships that was very well explained by Mangesh. We are in the ecosystem. We understand power, we understand water cooling solutions, we understand networking. In India, as such, all these industries are quite mature.
We are in the infra business as a group. There is enough infrastructure experience that's available. And then, the approach

in terms of how execution would happen, we would look at safety, that's our number one priority. Absolute

ly safe operations,
everybody goes home.
Number two is in terms of quality. The benchmarks that we're looking, in terms of all the process quality, we're having good discussions with most long lead vendors in terms of how you benchmark , their process quality and so on.
Third is execution, in terms of delivery. Once we get the first two right, which is safety and quality, 70% of our focus is on execution.
And last is cost. This order is very important for us, that we are going safety first, quality second, execution third, and fourth is cost.

Mangesh Sathe: If I just add one or two points here, I think, from anyone setting up data center capacities, I'm not talking about the physical infrastructure, I'm saying, once the physical is done, then I need to put in all the chips, etc. See, it requires a lot of integration services and most of these, large companies that we are talking, hyperscalers or AI companies, may not have requisite capacities here, the resources here to do that. From TCS's perspective, we can absolutely help them get the data center up and running. What you said earlier around other players, we will be able to do that very, very effectively. You know, that's one very important part.
Second part, from a differentiation perspective, would be that if you look at the market , while of course, we are talking about a certain growth rate, we still have to create that market. Market making is very important in this case, right? So, we will be partnering from a TCS side, we will be partnering with these companies to also support th em create that market.

Now, creation of that market would mean, what kind of applications will be needed in a certain enterprise, or, in a public sector, what's the kind of offering will you need? And there, it will always be a combination of a cloud, or services, or some other elements of applications that we'll need to take. So, I think our ability to really shape that becomes a big differentiator when a partner is talking to us, because then we will be working with them to make the market as well. So , market making and then the services to accelerate the deployment also become very important capabilities to differentiate.

Kawaljeet Saluja : The next question from the chat window that I have is that I think somewhere in the answers, it was mentioned that you would make some margin on power ? But I guess most of the contracts, the way it's structured in India, more or less, power is a pass -through for hyperscalers. So, Deepesh when you said that you'll be able to make some money or some margin on power business, where does that belief come from?

Deepesh Nanda: This is to do with the mix of the power that we would offer. It would be high on green energy, and hence the cost of power that you see today and the mix of power versus the cost of power, and the mix that we will offer in the cost of power, there is enough margin for us to make, and yet, be competitive. Because the green power is at a much lower delta, even on a round -the-clock basis, as compared t o the current prices on the grid.

Kawaljeet Saluja : Right. But wouldn't that be baked into the hyperscaler agreement on the power mix between green versus the normal coal -fired power plants?

Deepesh Nanda: Early days, I've just given you a kind of directional answer, that we'll be extremely competitive on the cost of electricity, and that gives us a right to earn a higher margin.

Kawaljeet Saluja : Right. Let's say, even on the renewables side, in many cases, what ends up happening is that there's a wheeling charge that you have to pay to the power distributor. Does that leave you enough savings, if you go for renewables in the process?

Deepesh Nanda: As landed costs to the data center , at my GIS point , all things being equal, the mix that we are looking at in terms of RE versus Grid power wil

l be more competitive , in terms of the Levelized Cost of Electricity, (LCOE) will be lower, all things considered, as compared to what we are seeing currently.

Kawaljeet Saluja : That's very helpful. The second last question is that globally, power is a major bottleneck in terms of data center build -out. Is that a bottleneck in India as, with any potential bottlenecks that could delay your capacity rollouts?

Deepesh Nanda: That's a great question, and I say that with a lot of pride being here in India, because over the years, our grids have become much more reliable and hence, when you compare with the example that was

compared to. There's a lot of back -of-the-meter happening in the Western world, because the grid connectivity is not available, as it is available in India. While in India, though, there is much higher demand, but then the situation in India, on a comp arative basis, is much better than what's available overseas right now. And hence that runaway market that you see in the Western markets, on the back of the meter, that's not the situation in India.
Number two, we are seeing the designing of the data centers. We're looking at dual connections coming in from, say, two different substations. In addition to that, we have captive power being made available. And also, newer technologies with the advent of large - scale battery energy storage systems, it gives us a much, higher quality power solution at a much lower cost on an LCOE basis as compared to the Western market , which makes India as an attractive market when compared to the Western markets on a power availability, quality, and LCOE basis.

Kawaljeet Saluja : That's a very fascinating point of view, Deepesh . Okay, I was not keen to ask the last question, but there have been 8 versions of the same question . Do you intend to get into GPU as a service?

Deepesh Nanda: I think this was answered earlier by Samir, that there's a passive layer, and I think the takeaway from this call is that we are all in, all hands-on deck, and we're very deep in terms of understanding the MEP build -out, the timeline of that, the safety, quality, delivery cost. And then, we are open to looking at the active layer. We are open to looking at the active layer. But once we get the first part right, in terms of making sure that execution is flawless, then the day will

come, when we will start graduating towards the active layer, we are open to all conversations at this point.

Samir Seksaria: Reiterating what I had said earlier, incremental active data center considerations will be dependent on bespoke commercial negotiations with our anchor customers. It won't be an incremental add-on to what we are planning on the passive data center side.

Kawaljeet Saluja : Fantastic. Samir, Mangesh, Deepesh, you have been quite patient. It's very early days, but you have answered a raft of questions. I really appreciate your honest answers. Thanks a lot for that insightful session. Thanks a lot, to all the participants for your interest. Until the next webinar, stay connected, stay well, everyone. Have a good day.

Samir Seksaria
Mangesh Sathe
Deepesh Nanda: Thank you everyone.

Kawaljeet Saluja : Thank you, everyone. Take care, bye.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Dec 2025

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TCS/SE/ 170/2025- 26
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Dear Sirs,

Sub: Transcript of the TCS Analyst Day 2025 held on December 17, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and i n furtherance to our letter dated December 11, 2025 , please find enclosed the transcript of the TCS Analyst Day 2025 held on December 17, 2025, at 04:00 PM (IST) , for your information and records. The above information is also available on the website of the Company: www.tcs.com .
Thanking you, Yours faithfully,
For Tata Consultancy Services Limited
Yashaswin Sheth
Company Secretary
ACS 15388 Encl: As above

TCS Analyst Day 2025
Date: 17th December 2025

Opening Remarks and Forward-Looking Statement
Nehal Shah - Head Investor Relations, TCS:
Good afternoon, everyone. Welcome to TCS's Analyst Day 2025 on behalf of the entire TCS management. I also welcome everyone who has been listening to our webcast live from our website. As you are aware, we don't provide any specific revenue or earnings guidance, and anything said in today's session which can be construed as a forward-looking statement, must be viewed in conjunction with the risks that the company faces. You can view some of those risks here. Please note that we will not be taking any Q&A during the speaker sessions. Kindly hold on to your questions for some time. We will have an executive Q&A session at the end of all speaker sessions.
We are also recording these sessions, and post-event, a recording of all the sessions and a transcript will be available on the website. Without taking too much time, I would now like to invite our CEO and MD, Mr. K. Krithivasan. Over to you, Krithi.
CEO Session - Leadership in the AI Era

K Krithivasan - MD & CEO, TCS:

■ Thank you, Nehal. Once again, a very warm welcome to all of you for joining us here. So, over the next hour or so, what we want to do is showcase to you what we are doing, why we are doing what we are doing, and why we believe this is the right strategy. And if you look back, all of us have seen multiple technology cycles that we have passed through. An important aspect of each of these technology cycles in the past has been that every time a new technology cycle comes in, it actually puts technology right in the centre of the business. And every business ends up spending more on technology because the value that they are getting from technology keeps going higher and higher. And the value that TCS has been able to derive is, we've been able to master this navigation from each technology. Whether it's from mainframe to personal computers or from personal computers to internet and web or from web to digital, every one of these transitions, TCS has been able to use as a growth accelerator and grow further on these technology changes.

■ And of course, what we are seeing today is a new technology in terms of Generative AI. Of course, it's a misnomer to call it just a technology. This is a fundamental shift. It's very different from the previous changes, the technology disruptions we had, because of the scale with which it is going to impact and the speed with which it's going to impact and the benefits that we c

an deliver from it. In fact, because of this
reason, our Chairman called it out as a civilizational shift. It's a very, very important change and transition. And we want to talk to you about how we are going to navigate and what we define by this shift.

■ First thing, what does the AI enterprise look like? If you look on the left-hand side what you see on the data we are reporting, these are some of the characteristics we declared for a digital enterprise some time ago. Now, how do you characterize the AI enterprise? I think it's important for us to first characterize what an AI enterprise is, then talk about why we have a strategy or how we justify the strategy we have.

■ The most important or the number one important aspect of this is a digital enterprise was data-aware. It had access to all the data. But an AI enterprise is what we call context-aware. It has complete knowledge about the context in which the data is being available, and the decisions are made in the context; it's not without the context. That's what differentiates the AI enterprise. Similarly, a digital enterprise made reporting, on-time reporting possible every day. But an AI enterprise, we are looking at advanced analytics and reasoning. Why the report says what it says and what smart choices and actions somebody has to take based on the reporting and the reasoning available? Third, within the digital enterprise, we talked so much about automation. In fact, if you looked at our layer, you would see a data layer, enterprise layer, experience layer. The focus was on straight-through processing. How do you automate stuff end-to-end? But in an AI enterprise, the focus is going to be on autonomy. How the systems take decisions on their own, based on the reasoning, based on the judgment, and supported and supervised by humans. So that's the nature of AI enterprise.

■ And the software that you would see here are not going to be rule-based software. These are all software that's going to be… that can learn and adapt and take decisions. And essentially, that's what we call in a digital enterprise, it's about data informing humans. But here, it's AI becoming a decision coach.

■ In fact, we did a joint research with MIT. They came up with this overall architecture, what they call an ‘Intelligent Choice Architecture’. What a future AI enterprise would have is a choice architecture that throws all the choices in front of you, not the data points, throws the choices and helps you in taking the decision and creates a feedback loop, so that next time you have to take a decision, the feedback loop, the past experience is taken into consideration. So, this is broadly our view of how AI enterprise would be. And we've been doing many… we want you to keep this context on what we define by AI enterprise and so that will probably later on, when we describe what we are doing, it will come quite handy.

■ We've been doing many projects, since 2023, when the ChatGPT moment happened, we've been working with our customers, helping them do POCs, exploring, experimentation, so many things have been happening. By now, we have done more than 5,000 projects. And if you look ask us, like all of you are in one of those immersion sessions, some of the basic engagements we get into would be how do I help the customers accelerate AI adoption? They ask us to come and see how we can help them change their culture, adopt AI at scale. But the interesting nature of the projects are also on how do we help them anchor AI to their strategy and business value, because

AI is a lever that has to be embedded into a strategy and otherwise it will not deliver value to you.

■ Second, we are helping our customers make those technology choices in the context of their business strategy. And more importantly, we are actually helping them design for change. This is a very important aspect, because we all see that these technology cycles keep happe

ning at more frequency than before. Which means, what you buy today, build today, may not be fit for purpose, maybe five years, two years down the line; that's shrinking. And even within AI, the technology is evolving so fast. So, we

need to be building and choosing technologies that can adapt and that can change very fast. So, the design for change is very important. That's what we are helping our customers with.

■ And helping them get the right operating model, more importantly, the organizational culture. That's a very important aspect as you adopt AI, because the roles of people are going to change. The roles of humans in organization are going to change. What we are going to… For instance, even if you take an IT services company, we keep talking about how many programmers we'll have, how many coaches we'll have, how many trainers we'll have; we'll keep changing and new roles will keep evolving. And organization should be dynamic, should be adaptable. That's what we are helping.

■ Next one is assurance, like how do you establish the right guardrails? Because without the guardrails, many of these programs will fail on the first day itself. Because if the AI doesn't give the right results that you are expecting, or say something it's not supposed to be saying, it's a huge setback. That assurance, being ethical and being responsible is very important.

■ And last is ROI certainty. Because we can do a few projects as an experimentation. We can do a few POCs, but eventually enterprises have to get ROI benefit. And the kind of projects that we are doing with our customers broadly fall into this category. And if you look at the important aspect of it is, the kind of projects we are doing, based on many years of our deep customer experiences, we are also moving up the value chain. If you looked at, in the past, the kind of projects that we would have helped our customers, it would be in building the system. Somebody designs what they need to do, we go and help them in implementing. But this technology shift and the deep customer connect and context we have is helping us move up the value chain now.

■ And these number of projects that we have done gives us the experience and the confidence that we have to aspire to be in a league of our own. And we are on a journey towards this, to build a future-ready TCS. And the future-ready TCS is built on a vision that we have put forward. This vision is a vision to be the world's largest AI-led tech services company . And we believe with the customer context we have, deep customer relationships we have, the experience that we have built, and the investments, the strategy, investments we are going to put in and the strategy we have, we are really poised and in fact, we feel that we are destined to be there, and we are making every step to achieve that.

■ And what is driving this AI-led technology services company ambition are these five pillars. Essentially, we have defined five broad pillars on which we will be working. While Aarthi will come later and double-click on each of these five pillars, I just want to take a minute to explain.

■ First is achieving the internal transformation. Essentially, we want to be our own customer zero. Whatever we want to tell our customers, if you want to tell our customers, you need to have an AI culture, an AI-first culture, you need to have a culture that you can change yourself readily, we want to do it for ourselves first. In fact, there's a massive internal transformation exercise going on, and we are encouraging all our associates to adopt an AI-first culture. What does an AI-first

culture mean for us? Every time we do a project, every time we engage with our customers, first question we ask is what can AI do here? Can AI do something better than what we are doing, even if it is going to cannibalize our revenue? See, that's what we define as AI-first culture: giving AI the first r

ight of refusal before we do any other option. And of course, we are building our own AI solutions, we are scaling with AI.

■ And I would let Aarthi come and talk about each of these, like we are redefining each of the services. We have a new leader that takes care of AI and service integration.

■ We are redefining every one of our services in a structured way and we are re-looking

at our talent model. How do we train our people? What are we training our people in? What should be the structure of the team? How does project get delivered? We are re-looking at every piece of this talent puzzle.
■ And fourth is, while all of us know AI can deliver productivity in software engineering, but we believe the best value through AI will come when there is a business change, we are able to deliver business change or we are able to introduce new products, new services, give better customer experience. So, we are re-imagining the customer's value chain. For example, for one of the customers, we re-imagined their claim’s process by which we did not throw away the human being working there. For instance, the call centre agent was continuing to work, but the call centre agent was able to focus on being empathetic to the customer, while having a discussion at the same time collecting the data and able to close the claim in a very short period of time. So, number of such examples where we re-imagine the customer's business value chain. We believe this is where the maximum value release will happen and our customers are very keen on working with us because of the deep contextual and domain knowledge that TCS has.
■ And the last one, if we have to broaden our play, we need to have more partnerships, we have to be more acquisitive in nature, we have to get into new ventures. We have spoken about some of them, I will talk about what we are doing. But most important reason that we are doing this is as I said, this technology change, one important aspect is the speed at which it is happening. If we need to address the speed aspect of it, we cannot be only building everything on our own, we need to partner with others, we need to acquire capability wherever it is required. That is the reason we have chosen the ecosystem play as the most important pillar in this journey.
■ So, if you look at where is the money being spent in this overall AI transition. We looked at the stack of this… there are five different layers in this stack. Money is being spent in building new infrastructure, developing new hardware. And customers are building, leveraging models, building models or fine-tuning models, creating SLMs. Then, once you have them, you need to have the frameworks, you need to have the platforms in which these models could be leveraged. On top of that, you need to have the agents that can be built on these platforms, that can deliver value. And last is, how do you show this intelligence in action? The intelligence in action is shown as physical AI. I know you will probably be seeing a quadruped today, where we have been able to integrate physical and digital AI coming together. And of course, where you are able to give integration services, conversational AI using digital AI. And what we are doing is playing in all the stacks. It's important for us to play in each one of these layers so

that we provide end-to-end value to all the customers. And only by playing in the entire ecosystem, you give the best value to your customers.
■ Like, your customers can engage with you. We see many of our customers engaging with us in creating a model foundation and then using a platform on top of it, then engaging with us in building agents, and then conversational AI. So when a customer engages with us in the entire value chain, there is more and more increasing value for our customers. And that's the reason that you see right from the infrastructure… we announced the creation of HyperVault. And we work wi

th many other chip makers
today, and we are helping them in chip design. And we are working in the devices platform area. And we are actually working in integrating models for our customers. We are building SLMs. We are fine-tuning LLMs for our customers for their domain needs. We created platforms like Ignio, a number of platforms. CodePlus is a very interesting platform that helps you in migrating from one tech to any; multiple technology transformations it can do, reducing tech debt reduction. And we have, of course, built agents on top of that for many domain use cases. And of course, I talked about Quadruped and other intelligent services.
■ And as I said, we will be doing all these things… while we build most of it internally, we will also be partnering. We are developing deeper partnerships with our partners, like all the hyperscalers, AI-related companies. And also acquiring. We talked about ListEngage, of course, Coastal acquisitions, and we are being more acquisitive.
■ There's another angle on why we do this. By participating end-to-end, the partnership with all the ecosystem partners is also becoming 360 degrees. It creates a very, very virtuous cycle for us. Hyperscaler is our go-to-market partner. We consume hyperscaler services. We provide service to hyperscalers. While it is true for hyperscalers, it could also be an industrial company from whom we are buying a switchgear, or it could be an AI company. It provides multiple opportunities for us to integrate ourselves into the AI ecosystem by playing end-to-end. So, our end-to-end

strategy is very, very deeply thought out, and creates a stickiness, creates the ability to give a lot of value to every stakeholder, and makes our play very strong in this ecosystem.

■ And why do we believe that we will succeed in whatever we have put as our strategy and investment? See, we look at more… we are currently about 60 clients with whom we make $100 million a year annual revenue. Of these 60 clients, for 54 of them, we are engaged in AI work. And as I said, we have done more than 5,000 engagements, and these engagements have resulted in a satisfaction of close to 95%. These are all only AI engagements. So very strong customer endorsement and satisfaction.

■ Second, we went ahead and trained 100% of the customer-facing team in AI technology so that they can articulate what is the value the customer will get by deploying AI in a particular way. And we also went ahead and trained more than 180,000 associates in higher-order AI skills. We conducted the largest AI hackathon in the world to prove the point that TCS can scale, help our customers scale. 280,000 associates, the largest hackathon, where they all created… first ideated. Close to 175,000 builds were done within a short period of about three to four weeks. And of

course, all this has been recognized in the market. 14 of our engagements in the last one year have been recognized as best-in-class.

■ And we have been found in the leaders' quadrant in 8 of the 8 Analyst reports that have been published. And I talked about platforms in terms of ignio ™, WisdomNext ™, CAP.AI. Collectively, more than 200 platform implementations have happened. So, what we have seen in the customer gives us the confidence, first proof point, that we are on the right track.

■ The second, from a revenue perspective: Our AI-related services have garnered a total revenue of US$1.5 billion annualized. And I said, about 54 of the top 60 clients use TCS for AI. 85% of all the clients, greater than US$20 million, leverage TCS for their AI work. And based on the success we've been able to get in the market from our customers, our quarter-on-quarter growth on AI alone has gone up by 16.3%. And if you see, it's reflecting in every service line. Every service line, the AI revenue is growing and growing significantly. Like, whether it's Banking and Financial Services (BFSI) or Life Sciences, you

see strong growth across the board.

■ And I talked about reimagining every service that we deliver. The reimagination of services actually is creating the growth acceleration for every service line. Today, what we can call non-traditional services, if you take ADM and testing and BPS out, the non-traditional or the new-age services, if you can call, constitute almost US$11 billion of our revenue, and all of them are growing at a rate higher than TCS' average rate.

■ So, all this put together, again, is another proof point that gives us the confidence that we are on the right path. We are reimagining the services right, and our customers are acknowledging what we are doing.

■ And TCS continues to be very well recognized and accepted by their customers directly. The Whitelane survey, which is an independent research agency in Europe, has ranked TCS came as No.1 in customer satisfaction, for the 12th year in a row. And of course, our internal customer satisfaction scores are above 94%, and it keeps increasing.

■ And this is another very interesting statistic. Recently, Newsweek in US published a list of the 'Most Reliable Companies'. TCS was globally the No. 1 Tech Services Company in the list, ahead of many other peers and competitors. And of course, we continue to be the Top Employer and one of the best in retention rates in the industry. And Fortune ranked us as the most admired company. So, as I said, we have our customers trusting us. We are seeing that validated in the revenues and the service line and the industry line growth. And of course, our employees are continuing to like and be delighted by the investment that we continue to make in them.

■ And the last aspect on why we are uniquely positioned to go through this transition: Because as I said, this transition is going to require a lot of discipline, and it's based on certain investment that we are committing. For a long period, as all of you know, that we've been a benchmark on our margins. Our cash conversion has been consistently over 100%, and we have industry best return on equity. And Samir has $6.3 billion to spend as well.

■ With that, I just want to conclude and let Aarthi, Samir and Mangesh talk about the different aspects of our strategy. But I just want to give a high-level summary:

■ The first is, the shift from digital to AI is a huge opportunity for all enterprises, particularly for TCS, based on the deep partnership we have with our customers and deep investments that we are making.

■ And we have a very well differentiated strategy. We are committing our investment. And our strategy, which is based on these five pillars, is, we believe, well validated by many of our customers.

■ And the enduring partnerships with our customers, is very important. The contextual knowledge you have gained with these partners over the years, helps you in building the solution and making AI real for our customers, because this enduring partnership is very important in converting an idea or converting a technology into a business value proposition.

■ And of course, with the strong, robust financials and execution discipline, we all very strongly believe TCS is best positioned to gain leadership in AI.

■ I'll be happy to take questions after Aarthi, Samir and Mangesh's presentations. But once again, I want to thank you all for being here. Thank you.

Nehal Shah - Head Investor Relations, TCS:

Thank you, Krithi, for that very insightful keynote. Next on the agenda, I would like to invite our COO and Executive Director, Aarthi Subramanian. Over to you, Aarthi.

COO Session – Building a Future-ready AI-led Tech Services Organization

Aarthi Subramanian - Executive Director & Chief Operating Officer, TCS:

■ Thank you, Nehal. Thank you, Krithi, for setting out our aspiration and the five pillars that are driving our transformation in the company. So, as part of my session today, I'll cover the five pilla

rs that are driving our transformation.

■ And I'll start with the first pillar. As Krithi said, the first pillar is about TCS's own internal transformation. And we have codenamed this transformation tcsAI. So, as part of this transformation, what we are looking at is, how do we make every TCSer, senior, junior, in every role, an AI practitioner? How do we create AI-first mindset, as Krithi alluded to earlier, in every employee in the company? So, that's the focus of this internal transformation initiative.

■ And to achieve this, what we have done is, we have made some big investments. We have been working on this, as Krithi said, since the ChatGPT moment. We have been making AI available to select employees. But in the last 6 to 8 months, today, we have what I believe is one of the largest AI infrastructure available for employees. 600,000 TCSers have access to AI at their fingertips. What this includes is access to all the models, access to all the coding assistants and other tools, and also access to all the hyperscaler AI tooling which is available, with which we actually build solutions for our

customers. So, these tools are available in a safe, secure, and on-demand fashion to all the 600,000 employees.

■ Now that we have made this infrastructure available to all the employees, the next question was, how do we get all these employees engaged and use this infrastructure, put it to use to the maximum extent? So, we ran what we call the world's largest tcsAI Hackathon. It is the largest because we had more than 280,000 associates engage during the hackathon. We ran it in two phases - Ideate with AI for four weeks, and build with AI for another four weeks from August to September. What this generated was: these 280,000 employees created more than 500,000 submissions, about 330,000 ideas, and about 170,000-plus builds. So, in the four weeks, people actually took the idea, brought it to life, built a solution, and all this is available on a platform which is powering the tcsAI Hackathon.

■ It was also the most inclusive, because like I said, we want to make every TCSer an AI practitioner. So, all of us, including the senior leaders in the room, HR, Finance, every function participated. And obviously, all the engineers and the development community were very much part of it, but we wanted to make sure that senior, junior, people in Finance functions who wouldn't have ever coded in their lives, really got hands-on with AI, and it became the most inclusive hackathon from that point of view.

■ Another thing we are very proud of is it was also the most innovative hackathon. 500,000 submissions, if we had to evaluate with humans, would have taken us 90 people, 12 months. We put AI to the task. We built a model which evaluated these entries, and we completed 500,000 submissions evaluated in three weeks. And we had a big recognition event where our best employees who really did outstanding contributions and generated great ideas for our customers and for internal consumption. They were recognized and felicitated by our CEO.

■ Now, the hackathon is something we did, a large one in August, September, but it's something which is continuing on a regular basis. Different teams, different functions keep running these hackathons, and this is an ongoing activity. But what we also did is, we said we want to really bring people together. Because a lot of times you could be sitting at your desk and ideating and building, but we also wanted to bring teamwork into the hackathon. So, we launched something called tcsAI Fridays. This is where our AI infrastructure… and we have created AI Friday Labs. This is a physical infrastructure in every delivery centre, and we have brought the best AI mentors in that location all together to run what we call AI Fridays, which is basically, what it does is, it helps our teams solve problems, come up with ideas, but most importantly, discover the power

of this technology, and also discover their own capabilities by building solutions.

■ So, what we do is this is on every Friday, there is a 4 to 6-hour AI Friday, gamified hackathon which is run, and it's competitive, and people start ideating from Monday through Thursday, then come together as teams, self-organized teams, and they build, and they present to a jury, and on the spot they're awarded for their creativity and innovation. And what this is doing is, the teams actually include not just the AI-native talent, we actually bring together senior people - 20 years, 30 years, 15 years experience, some of them who are still hands-on, some of them who are not hands-

on, but also with the AI-native engineers, some of whom you met when you went through the immersion session today. We bring them together. And what this is doing is really blurring and bridging the gap between seniors and juniors, and expert and novice. And that's what we are trying to do internally. This is something that started. It's a movement which will continue because the technology is changing every day.

■ The second part of tcsAI is building AI-first solutions, which is making TCS the best showcase of AI internally for the industry, and also in front of our customers. We are driving this across two areas: one in IT -TCS's own internal IT, how do we develop software? How do we disrupt? How we run our Service desk? How we run our IT operations, whether it's infrastructure operations or application operations? So, we have put together a very ambitious goal to disrupt how we use AI in our IT. 97% of our developers and engineers have access to coding assistants, and we are well on our way to drive productivity improvements. There are portfolios where we are already seeing 20–30% improvements, and also, we are looking beyond coding and looking at how we can disrupt the entire software engineering. Testing, again, high levels of productivity, generating Figma designs, UX with AI. These are areas where higher levels of productivity are already being seen, and we are creating our own showcase. We are also learning from the work that we do for our customers.

■ The second aspect is how do we put AI to use for our own business, for our own business functions, our business users, whether it's HR - how do we disrupt learning, how do we disrupt hiring, whether it's for Finance, Procurement, every function in TCS, we are looking at how do we disrupt with AI. Jana took over as our Chief Information Officer from July, and he's driving the entire internal transformation within TCS.

■ Let me show you an example of how we are creating disruption within from a learning point of view. So, as all of you know, TCS, for not just now, over the decades, if you look at the last 20–30 years, we have always invested in learning for our employees, and over the last many years, we have put together a very strong learning infrastructure. So, it provides on-demand learning, anytime, anywhere, any device; top-notch content is available to our employees; clear pathways are available for taking your capability to the next level, but we didn't want to stop at that. We said that now, with this new form of AI, Generative and Agentic AI, with reasoning being available, we have disrupted learning within TCS. What we have built is an N=1 Personalized Coach. It's a learning coach which is available to every TCSer. What does it do? You can see a video which is playing out there. You see a TCS employee there interacting with the AI avatar, which is the learning coach, to understand how containerization works in the context of microservices. That's the video. So, what it does is we have brought all the learning content that we have and made this available to the AI model which the AI avatar is consuming. So, in some ways, the AI avatar is an all-in-one SME. It understands all domains, it understands all technologies and can also coach an a

ssociate on soft skills.

■ So, the key differentiation here is that it has complete understanding of where the skill level of the employee is, what the aspiration and learning goals of the employee is, and then how do you now bridge the gap, and that's where the N=1 coaching comes into play. And here, traditional AI, Generative AI, and Agentic AI all have been put to use, and this is under deployment, and we are seeing great results.

■ Let me now move on to the next pillar, which is a very important pillar. If you look at AI today, it is a hugely promising and powerful technology. It's disrupting every industry. But what is important is it has a huge opportunity, and it's creating a disruption in our own industry. So, we are looking within and saying how do we use AI to disrupt every service that we deliver to our customer?

■ So, this is where we have now appointed Amit Kapur, who's here, as the AI and Service Transformation Officer. We are looking at all service lines and saying how do we disrupt every service line for the new world of autonomy? All services, if you really look at not just in the last few years but over decades, automation has always been central to how we deliver services. But with this AI, we are shifting from autonomous to autonomy, and that's where we are looking at how we need to look at the human-plus-AI autonomy model.

■ So, just to give you a very quick view, when you look at our services, so, just you look at it, whether it's infrastructure services, application services, all the services around business, across all these service lines, there is a huge opportunity for us to disrupt how we deliver each of these services to our customers. And to do this at scale, at TCS scale, and also do it consistently, we said, okay, how do we do it at scale? How do we deploy the autonomy at scale?

■ So, the first thing that came to mind when you think about autonomy is ADAS. All of us are familiar with autonomous cars. So, we drew inspiration from the autonomous cars, where all of us are familiar with the five levels of autonomy. So, we have Level 3 and Level 4 cars internationally. We have Level 2 cars here in India. So, we said that why don't we create our own TCS Services Autonomy Model, which is inspired by the autonomy that we see in vehicles? And this is the model that we have created. It's a five-level services autonomy framework which we are consistently deploying across every service line. What you see here is the framework. This has been instantiated for every service, whether it's development, whether it's testing, whether it's production support, whether it's SAP implementation, Salesforce implementation, or a ServiceNow implementation, or autonomous GBS. For each service line, we have instantiated this framework.

■ What this does is, it gives us a blueprint to think, consistently deploy, more importantly, it becomes an assessment framework when we engage with our customers. How do we go and find what is the current maturity of the customer on this model on any service line? This is becoming a cookbook for us to go and tell our customers: use this framework to say that you are at Level 3 or you are at Level 1. This is how we can take you to Level 2. On development, coding assistance usage, you are at Level 2. We can take you to Level 3, and this is what it takes.

■ So, let me give you an example of how we have put it to use in the application development software engineering context. So, as you can see, just like cars, a Level 5 car is not on the street. So, even here, the Level 5 and Level 4 capability, the technology capability, may not be available. But we have created a blueprint of what

the art of the possible is. And for Level 1, 2 and 3, where the technology is available and those levels of autonomy can be put to execution in our own internal context and customer context, that's exactly what we are working on.

■ The

first one, as you can see in a development context, is coding using a general-purpose LLM: lower accuracy, lower context. You move to Level 2: it generates better productivity because you're using purpose-built coding assistance, whether it's Windsurf, whether it's GHCP, or any of those tools. And Level 3 is where the customer context starts flowing in, where the entire enterprise knowledge of the customer… you start building agents who understand the customer code base, the customer knowledge, and that's when you get the next level of autonomy, and obviously, the higher level of productivity, where AI can now start autonomously executing some of the software engineering tasks.

■ So, just to bring this to life with a few examples: for a large customer in Asia-Pacific, the customer had already very good maturity and was at Level 2 and had made significant investments. We worked with the customer and used this framework to take the customer from Level 2 to Level 3 and helped generate higher-order benefits: 30% productivity.

■ For a global consulting firm, we helped them, again, take them from Level 2 to Level 3 with 25% benefits in terms of productivity.

■ Again, the third one is a very interesting example, where we already were executing this project, and this is a large application development portfolio that we deliver for this large aerospace OEM. We proactively went and disrupted. And Krithi talked about doing the right thing, AI-first culture, cannibalizing our own revenue. We went ahead and proactively deployed coding assistants and moved them from Level 1 to Level 2, delivering 20% benefit, and we are now on our way to take the customer to higher levels of autonomy. And what you see here is the quote from this customer, which shows how proactively we went in and delivered savings to the customer.

■ Let me move to the third pillar of our transformation agenda, which is building a talent model which is future-ready. Here, we are looking at three pillars. First is building future-ready skills: AI fluency at scale - How do we train every employee to learn how to work alongside and with AI? So, when over the last 2-3 years we had made significant investments once GenAI came into the scene. As of date today, pretty much all employees, 580,000 people, are AI-aware, but AI awareness is not enough, it is necessary, not sufficient. So, then over the last two years, we are driving higher-order AI skill development. And today, 180,000 TCSers possess higher-order AI skills. This number was 80,000 at the end of last year. So, we have almost doubled capability building when it comes to building higher-order skills.

■ The other element is the AI-native fresh graduates. I think this is a very exciting time because all these fresh graduates are very AI-native. They really know how to use AI very organically. And what we have done is, our intake of trainees, fresh trainees from universities, we have actually doubled on that. And what we are finding, and you met with some of these trainees today, these people really know how to treat AI as a teammate. And that's the big learning that we have, and that's where the seniors and

the juniors coming together, the fusion that I talked about, is really helping create that AI-first culture.

■ The second element of our transformation on the talent model is role transformation. Here, I was talking to some of you before we started today: every role in the company is changing because of AI. So, every customer conversation is an AI conversation today. So, how do we drive AI-centric customer conversations, whether it's from sales to advisory or solutioning to delivery, every role in the company has to become AI-first, AI-centric. So, we have a program called AI Dojo which we have launched to all our sales, solutioning, advisory, and delivery teams. And this has been done at scale. This is the starting point and this is something that we need to continuously engage and keep further honing the skills. And another important thing here is that AI is also introducing new roles. We have rapid-build engineers, rapid-build leads. So, we are also looking at new roles that are becoming very relevant for the future.

■ The third pillar is future-ready hiring. Here, we are looking at securing top talent. So, over the last year, we have doubled down on advisory and consulting talent across the big bets, and I'll talk about big bets in a little bit. These are areas like cybersecurity, enterprise solutions, cloud, all these areas. We are hiring a lot more advisory and consulting talent and positioning them closer to customers. And our experienced hires, if you look at today, more than 50% of our experienced hires are coming with next-gen skill sets. So, that's the talent transformation that we are driving, and we are well on our way to make TCS ready for the talent transformation which is required for our AI future.

■ The fourth pillar, extremely important one, is making AI real for our customers. So, I talked about how we are driving our own transformation with AI as part of the first pillar. I think it's a very similar transformation that we need to drive for our customers, most importantly, helping them deliver value with AI deployment across their industry-specific needs, across cross-industry needs that they have - common needs, whether it's HR, Procurement, Finance, Customer Service - and most importantly, helping them scale with AI.

■ And when you look at AI adoption in our customer base, if I look back the last three years, 2023 was a year of experimentation. GenAI was just available. People wanted to know what the promise and the power of the technology is. But in '24, we started to see a lot more scaled, I would say, still, experimentation and some projects going live. But 2025 has been different. And I think that Generative AI, along with Agentic AI, with the reasoning models coming into play in early 2025, is really creating the tailwind for us to deliver solutions which have reasoning, and that's what leads to creating solutions that have more intelligence baked in and building solutions which can take better decisions.

■ So, let me talk through how we are working with enterprises to make AI real and taking

AI close to customers. So, if you really look at… when I reflect on our conversations with customers, there are dual priorities, and these are not sequential; they are parallel. First one is customers want to get ready for AI, and the second one is customers want to lead with AI. If you really look back, the digital transformation started sometime early 2010s with cloud, mobile, and enterprise systems

transformation and cyber and everything else. But if you look at the technology debt that still exists in infrastructure, enterprise core systems, and data foundation, it is still there across enterprises. So, there is a good amount of work that we continue to do. If you look at cloud adoption, it's still 35% across the globe. So, significant work across cloud, data, S/4HANA transformation, Salesforce, ServiceNow. Each of these enterprise solution implementations, there are many transformational opportunities that we are engaged with our customers on. Cybersecurity, again, top area of focus across. So, I think a lot of our service lines, what Krithi referred to as our next-gen services, are focused and really driving that customer transformation to get them AI-ready.

■ On top of this, what we are working on is really helping our customers lead with AI: how do we work with our customers to help them realize value and help them shift from use cases, pilots, experiments to real projects which deliver ROI at scale? And that's what we are working on. And how are we doing this? We are doing this across three areas. First, we engage with our customers to help them - Innovate with AI, Build with AI, and Scale

with AI. And here, it's all about how do you create value-chain impact. Value-chain impact could be vertical-specific or horizontal, like I said earlier, but the whole focus is drive adoption across value chain and create value-chain impact. Let me talk about each one of these.

■ Today morning, in the immersion session, you experienced what 'Innovate with AI' really means. So, many of our customers, what we are doing is, when they are visiting us here at our offshore delivery centres, when we meet customers at their premises, or we host customers at our AI experience zones, Pace Ports, or even when we are responding to an RFP, we are really bringing rapid builds and integrating in every customer interaction. So, what we do is, we engage customers and help them identify what are the challenges that are worth solving and how you can solve it differently with AI, and completely shifting the narrative from presentations to really build an experience. This is something that we are doing across the board, and this is really resonating extremely well, because what it does is, it is helping customers understand how they can use AI in their context.

■ The second one is where you shift from ideas to execution, and we have created this rapid-build methodology which is all about taking a problem and solving the problem, saying that, okay, this is the metric you want to move the needle on, come out, come-backward, solve the problem with AI. In a short period, anywhere from 8 to 16 weeks, this is what we call the rapid-build approach. And what it typically entails is bringing together a rapid-build squad which has AI-native trainees and people with contextual knowledge from our customer accounts, and that's a great combination. And the contextual knowledge and the AI skills together is what is the secret sauce for really doing that build. And one thing important to understand is, while you can do the rapid build in a day or two, what takes time is really integrating the solutions with the data and the systems within our customer.

■ And once we deliver the rapid builds, and we have proof points and these are in production and the customer sees value, the next obvious question is how do I scale AI within the enterprise? And this is where you will hear from one of our customers

later today: how do we really work with our customers to put the AI architecture, the technology selection, putting the AI platforms, so that you can really build at scale and go live at scale. And here, what we have done is our own investment. Some of the platforms that Krithi talked about are the AI platforms that we have built and taking to our customers. But on top of those platforms, we are creating TCS's own industry-specific agent marketplaces. So, we are taking different vertical domains. For example, in Manufacturing and BFSI as two cases in point, we have 100-plus agents identified that we are creating, and more than 30–40 of them are already live, and some of these are already getting deployed in our customer engagements.

■ The other important aspect is safe and secure AI, and also AI which delivers value. So, AI Office is about setting up program management to put responsible AI and also looking at ROI from the AI projects that we deliver.

■ The last one is again a very important part of scale. This is about how do you create AI Labs which are nothing but rapid-build factories. So, many customers are looking at… after a successful build with AI, we go ahead and set up a factory where multiple problems that we want to solve, multiple projects that have been jointly identified, become the pipeline for the factory, and multiple rapid-build squads come together to deliver value. But not only the AI Labs, what we are also doing in our customer engagements, we are deploying our rapid-build teams in our existing projects also. So, embedding rapid-build teams as well as setting up AI Labs, it's a dual a

pproach that
we are taking to help customers scale AI.

■ Now, very quickly, many of these examples you are going to see when you are visiting our Executive Briefing Centre later today. The left one, the first one on 'Innovate with AI', I think Ashok already covered this, but this is a very unique one because we engaged with the CEO and direct reports, and we ran an AI Innovation Day, generated high-impact ideas which had the endorsement of the senior management. This resulted in a subsequent AI Innovation Day which ran for two days with 200 people from the customer service organization, and eight high-impact ideas have been put into motion.

■ The second example I would like to share is with 'Build with AI.' Again, we are seeing a lot of opportunities to create value in the industry for the specific industry value chain. But I think another big area where we are seeing AI come in, is in modernization. GenAI has this unique capability to really understand the old and generate the new. So, tech-modernization projects which were earlier put aside because they were capital-intensive and they would take a very long time, are now becoming big opportunities for us to engage. You can see here, how we delivered an integration modernization from TIBCO to Java: rapid build, three weeks delivered, proof point shown, then led to scaled projects in modernization.

■ The other example is an electronics OEM example, where we have built a site inspection to expedite the construction, and there's a great example of physical AI which our teams will talk about. The first MVP that we were able to put in production was done in eight weeks.

■ The last one on 'Scale with AI', the UK high-street bank. There's a customer who's going to be talking to all of you today, so I'll not cover that, but there's a great example of how we have partnered with this customer to scale AI across their enterprise.

■ And the last one is again an interesting example of scaling AI in AI for modernization, where we are working with a payments tech provider for mainframe modernization. This is a huge amount of work, 50 million lines of code in mainframe being modernized to a completely new microservices stack, and this is a great example of human and AI coming together, and TCS's contextual knowledge of mainframes, contextual knowledge of the modern tech stack, and bringing it all together.

■ The last pillar is the AI Ecosystem play. I will cover the partnerships, and then Mangesh will come in later and talk about M&A and how we are setting up new ventures.

■ Partnerships, as Krithi said, are an integral part of the business that we operate in. And we are doubling down on partnerships. And let me explain what I mean by that. So, we're looking at partnerships across four areas. Enterprise partnerships and domain partnerships - these are longstanding partnerships we have had for decades. But what is new here is all these partners are infusing AI in their products. So, now when we are solutioning or upgrading, we need to leverage the AI features, functionality, which are now coming out of the box. So, we are working with these partners to expand the centres of excellence to really build AI competencies in these products. So, that's what we are focused on in the first two areas.

■ We are also expanding our partnership ecosystem to cover deep-tech partnerships. So, you can see whether it's Anthropic, OpenAI, NVIDIA, Mistral, all these are new partnerships that we have set up and working closely with them to really build competencies.

■ The fourth area is also an important element, which is AI-native partnerships. There are many AI-first solutions which are available, which can be plugged into the overall solutioning that we do for customers. So, this is again an area where we are investing in building partnerships.

■ In summary, I think when you look at these partnerships, partnerships are pivotal to us wor

king with our customers. So, we are doubling down, building the required competencies for the future with our partners, in terms of capabilities, certifications, and everything else. And we are also looking at how we can really innovate with these partners, and I would like to leave you with two examples.

■ So, if you look at NVIDIA, and I'll give you an example of how our manufacturing teams have worked with NVIDIA, and we have built 12 industry solutions. And these are all innovative solutions which we are already taking to market with our customers. And in our meetings with NVIDIA, what we have heard is TCS is a gold standard in manufacturing NVIDIA solution development. We have built platforms. So, I think really pioneering work done by our manufacturing teams.

■ The other example is if you take Google - even before their new launch this year on Google Gemini Enterprise, we started work with them ahead of time on their agent-

to-agent protocol, and TCS teams have done really pioneering work with Google, which we started quite early. And we continue to partner with these companies, and this is a very essential part of the solution and the integration work that we do for our customers.

■ So, with this, I'll wrap it up.

Client Testimonial from Ranil Boteju, Chief AI Officer for Lloyds Banking Group

Mr. Balaji - CEO’s Office, TCS:

We have a very special session today. You heard our CEO talk about building multi-decadal partnerships with our customers and the deep trust that they have with TCS. You also heard about how we make AI real for our clients from Aarthi in detail. We have a special guest today joining us from London, Mr. Ranil Boteju. He is the Chief AI Officer for Lloyds Banking Group. Lloyds Banking Group, all of you would know, is a premier bank globally, especially in the UK, and has been a pioneer in terms of embracing technologies well ahead of its time. TCS has a very strong partnership with them, right from the early digital days, through to the cloud transformation, and then subsequently now with AI.

Ranil has over 25 years of global experience. He spearheads the bank's data and AI strategy, overseeing cloud, data platforms, machine learning products, ethical AI frameworks, and data literacy initiatives. Prior to joining Lloyds, Ranil held significant senior positions at major institutions, such as HSBC, Standard Chartered, Vodafone, and the Commonwealth Bank of Australia. Additionally, Ranil contributes to the UK's Information Commissioner's Office as a non-executive director, where he plays a crucial role in data privacy and transparency governance. Ranil's leadership is pivotal to Lloyds' transformation into a data-driven organization with a strong emphasis on operational efficiency, customer experience, and responsible innovation.

Without much ado, Ranil, the floor is yours.

Mr. Ranil Boteju - Chief AI Officer, Lloyds Banking Group:

■ Thank you very much. So, look, I would really like to share my experience with TCS in terms of the data and AI transformation they have been delivering at Lloyds Banking Group. So, I've been at Lloyds Banking Group for about four years now. And, when I started, we embarked on a very comprehensive transformation of data and AI. And I really want to share with you how TCS has been a partner along that entire journey.

■ So, obviously prior to me starting, TCS has had a very long relationship with Lloyds Banking Group. But in the context of my role, I'll share with you the data and AI story. So, really the first step coming into Lloyds Banking Group was a real focus for me on building much more modern, up-to-date foundational data capabilities. And in the work that was predominantly about migration of a significant amount of on-premise data sources, from Hadoop, Cloudera Hadoop, to Teradata, to, you know, significant amounts of data, we basically partnered with TCS to migrate that to public cloud.

■ And really o

ur relationship was very much around leveraging two things. So, firstly, proven experience from TCS. So, in terms of the skills and experience they had with

similar migrations to public cloud, we were able to tap into experts. And then similarly, really build out the team. We had to scale very quickly. There was no way that we could have actually built up our own team to do this work internally ourselves. So, the partnership was very much on bringing us the skills, the IP, the thinking, the know-how to supplement my own team. And then as well as the really skilled engineers to do the work as well. So, that was a very difficult program of work, but we managed to get through that over '22 and '23.

■ And then once we had a solid foundation of data on the cloud, my next focus was very much on really scaling the new thing at the time, which was Generative AI. And so, one of the things that I did was set up an AI Centre of Excellence, a whole bunch of AI platforms. And again, we wanted to really leverage specific skills from TCS. And so, we had a very senior-level engagement, almost CEO to CEO, where we said, look, we want to get access to your best people. And we were able to get access to skilled engineers, skilled AI developers from TCS who helped me form my AI team whilst I built my own. But more importantly, really built out basically our initial Generative AI workbench, we call that Cortex. That's now up and running. You know, we set some really strong goals for ourselves. We said that by the end of 2025, we want to deliver at least 50 Generative AI use cases in production. We've actually overachieved on that. This year we'll end with 57 use cases in production.

■ TCS has been very much part of that journey, right. So, essentially, it's the access to the skilled resources. It's your knowledge of the products that we work with. You know, we work with both Google and Microsoft, but per the previous presenter, you have strong proven links with both of these hyperscalers. We're able to tap into that knowledge. And then secondly, just really helping us build the team. So, that's been tremendously successful.

■ Where we are now is, though, a very significant pivot to Agentic AI. So, we are now really scaling up our Agentic AI capabilities. And again, we've had to lean very heavily on TCS to access… Agentic AI is new for everyone. We've had to access TCS skills on the engineering side, AI developers, but also in areas like responsible AI. I have a Responsible AI team. It's stacked full of PhDs, but I still need access to what do others do outside in thinking. And again, we've been able to secure some very skilled colleagues from TCS to help us do that work.

■ So, look, in summary, over the last four years at Lloyds, in our data and AI transformation, TCS has been pretty critical to building the foundational capabilities on public cloud. Secondly, when we pivoted to Generative AI, really standing up our AI Centre of Excellence and the AI platforms, we really partnered, I would call it a partnership, with TCS; that was very successful. We've ended the year with more than 50 use cases live in production. And our latest pivot towards Agentic AI, again, we're going to lean very heavily on TCS. So, very exciting.

■ What I would say, though, is I'm really excited about our partnership with TCS. So myself, but all of my colleagues at Lloyds, all of the CIOs, even our CEO, I feel that the one thing is… I've talked a lot about the skilled resources that you have, the ability to spin up teams very quickly. That is definitely something that we value. But more importantly, for us, we see the culture of TCS as being the thing that we like the most.

I mean, whenever I'm in India, I will spend as much time with the TCS team as with my own Lloyds Banking Group team. They are very much part of the team. We treat them like the team. It's there's no real boundaries as far as I'm

concerned. But just that
culture of coming to us with new ideas, suggesting things, it's been incredible for me personally, but also for our AI progress at Lloyds Banking Group.

■ So, that's kind of the summary. Really excited about the continued innovation with TCS. So we've seen… Some of my colleagues were in India recently. We've seen a lot of the new off-the-shelf Agentic AI solutions. So, again, very keen to explore those as we continue to build out our own capabilities. So, look, I'm really pleased about the direction of travel with TCS. We've achieved a lot together and very excited about continuing to work together as we transform Lloyds Banking Group with Agentic AI. So, that's kind of the main things I really wanted to cover.

Balaji Raghavan - CEO's Office, TCS:

Thank you, Ranil. You've been very kind and generous with your time today. With that, I would like to thank you for your time and hand it over back to Nehal. Thank you very much, Ranil.

Nehal Shah - Head Investor Relations, TCS:

Thank you, Balaji. I would now like to invite our Chief Strategy Officer, Mangesh Sathe, on the floor. Over to you, Mangesh.

TCS AI Ecosystem

Mangesh Sathe - Chief Strategy Officer, TCS:

■ Yeah, good afternoon, everyone. So, before I start, just an interesting observation. I tried to chat with an LLM and ask whether I should wear a tie for this event. And I said, it's an analyst day. And it said that absolutely I need to wear a tie. But if I look at the room, I think that the LLM really requires more training, right? So, context.

■ So, yeah, so I think if you see what we have covered till now, we have covered our aspiration, right? And Krithi has laid out what we are all set to achieve. We have talked about the five pillars. And today, I'm going to spend a few minutes on the fifth pillar, the AI ecosystem, and the approach we are taking to build that ecosystem.

■ So, if you see the Infrastructure-to-Intelligence stack, the AI stack that we have outlined, there are multiple layers. And Krithi covered that there are a lot of investments happening across all these layers. So, a lot of changes that are coming in these layers. So, today, the customers look up to TCS or a partner like TCS and say, hey, look, I really need someone who can make sense of all the layers of the stack, right? So, I don't need a partner who comes and only talks about a particular layer. I want somebody who can really understand that entire stack and also provide services and navigate the stack so that we are able to really create some impact. I think we talked about Lloyds Banking Group and how we have kind of created impact.

■ Aarthi talked about autonomous cars. So, if, let's say a car company comes to us and says that, look, we want to really build an autonomous product. So as TCS, if I have to

really help the company end-to-end, I'll have to start with the chip as to what does the chip need to look like, what should be the specification of the chip. Then I need to really help cover the AI infrastructure, because every car is going to emanate a lot of data, right? So, how do you really manage that data? How do you really deal with the latencies that are required for a fully autonomous product? And then we get into the models, the applications, and then the whole digital layer of interaction, right? So, as a company, if I have to really add value to this particular case, my ability to really understand this fully is very, very critical.

■ So, one of the core elements of our strategy is to really have a meaningful presence across all these layers. So, that's one of the core parts of our strategy. And now to do that, of course, we are doing a number of things organically on our own. We are building products, AI platforms. We are building services, transforming services. But in addition to that, to really augment all of this, we feel that we need to also do what we are calling as Build, Partne

r, and Acquire, because that is going to really help us
accelerate this journey. Because this whole aspiration has to be achieved soon. So, in that case, we really need to use these levers as well. So, I'm just going to spend a minute on each of these.

■ So, the first one is the 'Build' part. Now, this is one example of the Build. This is not the only build we'll do. So, building can also be around capabilities, services. We have taken an example of a venture that we are building. So, this is the whole AI data centre venture that we announced a few weeks back. The rationale for us to really do that is, of course, there's a huge requirement that you see on the left. We currently in India only have around 1.7 gigawatts. Expected demand is 10 to 12 gigawatts (by 2030).

■ More importantly, if you see the middle column, the type of customers we are targeting for this AI data centre are hyperscalers and AI companies. These are the primary targets for us. And then, of course, we will also work with public sector and private sector customers. Now, the reason we felt the need that we need to really address this requirement is that the requirements are very unique. If I look at hyperscalers, they are really talking about, if I have to get an AI data centre, it also needs to work with all the other non-AI data centres that they may have in the region. So, the latency becomes very important. The kind of performance they are expecting from this data centre is very different from what today exists in the country.

■ Similarly, in AI companies, while of course the default expectation is to really look at India as a destination for inferencing, we are also working with them to really ask the question, can I also look at India as a base for training? What can it kind of do? In addition to whatever they are doing in the US and other geographies, can we look at India as a geography for training?

■ Public sector, of course, sovereign. I think a lot of things are said about that. So, sovereign is a big requirement. AI governance - how do you really govern the infrastructure? And then private sector, if you see what they are expecting, like the example I gave, they want somebody who can come in and do the full stack. But more importantly, apart from just providing services across the stack, you also need to provide it at a low TCO (Total cost of ownership). That is finally… Like today, in initial stages, maybe people are not asking so much about the spend, but this is going to

become very critical soon. And once billions and trillions of tokens are going to get generated, of course the cost becomes a very important factor.

■ And lastly, the whole AI-led transformation. How do you deal with all these stacks, layers of stack, and then really deliver a very meaningful transformation? So, for us, the rationale was simple, that we feel that there is a unique opportunity for us to position ourselves as a one-stop shop for all AI services. We also feel it is a great opportunity to use this to deepen our partnership with hyperscalers, AI companies, and the ecosystem per se. We also want to leverage all the deep domain expertise. I think the examples that were given earlier, showcase a lot of depth in terms of industry-specific, function-specific domain expertise that we have. So, how can we translate that?

■ And lastly, of course, this is a high-growth segment. So, whatever expertise we are building, building our own data centres, we can start offering it to the other data centre companies across the globe. So, that's one example of what we are building. Finally, the plan is to build a gigawatt scale. We have announced a partnership with TPG, and we are going to do the funding through equity and debt.

■ Second part, Build, and then Partner. Partner, Aarthi has already covered a lot of it. I'll probably highlight the middle portion first, which is when we say partnership and 360-degree, what d

o we really mean? To look at these three parameters: the whole aspect of mutual services. I offer some services to the partner, we take some services from the partner. So, that's one element that really creates a very tight relationship between the two entities. But more importantly, then also, how do we work together in driving growth? And this is… okay, you can start with regular go-to-market kind of initiatives, but here we are also… with some of the logos that we have put here, we are also working with them to define unique initiatives where we can penetrate a certain industry segment, or a certain use case, or a certain function. How do we really take that to the market in a very unique fashion? And lastly, the innovation and the co-development that we can do with these partners.

■ So, a lot of examples. So, NVIDIA, Aarthi spoke about. Similarly, with Google, now we are defining how can we build industry-specific workflows. So, a number of things that we are doing with each of these partners, which can help us become more tightly coupled with the partner, as well as take something unique to the market.

■ Lastly, on the acquisition part, the core focus of M&A is centered around capabilities. We really want to ask the question strategically as to what capabilities can I Build? What capabilities do I need to Acquire? And in some cases, build and acquire to kind of do it together. So, some of the examples we have put is, like for example, in the big-bet areas, there are certain areas we want to acquire capabilities. But across the service lines, advisory is a big area that we want to build and, in a way, acquire capabilities for.

■ Similarly, if I look at deep domain or service-line capabilities, all the big-bet areas that were talked about, I think those become focus areas for us. Those are the growth areas for us in the future.

■ And then market access, whichever markets, because as you start seeing the overall technology market, you will have to now start going geography by geography, within a geography, maybe sector by sector to really ask the question, where is the penetration opportunity and how do I really now go after that aggressively? So, one case in point here are the recent two acquisitions we have announced in the Salesforce space, which is ListEngage and Coastal Cloud. So, the reason we did these back-to-back and kind of did it together: one, it helps us really bolster capabilities across advisory, implementation, and managed services. So, it helps me complete the entire capability set. So, advisory services, it gives me multi-cloud. All the modules within Salesforce get covered. It helps me deepen my partnership with Salesforce because the companies that we have acquired have partner advisory board positions, are summit partners, so they have a very deep connect with the Salesforce ecosystem. So, it helps me deepen my partnership with Salesforce. It helps me cover market segments. And lastly, of course, gets me 500-plus talented individuals in this particular space.

■ So, if you look at the map, so the top line is essentially the combined entity where I put all these three entities together. And then below that, you see that individually, TCS, ListEngage, and Coastal, how do they fare in terms of capability map across the various modules within Salesforce. So, from services all the way to industry clouds, you will see now that we have a full set covered. And it helps us, in a way, strengthen the entire platform to take larger aspirations in this particular space.

■ Also, market coverage, we have covered both the large enterprise as well as the mid-market, and the sectors as well. So, coverage aspect is also covered very well.

■ And so, this is the approach that we will be using for M&A. I think even for partnering, the unique approach we are looking at. And building, I think we have just started; we'll look at other areas as well. Yeah, t

hank you.

Nehal Shah - Head Investor Relations, TCS:

Thank you very much, Mangesh. I would now like to invite our Chief Financial Officer, Samir Seksaria. Samir, the floor is all yours.

Balancing Speed & Scale with Discipline

Samir Seksaria - Chief Financial Officer, TCS:

■ Thank you, Nehal, and good evening, everyone. So, I think through the day, through the immersion sessions which we had, when we heard Krithi, Aarthi, and Mangesh speak, and probably from the demos also which we are going to see at EBC, you could relate to it that we are doubling down on our aspiration to become the world's largest AI-led tech services company. And towards that, we are focusing on two key things: One is execution rigor, that is delivering real customer outcomes, and talent transformation, which will ensure we stay ahead of the curve. And we have called out our five-pillar strategy, the five-pillar framework, which will help us tap this opportunity. And as you can see, in the past couple of months, we are shifting gears quite rapidly in this fast-paced era.

■ So, if you look at the tech cycles, they have been compressing. Krithi also alluded to it in his opening keynote. And in that context, gaining an early-mover advantage is something which is important, and a competitive advantage. And unlike in the past, when competitive advantage was only through acquiring capabilities, in the current day and age, it is also dependent on how fast you are able to take those capabilities to the customers, and how rapidly and efficiently you are able to scale them.

■ Our investment approach, keeping that in mind, is towards balancing innovation speed with scalable, profitable growth. And that is what should position TCS as a market leader in the AI-driven services. I'm not going to cover the investments because Aarthi and Mangesh covered a lot across on the investments part. But putting it in the framework, our overall strategy is built towards three growth engines in terms of 'Build, Acquire, and Partner'. Traditionally, TCS has looked at investing primarily on the organic side, but as we heard through the conversations, it is important that we invest across our strategy, our investment approach, across all three of them: Build, Partner, and Acquire.

■ If you look at 'Build', which is basically driving innovation from within, we have been investing on talent, on the intellectual property, on infrastructure, and in terms of democratizing AI across TCS. If we look at our annual spend just on the 'Build' part of it, we spend about US$1 billion annually on learning and development, on targeted research and innovation, and on specialized infrastructure towards the new services which we have been talking about. This doesn't include the use case which Mangesh talked about on the HyperVault (AI DC). This is the existing investments which we currently do.

■ From an acquisition strategy, our focus is on building capabilities, acquiring synergies, and driving high-quality revenue, which will help us build multi-year cross-sell opportunities.

■ And from a 'Partnership' perspective, this was covered in detail, mainly the benefits which we get is faster integration in client environments. We are able to lower our upfront build cost. We have an opportunity to have a shared investment model. And most importantly, like Mangesh also said, we get early access to innovation, and we are able to build cross-sell pipelines.

■ To reiterate, we want to invest at scale across the stack from 'Infrastructure to Intelligence', and this is where we believe we will be able to deliver exponential value to our clients.

■ Looking at all the investments which are coming, I'm sure the question which comes to mind is how are we going to manage the return metrics and the margins? And, as I talked about, we already invest about US$1 billion as investments, and our focus would be, the incremental investments would be

funded partly through repurposing

some of the existing spend, specifically around the learning and development part of it, into newer age spend which are required. Second, is leveraging our balance sheet. And lastly, there would be areas which will require an offset, through operational efficiencies. And towards that, we will be continuing our focus on operational levers, the ones which we have called out traditionally - utilization, pyramid, SG&A, etc. We

will also look at prioritizing tools, platforms, and reusable components. We'll also look at shifting the revenue mix towards higher value, higher margin services, and focus on delivery productivity. Our intent would still be to make all the investments, and over a period of time, shift towards our aspirational band, the guided beacon of 26% to

28%. Currently, as of last quarter, we were at 25.2%.
■ Next, we will discuss how some of our investments affect our ROE. If you look at the last five years, our ROE has improved from 38% to 51%. And if you look at our peer set of six competitors who are in our closest band range, their average ROE is at less than 25%, approximately 23.6%, and the next best is at 30%. So, we are 2x the average of our peer set. And if you look at the AI Data Centre business case also, the way we have been able to structure it, not just the debt part of it, but the variable return with the private equity partner, which we have announced, ensures that we are able to participate and lock in higher returns for us, and that should give us better IRRs, as well . Most of the data points are available publicly for you to calculate and evaluate, that the impact of the investments which we'll be making, is not more than US$ 1 billion over a period of seven years, annual investments being even less, on the TCS balance sheet, will be very marginal, and we are confident we'll be able to maintain industry leading return metrics.
■ Lastly, we come to our capital allocation policy. If you look at the data point, last five years we have been returning 80% to 100% of free cash flow to our shareholders, and, our stated policy has been that we'll be returning substantial free cash flows back to our shareholders. Going forward, we'd look towards returning 80% to 100% of FCF post all investments. Since our share listing 21 years, if I take the IPO price at ■ 850, and if we take the dividends which have been given, just the dividends in the last 21 years, it totals up to about ■5,600, for one equity share which was invested, plus an opportunity to participate in the five buybacks which we have done, and the capital appreciation itself which has happened on the baseline is about 30x. So TCS has been and will remain a long-term value compounder.
■ Re-emphasizing the messages which Krithi alluded to, we are entering this decade, or this positioning, with a strategy which is clear, a team which is prepared, and a balance sheet that gives us optionality without volatility. And what plays to our advantage is what we call as the TCS advantage, which is in terms of our client trust, our delivery, our execution prowess, our talent, and our financial architecture. And with that, we should be able to deliver growth with profitability and ensure shareholder returns.
■ That's it from me.
Question & Answer Session
Nehal Shah - Head Investor Relations, TCS:
Thank you very much, Samir. With this, we come to and end for all the speaker presentations. We would now like to start the Q&A session. Anyone wishing to ask a question, kindly please raise your hand, so that the volunteers can come and share a mic. Please share your name and organization name for the benefit of everyone who's listening to the webcast.

I would now like to call upon the TCS management: Krithi, Aarthi, Samir, Mangesh, and Sudeep, to start the Q&A session.
Ankur Rudra – JP Morgan:
■ Thanks. This is Ankur from JP Morgan. First

question is, you know, thank you first of all for the great presentation and all day long has been excellent and a lot more data, so really learned a lot. Your vision statement of becoming the leading AI-led tech services firm, how should investors evaluate that over time? If you can just highlight which metrics, what drivers, what should we see to see the success over the next three to five years?
K Krithivasan - MD & CEO, TCS:
■ So, we define those five pillars. Each of these five pillars also have sub parameters. Internally, the way we are looking at is, how do we drive these five pillars? For instance, we talked about what is the business value? How do we reimagine the business value chain as the fourth pillar? We talked about how we redefine our services through leveraging AI. So, each of these have sub pillars. The way internally we are going to be measuring is on how we are progressing on each of these individual metrics.
■ See, obviously, overall metric could be on how would be the AI driven revenue that comes to the organization.
Ankur Rudra – JP Morgan:
■ Thank you. Just a follow-up question is on margins. You did say that you want to maintain the 26% to 28% band. However, if you look at the last 7-8 years, it's been tough to sort of stay there. Given a lot of the investments, you will be doing going forward, doesn't it make sense to maybe change the band to around where we are right now, giving you a lot more operational flexibility and be more competitive in the market?

Samir Seksaria - Chief Financial Officer, TCS:
■ See, overall, what we believe is, with our cost structures, we should be able to operate in the 26% to 28% band. We believe that the early investments which we have been making has been the source of how we are able to maintain sustained industry-leading margin band. And we are taking the challenge that considering all the investments, we will incrementally make, we would want to shift towards 26% - 28%.
■ To the point in terms of the last couple of years, you would also see that there would be various points of times where we would have come closer to 26%, and then we would have made some investments. So, it won't be that we will be stuck on not making the required investments at the cost of profitability. Growth with profitability will remain our mantra, and we will not be shy of investments, at the same time we will be driving margins towards the 26% - 28%.
Kawaljeet Saluja – Kotak Institutional Equities:

■ Hi, this is Kawaljeet Saluja from Kotak Institutional Equities. Thanks a lot for the presentation. First question is, advisory/consulting focus. That's an area where, let's say, TCS may have not prioritized this, at least explicitly, in the past. Now, as you drive down the advisory path, both through organically as well as through acquisitions, what are the challenges in execution that you see? And more importantly, what has changed for you to prioritize the advisory/consulting part so much?
Mangesh Sathe - Chief Strategy Officer, TCS:
■ So, if you see the overall tech and advisory space, I think most of the incumbent firms are also going, or rather experiencing a lot of change, both in terms of what customers expect them to deliver, as well as the way they need to deliver it. I feel this is the right window for us to look at a more updated model of advisory or consulting, which will essentially be more driven by AI and analytics, and coming from our place of strength, which is technology. Given some of the stack conversations we have had, I don't think success can be just about providing advisory, it is also about going through all the other layers of the stack to actually help the customer deliver it.
■ But we'll have to build that initial muscle of advisory as well, because that's where the impact, or the conversations get pegged at the right level for us to drive that impact across the layers. So, we see that as an o

pportunity, right opportunity for us to consider building that capability.
Kawaljeet Saluja – Kotak Institutional Equities:
■ The second question that I had is for Samir. How do you define that US$ 1 billion of investment? Is it annual? Is it to the P&L? Is it OpEx, CapEx? If we can just get some more color on it.
Samir Seksaria - Chief Financial Officer, TCS:
■ This is one billion dollars in annual spend, completely on OpEx, completely on the P&L. The key components are on the learning and development part, learning and talent-related, industry-specific or new services-specific R&I, and specialized infrastructure.
Kumar Rakesh - BNP Paribas:
■ Hi, thanks. This is Kumar Rakesh from BNP Paribas. My first question is around the new-age services revenue, which you called out at about US$11 billion. That means there is still a large legacy revenue base, almost two-thirds of it. How do you see managing that in the coming years? More importantly, this new-age services revenue of $11 billion is growing at about mid-single digits, so the growth is not phenomenally great in that piece as well. The new-age services growth is not significantly strong, and the legacy revenue will most likely continue to get cannibalized as we expand AI implementation across our service lines. How are you going to manage your growth in this overall context?
K Krithivasan - MD & CEO, TCS:

■ Kumar, as pointed out, our overall new-age services revenue is growing faster. First of all, you'll understand that, there is moderation and subdued performance due to overall market sentiment; that's the overhang we have. But within that, new-age services are growing faster than traditional services. With increased investments under a stronger strategy around new partnerships, new investments, and initiatives like data centres, and our new strategy, we believe new-age services will grow faster to offset any deceleration or drag in traditional services.
Kumar Rakesh - BNP Paribas:
■ Got it. My second question goes back to something we discussed earlier: how do you define being the world's largest AI-led services company? Are there any specific

metrics?
K Krithivasan - MD & CEO, TCS:
■ Kumar, we will try to publish. See, at this time, we took it as a vision and identified five pillars we are working on. Like I was telling Ankur, we look at the sub-pillars where we are putting our energy and effort.
■ The obvious metric is AI-driven revenue; we have published where we stand and we will continue to publish it as we go forward, and that's the external metric.
■ But internally, we are going to be driving all the parameters. To us, those parameters are equally or more important because there could be a lag in the external revenue we report, but it will keep us honest. We will focus on internal parameters and individual line items Aarthi described.
Ruchi Mukhija – ICICI Securities:
■ Two questions. First, in any technology transformation cycle, we have seen first-mover advantage along with scale. As TCS looks at data centres, and TCS has always enjoyed the scale advantage, do you think scale will be essential, along with being a first mover?
Samir Seksaria - Chief Financial Officer, TCS:
■ Scale definitely plays a role. One of TCS's advantages, apart from delivery execution and client trust - multi-decadal trust; our scale and breadth and depth will play a positive advantage.
Ruchi Mukhija – ICICI Securities:
■ So, we will put capital to use to achieve that scale advantage as well?
Samir Seksaria - Chief Financial Officer, TCS:
■ When we saw the full stack and what we talked about, the investments, we will be leveraging and making investments where we see focused returns coming in. Yes, absolutely, we will be using our capital.

■ But we will also be partnering. As we saw, if you take the data centre case, the investments would be prudent and it would be structured. So

, the balance sheet does
play a role.
Ruchi Mukhija – ICICI Securities:
■ Secondly, the US$1 billion spent that we highlighted, can you tell us how historically it has trended? Is the intensity of investment on rise as we are going through these technology changes, or have we been consistent at whatever level you want to define in making those investments?
Samir Seksaria - Chief Financial Officer, TCS:
■ We have been making early investments across, and if we take it as a percentage, as I said, our focus would be to make the right investments. Some part of the investments will also be repurposed into things where we want to focus on. And we would, if required, to the other question previously, we will elevate our investment need also. ‘Growth with profitability’ would be the mantra. It need not be that we will shrink our investments in the near term to let go long-term growth.
Arup Roy - Gartner:
■ Arup from Gartner. My second question first is to Aarthi, and I’ll let you think about it, which is, how do you foresee your organization structure to look like by 2030, because you will have your agents as co-workers with your engineers.
■ My first question is perhaps to Samir or Mangesh, which is about your India AI DC venture, which is going to be completely opposite to the asset-light DNA that TCS has maintained over the past 20–25 years. Are you not thinking about coming up with a special purpose vehicle to do it, or is it going to be done under the TCS fold? But the key question over here is where is the synergy? That’s what I’m getting at. Where is the synergy with TCS’s overall services business in the global scheme of things?
Samir Seksaria - Chief Financial Officer, TCS:
■ So, to answer your first question, there is a special purpose vehicle. We’ll be making the investments with locking in an anchor customer. And as I talked about the structured investment, we will be leveraging the balance sheet. We have also announced an equity partner i.e TPG. We have announced creation of a subsidiary HyperVault which is formed as a special purpose vehicle to invest in AI DC.
■ In terms of synergy, we benefit from both front-end synergies. As I said, the anchor customer typically would be a hyperscaler or an AI-led company, and it is not just about the business. It’s a 360-degree relationship which we will get from them. Also, the back-end synergies, where we can leverage, because the data centre is all about cooling, power, and connectivity. With the #OneTata advantage, we can also look at getting optimized value from them or any other players which would be available.

Aarthi Subramanian - Executive Director & Chief Operating Officer, TCS:

■ Arup, your question on how the organization structures would look like. You know, in a world where humans and agents work alongside, I think this is an area which is evolving. The more we move to Level 4, Level 5 autonomy is where you'll have agents which can do a task that a human does. Today, if you really see Level 2 and Level 3, that is where the human is primary and AI is in a supportive role, in an assistant role, if you will. So, this is something which is evolving, but where we are seeing this play out currently is more in the autonomous GBS. In business process, we're seeing that there are certain tasks in the business process value chain which are being completely done by agents. In BPS, we have got this model where human plus AI is working together, and there are tasks which are autonomous. How do you orchestrate work? That's where we are building orchestration layer, where the orchestration layer really knows what task is being done by the human plus what tasks are being done by the AI, so that oversight is coming in that layer. But early days.
Nitin Padmanabhan - Investec:
■ So, two questions actually. First one is, last year I think for the first time you actually showcased COBOL to Java application modernizati

on and things like that. It's been a
year now. There should have been a lot of learnings on nuances. Just trying to understand, that's a very large market, obviously, and how much adoption are you seeing on this, and how rapid is it? Do you think you'll see a lot of those next year? And, just to get a feel of these things, you highlighted a project with 50 million lines of code being converted. Typically, as an example, how large are these projects, and how long does it take? That was the first question.
■ The second one is, earlier today you showed us how we could rapidly create a use case, and how it's very interesting for organizations. I understand that very well, because CEOs would love that because it creates momentum in the organization in terms of GenAI creation. But what I'd like to understand is, there's a lot of talk around creation of an AI fabric or a foundation layer. What does that look like? My understanding is something, and I'd like you to ratify whether right or wrong, and what it means. My understanding is that you have all the APIs, all the knowledge, all the context in a layer. Does it mean that if I'm able to create that use case rapid prototype with just the front end, you can agentically stitch together something if there is maturity on that fabric layer? If that is the case, then from a TCS perspective, where we have always been master systems integrators, what happens to business in general, and how long does this transition take?
K Krithivasan - MD & CEO, TCS:
■ Yeah, I'll take the first question. On the modernization front, there is immense demand. In the past, there has not been a proper business case for technology modernization. Particularly when you want to move from a technology like mainframe into any new modern technology, there was no financial business case. Even from a risk perspective, not many people knew what was the business logic that was used in those old systems, and to reliably translate them into a modern technology has always been a challenge. But what Generative AI does is, gives you the ability to understand, and a human can validate the understanding, so you can encapsulate the knowledge

that's residing. It also provides a framework through which you can modernize to a new technology.
■ The example that you talked about is progressing quite well. Again, these are also very complex programs. It's not that you turn on a switch and 50 million lines of code convert themselves into Java. It requires an amount of human intervention and validation. But of course, that's one large example. What you see more and more common are what Aarthi calls rapid builds, we showed it as CodePlus as a platform here, where we have the ability to move from X to Y, like from Tableau to Microsoft platform, or from a TIBCO code to Java. There are multiple opportunities that exist, and these are all much simpler because the codes are more recently written within the last 10 to 12 years, and not very large or complex like the 50 million lines of code. Such programs are very time-bound. Outcome could be measured, and results and value can be achieved in a short time. Mostly, we try to do it in a three-month period. Those programs are quite often. I don't know the number, probably Aarthi has a number of programs we have done. We've done a very significant number of programs, and there's a real opportunity for that.
Aarthi Subramanian - Executive Director & Chief Operating Officer, TCS:

■ If I may just add, if you look at the technology debt across the organization, it’s in core systems, it’s in integration, it’s in data, it’s in reporting; so across layers. The CodePlus platform that Krithi talked about, and some of it you’ll see when you go to our Executive Briefing Center. So, what it does is, it actually accelerates X to Y migration, as I like to call it, across these layers, like Krithi gave some examples. So, I think what we’re a

lso seeing is, the same modernization programs that we did last year, this year we are able to do with much more productivity. One, technology capability has advanced. Plus, our own understanding of work with AI and what the human in the loop needs to do, has also advanced.

■ In terms of projects, we are seeing the mainframe, the 50 million lines of code, those are all big projects. But there are also a number of short-cycle projects that we are seeing. Today, we are seeing a lot of that in BFSI, and other industry verticals are now starting to catch up. But I would say that we’re seeing a lot more in the BFSI space.

■ Now, coming to your second question, I would like to answer it more simply from an SI (systems integrator) perspective; the role that we play. I think I sort of briefly covered it. If you really look at it in any enterprise, while we can do the rapid builds, build the AI apps, agents, right, fairly quickly, where the work goes is in the plumbing; connecting it back to the data, connecting it back to the systems. And more importantly, if you look at the Infrastructure-to-Intelligence (I2I) layer, across each layer there is a significant amount of work to be done to integrate. And today when we move… the way we’re building apps today, we’re connecting it to the model and to the data. But going forward, to Krithi’s point on building learning systems, the more we start creating these learning systems, creating the decision infrastructure, that is where a lot of work across all layers of the I2I framework we showed you.

■ When it comes to agents, not just individual agent building, but agent-to-agent interaction, agent interaction which is the fabric layer that you alluded to, while you

can build many things quickly, but stitching things together and bringing the contextual knowledge of the customer is where we come in.

Nehal Shah - Head Investor Relations, TCS:

Thank you, participants, and the TCS management. We conclude the session now. We hope these sessions have been informative and useful for all of you.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jan 2026

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January 16, 2026
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Symbol - TCS
Dear S irs,

Sub: Transcript of the earnings conference call for the quarter and nine -month period
ended December 31, 2025
P
ursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed the transcript of the earnings conference call for the
quarter and nine- month period ended December 31, 2025, conducted after the meeting of
Board of Directors held on January 12, 2026, for your information and records.
T
he above information is also available on the website of the Company: www.tcs.com .
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Company Secretary
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Tata Consultancy Services Limited
Earnings Conference Call
January 12, 2026,19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day, and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nehal Shah, Head of Investor Relations at TCS. Thank you, and over to you.
Nehal Shah: Thank you, operator. Good evening, and welcome, everyone. Thank you for joining us today to discuss TCS' ■nancial results for the third quarter of ■scal year FY2026 that ended on December 31st, 2025. This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this quarter.
The ■nancial statements, quarterly factsheet and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us Mr. K

Krithivasan, Chief Executive O ■icer and Managing Director.
K Krithivasan: Hello, everyone.
Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President and Chief Operating O ■icer.
Aarthi Subramanian: Good evening, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial O ■icer.

Samir Seksaria: Hello, everyone.
Nehal Shah: And Mr. Sudeep Kunnumal, Chief Human Resources o ■icer.
Sudeep Kunnumal: Hello, everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any speci■c revenue or earnings guidance and anything said on this call, which re■ects our outlook for the future, or which could be construed as a forward-looking statement, must be reviewed in conjunction with the risks that the company faces. We have outlined these risks in the second slide of the quarterly factsheet, available on our website and e-mailed out to those who have subscribed on our mailing list.
With that, I would like to turn the call over to Krithi.
K Krithivasan: Thank you, Nehal. Good evening, everyone. Wish you all a very very Happy New Year.
The growth momentum we witnessed in Q2FY26 continued in this quarter.
In Q3, we delivered ■67,087 crore in revenue. In reported currency, our revenue grew by 2.0% sequentially and 4.9% YoY.
In constant currency, our revenue grew 0.8% sequentially

.
Our International services revenues grew by 0.4% sequentially in constant currency.
Growth was led by Consumer Business Group, Energy, Resources & Utilities, Life Sciences & Healthcare, and Communications, Media & Information vertical.

BFSI and Technology Software and Services did well adjusted for seasonality.
Amongst major markets, Europe continued to do well, while North America was ■attish.
Regional Markets continued to deliver strong growth.
All next-gen service lines continued to grow well sequentially.
Most client segments showed improvement. On an LTM basis, this quarter, we gained 2 additional clients generating more than US$100 million in revenue , 8 clients exceeding US $20M, and 23 clients bringing in over US$1M each.
Our Q3 operating margins stood at 25.2%, remaining stable sequentially. This excludes one- o■s.
We remain steadfast in our ambition to become the world’s largest AI-led technology services company, guided by a comprehensive ■ve-pillar strategy. We are delivering accelerated value to our clients through strategic investments across the full AI stack, from infrastructure to intelligence.
Our AI services now generate US $1.8 billion in annualized revenue and is growing at 17.3% QoQ in constant currency .
In Q3, we continued to win several large deals across markets and industries, including one mega deal win in North America. We achieved an overall TCV of US$9.3 billion . BFSI TCV was at US $3.8 billion, Consumer Business TCV was at US $1.4 billion , and North America TCV stood at US $4.9 billion .

Based on client conversation, strong deal momentum and the leadership we are gaining in AI, we are con■dent of a good CY2026.
I'll now invite Samir to share further details on our ■nancial performance.
Samir Seksaria: Thank you, Krithi. Good day everyone.
Highlighting the revenue numbers again. In Q3, we delivered ■67,087 crore in revenue. In reported currency, our revenue grew 2.0% sequentially and 4.9% YoY.
In constant currency, our revenue grew 0.8% sequentially .
Coming to margins, in Q3, improvements in productivity, pyramid and other operational e ■iciencies delivered an 80 -basis-point bene■t. Favorable currency movements contributed an additional 20 basis points. Full quarter impact of the wage increases announced last quarter had a negative impact of 50 basis points. Investments in brand building and partnerships had an impact of 50 basis points. All of the above resulted in a stable operating margin of 25.2%.
The operating margin excludes a few one- o■ items recognised during this quarter. These exceptional items relate to severance-related expenses, legal provisions, and the impact of changes in India wage code.
Our net income margin was at 20%, and our EPS grew 8.5% Y-o-Y .
Our accounts receivable was at 76 days outstanding in dollar terms.

Net cash from operations was US$1.6 billion , which is 130.4% of net income. Free cash ■ows were at US$1.4 billion and invested funds at the end of the period stood at US$7.1 billion .
Our sustained margin performance and strong cash conversion this quarter, re■ects our disciplined execution and strong ■nancial resilience. Backed by a robust balance sheet, we continue to invest con■dently in strategic growth areas. Executing our ■ve-pillar AI strategy at speed and scale is central to our transformation into an AI-■rst enterprise and delivering long-term value for our stakeholders.
Our capital allocation policy remains unchanged, i.e. to give substantial free cash ■ow back to shareholders. The Board has recommended an interim dividend of ■11 per share and a special dividend of ■46 per share.
I would now like to invite Aarthi.
Aarthi Subramanian: Thank you, Samir. Good evening. I would like to wish all of you a great year ahead.

As you know, this qua

rter we hosted our Analyst Day on 17th December 2025. We provided a comprehensive view of our strategy and approach to realize our stated ambition. We covered:
■ Our full stack AI play across Infrastructure to Intelligence
■ Provided details on the 5 strategic pillars powering our AI transformation
■ We also provided a complete view encompassing employees, customers, partners and the larger AI ecosystem stakeholders.

From a Q3 perspective, multiple service lines delivered growth. AI & Data, Enterprise Solutions, IoT and Digital Engineering, and Cybersecurity led the growth this quarter. Our annualized AI revenue crossed US $1.8 billion with 17.3% quarter-on-quarter growth in constant currency .

The rate of production deployments for AI projects in 2025 showed a marked improvement over the prior year, with performance in Q3 further reinforcing this positive trend. Last quarter, I talked about how our AI Innovation Days and Rapid Build approach are making AI real for our customers. With many of the enterprises looking to jump start and scale their AI transformation, AI Innovation Days and Rapid Builds are fast becoming our core levers to drive di■erentiated customer engagement.

I would now like to share updates on key pillars of our AI transformation.
tcsAI: Internal Transformation
In Q3, we continue to democratize access to all AI tools and build on the success of the world's largest AI Hackathon in Q2. "AI Friday Hackathons", the in-person immersive format has created signi■cant engagement and buzz amongst our employees. It has enabled them to explore and develop their talents, while also allowing them to learn about the fast-changing capabilities of AI. This initiative has been particularly e ■ective in bridging boundaries between seniors and juniors as well as experts and beginners. 26

teams reached the ■nals, which were conducted in Q3, generating more than 15 patentable solutions .
We also continued to scale our own adoption of AI across our enterprise.
This quarter we launched AI-First solutions in hiring and employee onboarding. We also scaled our AI-powered personalized learning platform, the "Learning Coach".
Redefining All Services
Rede■ning Service Lines with AI is a strategic priority.

During the Analyst Day, we shared details of our uni■ed Human+AI Services Autonomy Model. This includes ■ve levels of autonomy from using AI as a tool at Level 1 to building an Agentic enterprise at Level 5. This has been instantiated for every service line.

This structured approach has been well received by our customers as it aligns to their AI-driven transformation initiatives with clearly de■ned goals and outcomes. For example:
■ For a global insurer, we improved software engineering practices from Level 2 autonomy to Level 3 autonomy, thereby delivering 2x improvement in deployment frequency and 30% reduction in time to market.
■ For a leading UK airline, we have compressed major-incident cycles by half, resulting in 40% higher operational e ■iciency using our 'March to Zero' IT Operations framework.

Making AI Real for Clients
In Q3, we sustained our focus to innovate, build, and scale AI solutions for clients across industries. We see the innovate-to-build cycle accelerating sharply, with over three times more rapid builds, that we delivered for our customers this quarter.

We set up two AI Labs in India—one for a leading US insurer to scale agentic transformation across insurance value chain and software engineering; and another for a regional US bank for Agentic AI-led Operations in KYC and AML investigations. These labs are helping our customers incubate and create a strong pipeline for AI rapid builds.

We also delivered several high-impact AI implementations, showcasing measurable business value by combining traditional AI, GenA

I and Agentic AI capabilities. I would like to share few examples of our customer success stories this quarter.

■ Our team played a key role in reimagining store operations, with multiple agents automating routine interventions, boosting sales by 25% and saving store managers 90 minutes on their weekly e■orts.

■ TCS won the IoT Breakthrough Award 2026 and was recognized as the ‘AI Powered IoT Solution Provider of the Year’. TCS is the only GSI to win in this category. We developed this solution for a leading integrated container logistics company. TCS brought together traditional AI, Vision AI and IoT solutions to deliver signi■cant improvements in safety posture at the terminals.

In summary, Q3 saw good traction across services in a traditionally soft quarter. Going forward, we will continue to engage with our customers with a two-pronged focus:

■ First, ‘Get AI ready’: Partner with them to build a strong enterprise technology foundation required for their AI transformation.

■ Secondly, ‘Lead with AI’: Engage with business and technology teams to help them establish early competitive advantage in AI.

Thank you. I would now like to hand over to Sudeep.

Sudeep Kunnumal: Thank you, Aarthi. Hello everyone again. Wish you all a very Happy New Year.

Our associates are at the heart of our transformation into an AI-■rst enterprise. The passion and commitment our associates show in mastering future-ready skills gives us the con■dence to innovate responsibly and deliver sustainable value as AI reshapes the services landscape.

At the end of Q3FY26, our global headcount stands at 582,163, with associates from 149 nationalities and 35.1% women . Last twelve months (LTM) voluntary attrition in IT Services stands at 13.5%, up by 20 basis points sequentially.

We continue to make signi■cant investments in building a hi-performance workforce with future-ready skills.

■ 51.2 million learning hours have been completed year-to-date (YTD).

■ 3.8 million competencies have been acquired YTD.

■ We now have 217,000+ employees with higher order skills in AI, which is a 3X increase over last year.

The second aspect of our talent transformation is role evolution. AI is creating new roles, such as rapid-build engineers and leads, which are increasingly vital for the future. We are currently working on aligning our role framework with AI as the centerpiece. All components of this framework are being systematically reviewed to ensure future readiness.

The third aspect is future-ready hiring . We continue to focus our e■orts in attracting top talent globally. Over the last year, we have doubled down on advisory and consulting talent across the big bets in areas like cybersecurity, enterprise solutions, cloud, AI and Data and positioning them closer to customers. Over 50% of our experienced hires are coming with next-gen skill sets. We hired signi■cant number of AI-native fresh graduates. Our Initial Learning Program (ILP) has been enhanced to include Gen AI as an integral part of the curriculum. All trainees now have access to a comprehensive AI ecosystem of learning, hands-on assessment platforms.

As part of our pioneering industry-academia collaboration, we are actively involved in designing of industry relevant curriculum. TCS APEX Mega-FDP is focused on faculty development from academia with knowledge of new-age technologies.

Our future ready talent model and our talent development programmes are gaining market recognition.

Recently, we :

■ Ranked #1 in Everest Group PEAK Matrix® for Talent Readiness for Next Generation Data, Analytics, and AI Services

■ Featured on Forbes America's Best Employers for Engineers 2026

■ Ranked #1 Technology Services Firm globally in Newsweek Magazine’s 2026 ranking of America’s Most Reliable Companies.

I would now like to invite you back, K

rithi.

K Krithivasan: Thank you, Sudeep.

Let me now share more details on our performance across the industry verticals:

■ BFSI continues to show good growth momentum despite the current quarter seasonality and being impacted by furloughs. BFSI achieved an overall TCV of US$3.8 billion , up by US$ 600 million QoQ and YoY . This includes one mega deal in BFSI North America. This comes on the back of a mega deal that we had announced in the previous quarter as well. Even on exclusion of the mega deals, BFSI TCV and pipeline continues to be robust.

o BFSI organizations continue to exercise cost discipline while prioritizing targeted investments in resilience, compliance, and operational e ■iciency. Technology expenditures remain centered on validated solutions and simpli■ed architectures. AI adoption is increasing, underpinned by robust governance and regulatory alignment, although agentic AI implementation is proceeding cautiously.

o Retail banks are focused on enhancing customer experience, adopting AI applications, leveraging ecosystem partnerships, and strengthening fraud prevention e ■orts. Corporate banks are modernizing their operations through cloud migration and digital enhancements. The payments sector is experiencing rapid transformation driven by regionalization, whereas capital markets and asset management sectors maintain strong performance.

o Modernization initiatives are being prioritized by BFSI clients. The insurance industry is adapting to new sources of disruption, including emerging risk products and AI integration. Brokerage and agency channels are consolidating in response to shifting market dynamics.

This quarter, several signi■cant project deployments were realized:

■ For a major global insurer, TCS implemented an AI-powered

underwriting solution that shortened quote turnaround
from weeks to hours with improved accuracy.
■ For a Finnish insurance company, an AI-driven quality
assurance framework was delivered, reducing manual
testing e■orts by 70%.
■ TCS successfully launched three large-scale, cloud-based
modernization programs for leading BFSI clients in Q3,
resulting in quicker product launches, strengthened
security postures, and enhanced operational e ■iciencies.

■ Our Consumer Business Group saw sequential growth led by
Retail, Travel and hospitality segments, re■ecting pockets of
resilience and cautious optimism. Americas, Europe, and
APAC grew, while the UK faced ongoing challenges.
o Retailers focused on value-driven strategies, digital
engagement, and AI-powered personalization to
o■set cost pressures and margin challenges.
o CPG companies prioritized health, premiumization,
and operational e ■iciency through AI and
automation.
o Travel, transport and hospitality (TTH) bene■ted from
strong international travel and digital transformation,
though domestic markets remained subdued.

■ The Life Sciences & Healthcare sector saw good growth
momentum this quarter. The sector is undergoing multiple
shifts across industry segments, led by regulatory
interventions, impact of AI, risk and security challenges and
changing consumer behaviour.
o Biopharma manufacturers are heavily investing in
automation, continuous manufacturing, robotics,
and AI-driven labs to enhance e ■iciency and
sustainability.
o Majority of life sciences companies have adopted or
piloted generative AI, especially for drug discovery
and automating literature reviews.
o Investments in digital health tools, telemedicine,
wearables, and remote patient monitoring are
surging. AI-enhanced diagnostic tools, such as

radiology AI, and rapid pathogen detection systems,
are high priorities.
o Providers and payers are spearheading AI
deployment in revenue cycle management, clinical
work■ows, utilization, and network management,
moving beyond pilot projects.

o Spend on cloud infrastructure, cybersecurity, data
governance, and edge computing is on the rise.

■ Manufacturing posted marginal growth in Q3. While the
automotive sector remained subdued, other industries
demonstrated growth momentum even in the face of
seasonal challenges. Investments in smart manufacturing
persist, as both agentic and physical AI enhance
competitiveness, agility, and resilience during ongoing
market uncertainty. In this quarter, TCS delivered several AI-
powered agents, specialized ■ne-tuned models, and vision-
based solutions that automate complex tasks, enhance

customer and dealer experiences, and drive operational e■iciency. These initiatives have resulted in measurable business outcomes for our clients such as reduced manual e■ort, accelerated time -to-market, improved decision-making, and signi■cant cost savings.

o We expanded our 18-year partnership with ABB, a global leader in electri■cation and automation. The partnership aims to modernise ABB's global hosting operations, simplifying its IT landscape, and strengthen its digital foundation to drive resilience

and innovation. As part of this multi-year engagement, TCS will operationalise ABB's Future Hosting Model, a next-generation modular IT infrastructure designed to streamline systems. This model will enable predictive operations, faster service restoration, and continuous security assurance through its AI-powered Zero Ops framework.

■ Our Technology Software and Services de-grew in Q3FY26 primarily due to typical Q3 seasonality. While the big tech companies are investing signi■cantly in AI infrastructure and building frontier AI capabilities, the broader industry is facing ongoing geopolitical uncertainty, trade restrictions, and evolving data and AI regulations. This quarter, workforce restructuring continued, with major layo ■s among top clients. Customers are focusing on AI development, operational e ■iciency, a nd manufacturing diversi■cation to manage risks and drive growth.

o Semiconductor and Electronics segments are seeing moderate growth, especially in AI hardware, while Industrial and Automotive Electronics remain weak. Investments in semiconductor manufacturing and R&D are rising, particularly in the US, India, and Europe. Network growth is ■at overall, with Enterprise Networking bene■ting from increased AI infrastructure demand. Software companies are steadily integrating Agentic AI and moving products

to the cloud. Professional Services continue to experience slower growth.

o Cost optimization is a key client priority. We are supporting digital transformation and e ■iciency through AI-powered operations, modernization of engineering environments, SaaS optimization, adoption of open-source network technologies, and the shift from x86 to ARM-based devices.

o A prominent North American software company has engaged TCS to provide down-sell prevention and churn mitigation services for end-users on one of its ■agship enterprise platforms. TCS will implement a robust execution model across multiple regions, aiming to enhance platform adoption, deepen customer engagement, and minimize churn. These objectives will be achieved through the integration of AI-driven solutions and streamlined service delivery, ultimately improving the overall customer experience.

■ CMI showed positive growth momentum this quarter, driven by clients seeking measurable ROI on automation, AI e■iciency, ad monetization, and resilient IT. We are addressing these needs with outcome-based transformation, modernizing operations and embedding AI across processes. We are also actively leveraging strategic partnerships with hyperscalers like Microsoft, Google, and NVIDIA to accelerate AI capabilities, co-innovate with

clients, and deliver rapid solution builds that demonstrate business val

ue.

■ ERU posted strong growth this quarter. The ERU sector is rapidly moving toward a low-carbon future, making signi■cant investments in renewable energy, electri■cation, and advanced storage solutions. Companies are leveraging AI-driven platforms and providing workforce training to boost e■iciency and adaptability. While the Americas , APAC and MEA regions showed notable growth, UK & Europe, despite a short period of slower progress, continue to prioritise clean energy initiatives and digital enhancements, supporting ongoing global development. The demand is robust for our AI-led services.

■ Growth Markets : Growth Markets remain resilient despite geopolitical challenges, with steady enterprise IT spending and increasing public sector investment in digital infrastructure. Revenue growth is led by the enterprise segment in India and strong public services momentum across India, APAC, and MEA, with broad-based service revenue gains. Public Services continues to deliver standout wins.
I will now talk about the ■fth pillar of our strategy, AI ecosystem play.
In Q3, we continued to establish ourselves deeply into the AI ecosystem:

■ During the quarter, we announced a US$1 billion equity partnership with TPG, a leading global alternative asset management ■rm to support the growth of our GW-scale AI data center infrastructure build out . We are making good progress in our discussions with prospective clients.
■ On M&A, we announced the acquisition of Coastal Cloud , in the U.S. to strengthen our Salesforce and AI consulting services. Together with ListEngage, we are now among the top 5 global Salesforce consultants, gaining over 500 experts and 3,400 certi■cations, and boosting our CRM capabilities. These acquisitions also strengthen our capabilities in advisory, implementation, and managed services, providing a complete multi- cloud o■ering across all Salesforce modules. The acquisitions also deepen our partnership with Salesforce through established partner board roles and summit partnerships and extend our reach into new market segments. The acquisition of Coastal Cloud is pending regulatory approval.
With this, I will now open the line for questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. We take our ■rst question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: I am just doubling down on your initial remark of the con■dence of
the good CY '26. Maybe if you can contextualize the statement, it a
bit more there, it will be helpful. Are you seeing any green shoots of
improvement in discretionary or short-cycle projects that is giving
you this con■dence? Or also, if we have to see a demand recovery

in international markets in CY '26, which speci■c segments do you
think should drive this?
K Krithivasan: Thanks, Sudheer. In Q2, we had called out that the overall demand
environment is improving compared to Q1. In Q3, that trend
continues. And Aarthi also mentioned about a number of Rapid
Builds projects in AI we are doing.
Essentially the short-cycle project side, the decision-making is
faster based on the ROI. We see a steady increase, and you can
see that re■ected in our AI revenue that we are reporting, and this
is across all industry segments. AI and data are continuing to drive
growth for us.
Sudheer Guntupalli: Sure, sir. Some of the key segments like North America and UK
across geographies have either declined or were soft in this
quarter, so seasonality and furloughs alone explain this? Or is
there any other issue along with the normal seasonality that might
be playing out here?
K Krithivasan: It is primarily seasonality here, Sudheer.
Sudheer Guntupalli: All right, sir. Thank you and all the very best.
K Krithivasan: Thank you.
Moderator: Thank you. We'll take our next question from t

he line of Ravi Menon
from Macquarie. Please go ahead.
Ravi Menon: The ■rst is the increase in other expenses within the SG&A. There’s
a very sharp increase — about 77% year-on-year and 41% quarter-

on-quarter. Could you talk a bit about that? The other expenses are
about ■7.3 billion this quarter.
First question is on the AI run rate. It’s a strong number, $1.8
billion. Could you talk a bit about whether this is preparing the
customers’ overall landscape for adopting AI, or are these really
speci■c AI use cases? Which are you seeing more of?
Samir Seksaria: First on the other expenses part, the increase both sequentially
and Y-o-Y is primarily on account of legal expenses, also from
leading from M&A-related ones, the legal fees, etc. Marketing
initiatives has increased. A lot of our events, etc. converged into
Q3 and also includes CSR initiatives.
Ravi Menon: Thank you. So some of this will recur , some of it won't recur, right?
Samir Seksaria: Yes.
Aarthi Subramanian: To answer your question on AI. These AI revenues, like in the
Analyst Day, we had reported US$1.5 billion annualized, and this
quarter, the number is US$1.8 billion annualized. This includes
primarily AI programs across industry value chain. And the data
e■orts that are required to deliver those AI projects.
Let’s say, we are doing software engineering, we are using AI for
testing. Those are not included. So primarily 2 types of AI
programs, AI for business transformation across industry value
chains, across verticals. The second is when you use AI for
modernization. Those are the 2 buckets I'll call.
Ravi Menon: Thanks. Perfect.

Moderator: Thank you. Next question is from the line of Vibhor Singhal from

Nuvama. Please go ahead.
Vibhor Singhal: Krithi, you mentioned that the weakness in the BFSI segment was quite seasonal in nature and we had a good amount of business in this quarter and the last quarter as well. Going forward, let's say, next few quarters, do we expect this growth momentum to reflect in the revenue growth itself for BFSI?
Similarly, in the retail business, we've seen good pickup. Was the retail business kind of driven by the seasonality in this quarter? Or do you see the growth momentum in the retail business also to sustain in the coming quarters? If you could just answer that. After that, I have a follow-up question.
K Krithivasan: In BFSI, it's primarily seasonality that impacted us in this quarter. But the overall deal momentum that we are seeing excluding the seasonality, the growth we saw in the accounts, gives us the confidence that BFSI will return to growth. If you notice that before this quarter also for the past few quarters, we had grown in BFSI, so we should return to growth and that should continue.
Retail, the seasonality is not the main reason. Again, in retail, we have started seeing growth across all sectors. While there are still some pockets of weakness, like I called out domestic airline is still weak, but international TTH is doing well. Essential in retail is doing well, but there is some softness in fashion and specialty. So excepting those pockets of weakness, we are generally seeing all-round pickup in CBG segment as well.

Vibhor Singhal: Just one follow-up on that, you had mentioned that we are looking to report a higher growth in the developed markets this year. I mean do you think we can still achieve that in this year? And do you think this would also be the case going forward in FY '27 over a cycle, just on the developed markets?
K Krithivasan: Yes, Vibhor like we did tell in the past that our international market, we will continue delivering a higher growth. Now that we only have one quarter left, but it continues to be our aspiration that we would make every effort. We saw demand slowly picking up in Q2 that continued in Q3. We are taking e

very step to ensure that we grow better than FY '25 in FY '26 in the international market.
Vibhor Singhal: Thanks a lot, Krithi. Just a couple of questions, for Samir. Sir, just two things. One is we had a very strong margin performance in this quarter despite the 2-month wage hike; in fact we were able to report flat margins. Now given that we have two, three quarters in which there will be no wage hike and no structural headwind per se. Do you believe we are getting closer to that aspiration band of 26% to 28% margins in the coming quarters?
Samir Seksaria: If you look at it from a headwind perspective, Vibhor, apart from the macro uncertainty, I think if you go back to last year, we had an annual intervention cycle coming in Q4 that could be a headwind. Other than that, I think nothing major, except the investments which we have been making and calling out. But irrespective of that, while we will not shy away from making investments, we want to inch closer to our 26% to 28% band and we'll make all efforts to climb towards 26%.

Vibhor Singhal: That is great to hear. Just last one from my side. Sir, on the labor law provision that we have taken, I know this is going to be an industry-wide practice. In fact, not just industry, I think all of us will be impacted in terms of profits. Could you just speak a bit about the nature of this expense and is this, I mean this is an exceptional item. From next quarter onwards, how does the labor laws impact will be taken care of in the entire P&L?

Samir Seksaria: Basis the guidance received overall on the new labor code, the way they have been implemented, the guidance we have received and factoring in some bit of restructuring. We have made an assessment and made a provision of ■ 2,128 crores. The nature of it, we have called out in our ■nancial statements, gratuity amounts to about ■ 1,800 crores and leave liability is balance ■ 300 crores. This is all past service costs, and hence called as one o■. We expect the ongoing impact to be minimal, around 10 to 15 basis points.
Vibhor Singhal: Going forward, next quarter onwards we will just take the impact of this of around 10 basis points to 15 basis points above the EBITDA in our normal operating margin, there will be no other exceptional items from Q4?
Samir Seksaria: On the labor code we don't expect any incremental one- o■'s. Unless the rules give more clarity and there is something else which needs to be addressed, because the rules came into e■ect, and the guidance came towards the end of December. We have made an assessment and done the provision basis that. And we'll call it out if there is a change in the understanding of our rules.

Vibhor Singhal: Thank you so much for taking the questions and wish you all the best.
Moderator: Thank you, Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.
Nitin Padmanabhan: Good evening and Happy New Year. I had few questions. North American market has been relatively soft over the last 12 quarters or so. You think with international coming back, North America will really start contributing and we should start seeing this edging up from a growth perspective?
The second is, do you think the restructuring costs are largely over? And then the third one is, do you think we should see any revenue from BSNL this ■scal or it just moves over? Lastly your thoughts on the recent development on credit card rates in the U.S., do you think that in some form, impacts your payment customers and what could be the exposure there?
K Krithivasan: Nitin, I will take the question on North America, BSNL, Credit card and then invite Sudeep to talk about the restructuring. In North America, like we discussed the market in general, we ■nd that the customers are willing to look at ROI-based decision making in terms of new projects and we also see the

decision-making cycle
has reduced compared to the past and the momentum we saw in Q2 continued.
We are optimistic that North America will return to better growth than before. In terms of revenue from BSNL, the revenue that we recognized this quarter is very similar to the revenue that we got from BSNL last quarter and unless formal ■nal PO is received, we

don't expect the revenue pickup in BSNL (for the 2nd phase), but we will keep you posted whenever it happens.
On the credit card, there are both positives and negatives, like while there could be some losses the banks may su ■er in terms of interest income, but it also ensures that there is more spend happening because the interest rates are capped.
I feel that it will have a two way impact, certain industries will bene■t. Even in banking, the new spend can increase while the old spend interest could come down. So it will have a very nuanced or probably multilayered impact, we have to wait and watch. But on net-net basis, we don't see a major impact because of this particular rule that's come in. I'll now invite Sudeep to update you

on the restructuring.
Sudeep Kunnumal: Thank you, Krithi. Hi, Nitin. So, as I mentioned, we continue to hire and seek for top talent, both from the lateral market and from the campuses as well. While we are in that journey, what we had announced as part of the restructuring, we continue to look for support people with deployment into future role.
Wherever we are not ■nding success in re-deployment - is where we are releasing the workforce. So, we said we will continue this exercise till the end of this year. And in this quarter, we released approximately 1,800 people with all the due care and compliance to all the laws of the land. And as communicated earlier, we expect it to continue into the next quarter as well.

But we are not really going after a number. It's purely a process, we review it. Only if there is a genuine reason if we need to release is when we'll exercise that option.
Nitin Padmanabhan: Perfect. That’s helpful. Thank you so much and all the very best.
Moderator: Thank you. Next question is from the line of Kumar Rakesh from BNP Paribas. Please go ahead.
Kumar Rakesh: Hi, good evening. My ■rst question was that you spoke about that you are targeting to improve your international revenue this ■nancial year. Now looking at your book-to-bill ratio over the last 2 years, it has been in the range of 1.3x to 1.5x.
This year, it has been largely below 1.3x, are you comfortable that this level of order book can help you continue to see revenue growth improvement beyond ■scal '26 as well? Or you would need to see an improvement in the deal wins?
K Krithivasan: Kumar, if you look at this year, so far in the ■rst three quarters, our order book is in the range of about US$28 billion to US$29 billion. If this trend continues, we will be somewhere closer to about US$38-39 billion for the year, which will be one of the highest.
We believe this order book will help us in growing in FY '27 as well.
We are now quite comfortable, Kumar, with the order book itself. I think as far as international revenue in Q4 is concerned, we are optimistic, and we'll take every step that's required to see we reach the aspiration of having a revenue better than FY '25.

Kumar Rakesh: Thanks, Krithi. My second question was on the AI services revenue, which you spoke about is growing pretty strongly on a quarter-on-quarter basis. Can you give some more color on what is driving that growth? You also spoke about that Agentic AI implementation is proceeding cautiously. Why is it so?
Aarthi Subramanian: I think, Kumar, if you look at the AI revenues, the growth is coming from across verticals and these are business impacting programs that we are delivering for our customers. If you really look at it, I think wh

en GenAI is something we all started talking about sometime late towards 2022 and early 2023.
For about 1-1.5 years until about mid-2024, there was a lot of experimentation, PoCs and people were understanding the power of the technology. But if you really look at 2025, I think the adoption in our customer landscape has signi■cantly increased, where we have now shifted from experiment PoCs and pilots to really, ROI-led scaled implementations, and that's what is driving this growth.
And Agentic AI getting introduced early in 2025 also created good momentum because traditional AI, Generative AI and Agentic AI, the combination is what is helping us deliver solutions that create value for our customers.
Kumar Rakesh: Thanks. Samir, just one clari■cation on SG&A expense increase, which you called out. What all would be one-time in nature in that?

I would assume that legal expenses wouldn't recur from the next
quarter onwards, so if you will be able to quantify within that?
Samir Seksaria: The legal expenses has a combination of some ongoing elements
also and the legal fees related for the concluded legal case would

have been one-time. It would be hair splitting, calling out each line
item separately and its impact, but you would expect some other
one-o■s like the CSR provisions, etc, might continue into the next
period.
Kumar Rakesh: So essentially, the SG&A expense in this quarter largely would be
an ongoing expense. Is that a fair way to say that?
Samir Seksaria: Partly, it's a mix of both, but I'm not going to hair split into how
much it is recurring or non-recurring. You could say about 10 to 20
basis points is one-time.
Kumar Rakesh: Got it. Thanks a lot.
Moderator: Thank you. Next question is from the line of Keith Bachman from
BMO. Please go ahead.
Keith Bachman: Yes. Thank you very much. I was hoping you could talk about
what's the changes in economics on renewals today or currently
versus, say, 2 years ago? And what I wanted to understand is, at
the time of renewal, what's the price di ■erence on the like -for-like
work at the time of renewal?
How much more are you incrementally focused on selling
incremental services to o ■set the price declines that I think are
largely driven by the bene■ts of AI? But if you could just speak to
broadly what renewals look like today versus, say 2 or 3 years ago?
Thank you.
K Krithivasan: Bachman, if you look at the renewal, most of the renewals would
bake in some productivity. But that is business as usual, that is I

don't think related to AI. Even without AI coming to picture, most of
the renewals have some productivity baked in. It could weigh in the
range of 10%-15% over a term of the contract.
We have seen every time a renewal happens, it increases the
scope of operation that we do. So, net-net, you'll ■nd very often
when the renewal happens, the top line or the total quantum of
revenue doesn't decrease, but the quantum of work that we
commit to deliver to our customer, that increases, o ■setting the
top line, because the productivity is achieved by TCS, you don't
see a hit in realization, but the quantum or the amount of work we
deliver increases.
Now with AI coming in, our approach has always been that we
proactively go to customers even before the start of the renewal
cycle. We go to customer with opportunities to deploy AI and how
we can achieve a certain amount of productivity through AI. Once
we renew it, at the time of renewal, it embeds AI productivity and
very often, as I said, increases the scope of our work as well.
Keith Bachman: So is your contention that 10% to 15%, you're suggesting that's the
same what the renewals the price discounts at time of the
renewal, that's where it was 2-3 years ago. You're saying that's a
consistent number?
K Krithivasan: It could vary. I said just to give it as an example. But the point I'm
trying to mak

e is there is a productivity, but there is a volume of
work that is being delivered that also increases. So by and large,
the total value of the contract doesn't change or reduce much, but

we end up delivering more volume of work, but at a higher
productivity.
Keith Bachman: The second question I had was similar. As you're bidding for net new work and you're bidding in cost bene■ts or supply the bene■ts, if you will, is there more variance allowed in the contracts? What I mean by that is, are you structuring the contracts di ■erently in that you allow fo r if the cost curves are better, then you allow for some sharing with the clients, if the bene■ts that you predicted in the contracts aren't as good than the client shares back with you. Is there more ■exibility because you're adopting new technology as you're bidding out multiyear contracts?
K Krithivasan: We have been quite open to that. But at the same time, it's fair to say most contracts assume a fairly aggressive AI productivity to come in and baking the expected productivity at the beginning of the contract itself. But we would be quite open to work with our customers where we are able to get or achieve greater productivity. If you have to share it, we would be quite open. But to be fair, we are not seeing the type of contract where the ■exibility is built in within the contract. Most contracts assume a certain productivity over a period of time and are priced accordingly.
Keith Bachman: All right. That's it for me. Thanks.
Moderator: Next question is from the line of Dhanshree from Choice Institution Equities. Please go ahead.

Dhanshree: Thanks for taking my question. As you have already called out AI revenues of US$1.8 billion, so if you can give some more color in terms of how our pipeline is led by AI? What is the growth in last 9 months in this pipeline? Growth that we see going ahead?
Aarthi Subramanian: Dhanshree, like we said, we are seeing increased momentum quarter-on-quarter and in Q3, it's the ■rst time we started publishing our annualized AI revenues. In mid-December, this number was US$1.5 billion annualized and quarter closure is US$1.8 billion. We are seeing increased traction, good momentum across our client base and we expect AI revenues to continue to grow with a strong growth rate.
Dhanshree: Some color on data center operations, when the actual operations will start favoring the numbers, some cues on the timeline would be helpful.
Samir Seksaria: Dhanshree, what we had called out is, that we would be ■rst announcing an anchor customer and basis the requirements of the anchor customer, we are going to do the build-out. Typically build out would require about 18 months, post which revenue should start ticking in.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you.
K Krithivasan: Thank you, operator.
In summary,

■ The growth momentum we witnessed in Q2FY26 continued in Q3FY26.
■ In Q3 FY26, our Revenue grew 0.8% sequentially in constant currency , with an operating margin of 25.2% and a net margin of 20%.
■ Our AI services now generate US$1.8 billion in annualized revenue and is growing at 17.3% QoQ in constant currency .
■ Our TCV was strong, at US$9.3 billion , including a mega deal win.
I would like to conclude by reiterating that we remain steadfast in

our ambition to become the world’s largest AI-led technology services company, guided by a comprehensive five-pillar strategy and our investments in becoming a full stack AI services player across infrastructure to intelligence.
These coupled with enduring partnerships and disciplined execution position us uniquely to gain leadership in AI.
With that, we wrap up our call today. Thank you all

for joining us.
Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.
Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Apr 2026

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Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021
Corporate Identity No. (CIN): L22210MH1995PLC084781
TCS/SE/ 10/2026- 27

April 14, 2026
National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter and year ended
March 31 , 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2026, conducted after the meeting of Board of Directors held
on April 9, 2026, for your information and records.
The above information is also available on the website of the Company: www.tcs.com .
Thanking you, Yours faithfully,
For Tata Consultancy Services Limited

Yashaswin Sheth Company Secretary
ACS 15388

Encl: As above

Tata Consultancy Services Limited
Financial Results Q4 & Full Year FY 2026 Conference Call
April 09, 202 6,19:00 hrs IST (08:30 hrs US ET)

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call . As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nehal Shah, Head of Investor Relations at TCS. Thank you and over to you.
Nehal Shah: Thank you, operator. Good evening and welcome everyone. Thank you for joining us today to discuss TCS's ■nancial results for the fourth quarter and full year FY2026 that ended on March 31st, 2026. This call is being webcast to our website and an archive including the transcript will be available on the site for the duration of this quarter.
The ■nancial statements, quarterly fact sheets and press releases are also available on our website. Our leadership team is present on this call to discuss our results. We have with us today Mr. K Krithivasan, Chief Executive Officer and Managing Director.
K Krithivasan : Hi everyone.
Nehal Shah: Ms. Aarthi Subramanian, Chief Operating Officer and Executive Director.
Aarthi Subramanian: Good evening, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial Officer.
Samir Seksaria: Hello everyone.

Nehal Shah: And Mr. Sudeep Kunnumal, Chief HR Officer.
Sudeep Kunnumal: Hello everyone.
Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any speci■c revenue or earnings guidance, and anything said on this call which re■ects our outlook for the future or which could be construed as a forward-looking statement must be reviewed in conjunction with the risk that the company faces.
We have outlined this risk in the second slide of the quarterly fact sheet available on our website and email out to those who have subscribed on our mailing list.
With that, I would like to turn the call over to Krithi.
K Krithivasan : Thank you, Nehal.
Good day everyone and thank you for joining us today .
I would like to open with ■ve key messages for the quarter and the year:
1. First, about Q4 – We are very pleased to announce third consecutive quarter

of sequential growth. We delivered a strong 1.2% sequentially on a constant currency (CC) basis, in the backdrop of intensifying geopolitical con■icts and macro -economic uncertainty. This momentum was broad based across major markets, with North America growing 1.4% QoQ , UK growing 2.4% QoQ and Europe growing 1.0% QoQ in CC. Most of the industry segments also grew. Our order book performance was also very strong in Q4, with $12 billion in TCV including three mega deal wins from Marks and Spencer, a leading telecom operator in the UK, and a leading American healthcare & pharmacy retailer. This underscores the

strength of our ■ve pillar strategy and our AI -led positioning across services.
2. Second key message is on our client metrics – You will see from the factsheet that every revenue band saw healthy additions this quarter after a gap of about 2 years, which speaks to the early signs of stability and growth returning to our mid -sized and large accounts. The number of accounts where we generate more than $ 100 million annually increased by 4 QoQ, bringing the total to 66; we added 3 more clients in the $50 million+ band, bringing the total to 139; and 14 more clients in the $1 million+ band bringing the total to 1,397 from last quarter.
3. Third message is on the announcement of sala ry increments. W e have announced annual salary increments for our eligible associates across all grades, effective April 1.
4. Fourth is the momentum we see in our AI Services, which continued to accelerate impressively, standing at US$2.3 billion on an annualized basis.
5. Lastly , the promise we see in our Hyper Vault Business – which has made signi■cant progress this quarter on its journey to build out 1 GW of capacity. This includes winning customer commitments, land parcel ■nalizations and partnering agreements. We are actively engaging across the full ecosystem of—hyperscalers, semiconductor companies, and model providers , while TCS is the integration partner across infrastructure, engineering, and AI -led services. Demand signals remain strong and are translating into structured engagements and commitments, positioning TCS at the forefront of this build- out.
As we progress, this infrastructure layer is forming the foundation of TCS's full spectrum play from infrastructure to intelligence.

Coming to our full year performance, even though our FY 2026 revenue declined by 2.4% in constant currency, we delivered a strong $40.7B in TCV including 5 mega deals. We maintained a strong focus on execution to deliver an operating margin of 25% . This is the highest operating margin achieved in the last 4 years.
As enterprises navigate increasing complexity across technology,

operating models, and business transformation, the role of trusted System Integrators has become even more vital. Clients are looking for partners who can bring deep technology excellence, strong enterprise and industry context, and take end -to-end accountability with con■dence on outcomes and ROI. In FY26, TCS was uniquely positioned to meet these expectations through sustained investments in AI led engineering, a highly skilled and scalable talent base, differentiated solutions, and a strong partner ecosystem. This has translated into the major highlights I talked about earlier , broad based client additions across revenue bands, strong TCV , and continued momentum in large deals, with clients showing greater willingness to commit to long term, multiyear, multimillion dollar partnerships re■ecting the trust they place in TCS to deliver certainty and value at scale over extended transformation journeys.

I will now invite Samir, Aarthi and Sudeep to go over different aspects of our performance during the quarter.

I will step in later to provide more colour on the demand trends we

are
seeing in our key verticals and our outlook for the next year. Over to you, Samir.

Samir Seksaria: Thank you, Krithi. Good day to all .

I will start with the commentary on the recent quarter and then proceed to the Full year numbers.

In the fourth quarter of ■nancial year 2026, our revenue was ■70,698 crore , which is a quarter -on-quarter growth of 5.4% . In dollar terms, revenue was $7.621 billion , a quarter -on-quarter growth of 1.5% .

In constant currency, we had a sequential revenue growth of 1.2%.

Our Q4 operating margin stood at 25.3%, a sequential increase of 10 basis points .

During the quarter, we saw an improvement in realizations driven by continued focus on value-led delivery. Currency was also supportive during the quarter, providing a translation tailwind. These factors contributed to a bene■t of around 40 basis points and 110 basis
point s respectively .

Consistent with the ‘ Build–Partner -Acquire’ strategy we shared at our Analyst Day, we consciously reinvested these tailwinds back into strengthening our capabilities and growth engines.

• Under ‘Build’, we saw higher external consultants’ cost of 40 basis points , to capture the demand and to ensure delivery timelines and quality were protected while we continue to scale internal capabilit ies.

In parallel, we made targeted interventions in critical talent, certi■cations, upskilling and creation of niche delivery pods. These investments are aimed at building a scalable, future -ready AI delivery model that straddles the entire stack across our Infrastructure to Intelligence strategy layout. A lso, the ingoing impact of the India wage code is included . Together these two accounted for an impact of 40 basis points.

• Under ‘ Partner’, we stepped up investments in ecosystem partnerships , re■ected in multiple announcements such as OpenAI,

AMD and ServiceNow made during the quarter. These investments are focused on industrialising AI solutions, increasing cross-sell opportunities, and improving speed-to -value for clients through deeper hyperscaler and platform collaboration.

We also increased go-to-market activity, with higher participation in client events, showcases and industry forums. This is directly linked to expanding demand pipeline and improving conversion by demonstrating our AI and platform -led offerings. Together, these two accounted for a margin impact of 50 basis points.

• Finally, aligned to ‘ Acquire’, w e incurred integration -related investments of approximately 10 basis points, as we embedded

acquired capabilities into our operating model. This included talent alignment, platform integration, go-to-market enablement and delivery readiness, all aimed at accelerating synergy realisation and scaling new offerings.
Net margins for Q4 were 19.4%, and our EPS grew 12.2% YoY .
Our accounts receivable stood at 74 DSO in dollar terms for Q4, down 2 days sequentially.
Our cash conversion this quarter continues to be strong , exceeding 100% of our net pro■ts. Net cash from operations was $1.6 billion, which is 106.7% of our net income.
Invested funds at the end of the period stood at $5.3 billion.
Coming to the full year FY26 , our revenue was ■ 267,021 crore , which is a growth of 4.6% on a YoY basis. In dollar terms, the reported revenue was $30.017 billion , a decline of 0.5% . In Constant currency terms , revenue declined 2.4% Yo Y.

For FY26, our operating margin was 25% , an expansion of 70 basis points over the prior year, and at a 4 -year high.
The operating margin for the year excludes a few one -off items recognised during this year. These exceptional items relate to severance -related expenses, legal provisions, and the impact of changes in India wage code.
Net margins for FY26 were 19.8%

and our EPS grew 8.8% YoY .
Our effective tax rate for the year was 24.6% .
Going forward, we will continue our investments to maximise growth. Our operational rigor will continue to focus on optimizing margins, robust cash conversion and strengthening the balance sheet.
We remain ■rmly committed to returning substantial free cash ■ow to shareholders through a consistent and shareholder friendly dividend policy, while prudently expanding investments under the 'Build -Partner - Acquire ' framework to strengthen long -term growth.
The Board has recommended a ■nal dividend of ■31 per share, taking the total dividend for the year to ■110.
I would now like to invite Aarthi.
Aarthi Subramanian: Thank you, Samir. Good evening to all of you.
FY26 was a pivotal year for enterprise AI adoption across industries. For the ■rst time since the advent of GenAI in late 2022 , the shift from experimentation to scaled AI deployment showed a marked improvement last year. AI became a core part of our every customer conversation and solutioning, creating a tailwind for enterprise adoption. In Q4, our annualized AI revenues surpassed $2.3 billion , driven by the accelerated deployment of AI solutions across industries.

We experienced strong deal momentum across new services in Enterprise Transformation, Digital Engineering, and Cloud Modernization.
Our HyperVault business has made signi■cant progress since the announcement in October 2025.
Last quarter, I spoke about our two -pronged approach to engag ing deeply with our customers on AI. One, to help them 'Get ready with AI ', and two, to partner with them to 'Lead with AI '. Let me share more detailed updates on both these areas.
Get AI Ready
While our customers want to accelerate AI adoption, their current enterprise stack lacks the readiness for what it takes to scale. We are working with our customers to address this gap by upgrading their infrastructure to be scalable and secure, modernizing their core applications and setting up modern data foundation. Signi■cant part of the technology spend is being invested in these areas.
Let me share a few examples:
• TCS modernized mission -critical crew management systems using Generative AI for a European Airline. We reverse -engineered complex

legacy systems to reconstruct the core business logic embedded in these systems. This modernization was powered by Google Gemi ni platform. The airline now has a scalable foundation to build new -age crew operations solution.

• For a car rental company in US, we executed a complex, high-stakes legacy data warehouse migration, moving over 20 terabytes of mission -critical data to a Modern Data platform. This program decommissioned their legacy systems delivering an estimated $2.5

million in savings but more importantly, it established a scalable data foundation for them to Get Ready for AI.

Lead with AI

To help our customers implement AI in their context, we have created an AI acceleration playbook – Innovate with AI, Build with AI and Scale with AI. This year, we deployed this playbook across a signi■cant number of our customers to solve high -value business problems in rapid deployment cycles of 12 -16 weeks.

• For a leading utility company in the US, we conducted CxO -level AI immersion programs to identify challenges that can be best solved with AI. We also built their Enterprise AI Platform which provides a secure scalable foundation to industrialize AI adoption.

Physical AI deployment is also gaining traction i n industrial sector . Digital twins, computer vision, quadruped-based solutions are driving efficiencies, throughput and safety.

• For an electronics manufacturer, in their fabrication facilities, we are integrating NVIDIA Omniverse -driven digital twins with autonomous quadruped-based inspection systems. This Physical AI solution is driving better construction accuracy and proactively identi■es safety hazards.

Services transformation

Rede■ning every service line is central to our Five-pillar strategy. TCS has created a services re- design framework which we call our ‘Human + AI ’ Service autonomy model. This model integrates service line speci■c industry leading tools which are integral to delivering value in the customer context.

This is resonating well with our customers as it provides a well -de■ned framework for consistent deployment across the enterprise. We are taking AI-led re-designed services proactively to our existing customers and new prospects.

In last 2 years, AI model capabilities have evolved tremendously and rapidly. Yet there is a gap in enterprises realizing the true potential of these technologies. One of the challenges our customers face is that they have invested in the se tools but have not yet reap ed the expected productivity bene■ts. Our goal is to systematically help our customers address these gaps with our ‘Human + AI ’ Service autonomy model.

• For a retailer in UK, we deployed the AI -Engineering framework with agents through the software lifecycle from translating unstructured requirements into structured speci■cations as well as executing spec -driven coding, testing, and deployment. Our ‘Human+AI ’ approach accelerated software delivery and reduc ed the deployment cycle time by a bout 40%.

Business process services is becoming a fast adopter of Agentic AI. We are working with multiple customers on their AI -led GBS transformation.

• For a steel major, TCS proactively deployed AI agents in procurement bid management process, resulting in order to invoice cycle reducing from 28 days to under 10 days.

In FY26, all next -gen services delivered strong growth across industries and markets, backed by our continued investments in AI, talent, and innovative solutions.

Partnerships
In FY26, we invested signi■cantly in strengthening our AI partnerships.
This includes Enterprise partners, Hyperscalers, Deep Tech AI native
partners and domain speci■c partners.
In Q4, we forged several strategic partnerships that have expanded our joint collaboration , this includes a partnership with ServiceNow,
Google Cloud and AB B.
With Open AI, we announced a partnership spanning multiple high-
impact areas - empowering Tata group employees with ChatGPT
enterprise, building industry speci■c agent s, Joint go to market initiatives
and creating a state -of-the -art AI infrastructure.
Hyper Vault
Finally, I would like to provide an update on TCS HyperVault.
Our engagements with hyperscalers and frontier AI model companies
have moved beyond early exploration into design alignment, security
frameworks, site due diligence, and commercial structuring . We see the
demand converging around large, anchor AI workloads in the 100 –200 MW
range per customer.
HyperVault has aligned a deep partner ecosystem, including Tata Power,
Tata Projects, Tata Communications as well as GE, Honeywell, ABB,
Siemens, and many of our customers to cover EPC, power, cooling,
controls, network and security.
Some of the key announcements we made this quarter are:
• We have partnered with Open AI to build 100 MW capacity, with an
option to scale to 1 GW.

• In collaboration with AMD, we are combining their world class
“Helios” rack-scale AI architecture with Tata group synergies to
create high density AI capacity in India.
• We signed an MOU with ABB to strengthen collaboration across IT
infrastructure and applications, digital and industrial AI initiatives,
data centres, and other emerging technologies.

In summary, FY26 saw a good momentum on AI and new services. As we
move into FY27, we will continue to accelerate deployment of our ■ve -
pillar AI strategy. We are well pos

itioned to support our customers with a
deep knowledge of the enterprise context that we possess and our ability
to integrate AI into the customer business and technology landscape to
create customer value.
Thank you. I would now like to hand over to Sudeep.
Sudeep Kunnumal: Thank you, Aarthi. Good evening, all of you.
At the outset, I would like to thank all our employees and their families
stationed in West Asia for their utmost dedication and resilience during
these tough times.
All our employees and their families in the Middle East are safe and we
are in constant touch with them providing the necessary support.
At the end of March 2026, our global headcount stood at 584,519, with
associates from 149 nationalities of whom 35.2% are women .
We have announced Annual increments to all eligible employees across
grades, effective April 1, with top performers getting double digit increase.
We are focused on building a future -ready organization by strategically
hiring both fresh graduates and experienced professionals. Our

recruitment efforts have been concentrated on individuals with expertise
in AI, data, Enterprise Solutions, software engineering, cloud,
cybersecurity, and digital engineering.
In FY26, we have also hired over 750 employees with deep advisory and
consulting expertise.
We stepped up our investments in talent development initiatives as well.
• In FY26, a total of 69 million learning hours has been completed,
and 5.2 million competencies have been attained by our associates .

• Over 270,000 associates now possess advanced proficienc ies in AI and machine learning.
TCS demonstrates its commitment to innovation by being its own "customer z e r o ", adopting and refining AI technologies across internal HR practices before deploying them externally.
Within the human resources function, we are embracing AI as follows:
• Nearly half of internal resource allocations occur through the internal Talent Market Place which uses AI driven recommendations to match demand and supply.
• Our GenAI -powered Learning Coach platform has helped over 100,000 TCS employees improve their proficiency through targeted, role -specific learning.
• Our GenAI enabled Interviewer accelerates hiring with technical assessments, while our AI recruitment platform enhances post -offer engagement to answer very specific queries .
• The AI assistant provides instant multilingual, contextual HR policy support, improving employee experience.

We have further strengthened our position as Employer of Choice globally and are pleased to have been recognized as an Enterprise -wide Top Employer for the 11th consecutive year by the Top Employers Institute - reflecting our commitment to foster an inclusive and engaging workplace where our people can thrive and grow.
I would now like to invite you back Krithi.
K Krithivasan : Thank you, Sudeep.
Scaling Enterprise AI adoption requires organizations to address technology debt, data readiness, and operating model complexity. AI will enable clients to rapidly move from end consumer feedback to demand identification to code.
With every tech cycle , clients have realized far greater value and TCS has scaled its business. With AI, TCS aspires to be the World's largest AI led Tech Services company. This aspiration is powered by:
• Capitalizing on AI led renewals, vendor consolidation and cost optimization deals resulting in market share gains.
• Using new age services & adjacencies that enable enterprises to 'Get ready for AI'
• Becoming a full stack AI services player – Infrastructure to Intelligence; thereby, delivering maximum ROI to clients on their AI investments through end -to-end industry value chain reimagination; and
• Building new revenue streams such as building AI infrastruc

ture
In FY26, we made good progress across all the above opportunities .
The strong order book closures were led by Vendor consolidation, AI led modernization, scaling AI across the enterprise, Digital core and data

platform modernization, Operating Model transformation, and regulatory compliance.
Let me now share specific details of our industry -wise performance during the quarter.
• The BFSI vertical continued to grow this quarter.
o Client demand across BFSI remained technology -led and outcome focused through Q4, shaped by heightened macro and geopolitical volatility. Increased uncertainty around interest rates, inflation, and central bank actions influenced client sentiment, resulting in cautious investment decision -making. Despite this backdrop, BFSI clients continued to prioritize core and legacy modernization, data estate transformation, cloud migration, and scaled AI/GenAI deployments, productivity led operating model transformati on and vendor consolidation. Spending patterns increasingly shifted from experimentation to industrialized business driven transformation, with strong emphasis on cost discipline, regulatory resilience, and measurable outcomes.

• Our Consumer Business Group saw another quarter of good growth, supported by market share gains and emerging pockets of technology conviction, resilience and guarded optimism. Retail globally and TTH in UK/EMEA led the growth, while CPG and TTH North America segments declined.

o Enterprises continued to tightly align spending to initiatives delivering near -term efficiency, cost control, and operational resilience, with growing emphasis on vendor consolidation, technology simpli■cation, legacy modernization, and selective AI and G enAI adoption.

o CBG had 2 mega deal wins this quarter, which helped propel its TCV to an all -time high. One of the two mega deals was the renewal and expansion of our services to Marks & Spencer, a customer of TCS, for well over a decade. The deal is a testimony to the deep trust and strong partnership between the two organizations. The other mega deal is with a leading American healthcare and pharmacy retailer, another longstanding and trusted strategic partnership with TCS, that we are proud to have retained.

o Clients are appreciating TCS's track record of successfully delivering transformation programs, more than ever. An excellent example is as follows:

o A leading American healthcare and pharmacy retailer partnered with TCS to modernize its mission -critical claims processing platform. Operating at a massive scale - processing over 5 Mn prescriptions daily - the platform underpins core pharmacy operations including claims validation, accumulation and tracking of a patient's out -of-pocket (OOP) expenses, ordering, replenishment and reporting. As prescription volumes continued to rise, the legacy architecture began to limit performance, real -time visibility and scalability, creating operational bottlenecks across the ecosystem.

o Leveraging deep domain expertise and contextual knowledge, TCS reimagined process ■ows and led the comprehensive cloud native re-architecture of the platform. The transformation introduced event driven processing, complex multisystem integrations and world -class, enterprise grade security to ensure resilience and compliance. This has enabled near real -time processing, compressing claims cycles from 48 hours to just 12 hours, data -driven decisioning leveraging AI, and autoscaling to support growing prescrip tion volumes and rapid

onboarding of new entities, positioning the client for sustained future growth.

• Life Sciences and Healthcare saw marginal growth this quarter:

o Healthcare payers are managing rising costs and growing friction with providers due to preauthorization and

claims issues. Key priorities include affordability, transparency, simplicity, and better patient experiences. Organizations are focusing on data marketplaces, cyber resilience, and AI to boost productivity, while regulatory changes add to compliance costs and administrative burdens, prompting selective modernization focused on efficiency.

o The pharmaceutical industry is streamlining pipelines and adopting AI to tackle growth and pricing pressures. Companies in the Americas and UK/EU are focusing on efficiency through vendor consolidation, tech modernization, and enterprise -wide transformatio n.

• The Manufacturing vertical also saw good growth this quarter despite the macro uncertainties and the impact to the global supply chains.

o Client demand across Manufacturing remained cautious in Q4, shaped by macroeconomic uncertainty, tariff volatility, recalibration of EV demand, and continued restraint in capital expenditure across Automotive, Industrial, and Chemicals. Customers prioritized near -term cost optimization and operational resilience, with sustained focus on AI -led productivity, including predictive maintenance and quality automation, alongside ERP and cloud modernization to

streamline operations and improve reliability.
• The Technology and software segment saw reasonable growth this quarter given the environment.

o Client demand in Q4 remained disciplined amid a challenging macro environment, shaped by heightened geopolitical tensions, tariff -related uncertainty, and increasingly stringent manufacturing and data -sovereignty requirements. Customers continued to priori tize cost rationalization to fund a strategic pivot towards AI -led transformation, with spend focused on vendor consolidation, GCC expansion, and structural efficiency, and the resulting savings reinvested into scaling AI across core operations and product portfolios. Incremental investments were also directed towards digital sovereignty and supply -chain resilience.
• CMI saw a modest decline this quarter, but we are witnessing promising signs of a rebound in IT spending in CMI.
Telecommunications companies are advancing their journeys to expand into adjacent businesses while simultaneously enhancing the efficiency of their core operations. This strategic shift is paving the way for growth and innovation.
o Momentum remains strong in securing large deals within the telecommunications sector. We have signed our ■rst mega deal in CMI this quarter - a signi■cant expansion of its long -standing partnership with a leading UK-based telecom operator. This ■ve-year contract will see TCS lead the operator's comprehensive IT transformation journey for its consumer business, leveraging advanced AI, Cloud, and Digital Engineering capabilities. The expansion, built on the strength of years of trusted partnership and demonstrated
delivery, will see TCS take end -to-end responsibility for running the entire IT systems of the operator's consumer base and become its strategic technology partner, consolidating the entire landscape
previously spread across multiple service providers.

• ERU demonstrated robust growth this quarter. Within ERU, the Energy & Resources segment performed well, led by supply chain modernization initiatives gathering momentum in the near term.
However, the Utilities segment is experiencing stress, and signi■cant cost optimization opportunities are opening up.
In summary, even in a year marked by global uncertainty, we have demonstrated resilience, discipline, and the ability to lead through complexity. Our performance in FY26 re■ects not just strong execution, but enduring trust —from clients who are committing to longer -term partnerships, and from associates who continue to drive transf ormation at scale. With a robust order book, expanding client relationships across revenue bands

, accelerating AI momentum, and foundational investments like HyperVault , we are b uilding the next phase of TCS with conviction. As enterprises increasingly seek partners who can deliver certainty, accountability, and outcomes end-to -end, TCS stands exceptionally well positioned combining technology excellence, deep contextual knowledge, and scale to help our clients navigate change and create sustainable value. We enter the new year with con■dence, clarity of purpose, and an unwavering focus on delivering growth with resilience and trust.
With this, I will now open the line for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We'll take a ■rst question from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.
Sudheer Guntupalli: Hi Krithi, thanks for the opportunity. My ■rst question , is there any foreseeable change in quantity or quality of client inquiries or even bookings around agentic AI implementation post ■rst week of Feb when Anthropic announced a string of agentic AI launches?

K Krithivasan : Sudheer, de■nitely clients are curious to know about expanding capabilities of all the models. And they also want to leverage their models to achieve both productivity as well as business value chain re - imagination , but is it because post Anthropic, I won't say that . As the model capability improve s, there'll be more interest in seeing how they can leverage.

Aarthi Subramanian: Client interest and demand actually increase s with new capabilities coming out of the model providers.

Sudheer Guntupalli: Fair enough. The second question, many of these frontier model companies, they're just announcing a new project or agent, which may be in their development pipeline, but not yet launched. The latest example being Claude Mythos . Is this in any way leading to client's sort of deferring their existing IT spends to maybe wait and watch, once the product actually hits the shelf, maybe a few months or years down the line?

K Krithivasan : We have not seen that, Sudheer. It's been, as I said, our clients are quite interested in leveraging it. They know this will be constantly evolving. And there is no major bene■t in waiting for the next best model to come. So , clients are willing to invest now, and we have been helping them with the overall philosophy that their architecture is built for change. We are helping them in building that architecture so that they can exploit and leverage the models as they come in.

Sudheer Guntupalli: Sure, sir. Last question from my side. H ow do we think of FY27 growth, given the exit run rate and where our order booking is and also high expectations around some AI -led de■ation?

K Krithivasan : As we mentioned , we have a good order book getting into FY27. We have strong three mega deals booked in this quarter. And as we also described, most of the industry verticals, we see a positive momentum and our new

age services are also gaining traction. So overall, we are getting into our next year with a lot of positivity and con■dence.

Sudheer Guntupalli: That's it from my side.

K Krithivasan: Thank you, Sudheer.

Moderator: Thank you. We'll take our next question from the line of Kumar Rakesh from BNP Paribas. Please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my question. My ■rst question was around what you were just talking about, that getting into FY27, we are exiting at a healthy growth. We are also exiting with a bulk of multiple mega deals and across verticals as well , it seems demand has started improving, at least growth for TCS has started improving . Would you call out and say that we should start getting back to 3 - 4% sort of a growth in the international business where we used to be or better than that or the recovery is going to be far more gradual this year?

K Krithivasan :

Kumar, I don't want to put a number, but I would say that, again, as I was telling Sudheer, we are quite positive about FY27, quite positive about the international growth.

Kumar Rakesh: Got it. Thanks for that and my second question was around margins , so SG&A in the second half has been elevated. So, is this the new normal we should now start looking at or it should normalize back to below 15% where it used to be?

Samir Seksaria: As you know, we have been investing on the 'Build -Partner -Acquire ' strategy and incremental investments on partnerships, on recruitment and training, on the new businesses are all re■ecting on the SG&A. Some part of it will see an elevated increase , both in the absolute amount as well as in percentage of revenue.

Kumar Rakesh: Got that. And just for a clari■cation, our restructuring is done or there's more cost associated to that which has to come through?

Samir Seksaria: So if you look at Q4, we have not called out any one- offs , so it is business as usual.

Kumar Rakesh: Yeah. But there is a restructuring charge, which you have booked in the quarter, right?

Samir Seksaria: We have not called out any one-off for Q4 . The c ombined one-off for the year is ■ 1,300 crores; there are no one offs in t his quarter .

K Krithivasan : But Kumar, just to get the clarity, I will be speci■c. The restructuring program that we started, we have completed that program. The program towards restructuring has been completed.

Kumar Rakesh: Got it. Perfect. Thanks a lot for that.

Moderator: Thank you. We'll take our next question from the line of Yogesh Aggarwal from HSBC Securities. Please go ahead.

Yogesh Aggarwal: Hi. Thanks. Krithi, just ■rstly on the next few quarters, can we expect the similar type of seasonality going forward? Because the reason I'm asking is there's not been much headcount addition, so the typical seasonality of better ■rst half, does that still work going forward?

K Krithivasan : We are looking at a regular Q1, regular Q2 that we are used to seeing, and this is the way we are looking at as we stand now, Yogesh.

Yogesh Aggarwal: No, Krithi, I was asking, so usually the ■rst and the second quarter are stronger than Q4 , right?

K Krithivasan : That is what I said. We are also expecting a stronger 1H. Our planning assumption is along those lines only.

Yogesh Aggarwal: Okay, great. And secondly, just going back to this AI stuff. So usually in the past, you had all these historical relationships and partnerships with software companies like SAP and all these diamonds , platinum ratings.

Can you talk a little bit about what are these partnerships with the AI models, especially Anthropic? What is the level of tiering with them? And does it really matter anymore? Thanks.

Aarthi Subramanian: Yogesh, I think with all the model companies, we are building strategic partnerships. We have announced with OpenAI, we are already working signi■cantly with Anthropic and will be announcing strategic partnerships with them in the near future. We are very closely working with Mistral.

With all model companies, it's extremely important for us to build a strategic partnership.

But I would say that we are also trying to shape these partnerships differently than the traditional GTM partnerships of the past. So, we want to make them 360- degree partnerships . Also because of our investment in HyperVault, we have a very unique opportunity where they can become our customers.

You saw the announcement that we made with OpenAI, where there is a committed capacity of 100 MW and the opportunity to grow that to 1 GW .

So, we are having similar conversations on our opportunities with these model companies and hyperscalers. So that's one new pillar of strategic collaboration .

Apart from that, using their products, ChatGPT Enterprise, we made an announcement, so using Anthropic Claud

e , so that's the second pillar of our collaboration. Third is industry speci■c solutions with them. The fourth one is very speci■c GTM motions, which is similar to strategic partnerships of the past. So that is a pillar, like I said, we are trying to

shape this partnership differently, more deep, more strategic and value for both.

Yogesh Aggarwal: Got it. Thank you. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yeah. Hi. Good evening. Thank you for the opportunity. Krithi, initially, you mentioned some caution in BFSI during the quarter. I just wanted your thoughts on how clients are thinking about spending going forward, considering the macro.

Do you think this ends up like last year where you had the Liberation Day and we thought we were probably getting into good start, but then you had all these headwinds. So , in the context of what you see today, what are the conversations with clients? It would be great to have your perspective there, maybe across a few key sectors at least.

K Krithivasan : See, at this time, if you look at our direct impact from the geopolitical situation, so far has been restricted to Middle East and to some extent into our travel and transportation industry and we have

not seen major
impact in other industries so far.
But Nitin, as you would know, if things continue and if it results in further supply chain disruption or any other secondary issues, it may have an impact. But at this time, I think the impact will be limited to our travel and transportation and probably t he work we do in Middle East. We have not been hearing any other speci■c concerns from our clients in other industries or other geographies.
Nitin Padmanabhan: The caution that you mentioned was very geo speci■c, it's not a broad-based caution?

K Krithivasan : Yes, that's correct.
Nitin Padmanabhan: That's very helpful. The second is on, from a margin perspective, how should we think about margins going forward? Because on one hand, you do have the currency giving you a tailwind and on the other side, you have to invest on capabilities and multiple other things. So just how should we broadly think from a margin perspective as we get into the next year?
Samir Seksaria: Nitin, we are exiting FY26 at a four -year high on annual margins at 25%. And we see continued positive momentum. Our focus will be to ensure growth with pro■tability , so we'll not be shying away from making the right investments for ensuring strategic growth.
Stepping into FY27, the immediate headwinds would be the annual increments which we have talked about. And also, as you rightly mentioned, we'll continue our focus on the build, acquire and partner framework and investments around that would be part of it.
While some of those we would want to mitigate with better operational rigor , with the help of the usual levers which we have called out and also look at optimization on some of the non -employee expenses. As you rightly called out, the rupee depreciation does help, not guaranteed always. Overall, we'd want to balance it and keep margins within a tighter reach. We'd like to move towards 26 %, but on a longer -term basis.
Nitin Padmanabhan: Perfect. That's helpful. Just one last from my end. Overall, coming out of last year and getting into the next, do you believe that all known client -speci■c headwinds are behind, and we should see better revenue accretion from deal wins and from a deal win momentum perspective as well? But do you think that is on an accelerating trajectory .

K Krithivasan : By and large, most of the headwinds we know probably are behind us, excepting few that may come up or that we have already accounted for. But at this time, we are not expecting. Of course, nobody can predict what will happen

down the line, but I think mos t of the issues are behind us.
Nitin Padmanabhan: That's helpful. Thank you so much and all the best.
Moderator: We'll take our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Hi, thanks for taking my question. Just two questions from my side. One is, Krithi, we mentioned our AI revenue to be around $2.3 billion annualized, that's basically almost 6.5% to 7% of our total revenue.
Wanted to basically understand, if I were to draw a parallel to the last digital cycle, there also, I think after a certain stage, we had started quantifying our digital revenue.
The way we saw that cycle play out is that initially there was cannibalization of revenue. And at the same time, we had growth from the digital revenues. And gradually the growth from the digital revenue was able to more than compensate the cannibalization of revenue.
Are we seeing a similar trend this time? Do we expect a similar cycle to follow this time also , that there are productivity gains that we are passing on to the clients because of which we are losing out revenue? On the other hand, your $2.3 billion is going to grow much strongly.
And at some point, of time in the coming quarters, we'll probably reach an in■ection point. Is that a good way to look at the GenAI cycle? How similar or different would it be from the last cycle? That would be really helpful.

K Krithivasan : Structurally what you are saying is correct, however, I don't know whether
it will be the same time period in which the whole thing will change. You
would expect the AI revenues to increase going forward, along with some

of the traditional revenues to slowly taper down and AI revenue to
overcompensate for the reduction in the revenue in other parts of the service line.
But the timelines probably can vary. I'm not able to predict the timelines on how all these different cycles will move. Aarthi, you want to add?
Aarthi Subramanian: Vibhor, if I may just add to that, if you have to compare to the
digital transformation that you alluded to, where is the transformation budget, right, largely bucketed as AI going ?
There are three buckets , one is, Enterprise transformation. There is still a
lot to be done on digital, which is still to be done in companies, whether
it's cloud adoption, migrating to cloud, data modernization, cyber
security, enterprise systems upgrade, whether it's S/4HANA, Salesforce, so all th ose are ongoing, So that's a transformation bucket.
The second one, which is very purely AI -led, is the modernization
opportunities that we see. Tech debt reduction was always a priority, but
that was always postponed by enterprises because it would take long, it
would cost a lot , but I think AI is playing in there and helping customers
clear tech debt better, faster. So that's begun. Long way to go, but that's
the second vector of opportunity.
The third is the pure play AI transformation, what Krithi earlier alluded to
as industry value chain transformation, where you're really doing AI
engagement s that create direct business impact.
Vibhor Singhal: That was really helpful, Aarthi. K rithi, one more question from my side and
it's probably more at a strategy level, maybe you and basically the team
can answer on that. If you look at FY26, we ended the year at -2. 4% CC
YoY decline. If I compare our revenue growth this year with our closest

competitor, the difference would be almost 5 to 6 percentage points.
That's probably the widest that the gap has ever been.
But on the other side, our margins are very, very strong, probably one of
the highest margins that we have. We, of course, remain at the highest margin level in the industry, and we are very strong in margins while the
entire industry is facing a lot of margin pressure.
What is the company level strategy at this point of time, like, we want to
co

ntinue to focus on the pro■table growth part. Have we ever discussed
that? Should we be ready to compromise a bit of margins to maybe boost
growth? What is the direction in which the board and management is
thinking in terms of balance between a better growth and pro■tability ?
K Krithivasan : Vibhor, I get the question. Fundamentally, we believe our focus on margin is not affecting our revenue growth.
Of course, at the same time, in fact, we believe the good margin s we have, gives us greater ■exibility to
approach new deals and be more competitive in gaining market share.
And we have been able to prove that time and again. W e don't lose deals
on pricing. We work with our customers, we ensure that we give the best
solution, and we've been able to win deals.
This is our overall thesis. We believe margin and growth are not con■icting
with one another. We should be able to do well on both. And we continue
to stay close to our customers. We continue to invest , the margin we have
helps us to invest , like what you saw in the last two acquisitions and
investment on HyperVault. They are all possible because we are able to generate margin and it gives us the ability to invest for growth. W e don't
believe these are at loggerheads with one another.
Vibhor Singhal: Okay. Thank you so much for answering my question and all the best.

Moderator: Thank you. Our next question is from the line of Ashwin Mehta from Ambit
Capital. Please go ahead.
Ashwin Mehta: Hi, thanks for the opportunity. One question Samir, what is the impact of
wage hikes that we see in terms of our margins next quarter? And

secondly, any color in terms of this deal ■ow that we've announced,
which is pretty strong ? What is the renewal share in terms of that, given
that there are quite a few deals in the press release where we have
extended our relationship with these clients?
Samir Seksaria: On the wage increments, you should expect a similar impact on what we
have seen in the past annual increment cycle, which had been in the
range of 150 to 200 basis points.
K Krithivasan : In terms of colour or the characteristics of the deals of TCV , I would say
about mostly a 50 -50 or 45-55 in terms of between renewals and new
programs. I think this quarter maybe about 50% to 55% could be on
renewals, around 40% to 45% would be on new programs. And this varies
typically in a smaller band, between 40% to 60% band, it varies one way
or another.
Ashwin Mehta: Thanks, Krithi. And just one follow- up, in terms of deals, are you seeing
early renewals wherein vendors like yourself as well are going in for early
renewals or the deals are largely getting renewed on time?
K Krithivasan : By and large on time, but when we also see an opportunity to go back to a
customer and ensure that there is really a renewal can be done with
greater AI infusion, greater productivity delivered, and at the same time,
with expansion in scope. We do go to t he customers, and we offer to
renew early whenever they see value and whenever it's mutually
bene■cial as well.
Ashwin Mehta: Thanks, Krithi. Thanks, Samir. And all the best.

Moderator: Thank you. Our next question is from the line of Rishi Jhunjhunwala from
IIFL. Please go ahead.
Rishi Jhunjhunwala: Yes, thanks for the opportunity. I think my questions have been
answered, but maybe just a quick clari■cation. Just if we think about your
thought process around wage hikes, right? So , we've deferred it twice in
the last ■ve, six years since COVID. This time, we have reinstated it after
when we announced it in September, back to the April cycle.
Just wanted to understand what's the thought process behind that, given
that the overall demand environment, the supply side environment, and
the macro uncertainties largely remain there and haven't seemed to be
changing materially over the past six to nine months.
K Krithivasan : Rishi, it's a re■ect

ion as a ■rst is we want to ensure that we properly
reward all the associates who have been working tirelessly for us. And as
you know, that while in September, we were able to give increments to
80% of associates, for the senior executive associates we were unable to
give increments at that time.
We wanted to ensure that when we restart our increment cycle, we reset it
and start for everyone. But it's also a re■ection of the fact that we believe that we have enough deal momentum and demand on our side, so that
we'll be able to handle the increased wage cost, wage bill, because of
increments.
Rishi Jhunjhunwala: While you've started giving annualized AI revenues, would it be
possible to throw some color on AI deals as well, just to get some sense of how those are progressing?
Aarthi Subramanian: Rishi, if you look at it, AI deals are -- I would say of two kinds , one is
many of the mega deals that Krithi spoke about today , they have a

signi■cant amount of AI embedded into them, in terms of how we deliver
the service, also in terms of how we transform clients' business .
But apart from this, when we are saying AI revenue, we are only calling out
the speci■c AI for business transformation revenue, which we said has exceeded $2.3 billion on an annualized basis and when you look at the
nature of programs, it's across industries, across markets.
And we see that a lot of these programs are rapid build, 12- to-16-week
delivery type of solutions. These are high impact problems that the
customers are choosing, that we can deliver in faster cycles with forward
deployment engineers. So that is included. Some of the AI modernization I talked about, which is starting to gain momentum is all included as part

of that.
Rishi Jhunjhunwala: Understood. Thank you.
Aarthi Subramanian: And one last thing is agentic BPS, which I missed talking about. I
think that's something which is gaining traction. Agentic AI in business
process services and we see that earlier in FY2 5, the time taken to
implement AI in business process versus this year, we are seeing faster
adoption cycles from customers, because customers are more con■dent of now putting AI into production. But obviously, with all the guardrails,
focus on security, governance and all of that.
Moderator: Thank you. Our next question is from the line of Gaurav Rateria from
Morgan Stanley. Please go ahead.
Gaurav Rateria: Hi, thank you for taking my questions. I have two questions for Krithi and
one for Samir. My ■rst question for Krithi is your comment that you made on the growth in the client's band of revenue bands in mid and large size
and you talked about stability r eturning.

Is this due to a lower leakage compared to the past or is it more led by
better macro, which is improving the spend in these accounts? The
second question is on AI. If you keep the macro aside for the moment,
would you expect the new AI services to be accretive to revenue growth in ■scal '27, net of all the de■ation that you see in your renewals existing
business or is it too early to con■rm any such trend?
And the last question for Samir is that AI for business, when you look at
the revenue productivity and the margins in that portion of the business, how does it compare to company average? Is it better? Is it in line? Is it
lower? Thank you.
K Krithivasan : So, Gaurav, ■rst on the client metric improvement. See it's a combination
of all the factors , because you will not be able to grow if there's no
stability or there's no revenue coming in and essentially, it's a re■ection of
the fact , overall at a high level, the clients are more comfortable in getting
into larger transformation programs or some amount of discretionary
spend improving.
And, of course, it's also possible there are some cases of vendor
consolidation happening where you gain market share , but de■nitely, it
indicates that the stabi

lity and the increased con■dence from the clients
as well . For your question about AI, again, our expectation is AI will be net
accretive , like to see the initial year, our attempt would be to ensure that
we arrest the degrowth while the AI revenue increase.
But, of course, over a period of time, AI revenue or AI related revenue, because it will become very difficult to classify after some time on what is
AI, what is AI adjacent revenue, but ensure that they all grow, we will
expect them to grow much faster. At that time, the de■ation in the other
part may not matter materially like same cycle with whatever happened
during the digital transformation cycle that trend will resume.

Samir Seksaria: Gaurav, on the AI and data part, the revenue productivity is de■nitely
much better than the TCS average or the traditional business, both at
onsite and offshore. Margins, I will not call out because there would be
investments which would be temporary or in the initial phase , so it
wouldn’t be like to like for comparison .
Gaurav Rateria: Thank you very much and all the very best.
K Krithivasan : Thank you, Gaurav.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I
now hand the conference over to management for closing comments.
Over to you.
K Krithivasan : Thank you, operator.
• We are very pleased with the continuous revenue growth momentum
we have seen in the last 3 quarters. In Q4, our Revenue grew by 1.2%
QoQ in constant currency, with an operating margin of 25.3% and a
net margin of 19.4% .
• We had a very strong TCV of $12 billion in Q4, with 3 mega deals.

• Annualized AI services revenue crossed US $2.3 billion .
We remain dedicated to our goal of establishing ourselves as the world's premier AI -driven technology services provider. Our robust ■ve-pillar strategy, combined with sustained investments across Infrastructure to Intelligence, continues to advance this objective.
I extend my appreciation to all TCS employees for their unwavering commitment and professionalism, which have been instrumental to the company's continued success.
This concludes our call today.

Thank you for your participation.
Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Note : This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

Call: Jul 2026

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Registered Office 9th Floor Nirmal Building Nariman Point Mumbai 400 021
Corporate Identity No. (CIN): L22210MH1995PLC084781
TCS/SE /60/2026- 27

July 15, 2026 National Stock Exchange of India Limited BSE Limited
Exchange Plaza, C -1, Block G, P. J. Towers,
Bandra Kurla Complex, Bandra (East) Dalal Street,
Mumbai - 400051 Mumbai - 400001
Symbol - TCS Scrip Code No. 532540

Dear Sirs,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2026, conducted after the meeting of Board of Directors held on
July 9, 2026, for your information and records.
The above information is also available on the website of the Company: www.tcs.com .
Thanking you, Yours faithfully,
For Tata Consultancy Services Limited

Yashaswin Sheth
Company Secretary
ACS 15388 Encl: As above

Tata Consultancy Services Limited
Transcript for Earnings Conference Call
Held on July 09, 2026,19:00 hrs IST (08:30 hrs US ET)
For discussing Financial Results for Q1 FY2027 ended on June 30, 2026

Moderator: Ladies and gentlemen, good day and welcome to the TCS Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Nehal Shah, Head - Investor Relations at TCS. Thank you and over to you.
Nehal Shah: Thank you, Yashashri. Good evening and welcome everyone. Thank you for joining us today to discuss TCS's ■nancial results for the ■rst quarter of FY2027 that ended on June 30, 2026. This call is being webcast through our website and an archive including the transcript will be available on the site for the duration of this quarter. The ■nancial statements, quarterly fact sheet, and press releases are also available on our website. Our leadership team is present today on this call to discuss our results. We have with us today Mr. K Krithivasan , Chief Executive O ■icer and Managing Director.
K Krithivasan: Hi, good evening, everyone.
Nehal Shah: Ms. Aarthi Subramanian, Executive Director, President, and Chief Operating O ■icer.
Aarthi Subramanian: Good evening, everyone.
Nehal Shah: Mr. Samir Seksaria, Chief Financial O ■icer.
Samir Seksaria: Hello everyone.
Nehal Shah: And Mr. Sudeep Kunnumal, Chief HR O ■icer.
Sudeep Kunnumal: Hello everyone.

Nehal Shah: Our management team will give a brief overview of the company's performance followed by a Q&A session. As you are aware, we don't provide any speci■c revenue or earnings guidance, and anything said on this call, which re■ects our outlook for the future or which could be construed as a forward-looking statement, must be reviewed in conjunction with the risk that the company faces.

We have outlined these risks in the second slide of the quarterly fact sheet available on our website and emailed out to those who have subscribed to our mailing list. With that, I would like to turn the call over to Krithi.

K Krithivasan: Thank you, Nehal. Good day everyone and thank you for joining us. I would like to begin by calling out the key takeaways from our Q1 FY27 performance.

First, Q1 FY27 re■ects continued growth mom

entum and the strength of our strategic positioning despite the geopolitical and macroeconomic headwinds.

Our Q1 revenue stood at ■72,275 crore , growing 2.2% sequentially and 13.9% year-on-year . This is the fourth consecutive quarter of growth. Growth was led by BFSI, Technology, software and services, regional markets, and products and platforms.

Second, strong order book closure and large deal momentum continued. We delivered a TCV of $9.5 billion , including net new AI-led business transformation deals such as,

■ US$ 800 million mega deal with SKF; 6th mega deal win in the last 5 quarters

■ Multi-million $ strategic partnership agreement with ServiceNow

■ Multi-million $ deal with Europe-based Fortune Global 50 ■rm

The third key takeaway is our AI services revenue continues to accelerate. At the end of Q1 FY27, it stands at $2.6 billion in annualized revenue, which is up 13.6% QoQ.

Fourth, client priorities are increasingly aligned with our focus areas of AI-led transformation, modernization, cybersecurity, sovereign cloud, platform rationalization, and vendor consolidation. We maintained healthy client additions across $10 million+, $5 million+, and $1 million+ revenue bands on a sequential basis.

Fifth, our operating margins stood at 24%, down 130 bps sequentially, primarily due to wage hikes.

Finally, we continue to advance our Infrastructure to Intelligence strategy through unique partnerships with frontier AI companies and new launches:

- We announced a global premier partnership with Anthropic , which gives us early access to Claude family of models, 50,000 licenses, a joint GTM campaign, co-creation of industry solutions, and TCS iON as a training and certi■cation partner.
- TCS also became the ■rst GSI partner for Mistral AI . Together, we will build sovereign and custom AI models for enterprises and establish a dedicated COE for developing industry solutions across BFSI, healthcare, manufacturing, and public sector.
- We also launched TCS SovereignSecure CloudTM for Europe , directly addressing rising demand from governments and regulated enterprises for compliance, sovereign, and AI-ready cloud infrastructure. This strengthens TCS's leadership presence in Europe as clients prioritize data residency, operational control, and geopolitical risk mitigation.
- We launched a dedicated Global Value and Innovation Center business unit to help enterprises build, operate, transform, or divest global capability centers.
- HyperVault is strengthening TCS's market positioning and deepening 360-degree partnership with clients and ecosystem partners. In Q1 FY27, these partnerships enabled two very large IT services deals which were net new for us.

I will now invite Samir, Aarthi , and Sudeep to go over di ■erent aspects of our performance during the quarter. I'll step in later to provide more color on the demand trends that we are seeing. Over to you, Samir.
Samir Seksaria: Thank you, Krithi. Good day everyone.
Our quarterly revenue was ■72,275 crores , a growth of 2.2% QoQ and 13.9% YoY in rupee terms. In dollar terms, revenue was $7,624 million , which was ■at growth sequentially and 2.7% YoY . In constant currency terms, our growth was 40 bps sequentially and 3.2% YoY .
This quarter, we have undertaken a re■nement of cost categories to address the previously elevated ‘other expenses’ to provide a clearer view of the underlying cost drivers. This change has no impact on overall expenses or operating margins, and prior periods have been aligned for comparability. Prior four-quarter comparative details are available on our quarterly fact sheet.
Operating margin for the quarter was 24%, declining 130 bps sequentially. In Q1, we rolled out annual increments for our global workforce, which impacted margins by 170 bps . We strengthened our partnership ecosystem and made targeted investments, which we

were able to partly
o■set with 40 bps of currency bene■t and operational e ■iciencies.
Our strong pro■tability allows us the ability to make signi■cant investments which are aligned with our aspirations. We are investing in AI capabilities, talent transformation, partner ecosystems, platforms, domain solutions, and go-to-market capacity. These investments are necessary as client demand increasingly requires integrated o ■erings across the Infrastructure to Intelligence AI stack. At the same time, we continue to drive operational rigor through pyramid optimization, productivity improvement, better resource ful■llment, automation, and disciplined cost management.

As we have demonstrated in the past, our approach is to not optimize margins in isolation, but to invest in capabilities that strengthen our long-term competitiveness while continuing to deliver industry-leading pro■tability and return ratios.
Net margin for the quarter was 19.2%. DSO stood at 74 days in $ terms and constant sequentially.
Our cash conversion remained strong at 93% of net income . Invested funds at the end of the period stood at $5.3 billion .
Our capital allocation policy remains unchanged, and we remain committed to returning substantial free cash ■ows to our shareholders while judiciously investing to support our long-term growth aspirations.
I'll now invite Aarthi.
Aarthi Subramanian: Thank you, Samir. Good evening.
Q1 saw strong growth momentum across our services portfolio with multiple AI transformation wins. AI demand continues across IT operations, software engineering, modernization, business process transformation, and enterprise platform implementation.
The nature of engagements ranges from AI-led optimization to large-scale AI-native transformation programs.
Let me share a few of our key deal wins this quarter.
■ We signed a mega deal with SKF to enable transformation across infrastructure, applications, enterprise systems, and business processes. The program will help SKF build an AI-native enterprise through global process standardization on S/4HANA, AI-led IT-Ops, and business transformation to drive revenue growth, working capital improvement, and predictable IT costs.
■ For a large North American utility major , we are transforming a decade-long collaboration into a future-ready operating model. The

engagement will modernize operations across grid management,
customer experience, asset management, and work■ow enablement,
while building a scalable foundation with strong AI governance and
lifecycle management. TCS won this renewal with an AI-■rst
proposition for existing services and was also chosen as a partner for
transformation of the utility major into an AI company.
■ This quarter, we also had multiple deal wins in autonomous GBS
across HR, ■nance, and customer experience. Agentic operating
model is at the core of our customer value commitment in BPS.
Agentic AI has rapidly dominated customer conversations this year and is
increasingly shaping how we design and deliver solutions.
With growing adoption, AI governance is becoming a top priority for
enterprises. TCS is investing in enabling customers deploy and manage AI
securely through our agentic control plane, providing governance,
observability, lifecycle management, and cost control.
Let me take you through how agentic AI is being deployed across
enterprises for IT and business transformation.
■ AI agents in software engineering, IT operations, and technology
modernization are becoming mainstream. Enterprises are combining
agentic capability from their existing tool investments with contextual
agents for improving productivity and resilience, while accelerating
time-to-market as well.
■ For a large retailer, 70 agents are orchestrating IT-Ops across more
than 60 infrastructure and application work■ows, integrating with the
customer's ITSM tools. Continuous 24/7 moni

toring and 24/7
operations have shifted from largely human monitoring to AI-led
monitoring. The transformation has resulted in 30% faster
remediation and 80% fewer incidents.
■ Business process transformation with agentic AI will be a signi■cant
opportunity across industries. Enterprises are looking at both

redesigning work■ows with AI as well as driving process optimization
with AI. TCS is building domain-speci■c work■ow blueprints and
agentic vertical platforms with pre-built agents across industry
domains to accelerate business transformation.
Let me share an example of how AI agents are working alongside humans
to transform worker compensation work■ow for a global specialist
insurer. TCS has deployed seven AI agents, including specialized medical
and fraud review agents, who are operating alongside human examiners.
This human plus AI operating model has cut claim settlement by 40%,
replacing a legacy process that relied on several sequential human
hando■s. The result is faster and more consistent claim operations with
meaningful impact on cycle time and customer experience.
We will continue to drive focused execution on our Infrastructure to
Intelligence strategy that we announced last year. As all of us know, AI is
evolving at unprecedented speed with model capabilities emerging
rapidly. We continue to integrate the latest advances into our services,
platforms and solutions in collaboration with our partners.
Thank you. I will now hand it over to Sudeep.
Sudeep Kunnumal: Thank you, Aarthi and hello everyone.
Our workforce at the end of quarter stood at 593,798. This quarter, we
completed the annual salary increments for all associates globally and
also aligned salary structures of our India associates with the new India
Labor Code requirements.
We continue to build a workforce equipped for evolving client needs
through a balanced talent strategy that combines fresh hiring,
experienced professionals and sustained talent development.
■ Our campus hiring continues to focus on digital and AI-native talent,
supported by reimagined Initial Learning Program and stronger AI-
centric curriculum.

o We are investing in the trainee pipeline and deployment
readiness through experiential project-based learning, while
gradually moving towards a more skill-centric employee
pyramid.
■ We are also investing in large-scale upskilling and reskilling of our
existing workforce.
o TCS continues to operate one of the industry's largest
enterprise learning engines. In Q1 FY27, associates logged
14.6 million learning hours and gained over 1.3 million
competencies .
■ Our lateral hiring is focused on domain-speci■c and AI-native talent.
o Over 50% of the lateral hires already possess next-generation
skills and we expect this share to increase as we continue to
build talent depth.
Looking ahead, we remain focused on enabling our people to be future-
ready through investments in AI infrastructure and next-generation skill
development programs. We are committed to fostering a workplace
environment where every associate feels safe, valued, trusted and
empowered to grow.
Thank you and I now hand it back to Krithi.
K Krithivasan: Thank you, Sudeep.
Let me now share details of our key industries' performance this quarter.
■ BFSI delivered good growth across geographies.
■ Tech, Software and Services continued its growth momentum. We
successfully won several large and mid-sized deals in this segment,
including a multi-million-dollar deal with ServiceNow .
■ In Consumer Business Group , the quarter was driven by a
combination of in■ationary pressures and ongoing geopolitical
uncertainties impacting discretionary spend. In this environment,
client priorities were focused on managing their increasing costs.

Growth initiatives remain selective, centered on targeted areas that
could deliver scalable impact without increasin

g risk exposure.
■ Life Sciences and Healthcare saw a decline this quarter. However,
core demand for AI transformation, automation and compliance
initiatives is intact. Recovery is expected soon.
■ Manufacturing continued to show softness in certain segments like
auto, while decision- making was in■uenced by tari ■ pressure, macro
uncertainty, EV recalibration, supply chain resilience and cost
discipline. However, our outlook remains positive for manufacturing
based on multiple net new deal wins signed this quarter. For instance,
o We announced a landmark US$800 million global AI-led
business transformation deal with SKF for redesigning their
enterprise operations around an intelligent digital core.
o We also further strengthened our collaboration with ABB
through a new multi-million-dollar future Network Model
engagement.
o We also signed a multi-million-dollar deal with a Global
Fortune 50 European ■rm. All of these are completely net
new AI-led opportunities.
■ In CMI, the industry headwinds continue to play out. We delivered
modest growth in this sector.
■ While ERU had a slight decline this quarter, we are positive on the
growth prospects of this segment on the back of AI infrastructure
build-out, electri■cation, renewables, energy security and mining
critical materials.
■ In Regional Markets , growth was driven by India, Public services, and
our products and platforms.
To summarize, enterprises are investing in transformation that improves
resilience, productivity, security and readiness for AI. AI-led
transformation, modernization, cybersecurity, sovereign cloud, platform

rationalization and vendor consolidation are attracting client investments
and TCS is favored as a partner of choice for our clients.
We are encouraged by the quality of wins, strong client mining, steady AI
monetization, relevance of our o ■ering and the strength of our long -term
competitiveness. These factors give us con■dence that TCS is well-
positioned to convert demand into stronger growth as clients spend
normalizes and AI adoption scales across enterprises.
We remain focused on execution, on deepening partnerships and on
building capabilities that position TCS strongly for the AI-led
transformation cycle ahead. We are con■dently marching towards our
aspiration to become the world's leading AI-led technology services
company. We will pursue this aspiration with discipline, responsibility and
a continued focus on creating sustainable value for our clients,
employees and shareholders.
With this, we will open the line for questions.
Moderator: Thank you very much. We will now begin the question-and-answer
session. We will take our ■rst question from the line of Kumar Rakesh from
BNP Paribas. Please go ahead.
Kumar Rakesh: Hi, good evening, thank you for taking my question. My ■rst question was
around the demand environment, especially from a near-term
perspective. So how did you see the quarter, if you could quantify the
impact from some of the macro and geopolitical uncertainties you saw in
the quarter and did that pick up during the quarter and how do you see
that panning out in the September quarter? Are there any more
incremental impacts that you see going into the September quarter?
K Krithivasan: Kumar, as we called out sometime earlier also, whatever factors we saw
in Q4, we initially said that things were improving, but then around March,
we started seeing geopolitical uncertainties increase. That sentiment
continued through this quarter and I don't know when this will change,
because overall, many of the ongoing con■icts are continuing. We also

saw, in many situations, our clients defer some of the projects during the
quarter. T hese two were the e ■ects we saw.
But if you ask me, overall, we are still optimistic that the demand will
resume at some time in Q2, primarily because our customers have a
signi■cant amount of pe

nt-up technology backlog to be completed. I
expect the demand to improve sometime in Q2. We're generally optimistic
on Q2 going in at this time.
Kumar Rakesh: Thanks a lot for that. My second question was about the SG&A
investments, and you have called out earlier as well that you are making
investments, especially around AI. And that line item is up by about 16%
in dollar terms YoY.
If you could give us some more granular color, what investments are we
making over there? Is it sales hiring? If so, in which geography, which areas
are you focusing, or anything else which can have a better sense of what
areas we are incrementally investing in?
Samir Seksaria: Kumar, this quarter we have undertaken a re■nement of cost categories
and, we have done away with the split-up of COR and SG&A, but as you
rightly said, from the IFRS published ■nancials, the SG&A investments
have been increasing and like we have stated earlier, our investments are
on talent, strengthening the partnerships and targeted investments. This
also includes some of the charges on the M&A side.
Kumar Rakesh: Got it. Thanks a lot for that. I'll fall back in the queue.
Moderator: Thank you. Next question is from the line of Yogesh Aggarwal from HSBC
Securities. Please go ahead.
Yogesh Aggarwal: Firstly, thanks for sharing the AI revenues and the details around the AI
deals. But I think the picture will be a lot more complete if you can also
discuss the impact, percentage of revenues or the business or the client
has already gone through the productivity pass-through, and how much is
left? Is it signi■cant or is it not a large share?

K Krithivasan: Yogesh, your line was not very clear, but I'm assuming your question is around any overall revenue de■ation because of the productivity gains coming out of AI. Is it right?

Yogesh Aggarwal: Yes, and what part of the business has already gone through it?

K Krithivasan: It's di■icult to quantify what part of the business has already gone through productivity pass through, but what we can see is as and when the projects come up for renewal, we ■nd opportunities along with our clients to unearth productivity bene■ts and pass them on to our customers.

There are situations where our associates proactively look at opportunities and go to our customers and say where we can reduce overall spend. But we also see in many places, whenever we go to our customers with such opportunities, customers give us additional work and the top line is not signi■cantly impacted.

This is an ongoing process, Yogesh and it will be very di ■icult to say whether we are done with all productivity gains being passed on. One quanti■cation I can give you is in most places, the productivity gain passed on is around 10% to 15% range.

Moderator: Thank you. Next question is from the line of Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli: Hi Krithi, thanks for the opportunity. Firstly, on the incremental AI revenue, we added $75 million of incremental AI revenue this quarter versus $125 million of incremental revenue added in the March quarter. Is there any peculiar seasonality here, or was this quarter impacted by West Asian con■ict or any other matters? The reason I'm asking is we don't have the full time series pattern to sort of understand the trend.

K Krithivasan: Sudheer, please note that, this AI revenue is not like traditional ADM revenue where there is a lot of annuity revenue involved. Many of these projects tend to be one quarter, two quarter projects, where we complete and we have to win new projects again to deliver and accrue the revenue.

There would be some quarters where this will tend to be a little lumpy in terms of the size of the overall revenue that we get. What we look for is, it is continuously increasing and the conversations with our clients, are yielding more opportunities. We are qui

te happy with the kind of growth we've been seeing on a quarter-on-quarter basis because of the non-recurring nature of this work.

Sudheer Guntupalli: Understood, sir, and the second question is the latest buzz term in the industry is the Forward Deployed Engineers. If we were to loosely equate this, would the role of a product manager in the digital era be a comparable benchmark for the role of the FDE? And a connected question is, if you were to assess your overall workforce, so how many FDEs would you count upon in the overall global workforce that you have right now?

Aarthi Subramanian: Yes, Sudheer, this is Aarthi here. I think ■rstly the de■nition of FDE, is evolving as we speak. But within TCS, we have come up with a de■nition and along with the de■nition, the building of competencies and deployment of those engineers and as you know, the FDEs work in pods, also called squads. So, the entire operating model around FDE is something we are de■ning.

If you look back in the last year, since we started delivering in the new operating model with AI, we introduced our AI Acceleration Playbook that we came up with last year, which is 'Innovate with AI, Build with AI, Scale with AI'. The playbook uses this concept of rapid build engineers, which is very similar to a forward deployment engineer. The di■erence being that a forward deployment engineer would have multiple skills but would be very deep on one particular skill, sometimes on technical or a domain, but works with a toolkit that the person takes to go and solve a problem.

M ost of these FDE deployments are a di ■erent kind of project where you start with a problem that you solve for and then you deploy the squad and the engineers and I would not equate this to the role of a product manager. These are specialist engineers who are multi-skilled but deep in one particular skill. In TCS, we coined a term many years ago during the digital era, T-factor, and I think the FDE ■ts quite well into the same T-factor capability model.

At this time, I wouldn't put a number to how many FDE we have because this is a transition period and we are building these skills. But going forward, we would de■nitely target to have the de■nition that we come up with, and target to have at least 1% of our employee base, to work in the new operating model.

But this is not a one-time jump, it is a transition. We are already working in the FDE model with our rapid build methodology, but the de■nition and the operating model, I expect it to evolve.

Sudheer Guntupalli: Okay, ma'am, thanks and Krithi, one last question to your earlier response on the West Asian con■ict impact. You said the uncertainty which started in March continued through April, May, and June. If you were to quantify the rate of change, given that you are expecting improvement sometime in the second quarter, are you seeing that it would have already peaked and you are now seeing an improvement of the situation on a month-on-month, week-on-week basis? How would you essentially quantify the rate of change of this dynamic?

K Krithivasan: Sudheer, I won't say we can quantify the rate of change. I can only talk based on the conversations we are having with our customers. For instance, this quarter, we expect the life sciences to do better. In some verticals, we see there is a stronger uptick visible.

That gives us con■dence and overall conversations that we are having with our customers in di ■erent verticals is giving us con■dence, Sudheer. I don't know whether I can put a rate of change or quantify that at this time.

Sudheer Guntupalli: Fair enough, sir. Thanks, and all the best.

Moderator: Thank you. Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Yes, hi, good evening. Thank you for the opportunity. A couple of quick ones. Last year we had very solid deal-win growth in retai

l and consumer, while consumer vertical seems to be soft, so is it that those deals aren't converting to revenue, or you think that pipeline should start converting to revenue and should lead to some growth as we move forward?

K Krithivasan: Nitin, there are multiple factors playing out here. We had a few large projects that ended this quarter. So while the new project’s net addition is ramping up, it is still not adequate to completely o■set the decline from those large projects.

But I think as the quarters move along, and large projects that we signed up, as they start yielding revenue, we'll start seeing growth.

Nitin Padmanabhan: 2 questions from demand perspective. One is that in the US, corporate revenue growth seems to be quite decent, and I think consensus expectations on growth for this year on growth overall is broad-based across industries and seems pretty strong.

And historically, we have seen a very high correlation, but this time around, it looks like it's not really coming through. Why do you think we are seeing this dynamic? Is it more attuned to the demand that is not happening, or is there a real caution on spend?

But if there is velocity of growth, then why should spending be so curtailed is the ■rst question. The second question is, are you cautious on BFSI? If I understood your commentary, or do you think that BFSI continues to do well?

K Krithivasan: Nitin, in fact, my answer to both the questions is probably similar. If you see the banks are doing very well in US, we also are quite optimistic about the sustained growth in BFSI segment. I did call out retail is one segment

where because of the geopolitics, when I say retail or consumer business,

with airlines and non-essential retail, all of them are having a greater
impact because of the global geopolitics.
Similarly, you have manufacturing. Our manufacturing has a signi■cant
auto component, and auto is also having an impact because of multiple
reasons. So, we need to look at it from a sector perspective.
As I said, BFSI, we are looking good. Manufacturing, we believe will turn
around in Q2, life sciences could turn around in Q2, tech services will
continue to grow. We are quite optimistic about these. Consumer
business will turn around once we have a better market sentiment on
geopolitics.
Nitin Padmanabhan: Sure, got it. That's helpful. Thank you so much and all the best.
Moderator: Thank you. Next question is from the line of Ravi Menon from Axis Capital.
Please go ahead.
Ravi Menon: Hi, thanks for the opportunity. Krithi, in this environment where the
narrative is that white-collar employment will decline due to AI, and the
■rst casualty will likely be software development, your wage hikes and
hiring seem to be sending a signal that you see things di ■erently.
Can you talk a bit about why you've given this wage hike and why such
strong hiring in an environment where at least the narrative seems to be
that we will need net fewer people to do this sort of work?
K Krithivasan: Ravi, I think our Chairman spoke during the last AGM, that we do not
believe that there would be a drastic reduction in white-collar. But people
would be performing di■erent roles.
Currently, if they are doing software engineering and coding, there could
be more skill sets required in terms of prompt engineering, people will be
training models, testing models, and lifecycle management, so many
other new opportunities would come up.

We don't agree with the view that overall white-collar employment will go
down. And second, we want to have more top talent available in the
organization. Whenever we see an opportunity and also whenever there is
a demand that could immediately deploy the people in a client
engagement, these are a couple of factors that help us or direct us into
more hiring.
Again, as I said, we don't fully agree that AI is going to reduce the overall
white-c

ollar jobs.
Ravi Menon: That’s great. And consumer, you spoke quite a bit about it, but any speci■c
sub-segments within this that you'd like to call out? For example, airlines.
K Krithivasan: Airlines in North America is de■nitely one of the areas and by and large,
the non-essential retail also comes under stress.
Ravi Menon: All right. Thanks a lot, and from the sound of it, it looks like except for the
consumer segment, you are optimistic that most others seem to be
picking up and will continue to see percentage growth.
K Krithivasan: As we speak, we see a good turnaround in almost every other sector.
Ravi Menon: Alright. Thanks so much and best of luck.
Moderator: Thank you. Next question is from Sandeep Shah from Equirus Securities.
Please go ahead.
Sandeep Shah: Yes, thanks for the opportunity. It is good to see that under AI-led
transformation bucket, we have disclosed a mega deal win of $800 million
from SKF and that too net-new versus a market perception that the role of
the system integrator in terms of AI-led transformation would be much
lower.
What has led for a client to award such deals to a system integrator? Do
you believe it can spread to other verticals, other large clients, and this
could be a start of some modernization brown■eld kind of a demand?

Second, with AI-led transformation, I think the tenure of execution could
be lower. So in this kind of a scenario, though it's a mega deal, the ACV
could be much bigger versus what it used to be in the earlier avatar.
Aarthi Subramanian: Let me talk about the mega deal that you called out, SKF. Just wanted to
highlight that it's a net-new deal and, it is over $800 million in revenues.

What is the driver? I think it is TCS's ability to partner with the customer to really transform their business and technology landscape and help them in their ambition to wanting to be an AI-■rst company.

I think that is the underlying partnership intent, if I may call it that. And when you look at this deal, it's a very holistic deal cutting across multiple aspects. TCS is going to help SKF completely optimize their run across infrastructure, applications with AI- led e■iciencies.

The second thing, many enterprises have legacy tech stack that they need to modernize. Here, S/4HANA transformation is a big part of this deal commitment. What is interesting is that S/4HANA is not an upgrade, we are going to completely do a process mining of their existing processes, use AI to redesign the new process, and then execute the implementation with AI.

It's a very nuanced AI implementation of S/4HANA, which is now the latest trend. In addition, we are also partnering with the customer on industry value chain transformation. Net-net across IT, business transformation with AI is what we have partnered with the customer for.

All the work that we do will span across SKF operations globally, and we are very excited about this very unique opportunity.

Sandeep Shah: My question is, are such prospects coming into pipeline across many sectors, or these kinds of deals sporadic? And second, with AI-led transformation, is it fair to assume the conversion of such kind of a mega deal to revenue could be faster because the tenure of the deal could be lower and ACV could be higher?

Aarthi Subramanian: If you look at it over the last quarter, we have announced three mega deals, this quarter we have one mega deal and in the last 5 quarters, we have announced six mega deals.

These mega deals cut across industries. But in terms of the scope, I think they have something in common. It has a component of optimizing the run with AI and then partnering with the customer on the business transformation.

I think where the acceleration comes is in the transformation, the discretionary projects that are part of the bundle. That's where the AI acceleration comes in execution and one thing we are seeing is that compar

ed to earlier how we would do such deals, how we bring AI much earlier into the execution, whether it's in Ops or in transformation, AI is part of the day one proposition and execution, that brings a certain acceleration to the transformation and also to the execution duration.

Sandeep Shah: Many clients are spending higher than what they budgeted on AI tokens, is there a discussion happening where client will have hybrid model of LLMs, where, are they open to even use open-source model from a partner like DeepSeek based out of China? And if that happens, do you believe the system integrator's role will further increase because of the complex architecture of the same?

K Krithivasan: This we've been saying for quite some time, Sandeep. We believe, most enterprises will have multiple models, one LLM plus many SLMs or multiple LLMs within the same family, they probably will use an older model for certain queries and a newer model for certain workloads, because the model FinOps will become an important topic for what they would use on-prem model, for what they would use a cloud token-based model will also change.

This is an area where system integrators have a greater role to play and ensure that the client's money is well spent and the value is delivered to them. We see this increasing as we go along.

Aarthi Subramanian: Yes, Sandeep, if I may just add, I think in the AI world today, I think making technology decisions across the Infrastructure to Intelligence stack is becoming much more challenging, because the technology is frequently changing so fast and also there are layers to be made and decisions to be made across the stack on top of an existing technology investment that

the company already has.
I think the big role that we are playing is helping customers make this technology choices. Secondly, how do you integrate these technologies into an existing diverse complex landscape. I think that is where we play a very big role.
Our being in the client environment for decades, for years, knowing the context, and then making investment in these partnerships to know these products and technologies, the role we play is taking the product capability and creating enterprise value out of it and the need for this is bigger now than ever before.
Sandeep Shah: Okay, thanks and all the best.
Moderator: Thank you. Next question is from the line of Gaurav Rateria from Morgan Stanley. Please go ahead.
Gaurav Rateria: My ■rst question is given the comment that you made around net-new AI deals, signi■cant ones in the current quarter, is there a change of mix in your current order book between renewals and the net-new deals?
K Krithivasan: No, it's a very marginal shift towards the more AI transformative deals, but I won't say it's a signi■cant shift.
Gaurav Rateria: Got it. My second question is around your AI revenues. Given that it now includes multiple baskets of sub-segments, whether it's physical AI, agentic AI, could you give any example where the billing engagement or the engagement model with the client is sub stantially di ■erent from historical time and material or ■xed price, move to some outcome-based

in any particular bucket? Which bucket would that be? Any such example will be very helpful.
Aarthi Subramanian: I think the client engagement models are across multiple archetypes. I would say output commitment-based models, outcome-based models, where we are committing through the AI program to deliver a business outcome, in a ■xed duration. So that's starting to happen. Second one I would say is de■nitely ■xed price, ■xed capacity, where you start with a program, then once the customer sees value, then we actually set up multiple pods like I spoke earlier. We call it our AI lab o ■ering, where that is part of the build and scale. So, you build one, then create capacity in a ■xed price model.
In some cases, you do continue

to see T&M requirements coming in, but
T&M still means that you take accountability for delivering the outcomes.
But all three models we are seeing, and especially in agentic GBS, we are seeing a lot more shift, especially this quarter, to more outcome-based commitment.
It has always been transaction-based, and very less T&M. Transaction and outcome-based commitments are increasing in autonomous GBS deals, and we saw quite a few of them this quarter in F&A, HR, and customer experience.
Gaurav Rateria: This is so useful. Thank you. Last question is for Samir. You categorically talked about prioritizing investments in the current context of how technology is shifting, but you also did mention about maintaining our aspirational band on margins on a medium term.
How medium is the medium term from your perspective, given where we are in the lifecycle of the technology change right now? Thank you.
Samir Seksaria: Our approach has been to balance growth investments with operating discipline, and that's what we have been doing consistently. We talked about it at length during our analyst day also. We have been reinvesting

some part of the gains into things which will help us achieve our aspiration or long-term commitments.
At times, we have seen a lot of apprehension from investors given our industry-leading pro■tability, but our aspiration would be make the right investments and to progressively inch up closer, at least to the FY26 levels.
Gaurav Rateria: Thanks, and all the best.

Moderator: Thank you. We'll take our next question from the line of Ashwin Mehta from Ambit Capital. Please go ahead.
Ashwin Mehta: Hi, thanks for the opportunity. The first question is in terms of segmental margins. Just wanted to get a sense in terms of why there has been closer to 250 bps to 300 bps decline in margins across manufacturing, communications, life sciences, and even in others segment.
Samir Seksaria: Overall, we have seen a 170 bps impact due to salary increments and then incrementally there would be some impact coming in at a segment level on specific vertical basis investments they might be prioritizing, but the key impact in all segmental margins is the wage impact which reflects across most of the segments which you mentioned.
Ashwin Mehta: And just a clarification to your answer, on the last question. Do we see the trajectory of margins to go back to our FY'26 margins over the next few quarters? Or from a full year perspective, we see it to be very close to the previous year’s margins?
Samir Seksaria: Ashwin, usually, we take a big headwind upfront in Q1, and we inch up through the quarter. We want to exit at 25% plus and strive to achieve it sooner rather than later.
Ashwin Mehta: Sure and the last question is in terms of fresher addition; how many freshers would we have added this quarter and what is the plan for the year?

Sudeep Kunnumal: Last quarter, we onboarded 14,000 campus graduates across and as we speak, we are visiting the top universities across the country and hiring for top talent, specifically looking for AI-native skills.
Ashwin Mehta: Sure. Thanks, and all the best.
Moderator: Next question is from the line of Abhishek Shindadkar from InCred Capital. Please go ahead.
Abhishek Shindadkar: Hi, thank you for the opportunity. At the start of the call, there was a mention about productivity, which is 10% to 15%. Can you just help us understand, is this on an ACV basis or a TCV basis? And how should we reconcile this with some of the data points that have been talked in other forums that the total $1 trillion spend is going to compress by almost $300 billion over the next few years? Can you just reconcile that?
K Krithivasan: What I said is, there is an overall productivity we are able to achieve, about 10% to 15%, when we leverage AI for client engagements. You should look at that productivity gain coming t

hrough the tenure of the project. And we also mentioned that this usually is compensated by additional opportunities that we generate from the customers.
The other question on overall contraction, it will be too difficult for me to answer in terms of $1 trillion. At this time, we don't see such a massive contraction or deflation happening in the world. In fact, you did see that our overall headcount has increased this quarter. So, we are not seeing that kind of contraction happening in our book of work with us.
Abhishek Shindadkar: Just to follow up. Typically, the understanding was the productivity could be 3% to 5% annually. So, if it's a 5-year deal, is it fair to assume that this number is spread over a 5-year period every year or how does that play out?
K Krithivasan: It depends on the kind of project. Because in every project, there are some places in the life cycle where the productivity gain will be better and some

where it will not be very easy to achieve. So that depends on the type of project.
For instance, a new software development, application development would behave in a particular way. Monitoring would behave in a different way. Production support will behave in a different way. It will be difficult to say, what happens in the first year or second year.
By and large, as I said, it's a rule of thumb, saying we can expect a 10% to 15% productivity on average . But we are able to offer a front loaded commitment to our customers which we are able to balance it out, to smoothen it out over the term of our project.

Moderator: Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to management for closing comments. Over to you.

K Krithivasan: Thank you, operator.

■ In Q1, our Revenue grew by 0.4% QoQ in constant currency, with an operating margin of 24% and a net margin of 19.2%.

■ Annualized AI services revenue crossed US$2.6 billion .

■ We had a very strong TCV of US$9.5 billion in Q1. We remain con■dent that TCS is well positioned to convert demand into stronger growth as client spending normalizes and AI adoption scales across the enterprise.

This concludes our call today. Thank you all for joining us.

Moderator: Thank you, members of the management. On behalf of TCS, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Note: This transcript has been edited for readability and does not purport to be a verbatim record of the proceedings.

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